

Apar Inds. (APARINDS)

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National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: The Manager, Listing Dept.
BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Dept.

Sub. : Submission of Transcript of Investors Earnings call on Audited Financial Results
(Standalone & Consolidated) for Q4 and Financial Year ended March 31, 2023 (2022- 23)

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable
Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as
amended from time to time

Dear Sir,

Kindly refer our letter dated May 08, 2023 under Ref. no. SEC/0805/2023 w.r.t. submission of link
of Audio Recording of Investors Earnings Call on Audited Financial Results (Standalone & Consolidated) for Q4 and Financial
Year ended March 31, 2023 (2022 -23).

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting
herewith the transcript of the Investors Earnings Call made on May 08, 2023 on the Audited Financial Results (Standalone &
Consolidated) of the Company for Q4 and financial year ended
March 31, 2023.

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

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"APAR Industries Limited
Q4 FY '23 Earnings Conference Call "
May 08, 2023

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of APAR Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari : Good afternoon, everyone. This is Ambesh Tiwari from S -Ancial Technologies. I welcome you all to the fourth quarter FY '23 earnings call for Apar Industries. To discuss the business

performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai for the opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone. I will start off by giving a quick overview of our performance and follow that up with a short industry update. We can then get into more details on the segmental performance of our three major businesses and post that, we will open up the floor to questions.

So, during the fourth quarter of FY '23, the consolidated revenue for APAR came in at INR4,089 crores, which is 36% higher than the previous year. We witnessed volume growth across all the three divisions and in particular, export of conductors and cables, which are the major contributors to this overall growth. Exports grew by 85% year-on-year, contributing to 53% of the company's revenues for the quarter compared to 39% a year ago.

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The EBITDA for the quarter is up 146% to INR445 crores at a margin of 10.9%. PAT came in at INR243 crores, which is 194% higher than in the previous year. The PAT percentage is 5.9% versus 2.7% a year ago. If you look at a full year consolidated basis, the revenue came in at INR14,352 crores, carrying a growth of 54% year-on-year. PAT at INR638 crores is 148% higher than the previous year.

Export for the full year contributed towards 49% of the total revenues, which is 97% higher than in the previous period. This has been an all-time high, top line and bottom line for the company as well as for export revenues.

Coming to the power sector, I would like to just update a couple of major areas. The power generation in India grew at the fastest pace that it has

in the last three decades with a jump of about 11.5%. This was led by actually the intense summer heat wave from the last summer and colder than usual winter in Northern India. There was also an economic

recovery that led to a jump in electricity demand. This forced the cranking up of output from coal plants as well as solar farms as well this scramble to actually avoid power cuts. So, the output from plants running on fossil fuels grew by 11.2%, which is actually the quickest growth that has happened in the last 3 decades.

There was a 12.4% surge in electricity production from coal and that offset a decline that had happened from gas-fired plants basically due to

the spike in LNG prices. So, if you look at the total power supply during the last fiscal, it is at 1.5 trillion kilowatt hours, which is 8.4% higher than in the previous year.

India still faced a power deficit of 6.69 billion units and this is the widest deficit that it has had in the last six years. So even though power production was 8.4% higher, the deficit was still the widest in the last six years. In the new fiscal that began last month, Indian power plants are expected to increase power generation from coal by about 8%. The acceleration of coal-fired

output to address a spike in power demand

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highlights the challenges which are being faced by India as we try to wave off the usage of carbon and ensure energy security for our population.

On the renewable side, India solar capacity additions have grown by about 20% during the just ended fiscal year of FY '23, boosting the renewable energy output to 33 billion units or approximately 22% of the total power being generated. The green energy output helped prevent 32.5 million tons of CO2 emission, that would otherwise have been produced from coal. The share of renewables in power generation, excluding big hydro and nuclear power.

So essentially, this is small idle solar and wind has increased to 11.8% compared to 10.8% in the previous year and the main increase has come from solar, which is 35% higher than in the previous year.

I would now like to spend a few minutes to cover the business highlights. Our conductor business as revenues in Q4 FY '23 growing by 41% year-on-year to reach INR2,121 crores with a volume growth of 46% in the quarter. The export revenue grew by 81% year-on-year, contributing towards 58% of the division's overall revenues.

The premium products contributed to 45% of the revenue mix. EBITDA per metric ton post forex adjustment came in at INR 58,000 a ton, which is a historic high. As we have been mentioning earlier, the conductor division has seen a major transformation in its journey over the past decade and the various investments which we have made in R&D has helped us to tap opportunities both in the domestic as well as the overseas markets.

Looking at a 12-month picture, the conductor division revenues came in at INR 7,013 crores, which is up 67% year-on-year. The physical volumes of conductor manufactured is up 49%. The EBITDA per metric ton for the full year period came in at INR 44,114 per metric ton, which is 158% higher than in the previous year.

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The total order book that we have as of 31st March stands at INR 5,124 crores for the conductor division. So overall, the division has had an excellent quarter as well as the best 12 months in its history. The division's higher profitability can be attributed to a much higher share of premium products as well as a high share, a historic high for exports in the non-premium products.

Also, the market conditions in FY '23 were the most favourable than we've seen during the post-COVID period, where customers paid a premium for reliability and quality and also there were substantial freight gains as the container freight rationalized over the year. The losses from FY '21 and '22 due to freight, were to a very large extent, actually compensated in FY '23.

Having said that, the competitive dynamics in this division have intensified including from Chinese suppliers who have started pricing sharper and also are trying to find ways around the higher tax regimes that have been applied on them from the United States. We also are seeing an inventory adjustment taking place as customers reduce the higher level of inventories that they had built up to insulate against supply chain bottlenecks. So, this has resulted in a lower level of orders, which have been coming in, in the short term.

Coming to the oil division. Q4 FY '23 revenues came in at INR 1,179 crores, which is up 28% year-on-year. The volumes grew by 12% in the quarter, driven by a higher base oil price. Export contributed towards 45% by revenues and 47% by volume. EBITDA post forex adjustment came in at INR 3,697 per kl, which is in line with the guidance which we had given earlier. The lubricant revenue for the quarter was INR231 crores with a total volume of 18,370 kl.

So, during the 12-month period, oil revenues were up 31% to INR4,656 crores, the volume grew 5% in the period. EBITDA post forex

came in at INR4,781 per kl. And this was largely due to a much higher margin
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in the first quarter and then a revival of bringing margins back closer to normalcy in the February, March months.

Transformer Oil, which accounts for about 1/3 of the oil division grew at a faster pace than the other categories. And with the developments that are happening in the infrastructure space, we expect a steady

demand to continue for transformer oil, both domestically as well as overseas. Towards the end of the year, the margin pressures, which were there from the mismatch in cost versus selling prices have also eased and we should see better profitability and consistency in performance even on the lubricant side, which includes 3 industrial and automotive lubricants.

Now coming to our cable business. Our cable business revenues grew 38% in the fourth quarter to reach INR943 crores with a significant increase coming from our elastomeric cables as well as exports. Exports contributed towards 54% of sales in Q4 versus just 27% a year ago. The elastomeric cable revenue grew by 20%. We see robust business continuing to come in the renewable energy space, especially from solar installations. The EBITDA post forex came in at INR117 crores, which is 12.4% of revenues. So, this is a good 7% higher than what it was in the same period previous year.

Looking at the 12-month picture, FY '23 had cable revenues increased by 64% year-on-year at INR3,263 crores. The elastomeric and export business were the 2 main drivers with export contributing towards 52% of the annual revenues of the division. The EBITDA for the year came in at 10.3% versus 5.3% for the previous 12 months.

So overall, we had a very strong FY '23, and this has, of course, been the all-time high performance across all the 3 major divisions combined, robust growth, not only in the top line but also on the bottom line. We are quite optimistic about growth prospects of the company as the domestic and global macro environment continues to remain favourable

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with the thrust on infrastructure and renewables, which we expect will continue for the next few years.

We also recognize that in FY '24, the post-COVID demand and premium on quick and reliable delivery, as well as some of the strong tailwinds may taper to some extent, but we are overall quite positive about the prospects of business over the next 3 to 5 years.

I would also like to point out that we've updated our corporate presentation to make it current. It's already up on the website, and it carries a lot of detailed information much beyond what I was able to summarize earlier in the call. I would also request you all to go through the latest APAR ESG report, which was put up a couple of months ago in the Sustainability section of our website. And that updates all the company-wide initiatives in this most important area.

So, with this, I'd like to come to the end of my comments. I also like to thank all of you for joining this call, and we can open up the floor to questions, please.

Moderator: Thank you very much. The first question is from the line of Garvit Goyal from Nvest Research.

Garvit Goyal: Congratulations for a good set of numbers. My question is particularly on the conductor segment side. Like you mentioned in quarter 1 FY '23 call, you guided for EBITDA per ton, somewhere around INR17,000 to INR18,000. So, my question is what exactly driving the change in EBITDA per ton, like, I think, 3 quarters before you mentioned INR17,000 to INR18,000, in this particular quarter, that is around INR55,000 per ton. This is a significant change.

So, if this is a permanent change like because of the sectoral changes you are mentioning product mix and geographical mix. So, then I think the investor community should assume these kind

of realization going ahead, right? I'm asking this because from here realization has come

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down, then we will not be able to grow our EBITDA in particular segment, even if the volume growth come in.

Ramesh Iyer: There are multiple reasons for this increase in EBITDA. One of the key reasons and we have elaborated in our

investor corporate presentation

also is the transformation shift that has happened in the conductor division for the last 2, 3 years. Earlier, it was largely the conventional conductors catering to the domestic market where the margin used to be less because of competition intensity. But over the last 2, 3 years, we have been executing more of premium conductors due to which our margin profile has changed considerably as compared to the earlier period.

What has also happened in FY '23 is that not only we have been servicing the domestic market, but also opportunities are coming in the export market. So, what we've seen in FY '23 is that not only our conventional conductors that caters to the export market has increased in margins, but -- and also the premium conductors have also been having a higher margin. So overall, put together, we have seen a high margin in FY '23. And also, some of the macroeconomic and geopolitical environment has favoured us, that has also helped us to increase the margin in this year.

Garvit Goyal: So, my question is -- still not answered, right, going ahead, whether these kind of margins -- realizations are sustainable for this particular segment.

Kushal Desai : So we have been increasing our guidance continuously over the last 1 year, and we continue to keep a guidance of about INR25,000 per metric ton EBITDA at this stage also, plus some of the tailwinds that may come in the future, which as of now, it's difficult to predict because it depends on various macroeconomic and geopolitical situations. Even last quarter, we have been guiding about INR25,000 per metric ton. So, at this stage, we feel that on a long-term basis, we expect the

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EBITDA to continue at about INR25,000 per metric ton. Any tailwinds that arise in future would be added on top of this margin.

Garvit Goyal: You are paying this macroeconomic environment and part of the reason you mentioned is freight. So, freight rates are coming down. So that will be reflected in your EBITDA realization, right, in the coming quarters?

Ramesh Iyer: Yes. Freight rates has been coming down and accordingly, we pass on the freight benefit also to the customers unless there are some prices which are already locked in the pending orders, but largely, we pass on the cost to our customers.

Garvit Goyal: Okay. And what about the volume growth in FY '24, on the conductor and this particular oil segment prices?

Kushal Desai: Can you repeat the question because the voice was a little muffled.

Garvit Goyal: I was asking for the volume growth guidance for...

Kushal Desai: We expect approximately a 10% growth in volumes to 175,000 to 180,000 metric tons. Also, further to what Ramesh mentioned that in FY '23, there were a couple of very helpful tailwinds where we had taken freight hits in FY '21 and '22, which turned positive in FY '23, wherever the freight rates have been fixed. Now going forward, as we get into FY '24, the rates obviously are more current, and we don't expect any gain coming from there.

The second thing is that as supply chains were quite broken leading up to FY '23, customers in the United States and many of the export markets

who actually bought a brunt of this, were prepared to pay a premium to suppliers who had high quality and high reliability. Because their projects were already delayed.

And as a consequence, the negotiations really or the premium that you got on the price was relatively easy to pull during FY '23. Now having

supply chains, having got normalized, obviously, there is more

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discussion, negotiation and pressure on prices and margins, which is more in line with the normal scenario.

And what Ramesh also mentioned in here is that because of the premiumization of products, you will see a long-term change

in the

EBITDA from INR 10,000, INR11,000 a ton, which is what we had for several years, increasing to the INR25,000 plus, of course, if there are any tailwinds which come in, but a steady state of INR25,000 per metric ton.

Garvit Goyal: And sir, you mentioned the supply chain is getting normalized. So, whether they have been normalized or they are going to be normalized in coming quarters?

Kushal Desai: So, the supply chains have all got normalized now. So today, getting containers is not a problem, not only in India but anywhere in the world.

There's enough capacity of liners. There is no congestion at ports which is landing up with hundreds of vessels wanting to berth. So that whole

thing has got cleaned up in the United States and in most parts around the world. So, the supply chains are now pretty much normal.

Garvit Goyal: Okay. And on the oil segment, like, sir, what will be the volume growth guidance in the EBITDA realization?

Kushal Desai: So, on the -- in the oil vertical, we are looking at about a 5% volume growth. And our guidance on EBITDA will continue within the

INR5,000 to INR6,000 per kl. Last year, we came in at a little over INR4,700.

But with the situation having pretty much normalized in terms of unit margins, especially for the lubricant side of the business, our guidance

is around INR5,000 to INR6,000 per kl with a 5% increase in production. Now if you ask for the third division, which is the cable

division, there we are expecting about 25% to 30% growth and EBITDA between 10% and 12%.

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Garvit Goyal: Okay. And one last question is, you mentioned in your opening remarks regarding FY '24 taper off or kind of muted. So, is it like to be muted going forward?

Kushal Desai: Again, I couldn't hear your question. Could you repeat that, please?

Moderator: Sorry to interrupt Mr. Goyal. There is any disturbance coming from your line, sir, request you to use the handset mode, please.

Garvit Goyal: Sir, in your opening remarks, you mentioned like FY '24 to taper off or kind of -- so can we take, is this going to be a muted one?

Kushal Desai: Muted in the sense that both -- we expect both the oil division and the cable division to have a higher revenue and profit number. In the case of conductors, you will see a higher growth, but the profitability, which is averaged 44,000 for the year is something that's not easy to repeat. So, because there were a number of favourable wins. So, our guidance for that is 25,000 plus, there could be some tailwinds that actually come in. But that would be clear only once you start closing orders, we're right at the beginning of the year, and there's still a lot of uncertainty that's running.

Moderator: The next question is from the line of Pratiksha Daftari from Aequitas Investments.

Pratiksha Daftari: I was saying that with the -- I know you mentioned that competition has intensified and freight benefit would also probably not -- carried be sustainable in next year. What about our raw material prices with metal prices being in a range bound fashion, would that also impact our profitability going ahead?

Kushal Desai: So, as we've always mentioned in the past, we don't really take a call on raw material prices. We just hedge. Premiums have gone up slightly the MJP, which is one of the key benchmarks in terms of measuring premium. They were steady at around \$80 to \$90 a ton, which have now increased about \$120 a ton. But that is being factored into the pricing of

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our products. So, we don't really see any major impact from the metal side because it's all back-to-back hedged.

Pratiksha Daftari: Okay. Got it. And in terms of the order book that you mentioned about, I think, INR5,200- odd crores, how much would be premium products

and how much would be export?

Ramesh Iyer: About out of INR5,000 crores, about 40% will be premium products.

Pratiksha Daftari: Okay. And exports?

Ramesh Iyer: Exports, out of INR5,000 crores, could be about 60%.

Pratiksha Daftari: Okay. And what I understand is that we had some share of railway orders in conductors. Do we see that plateauing considering that the railway electrification target is newly achieved or at least a good amount of what was done.

Kushal Desai: So, there are -- they are following sort of phenomena that's happening

that there was program 1 was converting diesel to electricity in terms of running the locomotives. So that program is at a very advanced stage. You'll only see about another year or so in which that target will be met.

However, what's happened is that the lines which have been set of both

contract and catenary lines are not high capacity or high ampacity lines.

As there's limitations in terms of the amount of current that it can carry to run Vande Bharat train and high-speed trains at its full capacity. So

therefore, there will be a certain level of reconducting that will come up if these trains are supposed to reach their full potential. So, I guess the

program will get over and then there could be a gap. And then the reconducting have to be done. Otherwise, you've got trains that can run

at 160, 180 kilometres and are running at only about 100 kilometres an hour.

Pratiksha Daftari: Okay, understood.

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Kushal Desai: Just by the way, APAR has been ready with this from day 1. We've been

-- we have the alloys, the R&D was done several years ago and products

are already ready and commercialized. But at that point in time, Indian

Railways didn't want to use high ampacity product. So as these tenders

come up, we are already ready with the products.

Pratiksha Daftari: Wonderful. That's really nice to hear. Okay. In terms of order pipeline, if you could share some color on that.

Ramesh Iyer: Sorry, what was your question on...

Pratiksha Daftari: Order pipeline for both cables and conductors.

Kushal Desai: For conductors, we've seen about INR5,000 crores is the pending order book.

Pratiksha Daftari: No, I just mentioned the tenders that are opened because we are seeing a lot of T&D orders that are getting announced for the EPC companies.

So just wanted to understand what are the -- how does the orders that are in process look like?

Chaitanya Desai: Yes, those are going on in a full-fledged way right now. They are in the

process of placing orders on domestic parties such as ourselves. And those will be executed in this financial year. And then next round of

TBCB tenders are expected, which will help us to feed the supplies in the next financial year.

Pratiksha Daftari: Okay. All right. One question on cable, just update on the capex plan.

And also, what is the execution period of the order book?

Kushal Desai: So, the order book, which as we've spoken about is the order book for conductors

Ramesh Iyer: and cable, we have given an order book of about INR1,200 crores should be just over a quarter's order books.

Pratiksha Daftari: Okay. All right. And the capex for cable?

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Kushal Desai: So is the total capex that we are planning to invest is about INR400

crores to INR450 crores over the next 12 to 18 months because some of

these are now longer lead items for increasing capacity. So, of that, the

cable portion is approximately INR260 crores to INR270 crores. And that include

s actually us acquiring a new greenfield site which is close

to where the current plants are located.

So our plan on the cable side is to do this capex and invest a little bit

ahead of the curve because for example, while talking to all the major

customers that we have in the United States, their projection is that their

execution of solar installations today is running at about 15 gigawatts

per annum. And in two years' time, they expected to run at 30 gigawatts per annum. So also, if you see in India every year, the implementation of renewable energy has been growing. So that's the reason why our plan is to invest the total capex of the company about INR400- odd crores. Conductor division will be about INR100 crores, cable will be about INR260 crores to INR275 crores. And the oil division is much smaller at about INR20 crores to INR25 crores.

Pratiksha Daftari: Okay. But we had some capacity that was expected to be commissioned sometime around this quarter or next, right?

Kushal Desai: So, we have one phase, of this, which is getting commissioned in end of June, beginning of July. So that capacity will be available from the third quarter. But there's a whole lot of new equipment that's been ordered.

And continuously through the year, we will see it coming in and getting installed. There is a -- the greenfield side, of course, has some amount of upfront investments, the acquisition of the land and getting the greenfield site ready. But then once the initial site is ready, then it allows

us to again modularly keep on expanding capacity on the site.

Pratiksha Daftari: Understood. And in terms of our interest cost, how do we look at that -- look at that going ahead? Would that be increasing in tandem with the volume growth?

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Ramesh Iyer: Interest costs have almost peaked now in quarter 4, quarter 3, quarter , quarter 2 also. Depending on further increase in interest rate, it could further go up. But we feel that about quarter 4 numbers could be what we expect for the rest of the year, unless there are further increases. Of course, it will go up in line with the volume increases. But in terms of the rate, quarter 4 captures most of it.

Pratiksha Daftari: Okay. Okay. All right. Congratulations for good set of numbers.

Moderator: The next question is from the line of Charanjit Singh from DSP Mutual Fund.

Charanjit Singh: Congratulations on a good set of numbers. So, sir, especially, I wanted to touch on the export side. In terms of overall contribution, we have seen rising to almost around 49% exports. And if you can just give us more color in terms of the different geographies, like you touched about U.S. basically. And I think you were also working on other geographies, maybe like Australia and all. How we can see these exports, can we see it going further up? What's the kind of growth on these highways we can see in the exports overall opportunity? That's my first question.

Kushal Desai: Okay. So, on the export front, the growth is really being led basically by the addition of renewable energy. And the largest market that we have currently is North America -- is the United States. But cable sales into Europe has also started increasing, mostly going into against solar installations. We've seen a steady growth in a steady set of orders coming in from Australia, where we are seeing basically 2 areas. We're seeing solar and wind installations. Again, that's the renewable energy generation, plus the metros that are being built in all the major Australian cities.

So, because we supplied to -- we were 1 of 2 major suppliers into the Sydney Metro, we are getting an opportunity to also bid on metros that are being developed in all the other major Australian cities. Besides this, APAR Industries Limited
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there are opportunities that are coming up even in Latin

America, countries like Colombia, Chile, etc.

And in Africa, we've been supplying products largely to Ethiopia, which has been either Asian -- sorry, African development bank funded or other multilateral agencies funding electrical infrastructure there. So,

these are the principal geographies where we are seeing the growth, and we expect that for the next 3, 4 years, the growth will continue from these geographies. There are on and off demand from many others, but these are the 5, 6 major markets from where we see the business coming for both our

conductors as well as cables. In terms of the oil side of the business, the supply overseas is quite steady. Again, any electrical installation needs a transformer and these transformers are all oil field. So, there's steady growth taking place even on the transformer oil side.

Charanjit Singh: And sir, you talked about this Chinese now manufacturers also at looking at these markets. So how do you see China opening up impacting and their supplies now getting back into the market? And you

also highlighted that they are trying to overcome some of the duties and all. So, can that impact these export numbers to any extent?

Kushal Desai: So, I don't think it will affect necessarily the volume of exports that we have because the market itself is expanding. But there could be an influence on the unit pricing. And there are 2 things that Chinese companies are generally doing. One is that they have been involved in M&A activity, buying out players located in favourable geographies and not changing the name of the company or anything and continuing to supply in those companies' names. They've also set up manufacturing or are looking at setting up manufacturing in other geographies, which are greenfield.

And finally, some of the companies are setting up finishing facilities. So, the conductor and various other parts of the cable will be coming in from China. And just the final step is done in a country like Vietnam, or

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Korea, one of these, which don't have any -- or do carry some favourable duty structures with respect to the United States, etc. So however, who all of this, there is a cost increase that takes place. They're not just as competitors manufacturing in China and exporting.

But it saves the money relative to paying the higher U.S. duties, for example. So, we see that the pricing may come under some amount of

margins may come under some amount of pressure. But the volume itself is growing. I hope that answers your question.

Charanjit Singh: Yes, sir. That's very helpful. Sir, if you can just also give the numbers for acceptances, how acceptances have moved?

Ramesh Iyer: Yes. So, our interest-bearing acceptances is about INR3,600 crores.

There are letters of credit. Is that the number you wanted?

Charanjit Singh: Yes, sir. And how do you see now acceptances going forward? Any thoughts on...

Ramesh Iyer: This is usual creditors for us for acceptance is now if we take the credit period for the maximum period. And it will go up in line with the volume

of the business and the rates of the key raw materials.

Charanjit Singh: Okay, sir. Sir, just lastly, from my side if I can squeeze in another question. You have also talked about industries and corporate as one of the segments, which is almost around 17% of our revenue. And this is having a very significant industries like railways, defence, shipping.

And so, if you can touch upon how these industry segments are operating? And do we see a significant uptick coming in these segments?

Kushal Desai: So, from the cable perspective, the railways will be a major segment going forward because as you can see, there is a very large amount of locomotives that are being ordered. In fact, Siemens received an order for 1,200 locomotives to be delivered over 10 years. Similarly, there all

the Vande Bharat

trains are going in, which consists of the locomotive

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and the bogie. It's a full integrated train. So as a consequence, cables into the railways are definitely increasing. There is also capex that's happening in the Industrial segment. So, manufacturing plants coming up, etc.

So, the good thing is that no matter what plan you're agnostic to manufacturing plant, you need cables to be able to deliver power to run the equipment's etc. So that's where we are seeing this -- the industrial side picking up, the railways. As far as defence is concerned, there is a steady increase taking place. It's nothing dramatic. But you'll see a step-up on the railway side because of the large locomotive and Vande Bharat expansions that are happening.

Charanjit Singh: Got it, sir. Sir, just one thing on Anushakti wire, because wires is another segment where we had -- just last question from my side, sir, just a second. Yes. So just on Anushakti wire, sir, because we had started doing significant branding exercise, channel expansion and a lot of team building on that side as we can see. So, if you can just touch upon that initiative. This is the last question.

Ramesh Iyer: Yes. Yes. So that is going very fine for us. If you see, we have a slide on that, that shows how much progress we have done over the last 1 years in terms of increasing our channel expansion, distributor presence, active state presence as well as various demos and electrician meets. So, it is progressing as per our internal estimates on the overall sales.

Kushal Desai: Essentially, we have -- I mean, if you look at the channel, almost a 70% growth from last year to this year, and then we will see an equal growth from this year to the next year. So, we are adding almost a little over INR100 crores a year from FY '23 to FY '24 as far as that channel is concerned. So, it's basically the anchor product there is Anushakti wires, which are the best in class. And then along with that, there are other LT cables and 3 core flat and a whole bunch of other products that go along with that through that distribution channel. So that part of the business is growing. If you go to the corporate presentation that has been

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put up on the website, there is a slide that actually details dealer addition, retailer addition, etc.

Moderator: Next question is from the line of Koushik Mohan Ashika Stock Broking.

Koushik Mohan: Congratulations for the great set of numbers. I just wanted to understand your order book and what is the total size of the order book currently? And for how many years is that order book is there for?

Ramesh Iyer: So, conductor order book is about INR5,000 crores, and typically expedite about 6 to 7 months -- 7 to 8 months of execution. This is a cable, our order book is INR1,200 crores, it will be just over a quarter.

Koushik Mohan: Okay. And I also wanted to understand another thing. What is your revenue guidance for the coming next 3 years?

Ramesh Iyer: So, we have given guidance on the case of conductors volume would be for about 10 to 15 percentage. In the case of oil, it would be 5 percentage on volume and cable value would be about 25% to 30%.

Koushik Mohan: Okay. And sir, is this the net profit currently, which is around 4%, 4.5%. Is this a sustainable margin going forward?

Ramesh Iyer: So, we don't see guidance on the profit percentages because the values and the percentage will depend on the raw materials and the price movements. Therefore, we give an EBITDA guidance, which has already been shared.

Koushik Mohan: Sure. I can see that in the presentation. And the presentation is really fantastic, sir. And the last and final question, what is your conversion of cash flow from operations to EBITDA or EBITDA to cash flow from operations?

Ramesh Iyer: It's actually there in the cash flow statement, you can see that -- probably the cash flow statement where you will be able to see the conversion.

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Koushik Mohan: For the future year because normally it is starting at a 50 percentage on an average. I just wanted to understand in the coming years, or so will it be the same?

Ramesh Iyer: Well, it should be in line with the sales growth that should happen unless if there are any abnormal changes in working capital, which we don't expect at the moment.

Koushik Mohan: Okay. Sir, another capex of INR450 crores is what you are speaking about. INR450 crores. So, it is going to be in the duration of next 1 year to 18 months. Sir, this major capex of this one will be in the cable segment. Am I -- is my understanding, right?

Kushal Desai: Yes, about INR260 crores to INR275 crores will be in the cable segment, about INR100 crores in conductors. And around INR20 crores to INR25 crores in the oil business.

Koushik Mohan: Okay. So, sir, what can be the incremental assets on this cable side, only on the cable segment?

Kushal Desai: Between 8 to 10x.

Koushik Mohan: 8 to 10x. And congratulations for the fantastic numbers. And I expect same kind of presentations in the future.

Moderator: The next question is from the line of Mihir from Carnelian Capital.

Mihir: Congratulations on a good set of numbers. Sir, largely wanted to understand, I mean will we see the share of premium products. So that's like a 49% last time and has gone to 44% this time. So, it is the exports plus of rate benefit, which is driving the overall profitability on the conductor side of the business.

So, I just wanted to understand, I mean, given right now Chinese players coming into picture, how are you seeing the incremental orders getting priced in? So, the INR5,000 crores order book that you are having, what

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is -- what could be the pricing of those -- that order book? And when you -- when one should expect the normalization of margins to happen? Do you expect that to immediately happen in first quarter, second quarter? Or do you expect that to be more back ended in second half of the year? And I also wanted to understand on the freight cost. I mean, currently, we have posted INR58,000 kind of profitability. So, what

could be the element of freight cost benefit that one should consider that this number, which will not be there in the normalized number? Yes. So just wanted to understand that.

Ramesh Iyer: Yes. So freight cost for us, actually, it depends on the execution of orders because we -- the order book, you may have a long pending orders and

the execution of that may take -- some of the execution may take more than 3 months, 6 months or so there could be some orders in the pending order book that may get executed in FY '24. It's very difficult to say an exact number of how much could be the freight because they are various factors, there could be freight saving. There could be steel cost savings, etc, which could be included there.

And there could be some carry forward from the pre-COVID, COVID times order that is coming into this execution. So, it's very difficult to give a number that we can say that x amount of savings per metric ton is included in INR58,000, which may or may not recur in the future. And therefore, we are actually giving our guidance for the future profitability, which is INR25,000 per metric ton plus the tailwinds that can come in various forms which includes macro environment and Chinese competition intensity, etc.

Mihir: Sure. Sure, sir. And just on the order booking that you are having INR5,000 crores of order book, I mean just to understand it qualitatively,

let's say, one building new orders over the last 3, 4 months, given the fact that Chinese competition is coming back, are we bidding --

I mean

projects at comparatively lower margins than what we were bidding, let's say, 6 months back?

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Kushal Desai: So, let me just comment on that. So, the -- as far as the domestic market is concerned, of course, the Chinese don't have a role to play. There --

as the TBCB contracts or other tenders keep growing, there's been one major change in that. So, from FY '25 onwards, we will see benefit that a higher -grade conductor is being used, which is an HTLS conductor, which is called AL5 9. So, there is one change that's happening in that. It's like an in between conductor. It's not HTLS but it's an upgrade on just normal conventional conductor. As far as the export markets are concerned, the U.S. still continues to carry a higher duty on the Chinese products.

So, if the Chinese want to get product in, they cannot produce the product. We can't sell a Chinese -produced product. So, if it goes through any of these other channels, there is a bit of an increase in price. But as they go into projects in Europe or into Latin America and some of these other countries, there is no punitive tariff or duty on that. So, with China having also got stabilized post all the COVID -related issues, etc, there is increased competition coming from these locations.

In any case, the most profitable market that we had outside of India was the U.S. or is the U.S. market. But even there, there is competition coming in besides Chinese from other -- Chinese indirectly, but from other locations, because if you see all of her geographies, including Southeast Asia, etc, the Middle East, these supply chains have all started. They are all now today in a normal state. They're pretty much equal to what it was in the pre -COVID period.

Mihir: So, the normalization...

Kushal Desai: There is a little bit of an intensity of competition. And that's why our sense is that long -term guidance that we can maintain is 25,000 per ton basis. If some product mix changes or if we have anything -- any favourable tailwinds, then it could be upwards of it.

Mihir: And sir, just lastly, I wanted to understand the realization difference between exports and domestic on the conductor side, because last year,

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when we produced these particular products domestically and sent it outside, so what is the realization difference in exports versus domestic?

Kushal Desai: So, the way -- as we had explained in some of the previous calls also is that most of the HTLS and OPGW and these higher end products are sold in the domestic market. And we've moved as much as possible our conventional products into overseas markets where you can end up getting INR10,000, INR12,000 a ton higher than in domestic. So, when you say INR25,000 and looking at the order book and our crystal ball gazing as we look into FY '24, etc, it takes into account this mix. The conventional product will go to a larger extent towards export and the premium products would be sold more in the domestic market.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very good set of numbers. My first question is sir, you mentioned that you're seeing strong demand from new manufacturing capacity. Do you think this segment could be very high in FY '24 and '25 or do you think it will remain minuscule in your entire revenue?

Kushal Desai: So, I didn't get the question exactly. Are you saying that will the demand remain strong just in FY '24...

Mohit Kumar: No, sir. My question is, you said that you're seeing strong demand from new manufacturing capacities, which is being set -up in this country.

Kushal Desai: Yes.

Mohit Kumar: So, my question is, does this add materially to the top- line in FY '24 and FY '25 or it's a very small part of your top- line?

Kushal De

sai: So, for the Cable division, it does have a good incremental benefit, because if you see in terms of the mix that we have, we have 54% of it at the moment getting exported for cable. And then the elastomeric cable

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is a big section for us which goes into all the special industries, including renewable etc.,

For the domestic power cable side of the business has a piece which goes into industry for instrumentation cable as well as power cable. So, one of the projects which APAR has been involved in besides building out its distribution network is engage with the top builders in the country

with a top NEP consultants. And these NEP consultants play quite an important role in terms of the whole cables going into industry. So, it is

-- as time passes on, it will become a more and more significant part of the cable business revenues.

Mohit Kumar: Understood. And sir, at some point of time, do we think that the increase

-- the export of your high premium products can happen in the future?

Kushal Desai: Absolutely.

Mohit Kumar: But are we targeting in near-term, or you think if this is slightly longer-term thing?

Kushal Desai: So, the way we've been selling our premium products in India, to a very large extent, we have been focused on delivering a complete turnkey solutions. So -- and that's the real benefit where you go into a utility and

when you pitch to them end-to-end from the concept through the delivery and the results that come out of the execution of the contract.

Now we haven't climbed that level of maturity in overseas markets and we don't do turnkey contracts. So, we have started engaging with various EPC contractors on some of these premium products.

The demand for the premium products in countries like the United States is lower than in India because India has got very severe write-off issues.

Whereas in some of these other geographies, they are just designing a larger line to begin with. Using conventional products, but we've

designed a line which can carry the current capacity and more. So, it is definitely an endeavour. But I don't see that in the FY '24 -- there won't be any meaningful contribution in FY '24. There could be a higher input

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coming from it in '25, '26, etc, as we continue to engage with overseas customers.

Mohit Kumar: And sir, last question, sir, on the Slide #42 of corporate presentation, you have shared the details of the end user segment where the renewable

fee is 2.7% and you said that renewables fee is going to be main growth

driver. So, is this not true for the domestic right now? Is it renewable

still small portion as of now and it will grow very significantly over the next few years?

Ramesh Iyer: Yes. So, the renewables 2.7% is for the total. If you see, exports is 48.7% and exports will also include some proportion of renewables.

Kushal Desai: So, it has some of the others also segments carry renewables in the sense that you have EPC diversified. So that 0.6% also has EPC players who

are buying. This 2.7% are largely the developers themselves buying products from us. Then in the other category also, you will find some

amount of renewables that they're going through a distribution setup for rooftop solar and all these sort of products. So overall, the renewable

side of it is pretty strong. On the export side, it forms a huge chunk of that 48.7%. Let's say, 70% of that is coming from renewables.

Moderator: The next question is from the line of Amit Anwani from Prabhudas Lilladher.

Amit Anwani: Congratulations for the good set of numbers. My first question is on the conductors business. Obviously, pretty

phenomenal performance this

year with respect to EBITDA per ton. But I just wanted to have more color as you already highlighted that you have factored in some Chinese

competition and sup

ply chains getting back to normal and we are guiding for 25,000 per ton. But sir, just wanted to understand, are we going to see some moderation in realization, anything of that sort or any

color if you would like to throw with respect to geographical mix

changing? And in your PPT, I can see you focused on penetrating into a high growth market. So, if you could just throw some more color on

what kind of strategy you're going to focus on this side?
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Kushal Desai: So, on the conductor -- specifically on the conductor side, your question is in terms of whether you will see a margin compression and lower pricing. Is that your...

Amit Anwani: Yes, sir. Just wanted to understand what would be the sustainable EBITDA per ton because the 40,000 plus this year also we did not expect. So this far exceeded the expectations.

Kushal Desai: So, we have already given the guidance that a sustainable base number for us over the next foreseeable future is 25,000 per ton. There are -- the situation is changing on a daily basis, but in case, there are any favourable tailwinds, etc. Even today, we have a few dispatches that will happen on a fixed price on freight. And therefore, there will be some trade gain taking place on historical contracts. So, we expect that it will normalize at around 25,000 per ton on the increased volume that we are talking about.

Amit Anwani: So, anything on penetration on high growth market? Are we talking about more premium products or anything?

Kushal Desai: So, the high growth market really for us, the way we are defining high growth markets for overseas market is essentially those markets where a lot of renewable energy is going in. And so that is clearly happening in the United States. As mentioned, numbers earlier in the call that what information we've gathered as recently as a couple of weeks ago from some of our top customers and prospective customers in the United States.

They are expecting solar installations to increase from 15 gigawatts per year to 30 gigawatts per year in the next 2 years and then sustain that for several years if they are going to reach the internal targets, which has been set within that country. So that's clearly one high growth market.

Australia is another market where we see steady execution over the next few years, both on transmission lines as well as on renewable energy generation sources.

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So, these markets I think as we mentioned before, it's not going to be a 1 year, 2 year place, it's going to take longer than that to build out this infrastructure targeted by these countries. And the good thing is that most of these countries are developed countries and they do have the countries, do have the balance sheet to be able to execute these type of projects. They're not depending on third-party aid, etc, like the African countries.

Amit Anwani: Sir, my second question is on the premium versus non-premium if you could share on exports and domestic? And second thing is you mentioned that there is a 10,000 to 12,000 per ton difference for conventional between domestic and export. So, if you could share any difference, if possible, for you between premium and non-premium as well?

Ramesh Iyer: So, the premium part of conductors is largely for India and the non-premium, which we call as the conventional conductor that goes for the exports market. In terms of this pricing difference, it's difficult to give that comparable benchmark because there -- it's all varieties and it's all order base depending on particular order. So, we won't be able to quantify the exact difference between the premium, non-premium...

Kushal Desai: You said, supplying a conventional conductor in India versus the same conductor in overseas markets, and that's the delta, almost 10,000, because the domestic market

actually carries very low margins on conventional products, whereas the buyers overseas, especially the ones that we are targeting are far more discerning in terms of the quality and approval process.

Amit Anwani: My next question is sir on the cable side. You guided for 25%, 30%

growth for FY '24. Is it factoring in much higher growth on elastomeric? That is one. Second, what is the contribution of elastomeric we are expecting in FY '24 or maybe 1 or 2 years going forward? And what is the contribution of railways in cables which you are expecting?

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Kushal Desai: So, the entire set of products that go to the Indian railways is part of elastomeric cables. And our elastomeric cables business, we expect it to grow by about 25% to 30% FY '24 versus FY '23.

Amit Anwani: And my last question is on B2C contribution. How much was the B2C contribution to distribution network?

Kushal Desai: So, this year, we are at about INR175 crores. And the comparable numbers the previous year was a little at about INR100 crores. And our target is to be able to grow by INR150 crores to INR175 crores between this year and next year.

Amit Anwani: And elastomeric would be the highest margin business within cables?

Kushal Desai: The elastomeric -- as a product category, yes. But then there are individual products which are niche products in niche category that we are actually also carrying good margins. But as a product category, elastomeric cables because it includes cables that go into defence and includes cables that go into railways and it includes the cables that go into the solar wires -- solar panel wiring as well as the windmill towers.

So, it is the most profitable of the category that we have.

Moderator: The next question is from the line of Nemish Shah: from Emkay Investment Managers Limited.

Nemish Shah: Congratulations on good set of numbers. All of my questions are answered, I just have one question now on -- just again on the

profitability in the conductor side. So, the 25,000 per ton guidance that you've given on a sustainable basis, I just wanted to understand what kind of assumption in terms of the export mix do we have for that guidance? Like, does it factor in the current export mix of 60% in the order book or slightly lower?

Kushal Desai: It factors in about 50% to 55% of the revenues coming from export on a sustainable basis. So that's why we said, when you have things like product mix changing, geographic mix changing, you could have some

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tailwinds coming in and improving that number. But otherwise, on a steady-state business, this is what we planned about. 50%, 55% is what the export portion has been taken at.

Nemish Shah: And the balance, 40%, 45%, will that have -- so will that completely be premium products or there will be some portion of the conventional products in the domestic?

Chaitanya Desai: It will be a mixed step. So particularly mix of premium products as well as the conventional products.

Kushal Desai: So it has -- if you see the balance, it has a decent quantity of premium products because it contains not only premium conductor products, but it also has all the copper-based products, which is your C TC wires, OPGW, of course, OPGW is not copper-based, but it's fiber optic in there. And then we've introduced bus bar wires as the volume of the railway conductors will taper off. So bus bar wires -- top of copper busbar wires has also been added into the products. So, we don't intend to do a very huge quantity of conventional just the ACSR conventional conductors. That's not part of that mix.

Moderator: The next question is from the line of Himanshu Upadhyay from o3 PMS.

Himanshu Upadhyay: So, my first question was on the competitive intensity what you stated, is that increased in domestic market also

and the high-end

products what we are doing very well in last few years. So, is the competitive intensity higher there?

Kushal Desai: The specific reference is not in the domestic market, but it's with respect

to the export market, because if you see the delta which we had in profitability, a large portion of it was contributed from the export markets where we had not only an increase in volume, but also an increase in unit margin and realization. So, we are referring to the export side.

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Himanshu Upadhyay: And the next thing was, what is the situation on base oil prices? Because in last quarter, they were falling and inventory write-offs were to be done. Have the prices stabilized and the demand is higher than the supply which was not the case for base oil in last quarter?

Kushal Desai: You are referring to our oil division?

Himanshu Upadhyay: Yes, Yes. The raw material...

Kushal Desai: I mentioned that the pricing scenario there has stabilized. The pricing has stabilized from February month onwards. And as we get into FY '24, we -- at least the starting point seems reasonably stable.

Himanshu Upadhyay: The industrial volumes in the lubricant space fell by 9% in the quarter. Any specific reason what happened for this?

Kushal Desai: It was largely due to pricing considerations where the margins were a bit tight. So, all the commodity-type or the lower margin products on industrial, we allowed that volume to fall. We kept our focus on the more strategic and long-term customers. But if you see overall year-on-year there's a growth that has happened.

Himanshu Upadhyay: Yes, overall. And have we started winning orders in the renewable side in export market? And will we have significant revenue in FY '24?

Kushal Desai: Over 70% of the order book that we have on exports and what we are executing on exports is actually finding its way into the renewable energy segment.

Himanshu Upadhyay: This is for wiring part, I was asking. So, we have started getting orders in that business also for which we have taken that UL approvals and everything?

Kushal Desai: Yes, absolutely. UL approvals are catering to -- without UL approval you can't supply into the renewable energy segment. So, these are wires which are going in for panel wiring, for solar panel wiring, for electrical

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panel wiring and for taking the output into substations. So, any electrical product in the U.S. requires the UL approval. There are also wires which are going in into the housing segment, but that's not the house wiring. They are the power cables which -- the low-tension cables which are used for evacuating or bringing power into a house not the internal wiring that's going into -- in the house.

Moderator: We have the next question from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: My first question would be on the Cable division. As we have said, your order book is around INR1,200 crores and which is going to be executed

in this quarter specifically. So, for that trajectory, it would be around, let's suppose the same order book flows for the year would be around INR4,800 crores. And currently, our Cable division revenue is around

INR3,300-odd crores. So are we being conservative or are we being seeing some decline, or this is the seasonal quarter being a good trajectory order than we...

Kushal Desai: I think what Ramesh meant is that order book will be executed in a 3 to 4 months sort of window over a quarter. And our guidance basically is, we did around INR 3,200-odd crores last year. And we can see a 25% to

30% increase on that as a guidance that we are able to provide. So fundamentally, the execution will be in that INR1,000 crores per quarter kind of range.

Pujan Shah: And sir, we have improved our EBITDA margin by

200 bps guidance

for Cable division. So, are we being seeing export book growing that's

why or we are prominent in premium products and that's why we are seeing a bit growth on EBITDA margin?

Kushal Desai: So, I think it's a combination of both that we continue to see overall growth in the export volume. We are also seeing a better mix of customers domestically, including as the retail and the distribution part of the business grows and that carries better margins than what you would supply to a utility.

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We are seeing growth on railways and some of these other areas also.

So overall, it's just the product mix. There is also some benefits which will come on conversion costs. As the volumes keep growing, there are efficiencies of scale also that come in. So, it's not necessary that you will see the EBITDA improving only because margin realization is improving, but there's also economies of scale in manufacturing and things which kick in.

Pujan Shah: And my last question would be on -- as we have disclosed in the presentation for this specific industry, like specific industry contributed 8.6%. So, in that, how much defence is contributing and how defence is evolving for our business coming years?

Kushal Desai: I don't think we want to get into all the very short sort of levels. But the only point is that the railways will grow at a faster pace than defence

because there's a huge activity happening on the railway side. Again, there is activity happening on the renewable energy side in India. But if

we see better pricing coming from the overseas market then we will push

the product into the overseas markets. But one clear area where elastomeric cable will grow is in the wind segment as well as in the

Indian Railways.

Moderator: The next question is from the line of Vaibhav Badjatya from Honesty and Integrity Investment.

Vaibhav Badjatya: So, I have a question on the oil division. So just wanted to understand

fundamentally the transformer oil and white oil business. Transformer oil business is highly concentrated in terms of 2, 3 players having a big market share, but white oil has largely commoditized, while the raw material is mostly same -- come from the same source. So, what is the difference that white oil lot of small players have been able to commoditize that product, but not the transformer oil? What is the reason for...

Kushal Desai: I think to start off with your assumption, which is not accurate that the raw material that goes into white oil and into transformer oil comes from

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the same source. You may have a refinery that produces grades for both the products, but they are different grades. And the characteristics that raw material needs to have are vastly different between the 2.

Secondly, on the white oil side, there are 2 sets of products. You have

one set of products which are technical-grade products, which have

much lower specification and standards. The other one is products which are pharmaceutical grade. So, the pharmaceutical-grade products are

also more difficult to manufacture. So really, the commoditization is in the technical-grade white oil, what they call technical-grade white oils

in terms of the pharmacopoeia standard.

Vaibhav Badjatya: So, the technical grade is used mostly in FMCG kind of...

Kushal Desai: It is not used only in FMCG. Technical-grade is used in a lot of industrial

applications on -- in white oil. So, it's like knitting oil and wherever you

need non-staining, so master batches, things like that. So those are

relatively more commodity. Lower end, some of the hair oil companies

in India, including -- I don't want to name, but there are some very big

names in here also that actually buy a relatively poor-quality product.

So that segment has got largely commoditized. In the case of

transformer

oil, especially on the power transformer side, there are relatively fewer players because it's a very high specification in terms of what needs to

be delivered. 2 sets of raw materials and 2 sets of specifications on products.

Vaibhav Badjatya: And this is the question on China, particularly in our oil division itself.

So, China, before COVID, China was aggressive everywhere as kind of business, there is lot of cost competitiveness that China used to throw in terms of pricing the product and gaining market share, but we have not seen that happening on the transformer oil side. So why I think that's the case that they are more domestically focused, they don't want to export these kinds of products and be it international competition?

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Kushal Desai: So, we don't see Chinese competition in the oil business. We don't see Chinese competition in transformer oil, white oil, lubricants outside of - either in India or outside India. The whole oil industry in China is dominated by PetroChina, by the state oil company. And they see little benefit in carrying all these specialty grades outside of their country. So, the Chinese competition is more in terms of conductors outside of North America as well as in some of the cable categories.

Vaibhav Badjatya: And lastly, this impact of electric vehicles that is going to be there both on the demand side for our product and the raw material side for our product because EVs will adversely impact auto lubricant business. But on the other hand, transmission -- distribution transformer oil business can offset that. But on the raw material side, if refineries are not going to be throwing as much output, then over long-term, how the base oil

prices are going to be? Do you have any view that you might offer and how we are going to cope up?

Kushal Desai: I don't have any view to offer as such because the adoption of electric vehicles, the trajectory of that is still not clear. So, in India, you are

seeing traction happening largely in two-wheeler. And the total volume of two-wheelers and lubricants is not necessarily very large because it's only 900 ml or 1 litre goes into a particular motorcycle or scooter.

Scooter is even less. So, the main lubricant demand comes from trucks. That's the largest segment followed by agriculture, which is your tractor and harvester and all those things. Then next comes passenger car and then the last is motorcycles. So right now, adoption of motorcycles has been increasing. But overall, lubricant sales is almost flat, but hasn't fallen.

Vaibhav Badjatya: And lastly, I think in 2021, we launched this new Natural Ester-based transformer oil. Any development on that? How much it has become as a percentage of oil...

Kushal Desai: It's still in our development stage in the sense that many utilities -- there are about 6 utilities in India that have installed transformers with the

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ester oil in it. So, our sense is it will take a few years for getting the feedback. And also, in all these -- as the ESG pressure starts coming on these entities, the adoption will then increase once they've got confidence that the product works. Vaibhav, I think there's a bunch of others who want to get into the queue.

Moderator: The next question is from the line of Sujal Chandaliya from Girik Capital.

Sujal Chandaliya: Congratulations on this set of numbers. I had a few questions around cable segment. So, in cable segment, are we facing similar increasing competitive intensity in export markets as in case of conductor segment?

Kushal Desai: So, there is some amount of -- as I said, basically, as the supply chains are getting normalized, customers are coming back. During the COVID period, people were ready to pay any price that was quoted because supplies were difficult, supply chains were broken, etc. So, as they

normalized, it's natural that negotiations will start happening with a

higher intensity than it was during the COVID period.

Having said that, the Chinese companies are active on the cable side, including trying to export to the U.S. and that export is happening

through indirect means, as I explained earlier that they have either taken over a company in some other geographies. But that doesn't allow them

to have exactly the same competitive intensity as they would have if they

were exporting from China directly. To gain some share, they are quoting prices which are aggressive, etc. But the cable market is very

large and it allows opportunity to go to different clients and different geographies also.

Sujal Chandaliya: So, the volume -- so basically, the volume growth in export market won't

be a problem, but the margin would be impacted in that sense, right?

Kushal Desai: The margins could be a little bit lower than in the previous periods. It's simply because of the supply chain getting smoothened out. But we are

going into newer and newer markets and we are -- also from existing

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customers, we are hoping to get a larger amount of business because last year was the first year when the cable business really did a massive amount of export.

We hit INR1,400- plus crores of export last year which was the first year where it was such a big chunk of the revenues. Also keep in mind that margins, as I mentioned earlier, it's also a factor of your conversion cost, the efficiencies of scale that you have. So as the business keeps scaling up, the conversion cost will also improve.

Sujal Chandaliya: Just the last question. On this quarter margin, we made about 12.4% margins. So, I guess, largely it was because of the improved products

mix which as you said, the conversion cost. So, the premium portion,

which you're seeing the unsustainable sector, would it count as meaningful in the margin terms?

Kushal Desai: In the fourth quarter we had quite a lot of shipments that were taken by customers where we supply a lot of specialized cables, like the defence.

There were quite a few shipments that went into defence. There were more shipments that went into the Indian Railways, etc. So that's how

we had a higher percentage. But I would really look at the full year because that could -- you can have a quarter which can give a misleading number. When you look at a rolling 4 months -- sorry, a 4 quarter period, it will give a better idea or an estimate. But overall, we see an improved EBITDA on 25% to 30% increased volume in the cable business.

Moderator: The next question is from the line of Gopal from HDFC Mutual Fund.

Gopal: I just want to understand the better profitability on the conductor business. Is the current domestic profitability trending towards the long-term profitability which we have guided for? And are we at upper end or the lower end of it? And how the export profitability is likely to behave in the times to come?

Kushal Desai: So, the domestic profitability is not something that we will see some major changes on. It's really -- the domestic profitability can move up

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and down based on the mix of product. In case HTLS reduces, then it will have an impact. But otherwise, it's already in a reasonably steady

state. Where you can see a certain fall in profitability is from some of these favorable things which we had on export, the freight, logistics,

etc, these are all export phenomena, it's not really anything on the domestic side.

Gopal: I can fill that, but what we are seeing like with the rising volume and like tremendous demand in export countries, so just wanted to sense

some directionally, how do you foresee actually? Because like guiding from 58,000 or 45,000 in the yearly basis to 25,0

00, so it's a very long -

term. So just we wanted to know the trajectory, how do you foresee that?

Kushal Desai: So, I mean, it's not going to fall off like a step from straight down to 25,000. But in a few quarters, it will come down towards that level, which we think is a good steady state base level.

Gopal: And any strategy on the consumer cable business? How is it progressing? Any qualitative statement?

Kushal Desai: So, there is a slide in the pack which actually gives all the metrics on that. And as we said earlier, we have been working towards a game plan of increasing distributors, electricians who are onboarded with the company, etc, that's going on as per the plan.

Moderator: The next question is from the line of Pavan Nahar an Individual Investor.

Pavan Nahar: So, a few questions. One is, we've done about INR107 EPS in H2. And as you said, the conductor profits would not fall off immediately, but in a few quarters, it will get to that long-term trajectory. So, can we expect

that for the first half this rate to be maintained broadly?

Ramesh Iyer: Actually, what will happen, Pawan, is that the P&L will be depending on the amounts of projects that we are executing. So, all these are make-to-order business. And we normally look at -- give the guidance based on a 12-month number because the quarter or half year may not

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represent the current picture. So based on the guidance on the 12-month picture is how we need to work out. And since it's the beginning of the year, it's too early to predict how things would pan out during the half year 1 or half year 2.

Kushal Desai: So, Pawan's question is on the first half. Whether the first half -- whether you can take fourth quarter and extrapolate it. I don't think that that's going to be the level. The fourth quarter was a very, very strong quarter, which is largely not applicable. But the first half of this year should be comparable or maybe even slightly better than the first half of last year

because if you saw the third and fourth quarter of last year really pulled away in terms of the profitability and margin.

So -- but it will -- we expect it to come off -- the conductor margins to come off over a couple of quarters. There will be a fall in Q1 and then again, a further fall in Q2 because the new business which is getting signed on is not carrying those sort of outsized margin.

Pavan Nahar: No issues. I mean, basically, what you are saying is FY '24 will be a year of normalization for the long-term trend, right? I think it may still be a little better.

Kushal Desai: In cricket parlance, we scored a triple century in the fourth quarter. So, we may not score a triple century in FY '24. But if you see the long-term trends of the products and all, they are all going in the right direction.

Pavan Nahar: So basically, it normalizes in FY '24 and after that next 3 to 5 years of strong growth for the firm as a whole?

Kushal Desai: You'll see steady growth happening. And I gave an example of what the U.S. is expecting from the major customers that we are in touch with.

They are expecting to go from 15 gigawatts to 30 gigawatts. So even if some amount of competitive intensity increases and things, the market itself is going to grow double in size. And we are -- and as time passes by, I think we'll be better entrenched with some of these clients.

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Pavan Nahar: Based on your guidance, I was just doing some back of the envelope math and what appears to me, in FY '24, cables will be approx. 40% plus of our net profit, right? I mean, you may not, but I was just doing the math. So that was interesting. The third thing I wanted to ask you was what is the volume growth we are speaking for conductors this year?

Only 15 or it could be higher.

Kushal Desai: No, 10% to 15%.

Pavan Nahar: 10% to 15%. Okay. And...

Kushal Desai: So, if the volume of HTLS goes up, then the total volume in terms of

tonnage will go down, the value will go up. So about 10% to 15% in terms of number of metric tons processed.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you. And I'd like to thank everyone for participating in our Q4 and FY '23 earnings call. Thank you for your patience and your involvement and appreciation of the company's results. I'd just like to conclude by saying that we still see all the long-term growth metrics are in place. Profitability in the fourth quarter was a bit outsized. There will be some amount of normalization as we go into FY '24 and '25. But all the growth indices seem to be intact and we are looking forward to the next few years of continuing trajectory of growth. So, thank you very much.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

SEC/04 08/2023 E-FILING August 04, 2023

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference call on Un-audited Financial Results
(Standalone & Consolidated) for Q1 -FY24

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable
Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as
amended from time to time

Dear Sir /Madam,

Kindly refer to our letter no. SEC/ 3107/2023 dated July 31, 2023 w.r.t. submission of link of Audio
Recording of Investors Conference Call on Un-audited Financial Results (Standalone & Consolidated)
for Q1 -FY24 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith
the transcript of the Investors Conference Call on the Un-audited Financial Results (Standalone &
Consolidated) of the Company for the First Quarter and Three Months ' period ended June 30, 2023
made on July 31, 2023.

The afore said transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

Sanjaya Kunder
(Company Secretary)

Encl. : As above

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"APAR Industries Limited

Q1 FY '24 Earnings Conference Call "

July 31 , 2023

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. CHAITANYA DESAI – MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Apar Industries Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies . Thank you, and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. This is Ambesh Tiwari from S -Ancial Technologies. I welcome you all to the Q1 FY '24 earnings call for Apar Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I will now pass on to Mr. Kushal Desai, for opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to Apar Industries Q1 FY '24 Earnings Call. Let me begin by giving you an overview of our performance. And then I'll follow that up with a short industry update. Post that, we can get into more detailed segmental performance of the three businesses.

So, during Q1 FY '24, the consolidated revenue came in at INR3,773 crores, which is 22% above the same period previous year. We witnessed an overall volume growth across all our three divisions, both in the domestic market as well as overseas. Our exports grew by 53% year-on-

year and coincidentally contributes to 53% of the overall revenue of the company compared to 42% from a year ago.

The EBITDA is higher by 54% at INR369 crores at a margin of 9.8%. Profit after tax came in at INR197 crores, which is 61% higher than in the same period previous year, and is at 5.2% versus 4% in the year ago period. In terms of some industry highlights, according to the Central Electricity Authority, the data that they published on their website. India has added 14,625 circuit kilometers of transmission line in FY '23. In the first quarter of FY '24, further 2,796 circuit kilometers of transmission lines were added. By FY '24-'25, a total of 28,700 circuit kilometers of transmission lines are expected to be added, making a total reach of about 4.5 lakh circuit kilometers.

This expansion initiative is part of the Prime Minister's Gati Shakti Master Plan, which aims to enhance and strengthen India's power transmission infrastructure. A record high investment of INR75,500 crores approximately of transmission line projects has been approved by the center. And these will be awarded under the competitive bidding route. These projects are basically expected to connect the renewable energy zone that are being set up in Gujarat, Rajasthan, Maharashtra and hydropower projects in Himachal Pradesh. The Ministry of New and Renewable Energy has a target of awarding 50 gigawatts per annum of renewable energy capacity, including 10 gigawatts per annum from wind energy between the years 2024 and 2028.

Our belief is that even a portion of these aggressive plans get executed, the demand for conductors, cables and transformer oil will all remain strong.

Coming to the more specific individual business highlights, the Conductor business revenue in the first quarter '24 grew by 15% year-on-year to reach INR1,775 crores with a volume growth of 27%. The export revenue grew by 58% year-on-year, contributing towards 57% of the division's revenues. The premium product basket contributed to 42% of the revenue mix. The EBITDA per metric ton post forex

adjustment came in at INR38,740 per ton.

Overall, our order book remains reasonably robust at INR5,356 crores. The conventional ACSR conductor in the tariff-based competitive bidding for the domestic market has now been upgraded to an AL59, which is a high-efficiency conductor. So, this is a very positive development for the country as there are significant advantages of using the AL59 conductor type over ACSR and is representative of the premiumization direction that the country is doing in.

We are also seeing a gradual shift worldwide to an increased usage of specialized/ACCC-type conductors as customers are building more robust and higher capacity transmission system to evacuate power, especially from the renewable power sources.

Coming to the performance of the Oil division. In the first quarter of FY '24, revenues came in at INR1,198 crores, which is up 13% year-on-year. The volume growth was also 13% in the quarter. And this has been an all-time high volume sales for the first quarter of any year. Exports contributed to approximately 50% of revenues. The EBITDA post forex adjustments came in at INR6,035 per KL, which is lower than last year due to a higher base in the last year of Q1 but is in line with the guidance which we have been giving.

The lubricants revenue came in at INR241 crores with a volume of about 17,500 kilolitres. We expect that transformer oil and industrial oil, which saw increased demand in the quarter, will continue to show increase through the rest of the year. The retail automotive and the agricultural lubricants demand was a bit subdued in the first quarter.

Coming to our cable business. The cable business revenues grew by 52% in the first quarter to reach INR967 crores, with an increase coming from our elastomeric products as well as our exports. Our exports contributed towards 52% of sales in Q1 versus 43% a year ago. The EBITDA margin post forex came in at INR110 crores, which is 11.4% of revenues, up by 3.8% compared to the previous period. All the sub-verticals within the cable business have shown positive growth, including our B2C part of the business, which is the Anushakti house wires.

So, in conclusion, I'd like to say that we had a positive start to FY '24 with volume-led growth across all divisions. However, in the short-term, we expect a bit of a slowdown in the export markets as there is a clear sign and signal of de-inventorization of excess inventories, especially in the United States and to some extent in Europe.

Warehouses of many customers are full and they are reducing inventory, considering that the supply chains have normalized, and there is no need to hold higher inventory levels to compensate for uncertainty in deliveries, which are now available with significantly reduced lead time and with a much higher level of predictability along the delivery supply chain.

There is also some effect of the higher interest rates, which has increased the carrying cost of inventory, and that is also partly contributing towards this effect. There are also some large projects, especially in the United States, that could be pushed back to allow for the widespread expectation

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of interest rates to come off in the next 12 to 18 months, thereby allowing the total cost of the project to reduce for some of the developers.

However, our discussions with various EPC players, customers and asset developers indicates that even if there is some delay, the building of these renewable energy projects, transmission lines and other infrastructure are all on stream and will happen. This could consequently affect demand in the short term, especially in the U.S. market. However, the domestic Indian market remains very robust.

And as mentioned in my opening remarks, there are several projects which

have been built and will be under execution. We continue to be focused on the long-term prospects of the company and remain committed to not only service the domestic market, but also increase actively our global customer presence, thereby creating what we believe would be the best value for our stakeholders.

We have a very detailed corporate presentation that has been uploaded on the company's website. And I would encourage all of you to please look at the same as it carries much more information than what is possible to put forth in these opening remarks.

So, with this, I'd like to come to the end of my comments. I thank all of you for joining our call today. And with this, could we open up the floor to questions, please.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Ankur Jain from Future Investments Private Limited.

Ankur Jain: So, I have a question with respect to the Polymer division. So, recently, you mentioned in your annual report that the product APARPRENE was

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approved by Hasbro, the world's largest Toy company. So, what is the revenue potential do you see in this business and the overall growth in the Polymer division? That is my first question.

And second question is in respect to the cable B2C business that we have. We are kind of late entrants in this business. And now we have around 2,000 retail touch points as compared to a competitor like Polycab who has 2.5 lakhs touch point. So, wanted to know like what is the way forward for this business? And like, how our products are better than competition in terms of quality and price?

Chaitanya Desai: So, for the first question, Polymer business is relatively small compared to the other 3 businesses. And our recent approval with Hasbro will also open up doors for other toy companies everywhere in the world. And we see this business growing. The polymer business currently is about INR100 crores revenue per annum. And over a period of time, with these approvals, we hope to get to INR200 crores to INR300 crores. We are making certain investments also in this polymer business, which is quite synergistic to our cable business.

Kushal De sai: And your second question was with respect to the B2C side. So yes, we are late entrants, but as we've mentioned before, we have a very unique product. Our distributor network is constantly growing. Our retail presence is growing. And our whole focus has really been on educating electricians, contractors and specifiers. So, the level of demos and leads that we have in the first quarter is about 60% of the -- 50% to 60% of the leads that we've had in the entire last year.

So, it's a gradual process of building brick -by-brick. And we don't want to buy a business. We want to grow the business organically and in a systematic manner because the product is a premium product. But if you

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see the growth trajectory, it has been very steady and we expect it to continue over the next few years. So, besides the Anushakti wires, we are also selling through our distribution network, a whole range of light -duty cables, but Anushakti is our flagship product.

Ankur Jain: So, what's like -- aspiration we have in this business in let's say like prices down the line?

Kushal Desai: So, I mean, I think I've mentioned in some of the previous calls that we can see clear visibility of getting to about INR500 crores in FY '26. So, the business has been growing. Right now, it's been almost increasing 50% to 70% a year. As the base number grows, the percentage may fall, but you keep adding significantly. And whenever we are able to demo the product, especially in front of decision makers, we have a very high probability that they go in for the wire because of its p

roperties.

Ankur Jain: Yes, okay. Can I just squeeze in one more question. We also have a wiring...

Kushal Desai: Please limit to two questions and you can probably, if you don't mind, come back in the question queue, so that we can address everybody else's questions also, yes.

Moderator: We move on to the next question that is from the line of Amit Anwani from Prabhudas Lilladher.

Amit Anwani: My first question is on the conductor's business. You highlighted two things in your opening remarks. One was a port slowdown, which can be sensed in the short term. And at the same time, you also highlighted move towards premiumization with A CSR. So, I wanted to understand two things; are we now, since export is the largest contributors, sticking to our guidance of 10% volume? And we also saw a realization dipping by 10%, so any sense

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on what we are expecting? Are we changing our stance on conductors' business?

And second, this ACSI opportunity, how that is going to pan out for us?

What is the addressable market? Any colour you can throw on that?

Ramesh Iyer: So, we are not changing our guidance on all the 3 divisions. And Conductor, we continue to hold a volume growth of about 10% in terms of volume. And in terms of EBITDA, we expect it to be in the range of INR25,000 per metric ton plus the tailwinds that we get on a quarter -on-quarter basis, because these orders are something that we get in domestic business as well as an export business.

As mentioned in the opening remarks, the domestic business is quite robust and strong. And we don't expect a reduction in the volume at this stage. Also, in terms of profitability, we have been giving this guidance earlier also that we look at INR25,000 per metric ton. And this quarter, we had about INR38,000 per metric ton, which is in line with our guidance.

Amit Anwani: Right. My second question is on the Cables business. So, Cables, as you spoke about the de-inventorization happening across supply chain. There, what is the utilization or capex trajectory which you mentioned? Any colour on that? And if you could just highlight the breakup within Cables, which as you are already aware, that Elastomeric is growing much faster. Any colour on other divisions as well within cables, if you would like to highlight like power cable, XLPE?

Ramesh Iyer: So, even in Cables, our capex guidance continues to what we'd mentioned in the last quarter. Overall, our capex for this year, for the next 12 to 18 months are likely to be about INR350 crores to INR400 crores, about 2/3 is going to be on cable, and that is unchanged. We are not changing any

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of our guidance now because we believe the long-term growth prospects is very much on the cards.

It's just that temporary momentum may or there could be some slight slippages on that front, but the long term looks very promising. And therefore, the capex plan remains unchanged as of now.

Amit Anwani: Right. For Premium products contribution, did we saw any slowdown? I can see 42% versus 47% Y-o-Y and HEC is just 20% versus 26% Y-o-Y.

Ramesh Iyer: Yes. So, quarter-on-quarter these percentages vary, it's very difficult to put that on a quarter-on-quarter basis. Typically, we look at the entire 12-month period. So, these depends on the orders that we executed during the period. And in our business, there is a lot of testing requirements and approvals in place. So, depending on the execution, this mix percentages can keep changing on a quarter-on-quarter basis.

Kushal Desai: As we mentioned in the opening remarks, the premiumization drive is generally taking place across the board. So, as you start moving in time, like, for example, ACSR is now -- all the new building is coming with AL59. So, in a year's time, you will see a dramatic change in

the domestic market

on major transmission projects, where AL59 as a conductor will become the base product.

Amit Anwani: Sir, is it fair to assume that domestic market can deliver higher volume growth over the next 2, 3 years versus exports?

Kushal Desai: We are very flexible in terms of wherever the -- we look at the domestic and the export market actually as just one market where wherever we get the best realizations carrying the least amount of risk, that's where we would like to focus. But our sense is that over the next 1, 2, 3 years, the mix is not going to vary very much because there is a lot of work that's

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happening overseas. It's just the U.S. market, which for conductors has shown some amount of slowdown.

There are all -- other markets also where there is a demand that's coming up even from Latin America, from Australia, from many other geographies. But we thought it would be prudent to mention and I think this is affecting

all industries. It's not just our conductor and cable industry where the inventory levels that people were holding, they're finding today that those levels are too high because supply chains have got pretty much normalized and capacities, which were in place for not being effectively utilized by manufacturers because of their own supply chain issues, so those also have got sorted out.

So, lead times and delivery times are much shorter than what they were during the COVID period plus there is no uncertainty today in terms of calling up containers, loading them on ships, clearing them through ports, etc. So, it's any natural de-inventorization process that's taking place.

Moderator: The next question is from the line of Maulik Patel from Equirus Securities.

Maulik Patel: A couple of questions. So, in the last 2, 3 years, the export in cable business has been very, very strong, and it has grown from, let's say, 20%, 25% of the cable top line to now it's almost 50% plus top line. Is it because of our relationship with cable -- relationship in Conductor or and TSO segments are opening this product into same customers? Or is there something else which has been driving this growth?

Kushal Desai: So, there is a combination of 2 things at play. There are a few customers who are common in terms of conductors and cable, especially the very large EPC companies that have a division that builds transmission lines as well as the renewable energy sort of supply and erection at renewable energy sites.

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So, there is one group of those customers, but there are many customers who we have opened up for supply of both conductors and cable who are end utility. So, we are looking at that aspect also. So, you can't take away from the synergy value of both the conductor and cable. Though there are two sales teams, they collaborate with each other, but they call on customers individually.

Maulik Patel: Got it. Second question is on the TSO segment. The volume growth has been strong and you mentioned in your opening remarks that because of the various government initiatives -- the domestic demand across Conductor, TSO and cable has been good. So, is there anything else which has been driving the growth? I mean we understand that the government and the SEB has started procuring more transformers. That should be the one driver. But anything else which you may like to highlight?

Kushal Desai: So, there are 2 major schemes which are there. One is the RDSS, which we have spoken about in the last call, where there is a rollout taking place for the rural distribution strengthening that's going on. There, the cable business will benefit more on the power cable side.

As far as this -- the Gati Shakti is concerned, it is a transmission line initiative of building transmission lines connecting all these different green sites

. And the third effect which is there is that these green sites are coming up with increased combination of wind and solar and both of them have a reasonable intensity of cables. So, you'll see all of these -- they are all drivers and these similar effects are there in the overseas markets also. Where you've got new transmission line is being built, you've got both wind and solar projects running.

And in every case, there is some requirement of transformer oil because there is a substation that's involved which carries a transformer. So that's

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the reason why in the opening remarks, I did mention that over the next 3, 4 years, we should see a good demand coming forward for transformer is also on a global basis.

Maulik Patel: Just a bookkeeping question what has been our acceptance for this quarter?

Ramesh Iyer: Yes. So, our interest-bearing LC outstanding is about INR3,700 crores as

of June

Maulik Patel: That was INR4,100 crores sometimes in the end of March, right?

Ramesh Iyer: Yes.

Moderator: The next question is from the line of Charanjit Singh from DSP.

Charanjit Singh: Congratulations on a good set of numbers. Sir, my first question is, you've talked about some weakness in the U.S. market. Sir, do you think that some of the other markets which you have talked about like Latin America and Europe, they'll be able to compensate for that in the near term? And when do you see that the U.S. market can come back again because earlier you had highlighted there were large mega projects which are going on in terms of the power infrastructure in U.S., and that could create some more longer-term sustainable demand. So, if you can touch upon this aspect.

Kushal Desai: Yes. So, there is -- a similar effect is there even in Europe as in the United States, where there is a higher inventory levels in place. So, most customers are talking about a 3 to 4 months period where ordering will be at a slower pace, that pretty much -- it's not that there is no ordering. There's ordering to cover up for -- making sure that the mix of product is appropriate, but you know that the free flow of demand should probably pick up in the next -- maybe at the end of this quarter or in 3 to 4 months sort of time limit.

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In terms of the mega projects and some of the larger projects that are concerned, as I mentioned earlier, none of them have been stalled. There is a widespread expectation that interest rates are now peaking, and there could be a likelihood that in the next 6 to 12 months, the rates would actually start maybe coming down. And there are some developers who are contemplating that. And as a consequence, looking at deferring that project.

But I don't think that it is a matter of serious worry for us simply because of the number of project sites all over the world, which are actively coming up. So, even if a developer who is looking at wanting to develop 3 sites, they may focus on 1 or 2 sites and then defer the third site. So overall, I think we'll still see good demand overseas.

And on the domestic side, so there is none of that effect because most of it is based on the government approving transmission lines for the green corridors that are coming up as well as SECI and the Ministry of Renewable Energy approving tenders to go out for solar and wind farm. So overall, Charanjit, I don't see any huge concern. There may be a few months, little bit here or there. But given the nature of the business, which is a bit long cycle, the long cycle is still pretty much intact. The medium term, long term is very much strong. And in fact, looking stronger by the day, given the number of commitments which people are looking at putting forward in terms of executing down this path.

I must also mention here that in some of the tenders which we are filling in

for conductors, already customers are asking for the carbon footprint. So,

they're not only asking for your Scope 1, Scope 2, but also the embedded carbon footprint, part of Scope 3, which is in terms of what is the carbon content of the aluminium that you're sourcing, etc

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So, this whole ESG movement is really here to stay. And as long as that continues in this manner, there will only be an acceleration of execution. Like for example, if you see the power mix in India, it has improved from almost 78%, 79% hydrocarbon-based down to about 71% hydrocarbon-based. And if this execution continues, we'll be in the mid-60s in another couple of years. So, I hope that kind of gives you an overall view of the question that you asked.

Charanjit Singh: Yes, sir. That's very helpful. Sir my other question is on the transformer oil part of the business. When we are looking at most of the transformer

manufacturers, the outlook from their side is pretty strong, and they are adding significant capacities. So, in a way, then, do you expect this transformer oil segment also in terms of volume growth can be much higher than generally single-digit growth, what we have seen with the kind of outlook which transformer manufacturers have?

Kushal Desai: So, we expect that the volume growth should definitely take place. And the 5% growth that we are projecting is for the entire basket of products, as I mentioned in my opening remarks that of that transformer oil and our industrial lubricants are probably the 2 categories where we are most bullish in terms of growth. So, essentially, moment you have a solar farm or a wind farm that comes up, there is a substation that is required then to step up the power on to a transmission line.

And then, at the other end, another substation is required to step it down for the distribution to take place. So, with this activity that's happening here, the collateral benefit is going to come to the transformer oil side.

And we still maintain 40%-plus market share in the domestic market. We are, by far, the largest exporter from India on the transformer oil side. So, that part of the business will continue to grow.

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Moderator: The next question is from the line of Dhananjai Bagrodia from ASK.

Dhananjai Bagrodia: Congratulations on a great set of numbers again. Wanted to understand regarding your realizations for the year for the segment, how do you see that take along?

Ramesh Iyer: So, the realization is actually a function of multiple factors and it depends on the price of aluminium, copper. It also depends on the price of the base oil that happens. We typically look at margins and also look at premium products and export products in terms of who drive the per unit profitability. But our realization will depend on the orders and there are multiple factors that basically decide the realization levels.

Dhananjai Bagrodia: So example, our realization, is it booked now, let's say for the, like A; sort of contract orders, is it variable or fixed? And B, is there a pass-through? And then C; regarding the -- do OP per ton accordingly fluctuate or is it more in a band when we do our contract?

Ramesh Iyer: So it's a combination of both variable and fixed. We have all kinds of orders that comes through. And aluminium and copper are completely pass-through. We complete -- we take a back-to-back hedging for both the conductor and cable business. In the case of oil, it cannot be hedged. So we keep inventories of about 2 months. And to some extent, we are -- sometimes we have inventory gains in some quarters, we have inventory losses, which averages out over a long period of time.

Dhananjai Bagrodia: And your OP per ton, is that always in a band or how does that usually fluctuate?

Ramesh Iyer: Sorry, what

is that?

Dhananjai Bagrodia: Sir your OP per ton, so your OP per unit, how would that play along?

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Kushal Desai: So, we self-control the operating or the EBITDA. So, in fact, we go above that, we had to control the value addition that we have or the gross margin on the product. And as Ramesh says, the aluminium and copper are pass-throughs. So, if it is a variable, we would buy on the index that's part of the variable and if it's fixed then we take the LME position -- duration on any of the metals.

Dhananjai Bagrodia: Okay. So that was OP per ton, would be broad-based -- would be consistently in the same range. We won't have too much fluctuations like maybe some other?

Kushal Desai: So, the variation is based only on your competitive intensity for that particular product based on what the order has come in. So, as you get into more premium products, you have more pricing power as you have

more commodity products, then the competitive levels are higher in nature. So you could have a fluctuation in the operating margin, but it's not caused by generally a huge fluctuation in the basic metals because those are either variable or they are hedged on a fixed price basis.

And your question, as Ramesh has tried to answer that question in terms of -- the revenue will depend upon which direction aluminium and copper moves in. So, off-late we've seen commodities sort of strengthening a little bit. especially in the crude and gas oil. So, in that case, with a lag of a couple of months, it pretty much gets passed on, into the market.

Generally, when there is an increase, then we tend to gain. When there is a decrease, then prices tend to fall a little sooner because customers get overly anxious to negotiate down. But, overall, we don't see a very complex environment on commodities. Whatever movements are there, they'll be flatish or they will be gradual. That's our sense.

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Dhananjai Bagrodia: Sure. And sir, one question regarding competitive intensity. See, since our factories now might be running at higher utilization, so we were able to pass on some of the cost advantages. Anything along the lines there of what's happening globally in terms of competitive intensity?

Kushal Desai: So, globally, the competitive intensity has increased in the last earnings call also, I've mentioned that China, a lot of supply-related issues in China also have got straightened out, just like the rest of the world because these COVID effects are behind us.

So, the competitive intensity has increased. And that is the reason why we have been talking about our guidance on conductors of INR25,000 per ton from a higher level than existed last year. But having said that, we are quite confident that we'll be able to live up to whatever guidance's we've given.

Moderator: The next question is from the line of Riya Mehta from Aequitas Investments.

Riya Mehta: My question is basically predominantly in the Cables division. Sir, we are seeing a sequential decline in the Cable order book, so where is this coming from? And could you guide us in the pipeline for the same?

Kushal Desai: So you know in the cable business, the order book is not as critical as in the Conductor business, because the conductor business is a much longer cycle than cable, where there is a lot of inquiries and transaction flow that's taking place. What we are seeing today is that the orders coming from the United States have slowed down. And as I mentioned, will be soft for the next few months until inventory levels start straightening out.

Against that, the offtake in the domestic side has been stronger and there, the order cycle is much shorter. You get an order and you start executing within days of getting the order. So, the order book, I don't think on the APAR Industries

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cable side actually is a measure of that. Having said that, we do have an order book of almost INR1,000 crores. So, it's covering at least 1 quarter worth of sales.

Riya Mehta: How much will be export in this cable order book?

Ramesh Iyer: About 50% would be exports.

Riya Mehta: And if I look margins, should we expect further decline in the margins considering that the export percentage would go down and domestic would increase in the cable division?

Ramesh Iyer: Yes. So we are guiding a margin of 10% to 12%, which should be around that levels.

Riya Mehta: Okay. In terms of Oil division, since we are seeing crude going up tad bit on a fortnightly basis, how does this impact margin s?

Ramesh Iyer: So, this will actually happen over a period of time because you know it depends on what inventory you are carrying.

Kushal Desai: In the short term, usually when prices go up, there is a benefit that takes

place because when you buy your base oil on a contract basis, then the contract formula takes -- there are backward-looking formula. So, you get a breather in terms of time before it comes and hits you.

But on the reverse cycle, when prices come down, the reverse happens where the contract formula takes the same amount of time longer for it to come down. So that's why Ramesh has been saying that up and down, it kind of negate each other, but this cycle, if prices go up, then you tend to benefit at least in the short term.

Moderator: The next question is from the line of Pratiksha Daftari from Aequitas Investments.

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Pratiksha Daftari: Just wanted to understand the order book for the Conductor division. This would be for 6 months?

Ramesh Iyer: So, typically, its range is about 6 to 7 months. Of course, there are still some orders within that order book wherein the execution time happens over a period of 1 year also. So otherwise, generally, it's about 6 to 7 months with the exception of few orders having long execution period.

Pratiksha Daftari: Okay. And what would be the contribution of value-added products, specifically HEC and OPGW in this order book?

Ramesh Iyer: So, it's about -- it's about 45%.

Pratiksha Daftari: Both put together?

Ramesh Iyer: Yes. The premium products that we call. These could be about 45% of the order book.

Pratiksha Daftari: Okay. And this -- the whole idea of basically destocking or lesser demand or -- that we are seeing, that would be predominantly or completely in export market, right? How do we look at order pipeline in domestic market?

Kushal Desai: So Pratiksha, on the domestic side; see, even in the export side, the PV cable, the solar and PV, etc, the demand still fundamentally remains strong.

It's just for destocking where people realize that they don't need to carry that level of inventory anymore for servicing their project size. But domestic side, the demand has been strong. The competitive intensity is a bit higher than in export because in exports, you need a lot of approvals, especially if you want to export to the United States, you need the U. L. approval, if you want to export to Europe, you need a CE or a VDE approval.

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The domestic market is a bit more open and more competitive, but we are finding that not only power cables, where demand has been growing for wind and some of the more specialty cables also. So I think as Ramesh has mentioned that we are looking at a 25% to 30% growth for the business as a whole and an EBITDA guidance of between 10% and 12%.

Pratiksha Daftari: Okay. And just one last question. You may have mentioned Gati Shakti and you mentioned RDSS as policies that are -- how do you look at BharatNet as an opportunity for our products?

Kushal Desai: So, BharatNet is also an opportunity for our

optical fiber side of the

business. And -- but some of that is just still getting crystallized in terms of how the -- it's very clear that there is a huge, about INR35,000 crores worth of turnkey projects that are going to come on stream for BharatNet, but the modalities of how it will be executed is still not completely finalized, and that should come out in the next few weeks, but that opportunity is absolutely there.

Pratiksha Daftari: Okay. But that will be, again, competition intensive, right?

Kushal Desai: Well, if it's on a turnkey basis, yes, it will be but then, you know, each package INR2,000 crores to INR3,000 crores, and it generally entails about 10% of cables and then the remaining 90% is accessories write-off, way of digging, you know all these other aspects. But the ticket of each will be over INR2,000 crores, INR2,000 crores to INR3,000 crores each

package. So the competitive intensity is there, but it cannot be that high because the players only with a requisite balance sheet would be in a position to bid for that business.

You need to provide bank guarantees and all these other things, which are not the easiest to come by. And besides that, we see also as the 5G rollout -- right now, you don't see a big amount of 5G rollouts. But around the

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world, 5G rollouts are starting to take place, where you have a combination of fiber optic and copper because the pipelines which are laid, it's much faster to lay.

You don't have to lay a separate fiber optic line and a separate power line. So when you have the combination in a single cable, you end up cutting your laying cost by half. We play a significant role in the U.S. and some of the other markets. So that's another area which we are looking at various products are under testing, approval, etc, on the fiber optic and power side.

Moderator: The next question is from the line of Kishan Tosniwal from Polar Ventures LLP

Kishan Tosniwal : I have one question that as you mentioned like in the Conductor division, the premium conductors will become the new norm or the new normal. So, why are we guiding for INR25,000 EBITDA realization when we are seeing that the premium products will become the new normal, then why so low guidance from realization of conductors?

Kushal Desai: So, typically, ACSR conductors carried guidance for decades, which were in the INR8,000, INR9,000 crores, INR10,000 per ton. And so then getting to INR25,000 plus is a good step up to that. So, our expectation is that it should be in that range. This move is a relatively new move of CEA having approved this AL59, which is one of the high -efficiency conductors in there. And so, over a period of time, we will be able to determine exactly where that margin level will fall because today, there are 5, 6 major players who can do AL159 versus about 30, 35 players who would have bid against ACSR sort of contract or tender.

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I'm sure some of those 30 players who'd all make this cable will also try to make -- sorry, conductor, will try to make this conductor. But all I can say is that it is a positive direction.

Kishan Tosniwal : So, in continuation to that, in the last con call, you were guiding in the range of INR25,000 to INR30,000. Now you are saying INR25,000 plus.

But now you are not saying INR25,000 to 30,000, that range can be...

Kushal Desai: We were very -- we've always guided INR25,000 -plus any tailwind effects which are there, and those tailwind effects do happen where you've got sometimes more favourable freight, sometimes you've got certain execution that happens sooner and faster than had been anticipated. But we've not changed our guidance. It's still remaining at INR25,000 -plus any tailwinds that actually come by. And as you go quarter by quarter, some of the freight benefits

and all will obviously level itself out. So you'll be then down to the basic intrinsic strength of the margins on the underlying products.

Moderator: The next question is from the line of Himanshu Upadhyay from o3 PMS.

Himanshu Upadhyay: Yes. See, I -- in the starting of the thing, we stated that the slowdown we are seeing or expecting in conductors is there in the export. Do you expect that similar slowdown can also come in the cables business because both the end markets would be similar, okay? And even on the DSO. And should not this slowdown be for all the segments? Means, why only conductors, any thoughts of yours on that?

Kushal Desai: So, as I mentioned that there is an effect on both cables and conductors. And it's an effect that's happening across almost every product line that's

being exported to the United States, because they were all holding higher inventory levels due to all the uncertainties and lead times for delivery.

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As those are normalizing, it is natural that the deliveries -- I mean, the inventory levels fall. And today, especially with the high interest rates, the cost of carrying higher inventory is also a big burden. So, that is also catalyzing some level of de-inventorization. So, we are seeing it in both product categories. Fortunately, the domestic demand has been quite robust. So, that's the reason why we're not changing guidance really for the year.

You may have a temporary fall in export as a percentage of total revenues. But in the -- once this process in the next few months gets settled, you'll find demand in both the sectors, both domestic as well as export continuing to be quite strong.

Himanshu Upadhyay: And the cable exports should be majorly -- predominantly to U.S. only?

Kushal Desai: So, the U.S. is the largest export market that we have. But we are seeing good demand from Australia and we have some amount of demand coming and growing even from Europe. There are projects that are still continuing in Africa, which are African Development World Bank aided. It -- we will export product to multiple countries around the world. So even though the U.S. is the largest and there is a bit of a temporary slowdown over there. We expect overall the market to still be good -- the export market to still be good. And other geographies are starting to pick up.

Himanshu Upadhyay: Okay. And one last thing. The transformer oils or the Oils business, do you think the numbers are sustainable and the market has -- means the pressures of high-priced inventory and all those are now far behind. And that INR6,000 is sustainable on...

Kushal Desai: So, I think the INR6,000 per KL, I mean we've guided at INR5,500 a KL for the year. And I think as you run through the remaining 3 quarters, we

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should be able to -- as things look today, we should be able to reach those numbers.

Moderator: Thank you. The next question is from the line of Sujal from Girik Capital. The lines of the current participant have dropped off. We'll move to the next, that is from the line of Vishal Kediya an Individual Investor.

Vishal Kediya: Sir, how much exports are contributed from U.S. in the Conductors and Cable segment?

Ramesh Iyer: Which Conductor is it?

Vishal Kediya: How much exports are contributed from U.S. in conductors and cable segments.

Kushal Desai: What is a percentage of...

Ramesh Iyer: Out of our total exports, total cable quarter sales to U.S. will be about 25% to 28%, total sales

Kushal Desai: Any other questions, Vishal?

Vishal Kediya: And is the cable segment, sir?

Ramesh Iyer: Cable is what I mentioned.

Kushal Desai: Cable is around 28% of total sales. And in the case of Conductors, it is also in the 20s.

Moderator: The next question is from the line of Pawan Nahar, an individual Investor.

Pawan Nahar: My question is, we have a very robust order book for conductors, more than 3 quarters of current quarter revenues. So, we would have a good sense how many more quarters the tailwinds on spreads are likely to

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continue. So, if you can talk a little about that, 1 quarter, 2 quarters, 3 quarters?

Ramesh Iyer : Yes. So, some of the orders, Pawan, the execution happens over a period of time. It's not that all these orders come on a first-in first-out basis. We get these orders and some of the orders execution, in fact, can even start 1 year down the line. So, what is reflected here is the entire order book that we have as of now.

Kushal Desai: So, the bulk of, I would say, 75%, 80% of these orders are to be executed over the next 6 to 7 months. And as Ramesh has mentioned earlier, there is a few which actually runs longer. Our sense is that within this period, there will be new orders which will come up. So, it's a completely moving...

Ramesh Iyer : It's a moving number, yes.

Kushal Desai: Yes, it's a moving number. So if you take the U.S. market, Pawan, there are a bunch of utilities, almost about 30 utilities, which are very large utilities. There are 3,000 utilities which are much smaller utilities. So, those smaller utilities for their maintenance and capex requirement, they rely on distributors. These distributors have high level of stock. So as their stock decrease over the next 3 to 4 months, they will come back into the market to stock and carry.

The stock levels will not go up to the levels that they were because they don't need to. But then the demand flow will start coming based on the way the execution is happening. For the larger utilities, they have now we -- they move towards direct purchases. And even they are reducing their stock level because they don't need to carry as much stock. So, our sense is that most of the de-inventorization process will be a 3-to-4-month process. It's not going to be like a 1-year sort of situation.

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I had also mentioned that there are certain big asset aggregators that are there, like we have even in India, a few. So, some of them, if they've got multiple projects running, they are reducing the number of simultaneous projects that they're executing to day, waiting to -- deferring a few projects since the interest rates may come down. So, they're concentrating on accelerating a certain set of projects and slowing down some others. So, as far as final demand equation is concerned, we don't see any huge impacts or change taking place.

Pawan Nahar : Let me mention the demand side, actually, I want to say congratulations for me because I've been watching you all over a decade. I mean U.S. is 20% plus of our conductor business, that's like quite huge. I'm sorry, I missed it. And cables it is more than 25%, impressive. So sooner or later, they'll come back. But my question was more on the spread side that we are saying, conductors, INR25,000 is the normal plus the tailwind. So, my -- what I'm saying is, we have a certain amount of order book. We know what will be distributed in the next 2, 3 quarters. So, for how many more quarters can we expect this tailwind to continue before it goes to INR25,000. That's the question.

Kushal Desai: You'll find that the tailwind is -- the velocity on that is reducing because as you execute orders where you carried a higher freight than current freight, etc; as the execution is getting done, you're monetizing that. And the new orders that are coming in are more in line with current freight and current cost structures, which are in place. So, our sense is that you will finally get to that INR25,000 level.

The tailwind also comes not only from freight and things, but also in the product mix. So there are a whole lot of projects which

have been built

upon. And then as they get fructified, then you could have the mix altering

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on a positive side. But otherwise, considering all factors, INR25,000 is

what we had thrown up as a long-term sustainable number.

Pawan Nahar : I understand that long term INR25,000, which is amazing. All I'm saying is, we have a certain amount of order book, we will have some spend about next 2 quarters, right? So can we -- like all I'm trying to get to is, incrementally I understood INR25,000, but this tailwind from -- is there in the existing order book is my understanding. So can we expect this tailwind to continue for the next 2 quarters?

Kushal Desai: Yes, yes. So, there will be some effect of that for the next 2 quarters. It will start -- the effect will start tapering off, but there will be an effect over the next 2 quarters.

Ramesh Iyer: It will not be a steep fall. It was wane down naturally.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Congratulations on a good set of numbers. Sir, just largely wanted to understand on the export side. I mean, given the fact we are seeing some amount of slowdown in the exports. Just wanted to understand the profitability improvement, which has happened, right, from INR17,000 per metric ton to INR58,000 kind of a metric ton and starting getting normalizing. So just wanted to understand, what was the profitability, which was driven by higher exports. If you can throw some light as to what is the realization difference in EBIT -- realization difference per metric ton for U.S. business and for domestic business, that will be really helpful.

And just my second question was on the competition side. I mean last time you had mentioned that some of the Chinese suppliers have, once again, started to get entry, especially in the U.S. conductors' business. So, what

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is the stand as of now? I mean, how is the Chinese part playing out specifically on U.S. conductors? Just wanted to understand that.

Ramesh Iyer : Yes. This INR17,000 to INR58,000 per metric ton is the combination of various things that has happened. You had all your tailwinds, which includes this supply chain disruption that happened and China plus 1 happened and then you have the renewable energy push in the U.S. And also a lot of distributors wanting to just fill up their warehouses.

So it's a combination of multiple things that has gone up. And in addition to that, we had our own premiumization that happened within APAR where we could -- premium conductors there. So it's really multiple combination and there's no one number that can be attributable to what actually increased. So that's the reason we are still guiding at INR25,000 plus a tailwind because we expect some of the tailwinds will definitely continue over next 2, 3 quarters and some may even continue perpetually, depends on the competitive intensity and China Plus 1 strategy.

Kushal Desai: The U.S. is not -- your second question was that the China Plus 1 with respect to the U.S. So, the Chinese players, as I've mentioned earlier also, are not the biggest threat in the U.S. market because the -- currently, the tariffs for Chinese products still remain higher than for Indian products.

The competitive intensity of Chinese manufacturers is showing up in other geographies where they do not have any differentiated tariffs and in some cases case, they actually have a more favourable tariffs than Indian companies, which are in certain Latin American markets.

So, the Chinese competition has definitely increased, but it's not in the U.S. It's in --- the United States, Australia, etc, are kind of staying away from the Chinese suppliers. It's more in Europe, Latin America, etcetera, maybe in Africa, where their presence

is being felt today.

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Mihir Manohar : Sure, sir. Sir, just wanted to understand the realization difference for non-premium products, I mean, what is the realization difference for U.S. and non-U.S. or/and domestic market?

Kushal Desai: So, there's just so many orders and it's very difficult to pin any such number. All I can say is that the strategy has been to take standard products and sell them as much as possible in premium markets and take premium products and then sell them as much as possible in the domestic market, especially on the conductor side by selling a turnkey solution for the HTLS, ACCC, etc. The copper products, which are there, we are inherently carrying a higher margin and are more specific in their application. So, such a level of granularity, something that we would not be able to provide.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: Only one -- not a clarification, but a question would be, if we look at the specific HEC component, which has been decreasing in the total mix, if we assume that the total mix would remain the same as the last quarter, would we get to achieve the same EBITDA per metric ton, what we have achieved in the last quarter?

Ramesh Iyer: So the EBITDA, it depends on this HEC as well as exports. So, and all this depends on the level execution over there.

Pujan Shah: Okay. But if you assume...

Kushal Desai: We don't have a like-to-like reduction in HEC, but you've got HEC contributes towards some 20% -odd of the total basket. So, the remaining products also -- it's a moving mix, which is taking place.

Kushal Desai: See, the HEC will be in the same vicinity plus or minus 3%.

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Pujan Shah: Okay. And second question would be on the polymers business. So, how much your total capital we like to invest in this specific -- for this year and the next year? And yes, we are assuming that to see growth to INR200 crores, INR300 crores. But are we mainly focusing for -- like is it for the cable business or that the polymer can be used or it is used probably -- specific for the reason of -- purpose of the sale?

Chaitanya Desai: Our investment will be in the tune of about INR35 crores, and part of it will be to grow the polymer business, partly for the in-house requirement for cables and also to sell those same products outside our in-house requirements, other applications other than for cable industry also

Moderator: The next question is from the line of Aditya Khandelwal from Securities Investment Management.

Aditya Khandelwal: I have a couple of questions regarding our oil business. So, if you could bifurcate the volume share of different products like transformer oil, white oil and industrial process oils from the total volumes?

Kushal Desai: So, we've never given a guidance in terms of the exact breakup of the transformer oil, white oils, etc. But we've given the details in terms of the lubricant side of the business, which is at INR241 crores, and that's about 17,500 KL -- kiloliters, out of -- a total of about 1,35,000 kiloliters in total.

Aditya Khandelwal: I just wanted a rough break-up of the 1,30,000 KL which we sold, what would be the proportion of transformer oil, white oils, just a rough proportion?

Kushal Desai: So, yes, transformer oil, is yes, about a third.

Kushal Desai: Yes, probably 30% to 35%, and white oil is about 30%, 28% to 30%. And the lubricants are forming about 17,500 out of 1,30,000.

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Aditya Khandelwal: So, sir, the 13% year-on-year volume growth, which we witnessed with lubricants showing a flat growth and white oil being a slow-growing segment, would it be fair to say that we would have grown by more than 15% in the transformer oil segment?

ansformer oil segment?

Kushal Desai: We've had a double-digit growth in that quarter in transformer oil as well as in industrial -- on the industrial lubricant side. So, I would see these businesses, it's difficult to just take a quarter and if you look really at the -- you've got to really look at 12-month periods to be able to make a call. Our

general sense is that transformer volumes will grow, given the amount of infrastructure on the power side that's going in not only in India but around the world. So, the lead product in -- one of the lead products will be transformer oil.

Aditya Khandelwal: Sure. And sir, I just wanted to get a better understanding of working of industrial lubricant business. So, are these products sold directly to the customers or they are sold through distribution channels? And are they sold primarily on price or is there some element of branding also involved?

Kushal Desai: So, larger accounts are sold by us directly. Smaller accounts, we have an extensive distribution setup because industrial oils for some customers, they would buy just 1 barrel or 2 barrels. So, distributors take care of that. In terms of performance, branded and non-branded, you have fundamentally multiple categories. So, the performance products, high-performance products and products, which you've got to sell along with the service are the two which are more sticky in nature.

They either carry OEM approvals or they are much higher performance products there. The lubrication requirement is lubricating a machinery of very high value. So that segment is a branded segment. Then there is -- all of it is branded. But you may have hydraulic oil and some of these which APAR Industries Limited

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are less critical. Within Hydraulics also if you're running high injection molding machines and some of these more expensive equipment, then they would carry OEM approvals.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Kushal Desai, for his closing comments.

Kushal Desai: I'd like to thank all of you for joining our Q1 FY '24 earnings call. Just in conclusion, I'd say that we've had a good start to FY '24, and we expect that all the long-term indicators -- the medium and long-term indicators remain intact. In the short term, there could be some adjustments in demand in a few export markets like the United States, but the domestic market remains robust. And we continue to be very optimistic of our business in the quarters and years to come. So, once again, thank you very much for joining our call.

Moderator: Thank you, members for the management team. Ladies and gentlemen, on behalf of Apar Industries Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

SEC/ 0211/202 3 By E-filing November 02, 2023

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 2FY24.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer to our letter no. SEC/ 2610/202 3 dated October 26, 2023 w.r.t. submission of link of Audio Recording of post Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 2FY24 .

Pursuant to the provisions of Regulation 30 (6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Conference Call made on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 2 and Six Months period ended September 30, 2023 on October 26, 2023.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)

Company Secretary

Encl. : As above

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"APAR Industries Limited
Q2 FY2024 Earnings Conference Call"

October 26, 2023

ANALYST : MR. AMBESH TIWARI - S-ANCIAL TECHNOLOGIES

MANAGEMENT : MR. KUSHAL DESAI - CHAIRMAN & MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. CHAITANYA DESAI – MANAGING DIRECTOR – APAR INDUSTRIES LIMITED

MR. RAMESH IYER – CHIEF FINANCIAL OFFICER - APAR INDUSTRIES LIMITED

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Page 2 of 37 Moderator : Ladies and gentlemen, good day and welcome to APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you and over to you Sir!

Ambesh Tiwari : Good afternoon everyone. This is Ambesh Tiwari from S-Ancial Technologies. I welcome to all H1 & Q2 FY2024 earnings conference call for APAR Industries to discuss the business performance. We have from the management side, we have Mr. Kushal Desai, Chairman & Managing Director, Mr. Chaitanya Desai, Managing Director, CFO Mr. Ramesh Iyer. I will now pass on the mic to Mr. Kushal Desai for opening remarks. Thank you and over to you Sir!

Kushal Desai : Thank you Ambesh. Good afternoon, everyone and welcome to the APAR Industries Q2 and first half FY2024 earnings call. I would like to begin by giving a quick overview of our business and then get into more details on each of the three major segments performance. During the second quarter of FY 2024, in the last quarter, the consolidated revenue came in at 3,926 Crores, which is up 21% year-on-year. We witnessed volume

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Page 3 of 37 growth across all three divisions. Our exports grew 26.3% year-on-year, contributing to 49% of the overall company's revenue compared to 47% a year ago. The EBITDA is up 58% year-on-year to 374 Crores at an EBITDA margin of 9.5%. Profit after tax came in at 174 Crores, which is 69% higher than the previous year. Profit after tax margin is at 4.4% compared to 3.2% in the same quarter previous year.

Now looking at the figures for the first half and comparing them to the previous period so H1 consolidated revenue came in at 7,699 Crores, which is up 22% year-on-year. Export revenue has grown by 39% and this was led largely by the cable business growing, the conductor division growing and the transformer oil segment growing. The EBITDA for the half year is up 56% year-on-year to 743 Crores. We could attribute this to premiumization of the product and a better product mix besides the growth that has taken place.

Looking at each individual business , conductor business revenue in Q2 FY 2024 has grown by 35% year -on-year to reach 1 ,943 Crores and the volume growth is 79% in the quarter. The export revenue grew by 158% year -on-year, contributing to 51% of the conductor divisions overall revenue. The EBITDA per metric ton post forex adjustment is at Rs. 39,007 per metric ton ne. One of the highlight that we have achieved during this period has been that we have improved our reconductoring execution capabilities

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Page 4 of 37 and this has resulted in higher productivity resulting in a better position to implem ent product faster as well as in more challenging situations. Recon ductoring is a very critical part of the whole premi umization effort of the conductor business and these important developments should hold in terms of making it more

efficient. During the first half , revenues c ame in at 3 ,717 Crores, which is up 24% year -on-year. Volumes are up 51% year-on-year, EBITDA per metric ton ne for the first half period c ame in at an Rs. 38,885 per metric ton ne, which is 31% higher than the same period in the previo us year . Our total order book for conductor stands today at 5 ,977 Crores .

Coming to the Oil division , Q2 FY 2024 revenues came at 1 ,200 Crores . The volume grew by 18% in the quarter compared to the same period previous year making it an all-time high for a second quarter of a year. Exports contributed towards 47% of revenues.

The E BITDA post forex adjustment came in at Rs. 4,562 per kl . One of the issues that we faced in the oil division is that our major base oil supplier supplying refinery suffered some is sues in terms of their supply chain and the refinery turn around that they have post the end of life of a catalyst and due to this there were some huge complications resulting in lesser supplies to APAR , this affected profitability of the quarter as we had to go into the spot market and buy quantities of base oil to bridge the gap.

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Page 5 of 37 Having said that, the contracted base oil s upplies have started improving from September onwards and some of the lost volume due to this is being bridged by the refinery. During half year ended, the oil revenue has grown by 7% year-on-year to 2 ,400 Crores , the volume has grown by 16% compared to the previous period . The EBITDA post open period forex is at Rs.5 ,275 per kl, lubricant revenue came at 423 Crores with a volume of 34,91 8 kiloliters.

Coming to our cable business, the cable business revenue has grown 16% year -on-year in the second quarter of FY 2024 to reach Rs.882 Crores . Our export mix is 51% in Q2. The EBITDA post forex came in at 98 Crores , which is about 11.1% of reven ues so that is up 40% compared to the previous period . As mentioned in the earlier earnings calls, we are witnessing a slowdown in some of the distribution channels , especially those di stributors in stock and sell in the US and to some extent in Europe and there has been restocking of excess inventory that they have been carrying which has led to relatively lower growth rate in the second quarter. As mentioned earlier, this phenomen on is expected to run for a few months post which the regular purchase cycle should pick up. Overall in the first half of FY 2024, cable revenues are up 32% year -on-year at 1 ,849 Crores , the overall export business contributed to 52% of sales. EBITDA post forex has come in at 11.3% versus 8.5% in the previous period s o with this, I would like to come to the end of my comments.

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Page 6 of 37 I would like to mention that we have a very detailed investor

presentation deck, which has been uploaded on our website post the investor day that APAR had. We have also uploaded our third ESG report, which is also available on our website and it captures all the ESG activities which APAR has done in the last year, which is quite significant compared to what was done in the previous two periods. So this journey is a journey that we are well entrenched on continuing going forward. I would like to thank everyone for joining this call and I would like to transfer the call back to our moderator.

Moderator : Thank you. Ladies and gentlemen, kindly note that the company has issued a postal ballot notice dated September 28th, 2023, to its shareholders seeking their approval under applicable law for issuance of securities. The postal ballot is available on the websites of the stock exchanges. In light of this, to comply with the applicable restrictions around publicity, the company will not be taking any questions on guidance, projections, forecasts pertaining to

its business and financial performance, or any questions related to proposed funding requirements.

We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : Good afternoon, Sir and congratulations on the excellent quarter. The first question is how has been the inquiry from transmission APAR Industries Limited
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Page 7 of 37 sector and renewables within the domestic market for conductors and cables separately if you can throw some light there ?

Kushal Desai : The inquiries Mohit is quite strong both in the transmission side as well as from the cable side, there are a number of corridors which have been announced, transmission corridors and in addition to that, given the general level of activity that is happening in electrification, the cable requirements also have been quite strong.

Mohit Kumar : Is it possible to share the order book break up for the conductor within domestic and export?

Ramesh Iyer :: Out of the order book that we have for the conductor business about 5,900 Crores, 51% would be exports and the rest would be domestic.

Mohit Kumar : Understood Sir. Second question, is there anything of reconductoring volumes in your total mix for the H1 if possible and we expect that mix to change the domestic market in terms of opportunity going forward ?

Ramesh Iyer: We talk about premium products typically and the premium products in the conductor division is in the range of 40 % to 45 %, Q2 also has been in that range and a similar percentage is also there in the order book that is pending as of September 30, 2023.

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Page 8 of 37 Mohit Kumar : Understood, Sir. Thank you.

Moderator : Thank you. The next question is from the line of Anika Mittal from Invent Analytics Advisory LLP. Please go ahead.

Anika Mittal : Congrats Sir good set of numbers, two questions one is on the freight rates. Freight rates are rising again but the contract which we had brought should have entered at lower rates, should that mean we are going to witness falling EBITDA going forward like last year the same thing was tailwind for us so in a similar way will it be a headwind or how we should look at it?

Kushal Desai : Freight rate correction has already happened and we spoke about it quite extensively in the last board call that the correction of freight rate has started from the beginning of our financial year from about March, April onwards so fundamentally after that freight rates have been in a certain range, so freight rate is

factored in today as we price the product in fact in many cases customers have shifted to an FOB purchase because they were seeing that freight rates were kind of correcting and falling. So there are customers who have actually shifted from DDP to an FOB business so they are more control on the freight. So what we are looking at today is basically just quoting freight on a spot basis. Anika Mittal : I was looking at the BBIY index that is the freight index so that was rising in month of September so I thought freight prices are rising so if that is the case....

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Page 9 of 37 Kushal Desai : I get your question just want to clarify basically the se freight industry do not really play such a huge role and there is no correlation of that we do not take it account in any price variation or any such formula, all I can say is that the freight rates right now are quite stable they remains stable through the quarter and the increase in freight rates are not being seen today on container freight, but there is increased freight rates which you are seeing on bulk transportation as in for base oils and specialty chemicals and things like that so bu

lk of our business, which is containerized cargo movement, especially on the export side, the freight rate is quite flat.

Anika Mittal : Understood like realizations EBITDA per tonne on the conductor side. So this quarter there is a rise Q-on-Q basis so what is reason ?

Ramesh Iyer : We have been already mentioning earlier also the EBITDA percentage in conductor, the reason for that is largely because of the premiumization of the products that has been happening for the last one and half to two years now and also because of the increase in the exports percentage.

Kushal Desai : So in the last quarter we had good execution and completion of projects that happened of HTLS as well as OPGW so with some of the items that I mentioned that we have been working on productivity of faster execution of projects. Last quarter saw good pickup in terms of productivity especially in more challenging

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Page 10 of 37 requirements, you did not have a simple plain terrain. So our execution in Q2 was better than what had originally been envisaged.

Anika Mittal : Our guidance is intact across three segments ? Like we mentioned in earlier quarter.

Ramesh Iyer : In the beginning of the call, I think there was a statement that we cannot take any questions on guidance so we would like to stick to that one.

Anika Mittal : Okay Sir. Thank you very much and all the best.

Moderator : Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Funds. Please go ahead.

Charanjit Singh : Thanks for the opportunity and congratulations on great set of numbers. Sir my first question is regarding exports so in the previous call your commentary on exports was really cautious, but despite that we have delivered a very strong growth in the exports in both conductors as well as cables segment. If you can touch upon, on the ground how the export markets are shaping up, and the various projects which you would see in the international markets, basically U.S. markets on the renewable side. So what are the key markets which you are seeing and how the traction is you know going on the ground that is on the export side ?

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Page 11 of 37 Kushal Desai : On the export front in the last earnings call we mentioned that since the supply chains have eased, de-inventorisation is taking

place. So that effect has very much been in place . What you see are the shipments which had been scheduled and already went through , fresh order intake which is coming in through the quarter has been a bit slower especially from distributors, people who stock and hold stock in the warehouse and then sell the product because they are all looking at reducing their inventory levels which in the current situation is too high given that the supply chain has now been fully restored so as we mentioned earlier also that there is a period where there will be a slowdown in terms of execution for the US and Europe market and in Q2 we have seen that in the order inflow which has come in for immediate execution whereas the orders which have come in as I mentioned in the last quarter earnings call also is that they are for a longer dated delivery so fundamentally once the de-inventorisation process is over when it should get into a normal cycle so that is what we mentioned earlier and the feet on the ground pretty much as we speak today seem to be in that same direction.

Charanjit Singh : So Sir, if you have to look at the kind of grid ramp up which is happening in US and the European markets and take a maybe a little longer term view rather than quarterly view on the export markets then how you would see that market from demand supply perspective and overall growth perspective ?

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f 37 Kushal Desai : So as I mentioned earlier also in the previous quarters call, the fundamental market scenario has not changed so the long term execution and the shift towards renewable energy moving from electricity being about 20% of the energy mix to 40% of the energy mix by 2050 and renewable energy forming almost 75 %-80% of that growth in the electricity addition, all those parameters remain pretty much intact so our sense is that whatever this de-inventorization thing which we have been talking about from the last quarter onwards is more something that a tactical thing happening in this period , the factors which I mentioned earlier, they still hold good even today where you have got higher interest costs so the cost of carrying inventory also is much higher and the unpredictability factor that was there before because of supply chain, raw material outages etc, all that has disappeared. So today an order which is placed is being executed within a relatively short cycle and that cycle is a quite a predictable cycle so that is why this whole de-inventorization is taking place. But I think these two things are uncoupled the de-inventorization in the short term which is happening and the demand which is fundamentally there are two decoupled, we should decouple those two things , they are two different effects so hope I have been able to answer that question.

Charanjit Singh : Yes that is very helpful so thanks for the detailed answer. So just on the cables segment, so cable segment, we saw revenue growth of 16% during the quarter on Y-o-Y basis so if you can touch upon

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Page 13 of 37 could this growth have been you know higher pertaining factors which could have impacted our growth in the cables and wires segment and domestic market, how did we see in this segment and how the wires as a business is doing for us within this cable and wire segment that is my last question, Sir ?

Ramesh Iyer: Yes, the same effect as Charanjit we spoke about, because of deinventorization that is being followed by the Western countries, we have seen that impact in Q2 otherwise we see the quarter one growth rate was much higher than in Q2 so we are slowly seeing that impact what we just spoke about. On the wire business that is progressing as planned and we are increasing the number of our electrician meets and the number of retail touch points also there

and we are already down there in the 17 states. We are present across India as of now so that is going as per our plan now that we mentioned.

Kushal Desai : As Ramesh has mentioned the rollout you know continues to be reasonably strong so as we keep expanding our footprint the acceptance of the wires and the distribution of our wires are continuing to grow and we have seen that many of our competitors also are now seeing that this category and this type of wires actually is a clear stand out so some of our competitors are also now looking at trying to provide similar performance levels of wires like Anushakti but we see that as a very positive step because (A) It recognizes the strategy which we are following and
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Page 14 of 37 (B) If other powerful entrance also start promoting the same type of wire, the whole category will end up growing with us having the first mover sort of advantage . So in short, that part of the business is growing. Our distributor presence has almost doubled over the one year period . Our retailer presence also has increased by almost 70%, the states that we are active in today, and Ramesh says from 13 states we are now active in 17 states and the 18th one just went active in the month of September. We also focus quite heavily on demonstrations , so the demonstrations because once you see the performance of our wires through a

demonstrated test so the demonstrations which we did in 12 months, we have completed in 1/2 and this year the same thing with electrician meet, the same thing nukkad meets with these shops. So basically our activity in the market has doubled what we did in the entire last financial year we have done the same similar numbers in the first half. So all these demand generation activities have been going on quite strongly and as a consequence even the sales is also showing similar sort of growth.

Charanjit Singh : Got it, Sir. Thanks a lot for taking my questions and all the best for the future.

Moderator : Thank you. The next question is from the line of Riya Mehta from Aequitas Investments. Please go ahead.

Riya Mehta : Good evening, Sir, Riya Mehta from Aequitas. My first question is if you could just elaborate a little bit on the capex progress that
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Page 15 of 37 was announced earlier and the capex plan that we have for H2 of this year and next year for both cables and conductors?

Ramesh Iyer: So our capex spend till September is about 150 Crores and bulk of it is there into the cable division and the conductor division over there and we have capex of about 350-400 Crores by the end of the year and will be very close to that number as we go into the second half .

Riya Mehta : Okay and any plan for the next years, capex plan for next year?

Ramesh Iyer: Well, this still give us capacity for the next year and as we get into the later years, we will inform more about the guidance that on capex front and other areas.

Riya Mehta : Okay and capex that we had announced last year, we had plans of commissioning and ramping up this year. Just wanted to know how that is progressing, especially on the cable front ?

Kushal Desai : It is pretty much on schedule.

Riya Mehta : Okay so have you commissioned any part of it?

Kushal Desai : So there are lines which have come in and the lines have been put together and have been commissioned.

Riya Mehta : Okay typically what duration can we expect for full ramp up of the capacities that will be coming this year ?

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Page 16 of 37 Kushal Desai : So you will see in FY20 25, you will see the full, to a large extent the loading of these plans, so they are all getting commissioned through this financial year and our expectation is that by the end fourth quarter as we mentioned earlier also that this round of capex will get over, which will then allow for the running in the next year for almost a year and a half the ratio is about 10 to 12 times so 400 Crores capex can get you 4000 to 5000 Crores of revenue at a base level .

Riya Mehta : And we expect say next year to be full ramp up for this 400 odd Crores?

Kushal Desai : Yes expectation is that all this has been put together based on what we have seen, in terms of new tenders and customer requirements which have been indicated so based on that, the capex has been put in on what we think are relevant products and it should during the course of the next financial year get fully loaded.

Riya Mehta : Okay and the second question is more on the opportunity side so two aspects, if you could elaborate upon the opportunity size like we have and whether we will benefit from that in a meaningful way, one is the Bharat Net part in India and the other is I think what I understand is there is a \$3.5 billion investment announced by US for reconductoring their grid and strengthening their power grid so would we be able to benefit out of this and what is the kind of opportunity we can look out of these two initiatives?

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Page 17 of 37 Kushal Desai : So let me answer the question to the extent I am allowed to answer, with these restrictions that are there .

We have spoken about the Bharat Net opportunity in the last call that we had. The Bharat Net opportunity is it is not yet finalized and in its final form announced for tendering, but is that a very advanced stage and APAR would be in a position to participate in the Bharat Net because we qualify with all the EPC capabilities that we have. We have the ability to participate in that tender which is there from the understanding that we have that I explained last time is that in the case of Bharat Net it is expected that this time it will be like an end to end tender where it is not only a supply, but then there is also you have to run the network for an X period of time so it is a supply and running the network and there will also be restrictions on the number of bids that any single company can make so this would clear to open up opportunities to people who have the capability and the qualifications to bid on it .

Riya Mehta : We would be in position to taking up orders for end to end solution as in running up the network as well ?

Kushal Desai : Yes we have every intention of bidding against at least one package so all the final form of Bharat Net is not out I think it is just at a prefinalization and tendering stage. But as we mentioned earlier in some of our earnings calls on the Investor Day meetings that we have every intention of participating.

Riya Mehta : Okay, understood .

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Page 18 of 37 Kushal Desai : As far as US is concerned, we have approvals and we have been in dialogue with number of utilities in the United States. We also have an active sales force on the ground in the United States so any massive amount of work which happens on the re-conductoring side and addition of new transmission lines etc, the company would participate. You would have seen that in even in last year 's numbers that after India , our second largest market actually the United States contributed to over 25% of our revenues so we do have a significant presence there and the company is continuing to invest in growing the presence .

Riya Mehta : Right this has to be re-conductoring opportunity, where would it

be a premium product like OPGW and HEC or would it be our conventional product?

Kushal Desai : So the funds that have been allocated, the United States market actually is run purely by private players so unlike in India where you have semi government or you have like state electricity, state transmission company involved etc., so this opportunity is something that has just been announced so I do not think you know all the details of that are all yet spelled out but our sense is that there will be a combination of both because generally re-conductoring opportunity results in using an existing infrastructure and re-conductoring a line meeting certain constraints so usually a re-conductoring job requires HTLS or a premium conductor but the market in the US, our expectation is, as we mentioned earlier also
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Page 19 of 37 that a number of new lines are coming up there which are executing or rather transmitting power from new and renewable energy locations so like a new wind farm or a new solar farm, you have the transmission line evacuating power from there into the grid so that line can be designed to be either a conventional conductor line or an HTLS type of line. Most of the re-conductoring jobs require a higher HTLS component for you to really make it meaningful.

Riya Mehta : Okay and on the oil segment, so we have seen this last couple of months being very volatile in terms of crude oil prices which I understand impacts our margins and also that there was some supply chain issues that was mentioned in the presentation so I just wanted to understand how have things been so far in Q3?

Kushal Desai : I am c

onstrained in terms of being able to talk about future, but as I mentioned in our commentary we had some issues from our largest refinery and supply source with whom we have been working with for over 20 plus year so there was a hiccup in terms of their supply chain during the second quarter that resulted in us having to buy raw materials on a spot basis etc., which was more expensive because you had to buy it from a source which was very short delivery to make up for, these sort of things are not predictable, but in the month of September, shipments have been restored almost back to its normal level for all grade and in certain grades additional products have been also shipped to us or are
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Page 20 of 37 being shipped to us to compensate for part of the problem so as a consequence, we have ended up paying a higher price in Q2 the material which should have been used in Q2 is actually some of it is spilling over into Q3 and as a consequence, basically the higher price paid in the previous quarter will get offset to some extent in this quarter just in terms of the timing of the delivery.

Riya Mehta : Okay understood and just last question on a couple of data points what would be percentage of export orders in the conductor new orders of about 2500 Crores this quarter and what will be the execution period of order books for both cables and conductors?

Ramesh Iyer: Order inflow of the export part of the new order for Q2 will be about 43 % and typically the execution time is about six to seven months. But as we mentioned earlier also we do get some orders in this period for which the execution will happen next year also.

Riya Mehta : Okay and the cables?

Ramesh Iyer: Cable order book stands about 1,000 Crores and the cables are a much shorter execution period as of now, about just about less than 10 % of the cable order book that for which the deliveries will happen in the next year or so of all will be in the short term.

Kushal Desai : There is a bit of a que in terms of delivery into 1,000 Crores order book that is there, it has the domestic portion of it is, very short cycle. The export portion of it has some deliveries now and a

Page 21 of 37 larger portion of its deliveries are in Q4 given that the de-inventorization thing is happening right now.

Riya Mehta : Okay and this new order for conductors you mentioned where you know the export is 42%, what will be the premium product percentage? Share of premium product ?

Ramesh Iyer: Premium product should be in the range of 40 % to 42 %.

Riya Mehta : Okay thank you so much.

Moderator : Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladhar Pvt Ltd . Please go ahead.

Amit Anwani : Thanks for taking my question. My first question is on the de-inventorization which you are mentioning for exports, which you did mention in the last quarter as well. Just wanted to understand you are saying, if my understanding is right, distribution network will be seeing some inventory adjustment . How much would be that percentage distribution in exports and domestic market for you in conductor?

Kushal Desai : You mean conductor going into the distribution versus transmission is that? We don't do much in terms of conductors that go into the distribution side. The bare conductors are largely on, so 95% would be transmission and 5% distribution side . We have a hybrid product which is in between conductor and a cable which is called a medium voltage covered conductor . So that

Page 22 of 37 medium voltage covered conductor is a distribution conductor, but having an insulation , very specialized insulation layer on top so we are the leader in terms of MV

CC in India and so that is the play which we have on the distribution side.

Amit Anwani : My question, actually was you said that our distribution channel has increased and there would be ...

Kushal Desai: So that is from the building wire standpoint where you have distributors as in people who go shop to shop and distribute through all the retail outlets and things .

Amit Anwani : So that we are seeing inventory adjustments, right ?

Kushal Desai : That we are not seeing any adjustment here. What we are talking about is okay, let me clarify what I meant is that we have there are several mega distributors in the United States who bring product , stock it and then sell it . So those distributors who are carrying a very high level of inventory that ran into 8, 9, 10 months also of inventory have now started de-inventorizing and destocking the inventory levels that they are holding. So this is affecting or has affected the short-term shipments that are happening to the United States .

Amit Anwani : Right so how much percent that would be?

Kushal Desai : Our total sales, export sales have been about 52% for the cable business so wire distribution, actually that number is, I do not have

Page 23 of 37 the exact number, but what is happening in terms of is that we are moving more and more towards dealing directly with the EPC contractors for the large jobs so when you have big re-conductoring jobs when you would have that is why we have added people on the ground in the United States, so reconductoring work will largely happen with utility and EPC people and most of the transmission line work also happens to the big utilities through EPC and direct. The smaller utilities actually buy it through the distribution channel. The more channel remain active, but it depends on where the dollars are being spent. Participation in those channels will then be dictated by that so the smaller utilities are doing upgradation capex sort of work, then it

goes through a distribution channel. If the larger utilities are doing work, then they typically buy directly or through an EPC contractor.

Amit Anwani : Sir on re-conductoring, which you did highlighted that we are increasing the pace of execution and so are we talking this about the domestic market or is my understanding correct that now re-conductoring opportunity will also be depending on an export market and the mix there will also see a lot of re-conductoring growth apart from the conductor which saw a robust growth in exports market so if you would like to just clarify on that?

Chaitanya Desai : Yes re-conductoring as a demand is happening both in India and outside India. APAR has been doing re-conductoring turnkey
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Page 24 of 37 projects only in India where we are doing the execution work and where we mentioned about our productivity having improved, re-conductoring demand from outside India, we are participating in that through supply of product only. We are not actually taking it on to end to end.

Kushal Desai : Question was that are both the markets growing and so the thing is that re-conductoring is generally growing because as we have been saying in the past, electricity consumption everywhere is increasing so wherever there is a right of way issue and you are not able to put up a parallel transmission line and the only viable option is to re-conductor with the line of higher capacity so that sort of phenomena you will start finding everywhere happening around the world and our participation right now in domestic is to do both supply as well as EPC whereas overseas we are doing only supply.

Amit Anwani : Right sir within cables, how was the contribution and growth of elastomeric cables and E-BEAM cables for H1?

Ramesh Iyer: Elastomeric cable has

gone up by about 40% in H1.

Amit Anwani : Okay sure Sir and so this capex which you said 350 Crores by the end of this year, this would lead to capacity increase by how much percentage over the base of last year if you would like to have?

Ramesh Iyer: Asset turnover is in the range of 10 to 14 depending on the category of products that will get used.

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Page 25 of 37 Amit Anwani : Sure my last question is on the interest cost. This quarter we saw interest cost going significantly up on a sequential basis and I can see oil business on the breakup provided on the PPT roughly 45 Crores towards oil business which appears high so any understanding we would like to give, how should we read the interest cost numbers going forward and also on the working capital as we understand that typically we have interest bearing acceptances and we used to see interest costs as percentage of sales around 2-2.5%, which has gone up to 3% this quarter, so any understanding on working capital and interest cost going forward whether we target, how should we read on this?

Ramesh Iyer: Yes, so sequentially the interest cost is high because the first quarter the interest on discounting was less and second quarter the interest on discounting is high and therefore that is one of the reasons for the increase on a sequential basis. The other thing is that of course the volumes in the second quarter is much higher than in the first quarter, not only in terms of sales, but also in terms of procurement etc. You also see exchange rate going up slightly towards the end of Q2 and the increase in exchange also has an impact on how the interest costs will go up.

Kushal Desai : Even interest rate itself has increased so wherever you have had open letter of credit of 180 days which was opened earlier, the interest rate was frozen at the time you open the letter of credit because it is fully financed so as the percentage of the LC is being

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Page 26 of 37 opened, or more current interest rates, the rates are much higher than before given the high percentage. So whatever Ramesh has said plus this impact is what is resulting in higher interest costs. It will taper off because I think I mean depending on the rate hike whatever more happens it tapers off at whatever level of so far is there today, on the import side and on the domestic side also whatever RBI guidance etc, I think it seems like it is flattening out so on that basis you know you can extrapolate what the interest costs would look like.

Ramesh Iyer: On your question on working capital, typically we are in the range of 35 days net working capital so historically it has always been in that range and that is what we are being maintained even in this half of the year.

Moderator: Thank you. The next question is from the line of Dhanan Bagrodia from ASK. Please go ahead.

Dhanan Bagrodia: Congratulations on a good set of numbers again. Sir I know you will not speak much on guidance but just a little bit on realization and would that be similar base or there would be scope for more reduction?

Ramesh Iyer: So as we said, we can not talk about guidance so can't talk about realization also. Excuse us for this time.

Dhanan Bagrodia: Okay capex what you see, let us see this is capex would be for the next year?

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Page 27 of 37 Ramesh Iyer: Yes. So we have already spent about 150 Crore in this year.

Dhanan Bagrodia: 400 for this year, what would be for the next year?

Ramesh Iyer: Well, for the next year, we will share the information as we get into the close of the year.

Dhanan Bagrodia: Okay perfect sure.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from O3 PMS. Please

go ahead.

Himanshu Upadhyay: Congrats on good set of numbers. I had a question on this oil itself or the base oil what we stated despite that we had a phenomenal volume growth rate of 18% so the impact was completely moderating and how much are the spot prices higher versus long term prices generally are they significantly higher?

Kushal Desai: So Himanshu here, fundamentally order inflow was strong, primarily led by the growth that we saw in transformer oil and to answer the second part of your question which is the difference in the spot market varies all the time so depending upon which is happening with crude and what is happening with gas oil or diesel and then the supply demand that is out there so if anybody goes in to pick up large quantities automatically the spot market corrects upward, whereas the contract is based on formula pricing etc., so as I mentioned earlier, we have definitely seen an erosion in our profitability in the second quarter because we have to buy more

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Page 28 of 37 from the spot market given that there were supply chain challenges from one of our largest supplier refineries that we work with. But having said that, as I mentioned in September, the shipment started normalizing and they have also tried to make up for loss volume.

Himanshu Upadhyay: See my question is what we have seen crude price have moved up in last three four months, our price is formula based with a lag of one month time so what you will be getting now will be the lower price point or it would be from what the current price is whatever volume?

Kushal Desai: All formulas are backward looking so as a consequence when

prices are rising, formula pricing is always beneficial because it is backward looking. When prices are falling then the reverse trend takes place .

Himanshu Upadhyay : So my question is the volume what we missed from July, August, and let's say for those two months the product what we will be getting will be based on July, August price points or it will be forward only. So the volume which went ?

Kushal Desai : Pricing goes based on every month and bene fitting to the effect that some of the shipments got a little bit delayed, but the refinery has tried to cover up some of the shortfall which has happened obviously when they had significantly reduced production, they
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Page 29 of 37 are not in a position to cover the entire gap but they try to cover some of that gap.

Himanshu Upadhyay : Okay I had question on transformers side, see what our understanding globally that there is a shortage of transformers, and many Chinese companies are gaining market share like Jin Tong, Eon all those in the US and Europe market. What impact does it have on our business because what I understand we do not supply to Chinese players and are we seeing opportunity coming up for even our MNC customers on the transformer side to explore outside India and will it benefit us or some of your thoughts on how the scenario will pan out?

Kushal Desai : So transformer demand has been quite strong and fundamentally it is coming from the increase in the number of sub stations that are coming up and during our Investor Day presentation, we had a chart. In fact you will see the investor presentation deck. It gives an idea in terms of you know how cables , conductors, transformers /transformer oil is used along the entire supply chain. So what is happening is that renewable energy has a higher intensity of substation and each substation needs a transformer to step up the power or step down the power. So there is a shortage of transformer in certain area because the demand has suddenly gone up from being very stable, for example the US market transformer manufacturers are completely are fully booked . I am

not so sure about Chinese companies being able to penetrate the
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Page 30 of 37 US market because there are very high duties which are there on pretty much all Chinese products including antidumping duty in place so I would not be able to comment on that we do not sell transformer oil into the U.S. market simply because of very high logistics cost for transformer oil relative to you know the local refineries and their ability to service project sites so our focus on export in transformer oil is fundamentally been the United States . So to answer your question on are we seeing export orders coming on Indian transformer manufacturers who are part of the MNC system. We have been seeing export but the domestic market itself is very strong. So there is a lot of transformer demand especially India itself as all these transmission lines and renewable energy sites are coming up. So we have a strong supply that is going into the domestic market servicing all these transformer manufactures . So I think most of them are quite focused on just supplying to the Indian market at this stage .

Himanshu Upadhyay : One more thing in the presentation what we see on the conductor side so Q2 , the volume growth is much ahead of the revenue even in our order book which is high, the volume would be much higher than the value terms or what was there last year. Should we assume that?

Kushal Desai : So there is no correlation in that. So it all depends upon the time you have book the metal and because you could have a metal that was booked one year ago, when the metal price was...

Page 31 of 37 Himanshu Upadhyay : That is the whole reason I wanted to understand ?

Kushal Desai : You will not be able to correlate because that is such a dynamic picture that it will keep on changing depending on that is the reason why we go by EBITDA per metric tonne as metric because aluminum was at a relatively lower price a year ago or two years ago, people have taken advantage of even COVID time and booked two years in advance and hedged metal, so you can have a different price points on the metal so the metrics that we look at is EBITDA per a metric ton and the amount of conventional products versus premium products because that is actually the measure by which one can get an idea in terms of sort of realization and margin company can have so otherwise the correlation is very difficult to track and explain .

Himanshu Upadhyay : Okay and one last thing you see we want to raise capital nearly 1000 Crores and we gave a dividend of 160 ?

Kushal Desai : I am not in a position to answer on that as regulation does not allow us to comment at all on fund raise so we will defer that question at this stage.

Himanshu Upadhyay : Okay thank you. But I think the document what has been sent on the postal is very vague and I think some more clarity would have been beneficial for us to understand .

Kushal Desai : You may want to take it with the regulator .

Page 32 of 37 Himanshu Upadhyay : Okay thank you.

Moderator: Thank you. The next question is from the line of Abhijeet from YES Securities. Please go ahead.

Abhijeet : Good evening, Sir. Congratulations on a very good set of results .

My question is on the US export market, so as I understand it last year conductor revenue was around 7000 Crores and you mentioned 25% that was from US? Around 1500 Crores odd revenue from US and given the size of electricity consumption, size of electricity market in the US, I assume this as percentage of market and their target to increase the contribution from the renewable sources , the market is quite huge in terms of compared with the revenue that we have right now so the scope to

increase

the revenue new forward is huge for such a big market so what is our strategy going forward to penetrate and to get more revenue from the market and what is the kind of competitive landscape that you are seeing there? Are there local players or there are players who are exporters like us from the different countries , can you comment on that and our strategy in terms of increasing our market share in the economy

Kushal Desai : So I have limitations Abhijeet is in terms of again what I can specifically answer . I will just stick to what I had mentioned earlier as well as in all our previous communication that all of these countries have signed up to this, decarbonization through, you know, COP 26, COP 27, etc. They have all set up significant

Page 33 of 37 target s. If you go to an investor presentation deck, you will see various charts and things which are supporting what sort of growth is expected over the next 15, 20, 25 years in these markets as far as renewable energy is concerned so all I can say is that we have had a focus on U.S. market. We have been engaging with various utilities there and we have been engaging with various EPC players there so it has for the last few years been a very strategic market for us. It will continue to be a strategic market 26% of APAR revenues comes from the US market so it is clearly market of focus for us and unfortunately , I am not in a position to you

know answer anything specifically on forecast in the future etc ., as such but as the execution plan happen in the US based on whatever announcement these governments have made and the targets that they have taken it is natural thing that demand will sort of follow.

Abhijeet : I understand demand scenario is very strong in the next 10 -20 years, but what about the competitive scenario there in terms of supply and how favorable are we placed to capture the incremental demand that comes out of these markets?

Kushal Desai : Again, I understand, but unfortunately Abhijeet I can not answer that, given the fact that this gets into the area of, future and forecast so I can not specifically answer that I just want to clarify that the export that we have to US 16 % of APAR total revenue in FY2023 so it is very significant market from that standpoint .

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Page 34 of 37 Abhijeet : Thank you so much.

Moderator : Thank you. The next question is from the line of Sakshee Chhabra from Svan Investment . Please go ahead.

Sakshee Chhabra : I wanted to understand that the dealer that you mentioned about was that only pertaining to exports or is that even on the domestic side?

Kushal Desai : This is pertaining specifically to a large importer distributor in the United States and Europe because the supply chain were broken during COVID and it was taking very long to get containers, shipment, clear the demand and deliver them to client side all large importers, distributors in the United States and Europe were having elevated levels of inventory. So domestic side that problem never really existed so this is purely US and Europe sort of phenomena.

Sakshee Chhabra : So then what would be the reason that on Q-o-Q basis there has been dip in the domestic side of cables business?

Ramesh Iyer: Well, it depends on the orders and execution we typically do not look at it on quarterly basis .

Kushal Desai: But there is net increase that has happens in terms of if you at Q2 on the domestic side, Q2 of our domestic side is higher than the same period previous year so overall growth in the domestic side of the business in fact the domestic demand for cable was always

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Page 35 of 37 strong and it continues to remain strong and APAR has chosen to

focus more on the export because we were getting better realization and higher profitability , good cash flow but the domestic demand for wires and cable has remained reasonably strong through the year in fact in FY2023 domestic demand in India grew by 20% plus compared to the previous period of wire and cable category.

Sakshee Chhabra : Okay but there is no specific reason for the sequential dip ?

Ramesh Iyer: It has grown as compared to Q1 growth rates may have slightly come down, but overall there is growth in Q2 as compared to Q1.

Kushal Desai: That number there is actually a year-on-year growth as well as sequential growth in the cable domestic side .

Sakshee Chhabra : Okay, so the difference is only because of export ?

Kushal Desai: Yes. Export shipment in Q2 were lower, growth percentage was lower than previous period . As you know destocking that phenomena started fundamentally when you want to reduce inventory from holding 8-10 months down to the normal two to three months, we have about six months of excess stock which has to reduce so that is the phenomena which has been basically seen .

Sakshee Chhabra : Can you also explain the disconnect that is there on conductor side between the realization on EBITDA per unit, on quarter-on-

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Page 36 of 37 quarter basis, the realization has come down but the EBITDA per unit has gone up?

Ramesh Iyer: So the realization is different thing it depends price on your aluminum or copper so that is why typically it is good to look only at EBITDA per metric tonne because the prices of metal fluctuates .

Kushal Desai: For the quarter there is no correlation with the prices that exist in that quarter , it depends upon the hedging, when order was placed, what the client requires from us in terms of hedging etc. So that is reason why keeping on track on per tonne realization is not easy to track . Earlier I explained that the company if the customer asked us to hedge it for six months in advance then we would hedge it, now in the six months if aluminum goes up then that is precisely the reason why the client wanted to hedge the product and fix the pricing on it so it is difficult to see the realization per ton and that is the reason why we focus on EBITDA per ton as well as what is the percentage of premium products that are sold that will give you an idea of mix which will drive the profitability.

Sakshee Chhabra : Got it .

Moderator: Thank you. As there are no further questions I would now like to hand over the conference to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you everyone for joining our call for this quarter and I also like to wish everybody season greetings and very happy and

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Page 37 of 37 prosperous Diwali and New Year which is pending in the next few weeks so thank you very much for joining us.

Moderator : Thank you. On behalf of APAR Industries Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

SEC/ 0502 /202 4 By E-filing February 05, 2024

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 3FY24.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter no. SEC/ 3001 /202 4 dated January 30, 2024 w.r.t. submission of link of Audio Recording of post Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3FY24 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Conference Call made on January 30, 2024 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3 and Nine Months ' period ended December 31, 2023 .

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)

Company Secretary

Encl. : As above

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"APAR Industries Limited
Q3 FY '24 Earnings Conference Call"
January 30, 2024

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND
MANAGING DIRECTOR – APAR INDUSTRIES
LIMITED
M R. CHAITANYA DESAI – MANAGING DIRECTOR
– APAR INDUSTRIES LIMITED
M R. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to the APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies.

Thank you, and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. This is Ambesh Tiwari from S-Ancial Technologies I welcome you all to the Q3 FY '24 Earnings Call for the APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai, for the opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and a warm welcome to APAR Industries Q3 Earnings Call. I'd like to provide first a brief overview of our performance, then follow that up with a few industry updates, and then we can get into some of the specific segmental performances of the three businesses. Post that, we'll be happy to host questions.

So, during Q3 FY '24, the consolidated revenue came in at INR4,013 crores, which is 2% higher than the same revenue previous quarter -- previous period. The revenue growth was a little bit lower subdued due to very high volumes of exports, especially of cables that had happened to the US market in the last quarter of Q3. And there has been a level of deinventorization and that whole process taking place as we've mentioned in some of our previous calls, the global sales growth ex the US, however, grew by 17.2% in Q3. The export mix was 39% versus 50.2% compared to the period last year.

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The EBITDA is up 24% year-on-year to INR432 crores at a margin of 10.8% versus 8.9% a year ago. Profit after tax came in at INR218 crores, which is 28% higher than in the previous year. So, this represents 5.4% PAT versus 4.3% in the year ago period. Now if you look at the 9 months, the consolidated revenue is up 14% year-on-year and has reached INR11,711 crores, the export mix was at 45.6%, which is pretty much the same as what it was for the 9 months last year at 45.4%. The EBITDA for 9 months is at INR 1,174 crores, which represents a 42% increase compared to the same period previous year. The EBITDA margin is at 10% versus 8% from a year ago. Profit after tax is up 49% to reach INR589 crores with a profit after-tax margin of 5%, and that's 120 basis points higher than 9 months of last year.

In terms of a few updates in the power sector as such, the Central Electricity Authority has reported that 3,841 circuit kilometres of transmission lines were added in the third quarter, which is ahead of the target that they have set of 3,590 circuit kilometres. In the 9-month period, 9,047 circuit kilometres of transmission lines have been added. And this is against a target of 16,600 circuit kilometres. So, we are hoping that in the fourth quarter, that is the Jan-March quarter, the pro rata addition will be higher than in the previous 9 months given that this is some of the best climatic conditions for project execution.

On the substation front, India saw an addition of nearly 38,336 MVA or substation or transformation capacity in the 9 months, which is 61% of the planned addition of 61,404. So here, we are lagging a little bit behind, but the order books by various transformer companies and other component suppliers into substations continues to remain pretty strong.

If you look at the

ministry of new and renewable energy, we have set a target of awarding 50 gigawatts of renewable energy capacity including 10 gigawatts per annum from wind energy between 2024 and 2028. In the recent COP 28 Summit, 118 countries have agreed to triple the global renewable energy capacity by 2030.

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So, the current level is 3,400 gigawatts and these pledges are to take it to 11,000 gigawatts. In addition to this, the Prime Minister a short while ago, has also announced a very ambitious plan of about INR1 lakh crore of rooftop solar, which should be implemented across India. So, there is still a lot of discussion and movement going forward for this renewable energy addition to happen as part of the increase in energy consumption and as part of the energy transition.

Now coming to the individual business performances, our Conductor business revenue in Q3 FY '24 grew by 4% year-on-year to reach INR1,985 crores.

However, the volume has grown by 14% in the quarter. Aluminium prices have been lower, and that is what has -- it's almost 11% lower than in the same period previous year, which is why the revenue number has been lower.

Sales ex the US because the US is the second largest market after India for us, even for Conductor actually recorded a 28.3% growth year-on-year. The domestic deliveries of aluminium AL-59 and HTLS conductors as well as aluminium rods have remained in fairly good demand. The export revenue contributed to 40.2% of the division overall revenue versus 49.6% in the year ago period.

The premium products contributed to 42% of the revenue mix. The EBITDA per metric ton post forex adjustment is at INR41,530 per ton from a good product mix of these premium products and also a higher share of exports to countries where the margins have been relatively good.

Our overall order book is at INR6,081 crores with a share of about 40% coming from premium products. Mind you that in terms of the standard products on conductors, a transition is happening from ACSR to AL-59 alloys, which is definitely more beneficial to technologically focused companies like ourselves. Furthermore, the slowdown in the US market order inflow due to the inventory rationalization that I spoke about earlier has been pretty much offset by strong domestic demand. The upgrade in the specifications that I mentioned of ACSR to AL-59 alloy has actually created a win-win situation for manufacturers like APAR as well as for transmission line owners because this results in a reduction in the total

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cost of ownership of the transmission lines. So, this effect has started, and we believe that the full effect of this is going to play out over the next few years.

In the 9-month period, revenues came in at INR5,703 crores, which is up 17% year-on-year. Export sales contributed to 46.7% of the revenues versus 43.4% compared to a year ago period. The volumes are up in the 9 months by 36% year-on-year. The EBITDA per metric ton is at 39,777, which is 5% higher than in the previous year.

Coming to the oil division. The Q3 FY '24 revenues came in at INR1,244 crores. The volumes are up by 8%, transformer oil volumes are up by 16% year-on-year.

Exports contributed 44.3% of the revenues. The EBITDA post-Forex adjustment for the quarter came in at INR8,157 per KL, which is higher than what has been, not only last year, but in the previous quarters, and this is reflected from slightly better pricing and a lower cost profile than we had.

Part of this increased profitability was due to a delay in shipments of base oil and given that Q2 cost structure was lower than Q3, there has been some -- the weighted average cost of inventory has been a bit lower that has added to some incremental profitability in the quarter.

Lubricant revenues came in at INR281 crores, with a volume of about 17,945 KL. During

the 9-month period, oil revenue is up 5% at INR3,640 crores, the volumes are up by 13% in the 9-month period. Transformer oil volumes in this period are also up by 12%, and the EBITDA per KL came in at INR6,257 per KL. Our lubricant revenue is at INR703 crores with a volume of 52,812 KL for the 9-month period.

Now coming to our Cable business, revenue growth remains flattish versus the previous year. And as I mentioned, this is almost fully attributable to the inventorization process of US customers. So, if you exclude the US, the rest of the geographies grew by 24.1%. Exports has contributed 31% of sales versus 60% in the year ago period. The EBITDA continues to post double-digit margins at about 11.5% in the current year. For the 9 months, cable revenues are up 20% year-on-year at INR2,773 crores on the back of an increase primarily in elastomeric cables.

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Global sales, excluding the US is up 43% year-on-year. And the export mix for 9 months is at 43.7% versus 50.7% a year ago period. The EBITDA post foreign exchange for the 9 months is at 11.4% versus 9.8% in the previous periods. The US order intake is showing signs of revival post this inventory rationalization that we've just spoken about. We are clearly seeing an increased level of inquiry and orders, which are getting finalized do have delivery periods which are coming towards the end of FY '24 early part of FY '25. So, it means in March of this month and largely in the first quarter onwards.

We are also receiving similar feedback from the European Union countries where a similar process has also happened. On the downside, we have seen that the wars committed in the Red Sea has affected the shipping rates. And the frequency of vessels flying back and forth has also increased due to it having to travel around the Cape of Good Hope in Africa as opposed to through the Suez Canal.

So, markets on the other side of the Suez Canal like the US, EU, LatAm and West Africa, there the effect is higher. When you look at East of India, then there is relatively a much lower effect. There has been a sudden increase in freight due to diversion through the longer route, but we also see some of the price increases that carriers are charging as being opportunistic.

And therefore, over a period of time, there is a possibility that these freight prices will start getting rationalized again. The higher freight is hurting competitiveness of future business from locations like India and the UAE with respect to the markets that I just mentioned, it is really unclear how long this will last, but we are quite optimistic that this upward trend and upheaval in freight prices will settle down in the months to come.

Having said that, we remain optimistic that the basic growth drivers that we've been talking about for the last couple of years, both in the domestic and global markets remain intact. We have further updated our corporate presentation and the company profile and its performance, which is available on our website. We would encourage you to please access the same as it does carry a great level of detail much beyond what can be discussed on this call.

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So, with that, I'd like to come to the end of my comments. I thank all of you for joining this call, and we can now open up the floor to questions, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very, very good quarter. Sir, my first question is on the HTLS

opportunities. Are we seeing a larger traction from the state utilities or big power grid? Are you seeing more tenders compared to last year? That's the first.

Chaitanya Desai: Yes, we are seeing -- there is an increasing interest in -- of more HTLS lines. But some

of the timing of those tenders is unclear to us as to when exactly those will fructify. But nonetheless, the trend is definitely positive and upward.

Kushal Desai: There is a statistic that sort of indicates what the trend of this is going to be that if you see quarter-on-quarter the delta and power consumption that the growth in power consumption in India has been increasing. And in the last quarter, it touched almost 9-point-some percent over the previous year.

So as this trend takes place, the opportunities for reconducting with HTLS line is going to continuously increase. A number of tenders have been lined up, but you will have a small period due to maybe the Indian election from where awarding of some of these tenders may get delayed by a couple of months, but the trend is very positive.

Mohit Kumar: My second question is on the conductors broader number, given the fact that a lot of transmission activities picking up in this country. And do you expect the domestic contribution to inch up and in sense, could there be a shift for the standard conductors to be supplied to the Indian market basically for next 2, 3 years, when you see the activity is very, very high, it looks like that.

Kushal Desai: So, Mohit, the Indian market remains very strong, as you mentioned. And that's how when there has been a slowdown in the US market was completely picked up by demand in the domestic market. What is interesting for us is that the transition has happened from using aluminium conductors, which are still reinforced, which

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is at the bottom of the value chain. It has moved to the next level, which is the AL-59 alloy-based conductors. So that has clearly made the Indian market more interesting for manufacturers like us because there is a higher technology involved in providing those products, the competitive intensity is lower. And we see this trend -- it's already become now the default product.

So, in the domestic market, you'll see less and less of the ACSR and AL-59 becoming standard. So, in the next few years, because if you have such a strong growth on the renewable energy front, the transmission line requirements are also going to be very strong. And as we said in the previous calls, because AL-59 has become the standard, and it's a win-win situation both for manufacturers like us as well as for the end owners of the line.

The competitive intensity has reduced because many players who have not invested in alloying capability and technology where today are not relevant and they either shut down their businesses or reduced the amount of business that they do in conductors, especially on the transformation side.

Moderator: The next question is from the line of Renu Baid from IIFL Securities.

Renu Baid: Congratulations for the strong performance. I have a few very basic questions.

First, sir, if you can share any updates on the status of the BharatNet telecom tenders. Where are we in terms of order finalizations across these projects?

Kushal Desai: So, Renu, the BharatNet -- it's at the stage of industry discussion. So, several rounds of discussions have happened and feedback has been sought. So, there are various packages there are 4 mega packages, and there are 4 smaller packages, which are being proposed. And the guidelines of that have been shared and industry participants, there have already been multiple rounds of discussion and feedback, which have happened.

So, our sense is that it's a tender that could possibly come out. I know they're racing a little bit against time because of the impending elections. But it's at a really advanced stage in terms of getting finalized.

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Renu Baid: But in your view of the tender, what would be the probability of the tenders getting pushed back because of the election code of conduct coming in by late February or

early March?

Kushal Desai: The sense we have is that they are trying to do this in time. Because the networks are very large and the more time that is lost. It's -- the Prime Minister really wants rural telecom connectivity to increase. So, if you don't do it pre elections and you'll probably lose 3 to 4 months at least.

Renu Baid: So, I guess 6 months then probably we'll have to just...

Kushal Desai: Election period to get yourself mobilized and these 3 months only.

Renu Baid: Okay. Coming to the core business of Conductors, I think consistently, we have -- the business has been faring much stronger than what even we have been expecting. So first, as you mentioned, that there is a structural shift from ACSR to AL-59 range. While this is beneficial for industry and for suppliers like you, what does this mean in terms of differential in either realization per ton or EBITDA per ton when we compare it with the conventional ACSR. So approximately what percentage differential is there.

And based on this, given this transition is now very much visible, how should we look at the longer-term EBITDA per ton numbers for us, maybe from a fiscal '25, '26 perspective. So earlier, we were guiding for long-term ranges of INR25,000, INR28,000 per ton. So now based on this shift, how should those long-term numbers look like?

Ramesh Iyer: Yes. So first, in terms of AL-59 was the ACSR, as the product itself is different and it's a much more improved product than the ACSR type conductor. But there are a lot of competition, a lot of players who manufacture the ACSR type, but it comes to AL-59 there are just few players there because the product is different to manufacture. And the quality is different.

Also, the realization -- more than the realizing the margins are better because the weight of the conductor is much less because of the characteristic that it has and

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it is less corrosion material also. And we have been seeing more volumes coming from this AL-59 type conductors in the recent past.

So, if you look at the overall Conductor division, the EBITDA margin are high because of various factors. The export mix has gone up. We are selling more of AL-59 conductors. The premium products proportion has gone up so it's a combination of factors that has actually led to the high EBITDA. And this has been consistently happening over the last few quarters, more than a year now.

Coming to your question in terms how do we see it in future will be, we give guidance on a long-term perspective. We don't give a very short-term quarterly or half-yearly guidance. But if you look at it from a long-term horizon point of view from 3 years to 5 years point of view, we feel that given the mix change because of the product characteristics are evolved, we feel that the conductor margins could be anywhere above INR28,500 per metric ton plus the tailwinds so that we keep on getting it on, EBITDA.

So, our guidance has been improved over the last 1 year. But as it is visible as of now, we feel that long term, 3 to 5 years, it could be anywhere from INR28,500 plus tailwinds.

Renu Baid: Got it. And just from academic understanding perspective, I mean, as you mentioned, the share of AL-59 in the conductor mix has been increasing. Can you help us quantify from being negligible a few years back, where does it stand today? And as an industry leader in your view, since the 2 years by fiscal '26, how large could be the share of AL-59 within a conductor mix in the domestic market?

Kushal Desai: So, Renu what happened is that the Central Electricity Authority has now made this AL-59 as an option to bid against for EPC players. Now given the weight versus current carrying capacity it's really beneficial to use AL-59 versus ACSR. So as a consequence, it is becoming the standard. The option is given it's like literally a no-brainer to go with AL-59 versus ACSR on a cost

of ownership basis.

So, our sense is that all these interstate lines and even longer intra-state lines will all move towards AL-59 as a base as far as India is concerned. Because it's a lighter

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conductor that can face much lower amount of aluminium in it. So lighter in the

sense that it doesn't have steel. It's a full alloy aluminium. For the same weight of aluminium, you can carry a higher current. So now -- so either you carry more current on the same line, if we want to carry the same amount of current on the line, you use lesser aluminium.

On top of that, because the conductor is lighter, the tower structure itself is considerably lighter. You can also increase the span between 2 towers. So, it means that the total number of towers can also be reduced. So, there are a lot of parameters that a good -- a good designer has in their hand to optimize the use of the AL-59 versus in the case of ACSR, you don't have much flexibility in terms of how you can design the line. So that's why given the option, this should become pretty much the standard in India. I hope that answers your question.

Moderator: The next question is from the line of Mr. Mehul Mehta.

Mehul Mehta: My question is related...

Moderator: Sorry to interrupt, sir. Your line is not at all audible. May we request you to use the handset mode, please, if you are using the speaker more?

Mehul Mehta: My question is with relation to transformer oil business for 9 months, transformer oil business has grown at 16%. And for 9 months, it has been 12%. So, it's quite appearing accelerated growth. So how would that been in terms of order inflow can you share for 9 months? How we have seen like in terms of transformer oil?

Kushal Desai: So, you see -- our callers on transformer oil basically happens largely from transformer OEMs, and they are ready to deliver their transformers and when utilities are ready to accept the transformers at their site. So, I -- so it's sometimes a little misleading just looking at 3 months. But having said that, if you go around all good transformer manufacturing companies, not only in India but in most parts of the world, have a very solid order book in place.

And given all these lines, which we are talking about, these transmission lines and in the case of transformer oil for APAR, it goes into the generating point, it goes

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into transmission substations and it goes into distribution. So, when you aggregate all of those 3, we see that there will continuously be addition happening. And this growth we have seen both in India as well as outside India.

Mehul Mehta: And sir...

Kushal Desai: So, in short, if you take a 1-year, 2-year, 3-year perspective, it is going to grow linearly with the addition of transformers and the transformation capacity.

Mehul Mehta: Right. So, in terms of, say, like 16% when we are seeing like volume growth for transformer oil, can you share like in, sir, last 2 years, what would it have been and how it has been accelerating?

Kushal Desai: Well, I mean, it is up 16% quarter-on-quarter and 12% year-on-year. And we've been guiding that even though the oil vertical itself may see about a 5% volume growth, we have been guiding that transformer oil should see a double-digit growth, and that's what is actually panning itself out. So, if some of these plans is they are talking about, this is far behind on the transformation capacity, as I mentioned in my opening remarks, if that is accelerated, then again, requirement of transformer oil will continue to grow.

So basically, over a period, we are very optimistic that this will be the lead product in terms of growth in the oil vertical. And if you see it's the strongest products that APAR has both from a domestic end point as well as what we export.

Mehul Mehta: All right. And sir, if I understand corre

ctly, like our focus is mainly on power

transformer oils rather than distribution. Is that correct understanding?

Kushal Desai: So, we have a higher market share in terms of power transformers because our oil is really the best that's out there. And it is the preferred oil with OEMs, especially as they go higher and higher in terms of capacity. Like, for example, if you take 800 kV HVDC which is the highest voltage type of transformer here, we have more than 90% market share. But as you go down into the distribution transformers, the differentiating criteria is less, and the transformer OEMs are also

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very widespread. There are many small distribution transformer manufacturers who

quote on tenders of the state electricity boards, etcetera.

So, there's significantly more price sensitive. So even though we have a good presence even in the distribution side, we have a more dominating presence on the power transformer side. But our products are available across the entire age.

Moderator: The next follow-up question is from the line of Ms. Renu Baid from IIFL Securities.

Renu Baid: I had two follow-up questions, one on Conductors and Cables. So, coming back on conductors, while now in the last 2 quarters, we have seen a substantial jump in the order backlog to almost INR6,000 crores. How should we look at the volume growth for fiscal '25, given that the backlog is already there with us today? And the execution timeline of this order book should be in the next 12 to 18 months?

Ramesh Iyer: So, we are looking at a 15% volume growth on the conductor division for the year ahead. And in terms of the order book out of INR6,000 crores, about 25% of the order books that will get executed post FY '25, we have got the orders now, but the execution of that will start post FY '25. And the remaining months of the execution timeline, depending on the product ranges anywhere between 7 -- 6 to 7 months.

Renu Baid: Do we have any L1 number to share on the order book for Conductors, projects where we are on the L1?

Ramesh Iyer: No, we don't share these numbers.

Renu Baid: Secondly, on the Cables portfolio, while you have mentioned of the US inventory destocking. Incrementally, as the supply chain issues are now propping up again, have we seen customers coming back with orders with slightly elongated delivery timelines. So how is the outlook looking again for US marketing specific and do you think most of the inventory destocking concerns which were there behind us as we step into CY '24?

Kushal Desai: So, first Renu, the inquiry level has started picking up. And so that is the first good sign that if your inventories for all products have been high, then there was a

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silence literally in terms of inquiries. The dialogue was more like "yes, yes, requirements will be good for next year, we'll come back to you." So instead of that now, you're quoting on an increasing basis against inquiry. Your question in terms of the longer lead time, yes, there is a 15-day longer lead time if you go around the Cape versus through the -- through the Suez about 15, 18 days is the longer time frame. Customers today have been giving us DDP requirements. So, door delivery, the time they want the product to be delivered at the project site or the warehouse. So fundamentally, that will result in us manufacturing the product 3 weeks ahead. and shipping it out. So that's why we see offtake increasing basically as we move towards March, and then there's a lot of more deliveries expected to happen in the April, June timeframe.

The other thing Renu is, the product mix also. We are finding that medium voltage cables and certain types of cables, the inventory levels being held are lower than in the building wire, the house wires and the more simple type of cable. So, we are starting to see more orders

coming off some of the higher value products first where the inventory levels are a bit lower.

Renu Baid: My second question on the Cable was related to the mix itself. Can you just give us share a broad indicative mix for the 9-month period? How has it been between the high voltage and low voltage and specifically for high voltage and special application cables, how do we stack in terms of mix for telecom, solar, renewable products?

Ramesh Iyer: So out of our total sales, about 25% to 30% is the elastomeric cables, which is rubber flexible cables that gets used in different industries. And then OFCs will be about 10-odd percentage and the remaining would be the power cable.

Renu Baid: Got it. And in terms of geographic mix, how large would be US for you for the 9-month period?

Ramesh Iyer: This year, US has been low because of the reason that we talked about earlier...

Kushal Desai: Maybe a third quarter.

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Ramesh Iyer: The mix also of cable, exports in cable, which is less this year. So, this year may not give the right number to really see that.

Kushal Desai: Last year, in FY '23, it was about 16% of the total revenues of APAR.

Renu Baid: Got it. And lastly, if I can ask 1 more question, given that Cable structurally is a high-growth segment for you, and there is significant capacity addition also which we have committed here. So, if you look at from a longer-term perspective, from a 2- to 3-year perspective, fiscal '25, '26, how do we look at the volume growth in the segment to ramp up? And along with volume with increasing mix of specialty of cables here. How do we see the margin expansion story in this segment planning for us?

Kushal Desai: Yes. So, we've been guiding through the last quarter as well as through leading up to the QIP that we had. We expect the sale, the Cable business to grow at about 25% a year CAGR for the next few years. There is a strong -- basically, a lot of electrical usage is increasing. And as a consequence, all types of cables, there is a growth. The areas where we are focused in, which is primarily around wind, solar, the railways, defence, mining, etcetera, which is the elastomeric cables where we stand to gain relative to our competition.

And there are more complex products to make where we also carry a higher margin. So, we see the demand for this product being quite strong. And there's a big revival happening in the wind sector. And also, the government has recently come up with a new scheme where you can upgrade your old wind farms.

So, if you see some of the locations which have the best plant load factor of wind, we have been occupied several years ago with windmills of smaller capacity because in those days, that is what was the product available. So, you have 2 to 50 kilowatts, 500 kilowatts, which can today be replaced by 3.5 megawatts. So, they have come up with some schemes for helping these wind developers upgrade their products. And the other feature to this is that in case you have existing PLA agreements, etcetera, it is going to be applicable only for whatever was the original installed capacity.

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Any new capacity that comes in, you're free to use whatever other avenues that are available. So, these sort of things coming in, it is going to result in a substantial increase in the amount of wind capacity going into the country. And if that happens and APAR stands to gain because we have -- we are by far the big daddy in the cables that go into the wind towers.

Renu Baid: And that should also help our margin profile to come to early teens, 12%, 13% level.

Kushal Desai: Hopefully, yes.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK.

Dhananjai Bagrodia: Congratulations on a great set of numbers again in this environment. Just a question on your conductor business. How are

we seeing that in terms of capacity

because our volume growth has been strong, but do we have capacities, 2 or 3 years, hence, to continue with the same kind of growth?

Ramesh Iyer: Yes. So, as we stand today, we have the capacity of 2,05,000 metric tons. And in terms of additions, we have been increasing the capacity depending on the demand requirement. So as and when we are seeing the demand coming up, we put up the facility for manufacturing almost about a year in advance. So, as you see growth of 15 percentage volume coming on the year, you will see capacity also increasing in that to proportion.

Dhananjai Bagrodia: No. But this year, for example, FY '24, your numbers could be higher than 2,05,000. Is there some inventory from last year, which is also being sold because then a year hence from today, let's say, FY '25, '26 to show 15% -- let's say, there's 15% or 20% volume growth. Would that be easily feasible to get the increased capacity?

Kushal Desai: So, this year, we already have capacity in place. So, if you take the plan for the year, it is around -- we had originally planned for about 175,000 to 180,000 tons.

We will be closer to 2,00,000 tons in this year. And already -- additions have already been planned to be able to cater to a 15% growth in FY '25.

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We've acquired new properties, which if you look at the previous call that we've acquired properties or some of the cable manufacturers in Silvassa who have actually shut down. And so, we will install new equipment in those properties and scale the business up. So, 15% per annum is what we are looking at next year and even for the year after.

Dhananjai Bagrodia: Okay. So, it takes 1 year prior to get scale and production ready, right?

Kushal Desai: Yes, yes. We've already started ordering equipment and stuff depending on the lead times.

Dhananjai Bagrodia: Okay's. Perfect. And sir, secondly, just maybe as your risk player, are you all seeing -- in the transformer, are you seeing more growth coming ahead in the power and distribution transformers going ahead?

Kushal Desai: Sorry, can you come again?

Dhananjai Bagrodia: Yes. So are you all seeing good growth ahead in power, distribution transformers.

Kushal Desai: Absolutely. We're seeing growth in both the power transformers that go into the transmission side as well as on the distribution side. It's just that for us, the growth that happens in the case of the larger power transformer is because we have a higher market share and a good differentiating story where we tend to gain more. But the transformer demand is strong across the entire spectrum.

Dhananjai Bagrodia: Okay. So then -- and particularly, any -- in terms of -- are you all seeing it in any particular regions or between utilities in private or public enterprises for power and distribution?

Kushal Desai: So, you see it across right from your RDSS onwards, all these new transmission lines which are being added all the sites with -- you have wind and solar going in because basically you would need 3 substations. You need 1 substation to raise the voltage level after generating source. Then you need a transformer, which is either an aggregate transformer or a step-down transformer. And then you need a third substation, which is closer to the last mile user.

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So, the three substations required -- basically if you look at the chain. So, across the board there will be demand in states where the electrical growth or the requirement for electricity is increasing, you will obviously have more transformers going into service that region. But generally, in India, all the industrialized states you are seeing very good electrical growth or electrical consumption.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Funds.

Mahesh Bendre: Most of my questions have

been answered. Sir, during the quarter, our international business has been quite soft, both on Conductor side and Cable side.

So, do you think recovery will happen from next quarter onwards?

Kushal Desai: Yes. So, it is relevant soft lead essentially by the US market. And as I mentioned earlier that we've already started seeing an increased inquiry level coming from this. And on the Cable side, the order inflow has started even on the Conductor side, there are increased inquiries and some order flow is looking likely to come through. So yes, as you look at FY '25, you will see that the number will be better than FY '24. Increasingly, it looks like that that's going to happen.

Mahesh Bendre: And sir, along with this Red Sea issue regarding the shipping of the products, so that will also have some implication in terms of supplying products to US and other countries?

Kushal Desai: So, the US is a little bit less affected. What is more affected is West Africa and Europe because basically, to get to the other end of the Red Sea, we go down South, you go to West Africa and if you carry on forward you hit Europe. So, the effect is a bit more there because the diversion is very, very long.

In the case of the US, the diversion is more in terms of 15 days to 16 days of additional sailing time. And the rates have gone up, but the delta and the rates is less than what has happened in the case of Europe and West Africa, particularly.

And Latin America, there is an increase in rates. But again, not such a huge disruption compared to -- compared to what it is in Europe because, again, you can use effectively the -- going around Africa.

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Mahesh Bendre: Sir, has the situation normalized or still it's in -- quite concerned?

Kushal Desai: No, it's not -- it's nowhere near normalized. Where still the Houthis are still there with the drones firing away and the militaries are all trying to chase them down.

So that hasn't -- I mean I think that channel is still not back to anywhere close to what it was. All the good carriers are actually diverting their vessels through the -- through the tip of Africa.

Moderator: The next question is from the line of Levin Shah from Motilal Oswal Asset Management Company.

Levin Shah: Most of the questions have been answered. To the question on conductors margin, you just alluded that long-term outlook or the long-term number continues to remain at around INR28,500 plus tailwinds. But what we have observed is that after 2 quarters of muted number versus previous few quarters.

In this quarter, again, we have seen some improvement. Is it because of US market going down versus the previous quarters and domestic conductors like you said, AL-59 is the dominant one that has helped our margins or you see the tailwinds continuing for a longer period of time versus what was expected?

Ramesh Iyer: So, there are these reasons, as I mentioned, it's a combination of now overall premiumization of the product portfolio in the Conductor division. That is point number one. And the sale to developed countries, developed economies, the one on exports happening. AL-59 replacing ACSR is happening. So, while the tailwinds are there, we don't expect the tailwinds to have go down immediate effect or so.

So, we don't expect suddenly the margins to drop in the few quarters. But all that, we are saying that if you want to build a plan for 2 years, 3 years or 3 to 5 years, then taking a sustainable margin of INR28,500 is what we are guiding for. Having said that, we don't expect in the immediate future, the margins dipping considerably.

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Levin Shah: Sure, sure. Sure, this INR28,500 number earlier, I think if I recollected correctly, we were guiding for INR25,000-plus tailwinds. So, is there that now we are seeing with all the key tailwinds that you alluded to th

at the margin's outlook has improved
versus what you are seeing previously?

Ramesh Iyer: Yes. So, if you see last couple of years, we have been gradually increasing our guidances from what it used to be INR8,000, INR10,000 couple of years before. As an end, we are seeing opportunities getting established as we are seeing confidence in the products and the market, we are gradually increasing the guidance there. And also because of AL-59 ship that we are seeing, we are now more confident to sustain this level of EBITDA going forward.

Moderator: The next question is from the line of Charanjit Singh from DSP.

Charanjit Singh: Sir, on the -- especially on the acceptances and the interest cost, if you can touch on what is the acceptances number right now? And how should we see the interest cost overall going forward?

Ramesh Iyer: Yes. So, the acceptances is about INR4,100 crores, the LC acceptances, which are there on the books. And interest cost actually is a function of your SOFR rates that is happening plus the rates of metals, aluminium, copper and oil as well as the level of procurement that we do, this will also depend on the exchange rate prevailing. But depending on the volume of the business that we are seeing in the current quarter interest rate is fair approximate that we can see in the future quarters as well.

If you see the last quarter and this quarter has been about flattish was a marginal increase depending on the level of production. So maybe that's the level we can see. When we see interest rates coming down, the SOFR rate coming down, that's where we'll actually let you see interest costs actually coming down.

Charanjit Singh: Okay. So, the other thing is like you've also touched upon non-US markets in the export segment, especially, how is the outlook contributing there? Because this time, actually non-US markets had contributed to decent growth. in the conductor segment. So, if you can touch upon how these markets are evolving? And can they

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offset if there's a weakness in the US market at all? And the other aspect is that with a lot of these freight issues, do you see again, inventory levels building up in the channel where the deinventorying was happening in a big way earlier?

Kushal Desai: So Charanjit, this deinventorying thing, as I mentioned, what is happening is that customers are increasingly giving DDP date. So, the adjustment is happening at our end. If the lead time is going up by 15 days or 20 days, and we are exporting the product that much earlier.

In terms of demand excluding US, It has been best in India and in some other pockets in the world also, it has been okay. But it may not replace the US market in terms of the quality demand and the pricing that was available in the US.

Domestic is strong.

So, the volume can easily be substituted with the domestic business. But having said that, we don't see the long-term US market not being there. This is more a shorter-term sort of effect. We were holding up to almost 9 to 10 months of inventory, whereas the law has normally been holding 2 to 3 months. So that 6 to 9 months cycle, everybody has to -- I mean, you have to kind of face it. So, I think that worst is going to be over. And after that, demand will continue to pick up from this, but overall demand is good. So, whether it comes from geography or geography, we -- you will see a strong demand.

Charanjit Singh: Got it, sir. Sir, especially in Cables also, you've highlighted that US and Europe inquiry levels have gone up and in terms of Cables also, the kind of approvals which are required are similar to what are they in Conductors, how is this market shaping up for us in the US and European context?

Kushal Desai: So, in the US context, we've been -- some of the customers that we've started working with, they've come back to us, giving us new products to even get UL approvals f

or those categories get opened up. So, I think our relationships are deepening with EPC players and with customers that we are servicing. So that's the reason why we have confidence that as time passes by, the US market will continue to actually grow and be a very strategic market for us.

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As far as Europe is concerned, there, we've been approaching more and more customers. Again, we have a similar sort of feedback saying that from March, April onwards, we should be seeing increased supplies taking place. Many utilities have also started discussions, etcetera, for their requirements that are going to come up in this financial year.

Moderator: The next question is from the line of Maulik Patel: from Equirus.

Maulik Patel: A few questions. Can you just highlight on the capex side? I mean what we planned this year and how much we spent and where you have spent? And what about for the next year if you have finalized the budget.

Ramesh Iyer: So, we had planned about over INR300 crores to be spent in this financial year. And as of December end, we already spent about INR225 crores of capex. Going forward also, we feel that to maintain the level of turnover that we need, we'll be spending about on an average about INR300 crores on an annual basis.

Maulik Patel: Doesn't it mean that increase in your Conductor capacity? Because you mentioned that your Conductor capacity is around 2.1 lakh and you will be running it at around most full capacity utilization. Do you think that you will need to add significant or new facility for the Conductor or is it just more about the brownfield expansion in the existing facility?

Kushal Desai: So, both actually for Conductor as well as Cable, that is where the large portion of capex will be spent. It will be a combination of brownfield expansion, also the debottlenecking of the existing machineries as well as, in some cases, Greenfield setup of new plant as well. So, it'll be a combination of all of these fees that will come in the future.

Maulik Patel: So, the capacity, which is around 2.1 lakh tons, that it will go in the next 2 years? Any rough ideas?

Ramesh Iyer: Capacity will actually grow in line with the demand, as in the demand coming up, which has been setting up the -- keeping the infrastructure ready with the year in advance.

Kushal Desai: 15% growth is what we are planning. So, year-on-year, you'll see capacity getting added based on that 15% growth. So, this year, we are at around 200,000 in the following year, you looking at equivalent of around 225,000 - 230,000. So that capacity has already been planned. Some of the orders of long lead equipment's have already been placed. But on a capex, fundamentally, you're looking at around INR300 crores a year of active capex for the company as a whole.

Maulik Patel: Got it. Got it. And the last one on this QIP money which you have raised almost INR1000 crores. So that has come down -- that must bring down your acceptance level from the H2 number, right? The September end, what was the acceptance? And now you mentioned that it's around INR4,100 crores.

Ramesh Iyer: Yes. So, we have utilized about INR300 crores of the QIP money by December end. And therefore, you see that partial impact in December and financials. And the bulk of the money will get actually spent in quarter 4 of this year.

Moderator: The next question is from the line of Abhijeet from YES Securities.

Abhijeet: My question is on the export side. Last few quarters, we have seen some weakness happening, particularly in the US geography. Can you comment on the underlying demand in US? So, like you mentioned that India is seeing a lot of policy-driven push on the renewable side, like rooftop solar announcement of 1 trillion, etcetera. And US has also been -- I mean, the US policy has also been driving inves

trments
in renewables.

But as far as I understand, there were some pushbacks because of the higher interest rates. So, some projects were getting delayed there. So, in terms of the underlying demand, I mean, I understand that there is inventory rationalization happening from the channel. But underlying demand, can you comment on it a bit, the US particularly?

Kushal Desai: Yes. So overall the underlying demand is still there. We are finding deinventorying happening in products like cables and many other categories where the supply was relatively free, there was a free flow of the supply and they handle overstock. There is today a problem that is there with some of the
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components, for example, in a solar plant, if you look at junction boxes and some of the connectors and stuff there, China is the largest producer of that, even solar panels.

So, with the US wanting to source less product from China, there are bottlenecks even in the supply chain. So even if a utility or a customer is wanting to put in capacity at a higher pace, there are some limitations coming from critical components in it.

So as a consequence, it's not that the demand has actually evaporated or got destroyed. It's really -- demand is still there. These or whatever the inventory is being used to service and whatever is not, is being ordered. But items that China dominates is actually -- is creating some bottleneck on the ground.

Now having said that, the indications that we have from most of our customers is that, as we work through 2024 and get into 2025, their demand revival should take place. And we are clearly seeing that with kind of inquiry levels that are coming in and order flow has already begun. So, I mean you add all these things up and I think it leads to definitely 2024 being better than what the situation is as we ended 2023.

Abhijeet: Right. So, I mean, sir, lastly, what I was hearing is -- was that the project costs have gone up a bit. So, one of the variables that you mentioned that sourcing from China has reduced. So alternative sourcing is being done by the project developer there. Also, the interest cost is 1 variable, which is impacting the increased project costs.

Kushal Desai: Yes. So, the interest costs are definitely playing a role because not only is this a cost of interest but then you also have your debt service ratios, which are there. So, if your interest cost goes up, then the amount of leverage you can take also gets reduced. So that effect is definitely in place.

But the way we look at it is, the US imports \$19 billion worth of cables. And there is a huge ocean out there for us to pursue. And our own market share, if you see
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the FY '23, which would be the best year that we sold to the US, we were at a little over INR1,000 crores in the US market as such.

So, there is a lot of room to grow and some of that is independent of what happens at the -- I mean if you have a dominant market share, then you will be affected by this. There is -- there are still quite a lot of projects that are going on over there. And so, we are quite optimistic and we are pursuing it.

Abhijeet: Sir, from our current product profile, what is the kind of market that we can serve in US, you mentioned \$19 billion of products. So, what is the market that can be addressed with your current product profile?

Kushal Desai: We can do the entire building wire segment. That means all the cables that go into real estate. We also have UL approval for all the low voltage range. We have an approval which we recently got for the medium voltage that's going up to approximately 40,000 volts. We have other special purpose like, for agriculture and stuff.

We have totally over 20 UL approvals in place and we are continuously adding also based on the demand that's coming from the customers.

These products find themselves to a reasonably large addressable market. It's really working through with customers and through distributors that will be the bottleneck, not the demand as such because if you add all these orders still a drop in the ocean in terms of the total demand that they have.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: Kushal, on the US cable front, I'm a bit surprised because whatever I am talking to the other cable manufacturers, US situation for cable demand has been very buoyant. I mean, KEI, for example, is running short of capacity. Otherwise, they would have more than doubled their exports to America. So, am I missing something, why America?

Kushal Desai: Bharat bhai, as far as I mean I can just comment from export statistics that we have access to. That if you take FY '23, APAR was the largest exporter to the US, Polycab
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was a close second. And KEI's exports was almost non-existent to the US. Their major export markets were in Australia and other geographies. So, they are actually just starting to make their way into the US. And I haven't seen -- whatever data we have so far in the year, I haven't seen them really selling anything or very large quantity in the US.

So, we're in touch with at least 50 plus customers and a whole lot of distributors who regularly buy from India stock and then resell the product. And all of them have a common theme saying they are deinventorying because they were carrying relatively very high levels of stock to insulate themselves from the supply chain issues that existed before.

So today, what products we are delivering is really the makeup product. If you require 4 or 5 different types to go to a site then whatever is missing to deliver an order, that is what they're placing and asking for immediate delivery. New project site deliveries are getting deferred by a little bit.

So that's what the feedback that we have. We have two full-time salespeople on the ground and they are constantly meeting customers over there. And this is the feedback that we have. And we've seen overall exports going to the US based on export statistics that we have, have substantially gone down compared to the same period previous year.

Bharat Shah: That's interesting. This is a bit contrary to what I assumed or I thought I had an idea about. KEI for the current year, if I'm not mistaken, INR150 crores US exports are on the cards or it is that's what I remember unless I have got the data wrong. And they were saying that they would have easily doubled it or more if they didn't take capacity constraints which they have actually...

Kushal Desai: No. We were running at a run rate which was almost INR300-plus crores a quarter.

And if you take the average execution of last year and the second half of the year was even higher than that. Our expectation is that, I mean, we will cross INR150 crores in a quarter in the next couple of quarters again. But it is definitely something which has been subdued for the last few months and now picking up.
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Bharat Shah: I see. And Europe also is similar commentary, you would say?
Kushal Desai: So, in Europe, we have been focused more around the renewable energy side. In the US, we have more sectors that we are covering. So, on the renewable energy side, also the distributors there like [LAP, Heliu Cable], all these guys, they produce some of their own products and they supplement with imports. So, they were all holding larger inventories but their inventory positions have substantially improved. So again, same expectation that as the summer comes in, you will start having deliveries taking place. We also have a contract with Enel, which is a large Italian utility. So, Enel also had a lot of stock at their end. And part of th

e problem was because certain components which they required, like these junction boxes and things that were delayed. So as a consequence, their cable inventory has substantially gone up. So now as that backlog is getting cleared, deliveries will start for us on the new Enel contract from April and May onwards. So, we see as we get into 2024 down the line -- down the year, sorry, the demand is going to pick up. Australia, on the other hand, has been quite steady right through this period. And KEI has a major position in Australia, for example.

Bharat Shah: Sure. Sure. And one last thing. I mean, if I look at the current quarter, while apparently, the overall bottom line level performance is robust but essentially, most of the businesses have been flattish, both on top line and on the margins, except, of course, the oil business, which is, margins have shored up sharply. So, if I look at the year ahead, conductors, I think you already mentioned we are looking at probably 15% plus kind of growth, how do we see the picture for the other parts of the businesses for the year ahead?

Kushal Desai: So, the cable business, we are targeting a growth which is in that 25% -- 20%, 25% range. And in the case of our oil business, overall volume growth at about 5%. So, if you see the volume growth which has happened for the conductor
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business also has been 13% in this quarter. Aluminium prices like-to-like are down by 11%.

Yes. So that has eaten into what would be a rupee growth but the volume is there. And so, we see growth in all these businesses. In our oil business, fundamentally, the transformer oil should grow double digit.

Bharat Shah: Okay. So, outlook for the year ahead would be conductors 15% plus, cables, 20%, 25%. And in oils -- transformer oils double digit and overall oil portfolio, hopefully, profitability should reflect much better picture than the volume growth.

Kushal Desai: Yes, absolutely. And we've been guiding this for, I think, last couple of quarters and through the QIP process that we went through also.

Moderator: The next question is from the line of Kunal Sheth from B&K Securities.

Kunal Sheth: I just wanted to check on -- are you seeing any revival from the Chinese competition, especially in the international market and domestic market? What we have been hearing is that they have come back in the US market by routing it through other countries.

Kushal Desai: So, we have been seeing generally increased competition from the Chinese. There are certain geographies where Chinese products, the acceptance of those products was never in question, right through this whole period. Like, so if you look at parts of Europe, you look at parts of Latin America, Africa, etcetera, the acceptance was always there.

And in some cases, they gained compared to India because they had a more favourable tariff structure compared to what India had. The US -- we've heard that they're trying to route products through Vietnam and some of these other geographies. There are investigations going on.

And it could culminate in antidumping duties or some sort of punitive damages there. But do keep in mind that moment the Chinese try to route it through another geography it adds significantly to the supply chain costs.

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They no longer can be as competitive as they are from China. And as far as conductors is concerned, we've been competing with them for years around the world. So, I -- as far as the US market, Australian market is concerned, I don't think we are overly concerned. We also are working with a set of customers who do not prefer Chinese products.

And therefore, they have been working with us to be a long-term supplier to them, especially some of the utilities that are there in Europe and in Latin America, etcetera. Some product categories the Chinese are

very competitive like OPGW wires, etcetera.

In some type of simple construction cables, certain simple construction conductors. But I think this is something that -- the US market is still not flooded with Chinese products. And I don't think it will be that easy for them to sell in large quantities there.

Moderator: The next question is from the line of Raj Rishi from DCPL. Mr. Raj Rishi, your line is unmuted. You can please proceed with your question. As no response from the line of the current participant, we'll take the last question from the line of Amarnath from Ministry of Finance of Oman.

Amarnath: Yes. So just wanted to know, this year or this quarter, looking at the growth in the margins of this -- your oil side of the business and you said a note into the presentation that this is due to some shipment gone here and there and it has a impact on the profitability, which will be reversed in the next quarter. Can you please elaborate what is exactly you want to say?

Kushal Desai: So, we have long-term contracts in terms of supply from refineries. And because of certain supply chain-related issues for bulk shipments coming out of Korea, our largest supplier, which is S-OIL, they were trailing behind in terms of the shipments, which they've caught up in December month.

So, the prices which existed in that August, September, October time frame were lower than what were in November and December. So as a consequence, when
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you use the accounting where we use SAP, the accounting is done on a weighted average basis.

So automatically, you end up -- we price the product based on what should have been the supply pattern to us, what actually ended up happening is that because of the delay, the effective weighted average cost of the raw material was lower through most of that quarter and it increased only in the month of December. So now that higher-priced product is going to be carried forward into January and some part of February. So, you'll see a little bit of adjustment happening because of that. That's what we were guiding.

Amarnath: You also said that in January, February, the profitability and the margin will come down compared to what we.

Kushal Desai: We'll get a little bit affected because we are sitting with a higher cost basis, as you enter this quarter, which otherwise should have got consumed in the previous quarter and we priced our selling prices on that basis.

I would rather look at a longer term, a 9-month or a trailing 12-month period, which is indicating that the trailing 12-month margins actually have been better than the same period previous year.

Amarnath: Yes, that is exactly I'm coming to the next one. Now if you -- if we see the last 12 months, 15 months of this particular part of the business, the margin has been subdued due to several factors. Now from this quarter onwards, are we seeing that things are reverting to the mean and we are slowly going back to the original margin, which it was prevailing around 1.5 years, 2 years back. And then what -- how are you looking to 12 months down the line?

Kushal Desai: We've been guiding throughout at approximately INR5,000 to INR5,500 as the

EBITDA per kilolitre -- for 1,000 litres. So, if you see the 9 months, we've been actually above that. We are at INR6,125 per KL. So, we are already ahead of that guidance, which we provided. And as we go forward, these days, there are plenty of geopolitical type of upheavals and risks that come up. But our sense is that

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transformer oil requirements are going to be very strong and that is the lead product that we have. So, we are quite optimistic as we go into the future.

Amarnath: And what about the lubricant side?

Kushal Desai: The lubricant side is a mixed bag. You have some of the higher performance products doing quite well in terms of m

argins for us but the higher performance requires or has much longer drain intervals. So, you -- the volumes are always coming under pressure because of drain intervals of all oil products or all lubricant products are increasing. So, you see some improvement that happens in margin per litre or for kilolitre.

So, the volume will come under -- the growth is in the 2%, 3% kind of range, the market growth. So, we've been growing faster than that. So, we see that the lubricant margin profile for us has improved but we don't see any dramatic improvement happening there.

Amarnath: So, the volume will continue to be the subdued, right, I mean between this 3% to 5% arena in the next, if I say, 12 months, 15 months down the line as per your current estimate?

Kushal Desai: Yes, we are guiding 5% to 7%, of which 10% growth we expect from the transformer oil product mix.

Amarnath: Yes. And just last one clarification before I end. How you navigate when this crude -- the base crude oil price fluctuates, which is happening, say, for example, last few months because of so much of geopolitical tensions and things that are happening and it fluctuates quite severely compared to what it used to be before. So, in terms of getting this crude price as an input and then process and you do your output, as well as the pricing scenarios of your end product, how do you manage that risk of this.

Kushal Desai: Most of the B2B products are priced by the month. There are some longer-term pricing to customers and those we restrict to only utilities or to the MNC clients who honour a long-term contract, like the Hitachi, ABB, Siemens, and etcetera.

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So those are based on a formula, which is linked to the formula on which we buy from the refineries ourselves. So, there is a reasonably good correlation.

Otherwise, we just price it on a monthly basis. When prices go up gradually, then usually, there's not much of a problem. Similarly, when prices come down.

But if prices shoot up, if costs shoot up, or if selling prices fall sudden even you don't have a choice but to lose 1 month or 2 months in the adjustment period. So that's the reality of the way in which things have been operating.

Amarnath: So finally, even if there is a 1- or 2-month lag period either on the upside or low side, can we assume that finally, the price is getting passed on to the customers maybe with a lag, but upside or downside.

Kushal Desai: Yes.

Amarnath: So, over a period of time, our margin from that particular business more or less remains stable.

Ramesh Iyer: Yes. That is why we have been guiding this INR5,000 to INR6,000 per KL in terms of EBITDA because in some quarters, you may see margins going to about INR8,000, INR9,000 per KL, whereas in some quarters, we would actually see INR1,000 to INR3,000 per KL also. Therefore, we need to see this on a long-term 12-month horizon and that's where the guidance of average of INR5,000 to INR6,000 per KL comes.

Amarnath: Yes. Sorry, I'm putting little more emphasis compared to other callers because if I see the weightage of the profitability of this business to your current quarter and expected in the next quarter, as you can hear from the other similar oil producers whether it is Savita or Gulf Oil or even Castrol, so they are all looking very bright

compared to what the situation prevailing last 12 months, 15 months down the line.

Are you feeling the same sense that we are reverting back to the mean?

Kushal Desai: Yes. We've already gone beyond the mean, as you can see in the last -- from the last 9 months performance. And we are very optimistic on our growth, especially of transformer oil. We sell more than all of the people whose names you

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mentioned. So as transformer oil grows in this division, that is a lead product for us as far as our oil vertical is co

ncerned.

Chaitanya Desai: And there, we've been guiding double-digit growth.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. As no further questions, I would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you very much. I appreciate you all joining for our Q3 earnings update.

And just as a closing comment, we believe that all the growth drivers that we have and we've been talking about for the last few quarters, they remain intact. There are a few short-term issues that could be there like the Red Sea issues, etcetera but the longer-term drivers are still very much intact and we remain quite optimistic in terms of performance over the quarters to come. So, thank you very much.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

SEC/ 2005 /2024 By E -Filing May 20, 2024

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Earnings call on Audited Financial Results (Standalone & Consolidated) for Q4 and Financial Year ended March 31, 2024 (2023-24)

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations") , as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated May 14, 2024 under Ref. no. SEC/ 1405/2024 w.r.t. submission of link of Audio Recording of Investors Earnings Call on Audited Financial Results (Standalone & Consolidated) for Fourth Quarter and Financial Year ended March 31, 2024 (2023-24).

Pursuant to the provisions of Regulation 30 (6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Earnings Call made on May 14, 2024 on the Audited Financial Results (Standalone & Consolidated) of the Company for Q4 and financial year ended March 31, 2024.

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

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“APAR Industries Limited

Q4 FY '24 Earnings Conference Call”

May 14, 2024

MANAGEMENT : M R. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED

M R. CHAITANYA DESAI – MANAGING DIRECTOR – APAR
INDUSTRIES LIMITED

M R. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR
INDUSTRIES LIMITED

MODERATOR : M R. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. This is Ambesh Tiwari from S-Ancial Technologies. I welcome you all to the Q4 FY '24 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I will now pass on the mic to Mr. Kushal Desai for the opening remarks.

Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to the APAR Industries Q4 earnings call. I'd like to start by providing an overview of our performance and then discuss a few brief industry update. Post that, we can delve into more details for each of the 3 major business segments that we have and then open up the floor to questions.

So during Q4 FY '24, the consolidated revenue for APAR came in at INR4,455 crores, which is up 9% year-on-year. Domestic demand continues to be strong, offsetting the weaker export demand that has been coming, especially from the U.S. market, where customers had been deinventorying. Global sales growth, ex the U.S., actually grew at 29.8%

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in Q4. The overall export mix is 39% versus 53%, which was a year ago period.

The EBITDA is up 3% year-on-year to reach INR 457 crores with an operating margin of 10.3% versus 10.9% a year ago. Profit after tax came in at INR 236 crores, 3% lower than the previous year. But last year, same period was the highest quarterly earnings that we've had on record. It is 5.3% versus 5.9% in the year-ago period.

Considering the 12 months, the consolidated revenue posted an all-time high revenue growing at 13% year-on-year, closing at INR 16,153 crores. The growth is coming from higher volumes in all the 3 business divisions. The export mix for the year is 45.2% versus 48.8% in the last year. EBITDA for 12 months is INR 1,632 crores, representing a 24% increase compared to last year. The EBITDA margin for the year is 10.1% versus 9.2% a year-ago period. The profit after tax is up 29% year-on-year, which has reached INR 825 crores with a margin of 5.1%. This is about 70 basis points higher than the previous year.

Covering a few industry highlights, data from the Central Electricity Authority reveals that about 3,512 circuit kilometers of transmission lines were added in the month of March 2024. On a 12-month basis, 14,203 circuit kilometers of transmission lines were added, which has fallen short of the planned addition of 16,602. However, looking ahead in the next 3 years, it is targeted to add about 17,500 circuit kilometers of transmission lines per year and about 80,000 MVA of transformation capacity per annum.

On substation additions. The Indian substation capacity addition stood at about 78,382 MVA in FY '22, falling to about 75,900 MVA in FY '23, and it further fell to 70,728 MVA in FY '24. Very significantly, the private sector

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has been making increasing contributions to India's substation capacity build-up. In FY '22, private sector entities had added just 1,000 MVA of capacity, which has grown to now 5,000 MVA in FY '23, and it has risen to 15,000 MVA in FY '24.

On the renewable

energy front, the year proved to be a strong year for the country's renewable energy sector. India achieved the highest ever annual new capacity addition to the grid, spurred by the solar power segment, which accounted for 81% of the addition. The total new capacity added during FY '24 stood at 18.48 gigawatts, which was higher than the capacity added in FY '23. That was 15.27 gigawatts. In FY '24 -- and this is the highest all-time high addition in the year. In FY '24, the new capacity addition in solar power sector grew by 18% compared with the addition made in FY '23.

So today, India's installed renewable energy capacity stands at 143.6 gigawatts. And this excludes 47 gigawatts of large hydropower capacity. Amongst the renewable energy capacity, the total solar installed capacity is at 81.81 gigawatts, followed by wind at 46 gigawatts, and 9.43 gigawatts is biomass and 5 gigawatts are the various smaller hydro projects.

Coming to the individual business performances, our Conductors business revenue in Q4 FY '24 grew 10% year-on-year to reach INR2,328 crores, with a volume growth of about 14% in the quarter. Domestic business of AL-59 conductors had a robust demand in this quarter. However, there has been some adverse effects from competition, where higher freight cost impacted by the Red Sea crisis and a slowdown in the U.S. market affected exports in the quarter. Export revenues contributed to 40.3% of the division's overall revenues versus 53.5% in Q4 of the previous year. The premium products contributed to 48.9% of the revenue mix.

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Despite some headwinds from the U.S. market, EBITDA per metric ton post

forex adjustment came in at INR 48,453 per ton on the back of reasonably good domestic demand and execution of HTLS projects. Overall, our order book stands at about INR 6,885 crores, with the premium basket contributing to 44.8% and the export mix contributing to 37%. New order inflow for the quarter came in at INR 3,018 crores, of which the premium product mix is 57.5%.

During the 12-month period, revenues for Conductors division crossed INR 8,000 crores, came in at INR 8,031 crores. So that is up 15% year-on-year. Export sales contributed to 45% of the revenues as against 46.5% in a year ago period. Volumes year-on-year are up 29%. The EBITDA per metric ton post forex adjustment for 12 months came in at INR 42,141, which is 4% lower than the previous year.

Coming to the oil division's performance. Q4FY24 revenues are at INR 1,210 crores, which is 3% higher than a year ago. The volumes grew by 5% in the quarter. Transformer oil volumes, which has actually led the growth, grew 22% over the previous year. Exports contributed towards 43.9% of the overall revenues. EBITDA post forex adjustment came in at INR 4,251 per KL, which is 15% higher than the same period previous year.

Profitability for the quarter, as I had mentioned in the previous earnings call was partly affected due to higher weighted average cost of inventory, consequent to delays in shipments, which had happened in the last quarter. The lubricant revenue came in at INR 241 crores with a total volume of 17,813 kL. Looking at the 12-month period, oil revenues are up 4% year-on-year to INR 4,837 crores. The volume grew by 11%. Transformer oil volumes has grown year-on-year by 15% and EBITDA post forex came in at INR 5,746 per kL. The lubricant revenues for the year are at INR944 crores
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with a total volume of 70,625 kL. This is an all-time high number for the oil division in terms of volume.

Our Cable business revenue growth is 15% higher than the previous year, last year had a high base coming in from the U.S. If you look at global sales ex the U.S., the sales grew by 51.8%. Exports overall contributed towards 24.7%, and 52.8% is a figure a year ago. So EBITDA continues to post

double-digit margin with 11.4% in the current quarter. Our overall order book is at the moment at INR 1,436 crores for the Cables division. If you look at the 12-month period, Cable revenues are up 18% year-on-year at INR 3,859 crores, domestic revenue is higher by 45% year-on-year, and sales ex the U.S. is up 44.8%.

So it's really the slowdown in the U.S. market, which we have been talking about through most of our earnings calls has come in and hit the overall number. The export mix for the year is 38.3% versus 50.8% a year ago. The EBITDA post forex for the year came in at 11.4% versus 10.5% in the previous period. The U.S. order intake has slowly started improving as the inventory rationalization gets completed and some of the solar projects are starting to get executed. We have seen an increased level of inquiries coming in. But the inquiry to closure of order cycle is actually still fairly long.

The Red Sea crisis has impacted the supply chain and this, in turn, has affected volumes, especially to Europe, where the freight costs are still high compared to prior periods, and this has enabled local players to be more competitive, relevant to exporters like APAR. However, the domestic business looks strong in terms of volumes given the trust on renewables and the renewable capacity being added, transmission lines, which will be required to be added for evacuation of power and other infrastructure development.

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I'd like to point out that we have a detailed corporate presentation on our website. And we encourage all of you to please access the same and go through it. It's much more detailed than we can cover on this call. However, coming on a cautious note, we see increased competition coming from Chinese exporters in most of the markets. Even in the U.S. market, they have been trying to skirt around the tariffs by illegally routing products through alternate geographies. Some actions have already been initiated by the U.S. authorities. And this activity is actually getting more intensified. So our sense is that over the next year or so, you will start seeing an impact coming in. As there are certain importer distributors whose licenses have been import licenses have been revoked or they have been fined. We are also seeing a short-term slowdown in demand from tenders and some of the new conducting work, at least for this period given the fact that decision-making is reasonably paralyzed due to the ongoing elections. However, we remain optimistic that the basic growth drivers remain intact, both in the domestic and global markets, especially one takes a slightly longer-term view.

So with this, I'd like to come to the end of my comments. I'd like to thank everyone for joining this call. And we can now open up the floor to questions.

Moderator: First question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulation on a very good set of numbers. Sir, my first question is on the, how do you think about selling premium conductors in the export market? And do you think the demand in the U.S. market will come back and stay for couple of years?

Chitanya Desai: So premium products in the U.S. will be sold. It will take a little longer for us to penetrate those markets. Currently, the premium products are being
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sold more in India. And with regard to the U.S. market coming back, the information we have is that this year, it will continue to be a little soft. But the expectation from the customers is that from next year onwards -- next calendar year onwards, things should pick up.

Mohit Kumar: And sir, given that our capacity utilization is very high for Conductors and for Cables, I guess, where are we in the capacity expansion? I think we were undertaking capacity expansion last year. Can you just throw some color on that?

Kusha

I Desai: So in terms of capacity expansion, Mohit, we are continuing as per our plan during last year and through various interactions we had through the whole QIP process, all our documents out there. We were talking about doing INR350 crores to INR400 crores capex year-on-year. So that program still remains pretty much on track.

And we are investing on the Conductors, side on our rod making alloying capability, metal treatment stranding as well as on the premium product side, expanding our CTC, that's the corporate transposed conductors going to transform us. So we're expanding that capacity as well as the bus bars and rods. So our expansion is going on.

We fundamentally see that the long-term growth drivers remain intact. And some of these projects are getting delayed because the expected rate reductions haven't taken place announced by the Fed. There has been expectations that there would have been 3 reductions now, it's down to possibly one or none. So there is a little bit of a wait and watch, given that many of these projects are leveraged. But otherwise, the growth driver still seems to us to be pretty much intact. So we are going ahead with these capacity expansions. Also, we need to keep in mind that getting best-of-
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class equipment today has significantly longer lead times compared to what it was 2 or 3 years ago.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Congratulations for good set of numbers. My first question...

Moderator: Sorry to interrupt Mr. Amit. Your voice is very low. Can you please use the handset?

Amit: Is it better?

Moderator: Yes, this is better. please go ahead.

Amit: Congratulations for good set of numbers. My first question is on the EBITDA per ton of 48,000. And you did highlight it in PPT that this is because of the premium products -- higher-margin premium products. So I just wanted to understand any particular product which is driving this kind of high EBITDA per ton this quarter. And second, I wanted to understand some sense on you did highlighted in your presentation about the premium products breakup on HEC copper, OPGW. So just wanted to understand any particular products within premium, which is contributing much higher and also the contribution of AL-59 in domestic market? How was it?

Ramesh Iyer : So this, in general, Amit, premium conductors has been a higher share. If you look at this quarter, it has been about 49 percentage of the total conductor value. And therefore, you see that increase in the margin. Also, as the volume has been higher, we also get a lot of economies of scale due to lower conversion costs due to which the EBITDA per ton has gone up. At the same time, there is also a one-off recovery against some old provisions that we had created, and we were able to recover that debt that has also added to the bottom line, increasing the EBITDA per metric ton by about 1,500 per metric ton.

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So all in all, it has resulted in a higher EBITDA. And nothing specific more about the HTLS and reconductoring projects that has now been there as part of the premium conductors and more of such orders have been executed during the quarter, which has resulted in this margin being high.

Amit: Right. Any sense on AL-59 contribution?

Ramesh Iyer: We don't give a specific product-wise contribution as compared to the total number. But AL-59 volumes have also been going up recently..

Amit: Right, sir. Second, on the capacity utilization with the full year volumes for Conductor almost more than 2 lakh tons. And I recollect, we were at about 180, 190 lakh tons. So just wanted to understand since we have a robust outlook for upcoming years. How much time it takes for capacity and what kind of capacity or number are going to increase by 50%, 100%?

Ramesh Iyer: So Amit, in our case

, capacity expansion happened almost continuously because we predict the demand 1 year in advance. And typically, in the Conductor division, we operate about 90% capacity utilization. So as we see orders coming in and the demand going up, we tend to increase the capacity by 10, 15 percentage year-on-year. There could be some periods where capacity utilization may be less and some period could be high. But typically, it's more of a continuous process. And as of currently, we have a capacity of about 2.1 to 2.15 metric tons per annum, and we are continuing to see also increasing the capacity there.

Amit: Lastly, on the acceptances, we did talked about during our fundraise that we'll be focusing on the working capital rationalization. So just wanted to get a sense what should we consider as a benchmark for the acceptances or working capital or the interest to sales in FY '25-26?

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Ramesh Iyer: So this quarter, if you see, because of the QIP funds coming in and getting deployed in working capital, our interest-bearing LC has come down. It's about 3,200 as of March. And depending on how our working capital we are able to rotate, this number will change. And also as the business volume goes up, then you will see increase in this...

Amit: Sir, can we consider 2%, 2.5% interest to sales?

Ramesh Iyer: I guess maybe what you see the numbers for this particular quarter is slightly lower because of the lower interest cost that is coming because we've deployed the QIP money. But at the current volume, maybe about INR 112 crores of interest on a quarterly basis is something that you can predict. However, volume going up, this may go up further.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Just on the Conductors first. I mean, your order intake has been quite strong again. For the whole year, it's up 20.4%. Generally, given your strong commentary on the domestic side, plus your capacity part, you still think you'll be able to grow conductor revenue by 18% to 20% this year? That's my first question. And second, if you can comment on the profitability of the Conductor segment, how one should look this 42,000 going where, if you can get a little bit more sense, then I have 1 more question, I'll take it after this.

Ramesh Iyer: So now if you look at what we have been guiding is pretty much on a medium to long-term perspective. We don't really give guidance on a short-term perspective because the nature of our business is that sometimes you execute more in a one particular quarter and a year that distorts the entire overall number, say, for instance, this year, we grew the conductor volume by about 29 percentage, whereas we've been guiding about 15 percentage. So typically, what happens is that as the project gets executed, APAR Industries Limited

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depending on the pace of the execution, you tend to get more volumes in a particular quarter.

However, what we feel is that as the fundamentals are intact on a medium term and a long-term basis, we expect the Conductor division to grow about 15 percentage on volume terms CAGR. There could be a few quarters and periods where depending on the level of execution this percentage will vary. But clearly, on the long term, we expect this to grow about 15 percentage CAGR basis.

And coming to EBITDA level, we have been giving guidance of about INR 28,500 per metric ton. Again, although we have been getting about 40,000 per metric ton in the last financial year. However, looking at a long-term point of view, depending on the level of competition and the pace at which projects get executed, we continue to guide about 28,000 per metric ton plus definitely, there could be a lot of tailwinds that we get as we execute these projects. So those would get add on to the EBITDA numbers.

Nitin Arora: Got it. Just on the s

tarting commentary on the export, we're seeing export mix also down quite from the mix perspective and domestic is growing way faster. But given that exports is the mix have come down, you're saying it will take a little more time. But here, at least from a declining perspective, it should stop. It's more of a bottom you see? Or do you still think it will like 2 or 3 quarters away, where we'll start seeing growth or at least we could be flattish? I mean I'm asking more from a profitability mix perspective, if you can throw some light there.

Ramesh Iyer: So this export mix actually has come down because last year, we had a very high growth coming from the earlier year and largely because of the U.S. export sales being high. Now depending on the situation that's prevailing APAR Industries Limited

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on ground on U.S., the interest rates being high and also elections coming up in the U.S., we are seeing a slowness in the last year due to which the demand has been less. However, we expect that going forward, once these things get cleared off, these projects could be more executed. And we may get back to the mix that we have called in the last financial year.

Moderator: Next question is from the line of Naman Parmar from Niveshaay Investment Advisory.

Naman Parmar: My first question is related to the -- what will be the opportunity size of the Cables on or a Conductor on a transmission side and Cables on the distribution side? Can you provide me that?

Kushal Desai: So on the Conductor side, there are basically -- if you look at transmission lines, there are 2 opportunities. One is new transmission lines that are being built to evacuate power from the new power-generating location. So for example, there's there 3 sets of 10 gigawatts each solar power coming up. And you'll have transmission lines evacuating power from there. So one growth is coming from the addition of new transmission lines.

The second area of growth for us is coming through the reconductoring of existing lines. So for example, if you see there has been a -- power has been growing at almost 8% of your CAGR. And we are expecting that in the month of June, the government has announced that India could have the highest shortfall of power in its history because consumption is increasing. So as a consequence, reconductoring projects will also come up. They have been happening, but they will also continue.

The third thing is that in the mix that we have of our Conductor division, we also do the copper transposed conductors for transformers. And you may go through the earlier earnings calls that we have had, we've explained that when you're building a transmission line today, the

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investment that's happening in the substation has almost gone up to 50% of the total transmission line, which used to be about 30%, and off that the transformer is a very major portion.

So transformer demand has been growing, and we supply 2 products into the transformer. One is the copper transposed conductors, which come from the Conductor division, which also has been growing. And in fact, in the INR 350 crores capex, we are putting in a substantial capex for growing the copper transposed conductors. And of course, the other area is transformer oil, which, as you heard in my opening remarks, that after a long time, we are seeing strong double-digit growth over like 12%, 15% year-on-year, and we expect that growth to continue in this year.

On the distribution side, which is primarily the Cables, you have drivers coming from the addition of infrastructure in the Indian Railway, from Defence, from the renewable energy sources, which is both solar and wind, where APAR has a significant presence. And then there is also the government schemes, which are there for strengthening of the last mile, which is the RDSS, etcetera, where the cables are go

ing in along with the

metering solutions to moving to digital meters and reducing losses and theft. So these are like primarily the segments, where we would see the growth coming.

Naman Parmar: So on the same question, if the RDSS scheme has a INR 4.55 lakh crores of investment outlets, so cable would be around, let's say, 40%? That would be a...

Kushal Desai: No, no. It's much lower than that. The EPC portion would be somewhere in the 35%, 40%. A large allocation of that is also going towards the metering because all the metering is getting converted into digital meters.

You are looking at EPC portion coming in the like the mid-30s.

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Also, I didn't mention that one more portion where APAR is the leader is in the medium voltage covered conductors, and a lot of MVCC projects are coming up where there is a necessity to increase safety. You have 33 KV lines running, which are very close to residential places or even commercial places, which are being replaced by these medium voltage covered conductors. So that is also covered under the RDSS scheme, but it's not underground, it's an overhead solution.

Naman Parmar: Okay. And my second question is related to, if a 10-megawatt of solar

project on wind project is deployed, then how much percentage cost would be of a cable or a transformer as compared to a thermal project?

Kushal Desai: So the cable content is approximately 4% of the cost of the generating. So if you were to spend INR100 crores, then INR4 crores is what would be the cables that would go in at the site, and the transformer side completely depends on the size of the project and the size of the transformer that is required. So there is no direct sort of correlation. So like 1 gigawatt coming in or 500 megawatts, you would have correspondingly the size of a transformer because it's dependent on the transformation capacity that we are looking at.

Moderator: Next question is from the line of Charanjit Singh from DSP.

Charanjit Singh: Am I audible? First of all, congratulations on good set of numbers. So my first question is regarding this U.S. market, you touched upon certain distributors getting banned. Are there any kind of distributors here, which are common to us and some of these who are supplying Chinese product? And can they have an impact from near- to medium-term perspective on our U.S. volumes?

Kushal Desai: So most of the companies that we have been dealing with, we've been -- they are -- they have -- none of them have gotten into this trouble as of APAR Industries Limited

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today. But we've heard not only from them, but also in recently, there was a very major IEEE trade fair in California, just a few weeks ago, where this information -- it's been happening for a while, but the U.S. authorities have started tracking down on this. And none of the people that we have been dealing with have been affected. But I think they are a little bit more optimistic that others have been cracked down upon who are using this channel for bringing in products, which were a bit cheaper.

Charanjit Singh: Got it, sir. Sir, the other thing is now you have touched upon the premium products, their contribution is rising. So if you can just touch upon this premium products as a percentage of the market, how large it is, how fast you expect this to grow? And within that, how is the competitive scenario in terms of which are the other peers present in the premium category itself?

Kushal Desai: You're talking about for Conductors? Or...

Charanjit Singh: Yes, sir, for Conductors. Yes.

Kushal Desai: So in the premium category products, which we have, our largest competitor is Sterlite Power because they have pretty much the same footprint that we have, except for a couple where we are unique, we have a unique product offering. There are others like GSK and who are trying to also enter th

e HTLS market. In that premium range, we are also seeing a growth, as I mentioned just a couple of minutes ago on the copper transposed conductors.

See, there is a new requirement that has come in from Central Electricity Authority, which requires you to use copper transposed conductors for all transformers that exceed 400 amps. So the high-voltage transformers will all have to shift towards using CTC. So that is another area of growth. There, our competition is not the names that you would typically hear. They are all

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copper players, like Precision Wires and KSH, et cetera. These are all private companies, but they are in the copper business as such.

Now if you ask me what is the growth of this going to be, we see that the growth of copper transposed conductors are approximately 22% to 25% of the cost of a transformer. So as you will see, the amount of transformer ordering that's coming on 400 amps and above, it is directly proportional to that. And that expectation is that it will be at least in the double-digit kind of growth. In terms of HTLS, there is a huge amount of -- the market is very, very large for reconductoring. It's a question of the amount of money that's

being allocated to do the reconductoring work.

So moment these projects are announced and funded, then the work typically starts on this. So it's really a function of the amount of money that's being allocated. All I can leave you with, because it's difficult to pin a number as you look over a number of years, is that with the electrical demand growing the last few years, CAGR has been 7.5% to 8%. And the last month's numbers came in at an 11% year-on-year growth for the month of April. There, a lot of the work will have to come up. Now I can't tell you which quarter it will happen. But if you look at it over the next 3 to 4, 5 years, there will be a lot of reconductoring that will happen in the country. So does that sort of answer your question?

Charanjit Singh: My subsequent question is just more on the industry level. What we are hearing is that across the power transmission supply chain, there are severe supply-related issues, the demand is exceeding the supply. So how long do you think that this kind of scenario can continue in the overall sector from a demand/supply perspective in the power transmission equipment space, mainly cables and wires and conductors, where we are present.

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Chaitanya Desai: I would say that now the industry has increased the supply, including ourselves, so there is no, I think, problem on the supply chain as far as our products are concerned. Yes, there is a growing demand, and we are taking steps to expand our capacity. So I don't think there is an acute problem or anything.

Kushal Desai: So there was a short-term issue that has come up when the standards changed from conventional pure aluminum, ACSR conductors to AL-59 because the alloying process requires very specific equipment and also investment. So when the shift took place over a short-term period where these equipments had to be bought and installed, etcetera, etcetera, I think that phase is already over. So today, there is no shortage as such of the -- whatever demand is there, it can typically be met with capacity that people have.

Charanjit Singh: All the best for the future.

Moderator: Next question is from the line of Raj Rishi from DCPL.

Raj Rishi: What sort of asset base can we have in the next 3 years for your block?

Ramesh Iyer: So our fixed asset turnover ratio anywhere ranges from 10x to 15x depending on the category of the product, which is there. Each division has its own different turnover ratio. So average returns from 10 to 15x.

Raj Rishi: Okay. No, that's the asset turnover ratio. But whatever your asset base is today...

Kushal Desai: If you are looking at around INR 350

crores plus/minus capex being

incurred year-on-year for the next year.

Raj Rishi: Year on year for the next year.

Moderator: Next question is from the line of Bobby Jairan from Falcon.

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Bobby Jairan: Regarding the domestic renewable investments, there's already 130 or 140 gigawatts, correct, which is 30% of the total capacity -- the total power capacity. But the usage is only 12% or 13%. So even whatever capacity is there is not being used. So wouldn't that impact addition to incremental capacity?

Kushal Desai: I'm not sure when you say that the installed capacity is not being used.

Whatever assets are actually -- so there are a few assets which are in the NCLT process. But if you take assets which are otherwise in operating conditions, they are running flat out. And in fact, in the month of June, CEA has predicted that India will have the largest shortage of power between supply/demand.

Bobby Jairan: What I mean is for the renewables for solar and wind because there's still the cost of storing is very high. So they're not being adequately used. I'm

going to ask for the data.

Kushal Desai: You're talking about India, or you're talking about the U.S.?

Bobby Jairan: I'm talking about India, solar and wind.

Kushal Desai: So as far as solar and wind is concerned, I think it's going straight into the grid. I'm not -- I don't know of a large portion of solar or wind assets not being utilized. Because today, as a percentage, it's still small. The problem you are talking about will increase when you end up having solar being over 50% of the total generation, in which case, you've got to match when it is being generated versus when it is being consumed. At the current generation of units, that problem is not really a problem, at least I'm not aware of it.

Bobby Jairan: Okay. I understand. The second question is for the U.S. market, the U.S. has been aggressively improving tariffs on Chinese aluminum, steel and all

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that. Didn't the same happen to India because they actually want their domestic producers to benefit from all the spending?

Chaitanya Desai: The U.S. government is not so strict. So they don't sort of mandate that the customers in the U.S. have to use only American-made product. So basically, it's a supply/demand situation. And if the EPC or the developer goes back and informs the authorities that the local producer is unable to supply the material on time, then their project would get delayed, then they don't have an issue and they allow the imports to happen from places like India.

Kushal Desai: Also, the tariffs for Indian import of the kind of popular conductors that are there in the United States, they are going to be between 5% and 15%. So it's not that there isn't a tariff. It's actually the tariff is higher to export our conductor from India to the U.S. than to import something into India, which is at 5%. So there is already a tariff in place that is protecting local industry. In the case of Chinese product, the tariff is at 25%.

Moderator: We'll take the next question from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: My question is on your opening remarks. You just mentioned that there's a threat from the Chinese players. So could you please elaborate a bit on that? And will it -- how much it will impact on the margin? And what growth you foresee for the Cable segment as a whole for the coming year?

Chaitanya Desai: The Chinese have been aggressive in the markets where they have already been existing and having a fair amount of share. So those markets are typically in Asia, Africa, Latin America. They are not so much in North America and to a small extent, they are in Europe also. So their emphasis has been to kind of retain their markets. And after COVID, we are seeing that at times the price of the aluminum in Ch

ina is sometimes favorable to

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them compared to the London Metal Exchange. And those are a few times, but during these periods, when they are more competitive compared to the rest of the world.

Kushal Desai: We've also seen general aggression from the Chinese on export. So as time has passed on in the last 1 year or so, we have been much more active in terms of quoting on tenders and contacting EPCs, EPC players, etcetera, etcetera. So I think that level of wanting to export out of China, that seems to have increased. And as Chaitanya mentioned, those are the markets that we're looking at.

In terms of your question on the Cable front, our guidance has been that we are expecting 25% year-on-year growth. Last year, the growth was lower than 25% because we had a big drop in Cable exports to the U.S. market. Slowly, that has started picking up. So in FY '25, we will start seeing cable supplies to the U.S. starting to pick up.

Moderator: Next question is from the line of Shrinidhi from HSBC.

Shrinidhi: Congratulations on good set of numbers. First, we have seen a really strong growth in your domestic cable business, almost around 80% for last 2 quarters. Would it be possible to share some color what is really driving this strong growth? And how do you think it will continue in the next 1 to 2 years?

Kushal Desai: So actually, the growth has been coming primarily from supplies to the Indian Railways to the solar, wind projects. Wind has been -- year-on-year, we've seen a large growth on the wind side because as the local players, like Suzlon has redesigned their windmills, they've become far more efficient. They moved from 2 megawatts to 3-plus megawatts. So the wind sector has grown. Solar sector has grown. Our shipments to Indian Railways have grown. Our LDC business, which is a B2C business that we
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sell of the APAR Anushakti wires that has also grown from about INR 170 crores to about INR 260 crores. So we've seen overall growth on the domestic market. Power cable business also has grown, which supplies to various metros, etcetera. So the overall side on the cable market domestically has grown. We've almost seen a 40% growth quarter-on-quarter in the domestic side.

Shrinidhi: Right. And do you think, sir, there is a strong tailwind going into next year as well because a lot of these...

Kushal Desai: On the cable side -- we see on the B2B cable side, the demand growth is definitely there. There is increased competitive intensity because all the major players are looking at increasing their capacities or in various stages of increasing capacity. So there will be some amount of competition that increases, especially in all these specialty sectors, but the growth is definitely there.

Shrinidhi: Right. Sir, may I ask you to give some breakup of your annual cable business by different product types, like how much is power cable, how much is specialty, how much is LDC?

Ramesh Iyer: We have a broad breakup for the overall products in the corporate presentation.

Shrinidhi: Sure. I'll have a look at it.

Moderator: Next question is from the line of Gaurav Uttrani from IIFL Securities.

Gaurav Uttrani: Sir, could you highlight like how the margin trends would be in the coming quarters as we are seeing the copper prices are inching up or other raw material prices are inching up? If you can highlight like how the pass on will be to the end customers or to any of the customers in this segment, specifically for conductors and cables?

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Ramesh Iyer: So both for conductors and cables, our margin will not change depending on the prices of copper or aluminum going up and down because we run a full hedge book. There is complete back-to-back hedging that happens on all the orders. So the margin per unit may n

ot significantly change.

However, depending on the price of aluminum going up and copper going up, some -- there could be -- the project cost is increasing for the customers, then they may kind of postpone some of their projects. And if they expect the copper price or aluminum price to come down, then we may see some kind of postponement of the project. But for our company, the margin profiles are unlikely to change because we do a back-to-back hedging.

Gaurav Uttrani: Okay. And sir, could you just please highlight like what was the growth rate in transformer oil for the full year FY '24 and 4Q in terms of year-end hedging?

Kushal Desai: Yes. The transformer oil side of the business, as I mentioned in the earnings call, we were up 15 percentage annual for the full year.

Gaurav Uttrani: Okay. And sir, last question on the order book like for the conductors, what

would be the export mix for this current order book, which we have of 68 billion?

Ramesh Iyer: Yes, it's about 38% is export conductor pending order.

Gaurav Uttrani: Okay. And then for cable, sir?

Ramesh Iyer: Cable, the total order book is about INR1,400 crores -- INR1,436 crores.

Kushal Desai And the -- I don't think we have a very handy number on the export side.

But the export orders are finalized quite quickly. So the turnover on the export orders are relatively very fast because the metal is priced at the time

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we placed the order and the execution normally takes place within 4 to 6 weeks.

Ramesh Iyer: And the export mix is about 20 percentage there.

Moderator: Next question is from the line of Anand Trivedi from Nepean Capital.

Anand Trivedi: Congrats on a good set of numbers. My question is -- my first question is the U.S. market. Can you break down how much of your business comes from the U.S.? And given the fact that you mentioned that it will be slow in the coming year as well, do you see the Indian market making up for the growth -- that of growth in U.S.?

Chaitanya Desai: Yes. So far, Indian market has been actually quite strong. And overall volume growth Conductors, Cables both has been a very strong. The competitive intensity for us in the Indian market has also been higher. So really, we have to pick and choose which business we want to get after to maintain the profitability that we would aspire or like to make. As far as the U.S. market is concerned, we've seen it's slowed down both for Conductors and Cables.

In the case of Cables, it was first due to deinventorization. And secondly, that some of the projects in both Conductor, Cables have got postponed, like new solar farms, new wind farms, etcetera, which required a fairly high level of leverage. But having said that, on the cable side, we started seeing uptake again picking up, especially with respect to the solar installations.

Anand Trivedi: So what percentage of your business comes from U.S.?

Kushal Desai: Sorry?

Ramesh Iyer: Around 12% to 13% in the current financial year.

Anand Trivedi: Okay. And my next question is on the renewable...

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Kushal Desai: Anand, it was at 26%. And today, at its peak, I mean in FY '23, it was at 26% of the revenues of that year. Today, it's about half of that, about 12% to 13%.

Ramesh Iyer: 16%. For the company, it was about 16%.

Kushal Desai: Sorry, 16%.

Ramesh Iyer: It was around 12%. Last year, it was about 16 to 17 percentage. Current year, it has come down to about 12%, 13%.

Anand Trivedi: Okay. And on the renewable side, do you further break down how much of the business comes from renewables and is that growing at a much faster...

Ramesh Iyer: In our corporate presentation. We have had a slide in terms of how much of total products come from renewables, we have given that in that slide, in the corporate presentation.

Anand Trivedi: Okay. I'll look through that.

Moderator: N

ext question is from the line of Axay Shah from Kriis PMS.

Axay Shah: Sir, our transformer oil business is growing very fast. Is it expected to growing at the same pace?

Kushal Desai: We expect it to grow at double digits for sure because we -- as I mentioned in the opening remarks that the amount of transformers getting installed and the amount of substations that are coming up not only in India, but even around the world is continuing to increase. So we see double digit growth in transformer.

Axay Shah: Okay. Can you -- you mentioned our transformer that are going to establish in the world in the next 3 to 5 years?

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Kushal Desai: You mean, what is the transformation. So it's counted in the form of MVA. I don't have that figure clearly available. But Indian market, the transformation capacity has been planned to be added at about 80,000 MVA for India. And if you see I mentioned the numbers for the last 3 years, it's been varying -- falling from 79,000 to 76,000 to last year it was 71,000. We're expecting it to pick up to 80,000 MVA from this year onward.

Axay Shah: Okay. And sir, apart from new transmission lines, old transmission line are changing. So with that the new transformer will also be placed. So the demand of transformer will decrease as they are new transformer installed?

Kushal Desai: No, no. So what will typically happen is that if there is a large increase in the transmission line, then along with that, the substation also will have to be upgraded. So a new transformer will go in, which will be filled with a fresh transformer oil. It will also increase the demand for our copper transposed conductors will go into the transformer. So reconductoring for Apar actually I mean, the largest portion obviously comes from the reconductoring piece. But there is also a substation upgrade that has to take place.

Moderator: Next question is from the line of Yash from Stallion.

Yash: Am I audible?

Kushal Desai: Yes.

Yash: Sir, I just wanted to understand what is your volume growth for this quarter in your Cables division for India?

Ramesh Iyer: In the Cables division, we don't report the volume numbers because there are too many SKUs of different sizes. So we have only been reporting the value growth.

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Kushal Desai: So we're expecting a 25% year-on-year growth over the next few years.

Yash: Right. And this is -- I see. And this is in terms of volume growth you're saying for the next couple of years?

Kushal Desai: The value -- because in our case, we have a huge variety of specialized cables that we make across so many industries. So the only common denominator is really value.

Yash: Right, right. Okay. And just a second question is that in power cables, you would be competing with the traditional peers in the Indian market, like Polycab, KEI or I mean is there any some data in terms of your market share, specifically with respect to the power cables?

Kushal Desai: So there is no -- I mean, I wouldn't be able to tell you exactly what percentage it would be as part of power cables. The entire Cables market is around between INR70,000 crores and INR75,000 crores. And if you take the INR3,000 crores that we have in the domestic market, we are at, whatever, 4%, 4.5% market share, of which the specialty side, we are the largest player in wind, solar, railways, all that. The power cable share would be in the range of maybe 1.5% or so -- 1.5%. I wouldn't hang my hat on that number, but it's somewhere in that range.

Moderator: Next question is from the line of Himanshu Upadhyay from Buglerock PMS.

Himanshu Upadhyay: One thing was -- on the first was that could Chinese competition, what you have stated, it is in both Conductors or Cables business? Or it is only in Conductors when you were...

Kushal Desai: So we see the Chinese competition coming in both prod

ucts, in

Conductors and Cables. Over the years, we've been more active on the Cables side, less active on the Conductors side. But right now, we've been

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seeing in certain countries, we have been active in both product categories.

Himanshu Upadhyay: And one more thing. When we had spoken about the Cables business, okay, you said that we are into many of the products on -- in U.S., which require a lot of approvals, okay? And on the renewable side, okay, around 18 or 20, whatever approvals were there, means a variety of products. So are those Chinese also having similar variety of products and approvals in that market?

Kushal Desai: No, the Chinese are very active as in the building wire segment, which are the products which go into commercial and residential, real estate projects, etcetera, etcetera. So the building wire market, just like in India, also, if you take the building wire market is almost 40% of the total market, the U.S. is something that's a similar number. And the Chinese products are actually most active than that. They have also started routing products that go into the solar side, which is your string cables and power voltage, the photovoltaic cable.

So there, we actually make a very good product, is very well accepted in the U.S. But the Chinese products coming via some locations is probably being priced lower than our product. That's the market which I was talking about, where some of the distributors has been -- there's been raids on their warehouses and stuff from the U.S. authority. But otherwise, their predominant position is on the building wire segment.

Himanshu Upadhyay: Understood. Okay. And we are maybe small in building wires, whatever are used to...

Kushal Desai: We have a building wire business. And we -- so part of the -- we are talking about those 18-odd approvals, which are the UL approvals, the Underwriters Laboratories approval. So we have a full range in there. And
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we continue to sell some of these building wires as well. But our largest products go into the renewable energy side.

Himanshu Upadhyay: Okay. And what is the progress on Anushakti this years? And in terms of distribution and product...

Kushal Desai: As I mentioned our -- we were at INR 175 crores -- about INR 170-odd crores last year. This year, we are at close to INR 260 crores as in FY '24.

Himanshu Upadhyay: And we would be present in now how many states and distributors?

Ramesh Iyer: 18 states we are present.

Himanshu Upadhyay: Okay. And one last question. We have seen a 22% volume growth in global transformer oil for the quarter, but the segment volume is up 5%, okay? Which would be the segments which are not growing that well? And has the margin improved for transformer oil since not all oil companies would be in the approved vendor list for all transformer companies because it was a duopolistic market. And is the transformer oil demand also strong in export markets? Generally, we were not exporting the transformer oil...

Kushal Desai: So our transformer oil demand has been strong, both domestic as well as overseas. The overseas growth has been even higher than the domestic market growth. We -- if you take the full year, we are looking at a 15% growth. And if you look at the other product category, the overall growth has been 11%, of which transformer oil has been 15%. So most of the product lines that we have, have grown, but they've grown in smaller numbers for the year.

Himanshu Upadhyay: See one more thing because a lot of industrial oils also rubber processing and all those things. So as manufacturing moves up, would not the volume of them also will increase in similar proportion? Or means not to the rate

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of transformer, but again, at a better rate than what historically they h

ave

been? Would that be a right assumption?

Kushal Desai: So I'm not so -- it all depends on the cars, the number of addition of new vehicles, etcetera. So we've been seeing growth happening. Typically, if you take the non-transformer oil side, we've been seeing growth happening in the market growth at about 2%, 3% a year. And the lubricant growth is definitely in that range, the industrial lubricants, automotive lubricants.

Himanshu Upadhyay: And how is the margins on transformer oil? Because it should have improved because some of the other...

Kushal Desai: We've not been commenting on individual product lines. If you take overall, the margins have improved this year compared to the previous year. And that has been largely contributed from the transformer oil growth that has happened.

Moderator: Next question is from the line of Sagar Dhawan from ValueQuest.

Sagar Dhawan: Sir, my question is on the Conductors segment. So can you please comment on the profitability in the Conductors segment, specifically for the exports market? Is it possible directionally or even specific compared to where we were last year?

Ramesh Iyer: Your voice is not clear. Can you repeat the question?

Sagar Dhawan: Sir, is it better now?

Ramesh Iyer: Yes.

Sagar Dhawan: Sir, my question is on the Conductors segment. Could you please comment on the profitability in the Conductors segment for the export piece?

Directionally is also fine.

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Ramesh Iyer: Yes. But we don't give out specific information on breakup into domestic and exports because the number of products and the category of products are too huge. So it is difficult to compare what we sold last year, what we sold current year. It's all order-based products. So it's difficult to give that number out.

Sagar Dhawan: Okay. Understood. And would the profitability in the export be lower than the company average? Or would it be higher than the company average of 48,000 per metric ton?

Ramesh Iyer Well, it's difficult to compare that because as I said, the products are completely different. What we sell in India are the premium products. What we sell, export are conventional products. So the product lines are different. The bill of material is different. So it's difficult to compare that.

Kushal Desai: So typically, the same products sold in the export versus domestic, we would generally make a better margin in export versus domestic. But as Ramesh said, the mix is completely different between -- we don't sell a lot of standard products in the Indian market. We sell our premium products in the Indian market. And most of the standard products are sold in export markets where we get a better realization for that.

Sagar Dhawan: Understood, sir. And my second question from my side is on the market share. If you could share for the CTC, what is our market share in that?

Kushal Desai: Copper transposed conductors, we are approximately 20%, approximately.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Just one question on the exports. You did highlight that the U.S. market and the domestic market, how the growth has been -- just wanted to understand ex of U.S., ex of domestic, how has been the outlook for the other markets?

And I recollect a few months back, we used to highlight that there's a lot

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of traction also for the premium products in the few geographies, including Australia. So just wanted to understand the sense for both Cables and Conductors, ex of U.S. and domestic.

Kushal Desai: So we had commented that we -- that the Australian market is an important market for us, and it's -- in terms of export markets, it's the third largest region after the United States, then it was the EU last year and then #3 was

Australia. The market potential itself is much lower than these 2 geographies

s, but we have a good presence in the Australian market. And that market continues to grow.

We've sold more products in FY '24 than in FY '23. And I think in FY '25, we should exceed what we've done in FY '24 in Australia. We also have a good presence in Australia on Specialty Oils, where we have over almost 35-plus percent market share for transformer oils, and we have almost 50% market share for white grade oil of pharmaceuticals. So if you take the whole bundle, then actually Australia is quite a strategic market for APAR.

Amit Anwani: And sir, this we are talking about the premium products or?

Kushal Desai: No, it's a full range, across the range of products. So there's conventional aluminum conductors, there are some specialty aluminum conductors.

There's a whole range of cables. In Cables, the maximum volume goes again into renewable energy projects. So we've supplied more than 75 renewable energy sites in Australia with our Cables. Our transformer oil also has been going into transformers and are supplied to many of these sites, but supplied locally through our Australian distributor.

Moderator: Next question is from the line of Mukesh, an individual investor.

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Mukesh: Just want to know about our capacity utilization, product loan capacity utilization. And what would be our capacity for next -- increase for next year?

Ramesh Iyer: About 90 percentage capacity utilization for Conductors and Cable division. And as we are increasing the top line, the capacity will go up.

We are looking for a 10%, 15% increase in the conductor capacity. And in case of Cable, we expect 25% growth in capacity year-on-year.

Moderator: We have our next follow-up question from the line of Axay Shah from Kriis PMS.

Axay Shah: Sir, we are in power cable, we are in conductor, we are in transformer oil. So seeing the good demand in transformer also, why are we not adding into this sector also? Is it entry barrier are very high?

Kushal Desai: So in terms of transformers, as a strategic decision, we stayed out of transformers because we being such a major supplier of transformer oil and especially at the upper end, when you get into all the high voltage, the extra high-voltage, ultra-high voltage transformers, et cetera. We don't want to be competing with our customers. We get a very early look into development of products for them. And all that will be lost if they felt certain that we were a competitor.

Kushal Desai : Similarly, we then got into copper transposed conductors. Again, it's a strategic material that goes to transformer manufacturers. So the clear idea here is that we want to focus on being in critical building blocks that go into transformers as opposed to making transformers ourselves. So it's not because of an entry barrier. If we really wanted to, we could buy out a transformer company or get into that business. But it's a strategic call in terms of what business we want to service and especially not compete with our customers.

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Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone for participating in this earnings call. And we remain fairly optimistic. We see that the main growth drivers continue to remain intact. And as you look over a period of the next 3 to 5 years, we are quite sure that this whole energy transition will play out and will provide opportunities to APAR to grow both domestically as well as in the export global markets.

So thank you once again, everyone, for joining our call.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this

conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Aug 2024

SEC/ 0608 /2024 By E -Filing August 6, 2024

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 1FY25 .

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter no. SEC/ 3007 /2024 dated July 30, 2024 w.r.t. submission of link of Audio Recording of post Investors Conference Call made on Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 1FY25 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the Investors Conference Call made on July 30, 2024 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 1FY25.

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

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"APAR Industries Limited
Q1 FY '25 Earnings Conference Call "
July 30 , 2024

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR – APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen , good day and welcome to the APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari: Thank you. Good afternoon, everyone. This is Ambesh Tiwari from S -Ancial Technologies. I welcome you all to the Q1 FY '25 Earnings Call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai for the opening remarks. Thank you and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone and welcome to the APAR Industries Q1 FY '25 Earnings Call. I would like to start by giving a quick overview of our performance and then follow it up with a short industry update. We can then get into more details on the segmental performance and then finally end by opening up the floor to questions.

So, for Q1 FY '25, the consolidated revenue came in at INR4,011 crores, which is up 6.5% year -on-year. The domestic business actually grew by 43.4% versus last year. The export revenue degrew by 25.9%, essentially due to the high base of US revenues in Q1 FY '24. Export shipments across all 3 divisions were affected from the 10th of June onwards due to a sudden issue with containers, ships and freight, resulting in lower dispatches, especially on the FOB shipments where customers were to put up their containers.

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The EBITDA is up 6.8% year -on-year to reach INR394 crores with a 9.8% margin. Profit after tax came in at INR203 crores, which is up 2.6% year -on-year and is 5.1% in terms of margin.

In terms of key industry highlights: Data from the Central Electricity Authority reveals that the total transformation capacity added during June stood at 4,035 MVA. On a quarterly basis, the transformation capacity added during FY '24, '25 is expected to be 10,260 MVA.

Looking ahead, India is likely to witness a record increase in transformation capacity addition. As for the CEA, the current fiscal year FY '25, which is from 1st April '24 to 31st March '25, is expected to see as much as 1,16,490 MVA of substation capacity coming on stream. If this materializes, it would be by far the highest substation capacity addition in any year compared to the previous 5 years. In fact, it would be fair to assume that this would be the highest transformation capacity commission in any financial year historically in India.

On the transmission line addition: During Q1, April to June of FY '25, the CEA reported that 973 circuit kilometers of transmission lines were commissioned, which is representing only 16.7% of what has been targeted in this year, which is 5,839 circuit kilometers.

The state utilities were the main contributors, but fell short of expectations, adding just 921 circuit kilometers out of a planned 4,494 circuit kilometers, achieving only 20% of their target. Finalization of tenders were delayed due to national elections and elections in some of the states.

In terms of the renewable energy sector, the country has made significant progress with increase in the installed capacity going up by more than twice in the last 8 years. As of the end of June 2024, the total renewable

energy capacity stands at 195

gigawatts, of which 85.47 gigawatts comes from solar, 46.7 gigawatts come from wind. The total capacity under pipeline, which is being added, is 134.85 gigawatts, with 85 gigawatts coming from solar and 30 gigawatts coming from the wind side.

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I would like to also now get into more details in terms of the individual business segments and their performance. Our conductor business revenue in Q1 FY '25 grew by 9.1% year-on-year to reach INR1,936 crores, with a volume growth of 6.7% in the quarter. Export revenue contributing to 29.5% of the division's overall revenues versus 52.4% in Q1 of last year. The exports were down versus last year due to delays in regulatory approvals in competition and then as I mentioned earlier in the call, due to container availability, which created delivery challenges for export shipments. The premium products contributed to 37.1% of the revenue mix. EBITDA per metric tonne post-forex adjustment came in at INR38,532 per tonne. On the back of execution of higher-margin product orders, especially with a higher amount of HTLS conductors getting executed in that period. Under the conventional conductors, the more premium variety of AL-59 continues to replace gradually the entire quantity of ACSR. Overall, our order book is at INR6,725 crores, with premium products contributing towards 41% of the order book. There was a new order inflow in the quarter of INR1,794 crores.

Coming to the oil division. Q1 FY '25 revenues came in at INR1,265 crores, which is 6.1% higher than a year ago. The volumes grew by 5.9% in the quarter. Global transformer oil volumes grew by 20% over the last year, driven by strong demand and a gain in market share globally. Exports contributed towards 45% of the oil division. EBITDA post-forex adjustment came in at INR6,935 per KL, which is 15% higher than last year. The automotive oil volumes recorded a strong growth of 29% year-on-year and the industrial lubricants business grew by 7.6%.

Coming to our cable business. We saw revenue growth of 7.8% versus last year. If you exclude US revenues, ex-U.S. revenues, we grew by 23.9%. The domestic revenue grew by actually 48.4% year-on-year, and export degrew by 30.5%. The export mix currently stands at 33.2%. Export is lower than last year due to the higher base of U.S. sales in Q1 FY '24. The EBITDA margin came in at 10.3% in Q1, which is down 110 basis points versus last year. And this, we can attribute to lower level of exports as well as a geographic mix. The overall order book came in at INR1,571 crores.

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In conclusion, the global supply chain continues to be a bit challenging, as delivery shipments were affected in June due to container availability tightness. If you look at

the total exports that got postponed across the 3 divisions, it is in excess of INR270 crores. Also, demand from the U.S. and Europe has been affected to some extent due to delays in regulatory clearances, especially on transmission line.

We have been seeing an increased level of inquiries from the Western nations recently and are hopeful for a further acceleration towards the second half of the year. The macro environment otherwise looks positive with the thrust on renewable energy capacity additions, transmission line sector expansions and we continue to remain buoyant on the robust growth drivers that should help create more value for our stakeholders.

Chinese competition, however, has increased considerably, especially in areas where there are no barriers to entry for Chinese products. Due to predatory pricing, however, duty on Chinese goods which include aluminum conductors and cables have been increased by up to 25% further in the U.S. This

will likely make Indian -

origin goods more favourably positioned in the U.S. market and that's the reason why we have an optimism that business will grow in the second half of this year continuing into the next financial year.

We have a very detailed corporate presentation on the company profile and performance that has already been uploaded on our website and we would encourage everyone to please access the same and go through it.

So, with this, I'd like to come to the end of my comments and open up the floor to questions.

Moderator: The first question is from the line of Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel: Kushal bhai, a couple of questions. One on the conductor side. We are hearing that some of this player like KEC and the Diamond Power, they have started also the conductor manufacturing capability or about to start the manufacturing capability.

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Are we going to see a significant market? And if they're coming up with the new capacity, how long it generally takes for the new entity to take an approval from the relevant authorities, like PGCIL or if they're trying to get an export in U.S., how many months it generally takes to get an approval?

Chaitanya Desai: So, companies like KEC, who are EPC companies, they will be more catering to the internal requirements because there will be a conflict of interest with other EPC companies. So, it's not likely that they will be actually upsetting the marketplace. With regard to Diamond Cable, also, they are somewhat connected to Adani in some ways. So there also, it may be more gearing up for the Adani-type requirements, which is a developer. So here again, there will be a conflict of interest with other developers. This is our perspective.

In terms of the barriers to entry, the product, which is now being used in India, which is AL-59, is not an easy product to manufacture for a new entrant. So, it is possible that some of these companies may actually start off with the conventional ACSR conductors and it may take some time for them to actually qualify and make the product as per the requirement of PGCIL and other customers.

And in the export market, it's not just a question of price, which wins the business, it is also a combination of reliability, past records of how much business has been successfully done in that geography. So, to make this kind of inroads, we had to take several decades. So, I believe it may be equally difficult for new entrants and especially when the existing entrants are well sort of in the entrenched.

So, it's difficult for a new party to get space to enter into that market. But a lot of these foreign utilities and foreign customers, they are not just looking for the lowest initial cost. They look at the total cost of ownership and they are ensuring that their project is not getting delayed or there is no problem on the quality as they execute the contract. So, their philosophy is quite different from our Indian utilities.

Maulik Patel: Also, they look at ESG compliant also where you have the significant investment in the past, right, in terms of an ESG compliant?

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Chaitanya Desai: Yes, especially in Europe, we are seeing a lot of that.

Maulik Patel: Your inflow was one of the lowest. Is that because of the election that's been a decline in the new order inflow?

Chaitanya Desai: Part of it was on account of the code of conduct, especially where we are directly dealing with the utility. There is also previous quarter where we had a good inflow of orders and we have certain commitments for supply. So, although we could have taken on more business, but some of the clients are looking for deliveries which are clashing with our existing commitment

s. So, we have not overcommitted by taking on those orders and then not being able to supply those volumes.

Kushal Desai: But Maulik, on a half year basis, you're looking at almost INR5,000 crores if you had to, there was more finalization that took place in the Q4 and then because of the elections and the state electricity boards are actually been running a little bit behind us, it was mentioned in the opening remarks. Our sense is that the domestic market otherwise is fairly strong.

Chaitanya Desai: There has been some impact on the export as was explained in our opening comments that because of the logistics disruption, the inflow of business from the export markets has been somewhat disturbed. Besides our actual dispatches, which got affected also inflow of new orders in certain export markets has got somewhat impacted because clients are hoping that once this 1st September starts, then the situation should start normalizing and container availability should start coming back into the stream because the extra duties will start kicking in of Chinese goods to the U.S. market from 1st September. So currently, there is a rush to supply all the goods to the U.S. market before 31st August. So, it's a combination of these factors also.

Maulik Patel: You mentioned that the duty has been increased from what percent to what percentage?

Chaitanya Desai: Chinese products into the U.S. from 35% close to 60%-plus.

Maulik Patel: Applicable to both conductor and cable or only conductor?

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Kushal Desai: So, it's conductor -- aluminum -based products are included in that, but the total range of products is going into many categories, including a whole lot of gears it goes into your photovoltaic cells, etcetera, etcetera. And the increases have been between 20 - 25 percentage points.

Maulik Patel: Kushal bhai, you've been highlighting about this slowdown in the U.S. market from a cable perspective, there has been an inventory rationalization, which I think was taking place since last couple of quarters, have we seen the bottom of that?

Kushal Desai: I think so because our inquiry rates have substantially increased. And even the order inflow has started increasing. So, when you are looking at this first quarter versus first quarter of last year, first quarter of last year was still at a fairly high level. But the shipments to the U.S. in spite of this problem which having happened is still higher compared to the previous quarter. So, I think it has already bottomed out, very clearly bottomed out, and shipments and inquiry levels have started increasing.

Moderator: The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Congratulations for the good set. First question on the volumes. So, you did highlight it on the export front the contribution this time was about 30% and last year and from recent past, the contribution was, especially in conductor used to be 40% to 50%. So, underlying the challenges which you highlighted now, what are the volume expectations?

And second thing, I wanted to understand on the regulatory delays, which you have highlighted, if you could elaborate more? Is it because of the elections or any other factor which is there in exports, U.S. exports?

Chaitanya Desai: So, on the regulatory front, the foreign regulatory bodies are more demanding, and there are a lot of more procedure for their various permissions compared to our Indian counterparts. So, to get the project clearances itself takes many years. So, these are some of the things which have affected some of the projects. And in addition to that, the higher interest rates also have sort of forced some of these

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projects to get little postponed in terms

of the implementation in these foreign countries, that is what we were meaning when we said about the regulatory delays. And with regard to the future quarters, this Q2, which we are currently in, that is also obviously somewhat impacted because of the logistics disruption. And we are hoping that from Q3 onwards, things should normalize.

Amit Anwani: Right, so are we expecting that the contribution will again come back to a higher level of 40% from exports?

Ramesh Iyer : Yes. See, the mix will be better. What we are also doing is that our product peaks we are improving, as we have been mentioning from the earlier quarters, the ACSR - type conductors are being replaced with AL -59 conductor. So even though they are conventional conductors, they are having a better margin than the ACSR conductors. Similarly, within the premium product portfolio also, we have better margin products in terms of CTC conductors having a better -- higher share than PICC conductor. So, we're trying to optimize the better product mix, high margin mix within each category, and that is the reason we are getting a better EBITDA margin on a per metric tonne basis.

Now it really depends on the kind of orders and projects that get executed during the quarter. So, you may see the EBITDA margins moving in that direction, depending on the overall premium mix as well as premium mix within each category. But for the full year basis, we are expecting about volume growth to be anywhere between 10 -15 percentage.

Amit Anwani: And are we revising EBITDA per tonne?

Ramesh Iyer : Sorry?

Amit Anwani: Are we revising EBITDA per tonne this quarter.

Ramesh Iyer: No, so we go with our annual guidance that we have shared last time. But we have been working on improving the product mix. So, depending on what we've executed in the quarter, your EBITDA margin will improve there.

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Amit Anwani: Right. And on the oil business, we did highlight that the global transformer oil volume have gone up by 20%. Is it for APAR. And if so, then I think the overall oil volumes has been 6.7%, is it affected by other verticals and transformer is doing great, if you could explain more? And then if that is the case, what is the outlook for the oil business with respect to EBITDA per KL and volumes in the coming quarters?

Kushal Desai: So, the transformer oil, the 20% growth has been -- is specific to APAR. The market is not growing at 20% a year. But as the Indian market is probably growing close to about 8% to 10%, and the overseas markets are growing at around 6%, 7% a year, depending on which geography one is looking at. We have been gaining market share in several countries, which is why the figure of 20% with respect to APAR. As far as the product verticals are concerned, transformer oil, which is a target vertical for us to grow has shown these numbers of 20% growth.

Similarly, if you take the lubricant business, both the automotive and industrial also have grown. What has degrown for us is the process oil business and the white oil business, both of which actually carry a lower margin profile. And the main reason for the white oil business being lower is the foreign exchange issues that are existing in Africa as well as the higher logistics costs, shipping from India into Latin America and a few of these other markets, which typically we have been doing a good amount of white oil business.

So that's the reason why you've seen transformer oil at 20% and the lubricant mix, also double-digit growth, but overall growth at around 6%. But because the more profitable product line has grown, you see an overall increase of almost 15% in the EBITDA quarter-on-quarter.

Amit Anwani: Right. Lastly, sir, on Cables business. So, this quarter, we did about 7.8% top line growth. So, with the comeback in the exports bu

siness, are we still guiding more than 20% growth for the Cables business and similar kind of margins, 10.5% to 11%, 11.5%?

Ramesh Iyer : Yes. margins are likely to be in the range of 10 -12 percentage. And overall, value

also, we are looking at about 25 percentage growth on an annual basis.

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Amit Anwani: And this is primarily when the U.S. comes back? Or again, this business is displaying much faster growth in domestic market, any colour on the domestic market with respect to optic fiber and low-duty cable, how the growth and contribution is happening from all the fast-growing businesses in Cables?

Ramesh Iyer : So domestic business is showing very strong growth. If you see even this quarter, domestic business has grown by more than 40 percentage. Of course, 25 percentage, we are assuming that U.S. also comes back. Our domestic business looks strong. Our LDC business has also grown 50 percentage in this quarter to about INR70 crores in this quarter. So apart from that, all the other verticals on domestic took strong growth in this quarter.

Amit Anwani: How was the elastomeric cable growth?

Ramesh Iyer : Elastomeric cable was over 15%...

Kushal Desai: So, the renewable energy side actually has grown even more, which is the solar cable side. The supplies that went into the railways and defence, the growth was a little bit lower, but that also is picking up. From this quarter onwards, quite a lot of railway orders, et cetera, coming in. So overall, domestic growth is fairly strong. And as the inquiry levels have increased, even the order conversions have improved with the U.S. So, our sense is that you'll see both export business going up and the domestic business going up.

So, by the half year, we will know better in terms of how much this export logistics is actually affecting shipments. But otherwise, if you take our view in terms of for the year and then going forward, none of the critical growth drivers seem to have got adjusted in the wrong direction. They're all still positive.

Moderator: The next question is from the line of Riya Mehta from Aequis Solutions. Please go ahead.

Riya Mehta: Sir, my first question is in terms of railway. So, in the budget also the electrification numbers have reduced. And I think we are on track for the target of around 80% to 90% electrification. So, going forward, what kind of railway orders are we seeing?

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Kushal Desai: So, the railway electrification side has already, as you said, 90% is already done. The in flow of orders for copper conductors is down. However, for certain special copper alloys that business has started for the higher-speed trains. But the growth which we have seen that I was referring to previously is fundamentally with respect to the cables that are going into the trains for the locomotives as well as for the coaches.

So that part of the railway business has been continuing to grow. We are the major supplier into the Vande Bharat train. And as the manufacturing and execution of that is increasing, our supplies to the railways is also increase. However, what is compensating the conductor business for a reduction in copper conductors to the railways, we have seen a major jump in our copper transport conductors going into the transformer side of the business.

I think in the last earnings call also; we had mentioned that all transformers which have more than 400 amperes of current coming out of them have been mandated by CEA to have the copper transposed conductor. So that's one major area of growth. The second area where we've seen growth happening is in the busbar. So, these busbars are also increasingly being used, especially in high-rise buildings and larger complexes, which is a norm

in India. So, between these 2, it's compensating for any reduction that's been there on the railway conductor side.

Riya Mehta: Got it. And my second question is a lot of players who are basically forward integrated toward using conductors and to the T&D space, a few of them have started their own conducting facility because there was serious shortage previously. So, do you see the competition increasing or are target area decreasing?

Kushal Desai: So, I think we've addressed the same question. Fundamentally, KEC has put in

specific conductor capacity, and that will probably come into -- so there another 6 months -or-so. So, in fact, it may be a backward integration for them to some extent. However, as Chaitanya -bhai mentioned that the base conductor today has moved to AL-59, which is not the simplest product to manufacture compared to ACSR. So, it has alloying and it has technology requirements attached to it. Besides that, they'll

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have to get approval from Power Grid, which has won a significant number of new TBCB lines. That approval process is not a trivial process either.

Also, the export side of the business requires a much, much longer approval cycle. So, we really don't see that upsetting the apple cart. In addition to that, why would another EPC player buy from competing EPC player. So, we -- I mean, yes, there would be a lower demand coming in from KEC, but I don't think that's necessarily going to affect the overall position that APAR has on the conductor side.

Riya Mehta: And for the conductor, what percentage of the order book is currently coming from exports?

Ramesh Iyer : Exports, this quarter was less about -- exports in conductor is about 30 percentage, but earlier it used to be about 40 -45 percentage. But this quarter has been 30 percentage.

Riya Mehta: This is as a percentage in order book, right?

Ramesh Iyer : This is also for the quarter 1.

Kushal Desai: Yes. For the Q1 order booking.

Riya Mehta: And in terms of cables, U.S. would form around 50%, 60% of our exports mix. So, going forward, with domestic overcompensating for the lacklustre in U.S., what kind of growth do you see in other geographies in export market apart from U.S.?

Kushal Desai: So, we have, in fact, in the U.S., as far as the cable side is concerned, as I mentioned earlier, we have started seeing increased inquiry levels as well as an increased conversion. So, the order book for the cable side has already started growing. On the conductor side is what was being referred to that the -- some of these regulatory approvals are taking longer than had been indicated earlier. So, the conductor ordering from the U.S. has been a bit slower. The cable side has actually started growing. So, you would see a significantly higher amount of execution taking place of cable sales to the U.S. in the second half compared to the first half of this year

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and even then comparing with the second half of last year. So, the trend is a clear upward trend.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, in recent past, there has been, I mean, the prices of copper and aluminum has dropped significantly. So, what impact this will have on us in coming quarters?

Ramesh Iyer: So, copper and aluminum rates doesn't affect our margins because we run our full hedge book for all the orders that we have. The only impact possibly you could see is that the interest line item may go up or come down depending on our copper, aluminum going up or down, but that also is factored in the selling price of the product. So, at a net margin, we don't expect any significant impact of copper or aluminum price going up or down.

Kushal

Desai: Also, Mahesh, you do need to keep in mind that both copper and aluminum had shot up in the recent past, and then now have recorrected downwards, but they are still at a higher level than they were 1.5 months, 2 months. But then having said that, as Ramesh has mentioned, we run pretty much a hedge book. and the changes in the price of aluminum and copper eventually affect working capital or could affect future business given that the capex cost may go up for a particular project.

Chaitanya Desai: So, some of our customers may before their deliveries, if they have not hedged, but it will not impact us directly.

Mahesh Bendre: Okay, sure. And sir, domestic side, the transmission capex seems to be very strong. This is indicated by Power Grid and all transmission companies. So, over the next 5

to 7 years, do you think the domestic market could be much more, I mean, attractive for us compared to export? Or is it that both markets will be flourished for us?
Chaitanya Desai: Yes. In the medium to long term, we see both markets being strong. In the short term, the Indian market has actually done quite well, and it has helped us take care of the reduction in the export demand due to this logistics disruption issues.

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Kushal Desai: Also, we tend to think that everything in India is very slow. But as APAR is executing in 140 countries around the world, actually, the speed with which Indian regulatory authorities have been acting on new transmission lines or new infrastructure is actually faster than pretty much most countries around the world.

So that's the reason why in the shorter term, the U.S. regulatory clearances are taking a bit longer to come through, so somehow the demand has actually got pushed back because of that. But the Indian transmission line side should be looking up. If you see currently PGCIL's capex additions have been relatively low in the last quarter as they've reported in their financial numbers. But going forward, they won a number of lines. So, we see demand in the domestic side actually increasing.

Moderator: The next question is from the line of Himanshu Upadhyay from Buglerock pms . Please go ahead.

Himanshu Upadhyay: Yes. My first question was on the 30% growth in auto industry or the auto volume. Have you added new OEMs, which is leading to such high growth? Because last year, we had a pretty flattish numbers and we're not seeing so much growth on the OEM side. So, what led to this high growth? What would be the mix of aftermarket versus OEM sales?

Kushal Desai: Yes. So, this -- the growth has really come from the B2B side of the business, where the sale has come through B2B distributors, has come through OEMs and sales that have gone in directly into industries and end consumers. On the automotive side, besides these 3 channels, the OEM portion, APAR has actually gained market share or share of business from some of the existing OEMs. And that has also resulted in the higher numbers coming in on the automotive side. Some of the key OEMs that we service also had a quarter-on-quarter base effect.

So, they bought a lower number of lubricants, especially for their SPD, spare parts division, in the same period previous year, and they bought a larger quantity in the current year. So it's a combination of a higher level of purchase higher share of business from existing OEMs and some new product lines being added to some of the OEMs, which we have completed all the R&D testing, et cetera, et cetera, and

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have had acceptance for, which some of our competitors in the account haven't been able to cross that barrier yet. So, it's a combination of these things.

Himanshu Upadhyay: But can we assume that it will over the year normalize to 4%, 5% or do you think its

high momentum.

Kushal Desai: So, the OEM side we will see a double-digit growth over last year.

Himanshu Upadhyay: Okay. And one more question on this. We had this UAE facility. If we take out consolidated revenue and EBITDA, we are not seeing much traction there. Can you give some thoughts on what is happening in UAE? And is it -- means, it should have more benefits of exporting as it is much more nearer to Europe and all those markets, especially on the oil's segment, what is happening there.

Kushal Desai: So there has been -- if you see, there have actually been 2 adverse areas that have affected export coming out of the UAE, one which you probably know very clearly is the issues in the Red Sea because the proximity to the European markets to West Africa to all of these happens through the Red Sea. So, with the Red Sea pretty much closing down, freight rates have gone up both from here as well from the UAE. Secondly, a lot of export was happening from there into Africa. And with the foreign exchange issues on the white oil side, which I spoke about earlier, there has been some impact in the Middle East operations there.

Having said that, the transformer oil side of the business continues to grow quite

strongly over there. So, you will still see in this year a better performance coming out of even the Middle East operations as compared to the same period in the previous year. So, FY '25, we expect to do better than FY '24 in spite of these issues because the transformer oil side of the demand remains very strong even in the Middle East.

Himanshu Upadhyay: And one more thing. Are we seeing delivery challenges only in conductor or with the transport challenges? And how is the situation in oils and wires? Because the rates you are saying have increased even for oil shipments.

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Kushal Desai: No, so the logistics, meaning the export logistics or the freight has affected all the 3 divisions. The number which we mentioned of INR270 crores of shipments having got stranded, which would have otherwise been planned for dispatches in Q1, are largely comprising of FOB shipments, where the client was supposed to actually provide for the logistics and the container costs.

And this is something that we have been pushing for to isolate ourselves from the movement in the freight prices. So there is a challenge, which all our 3 divisions have faced and I think every exporter out of India has also faced because it just came in too fast and without adequate warning, a huge number of containers got diverted, many ships which we are supposed to call to India actually bypass India with empty containers and went straight to Chinese ports.

But having said that, that the effect of this whole China piece is by very nature, likely to be short term because of the higher duties which are kicking in from first of September onwards. So Chinese manufacturers have kind of moved the inventory that they held into the U.S. market before the change in the duty structure happens. So yes, when you have a disruption like this, it takes a few months for it to get normalized, but it should get normalized.

Himanshu Upadhyay: And you said that in oils business, the transformer oil and auto oils have been doing better and they are the higher -margin products, do you think the mix of products for the year, means, '25 -'26 would remain similar or do you think it will mean revert to backward historically it has been?

Kushal Desai: So, we will definitely see higher growth rate in both of these product lines, in transformer oil as well as in automotive oils. On the more commodity side, which is the technical grade white oils and some of the process oils which go into raw materials in the manufacturing goods, in fact, the margins have been very bad in

that, in that area. So overall, you will have 2 positives and 2 negatives. But overall, the positive should outweigh the negatives. So, I think we will be able to meet the guidance or possibly achieve the guidance through the year.

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Himanshu Upadhyay: And the capex, are we on time to complete all the capexs which we had committed in last year?

Kushal Desai: So, on the capex front, we are progressing as per plan. The delivery cycles for critical equipment's have all been very long, and there have been further delays coming in delays as in, the longer lead time that has been indicated, but we have planned quite well to ensure that we spend the capex money keeping a buffer in terms of time. That is a reason why we've actually been accelerating some of this capex going in, and trying to build a buffer. So, we still should have most of the capex coming in within the indicated time frame.

Moderator: The next question is from the line of Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani: Congratulations on a good set of numbers. My first question is on the cables front. So, you mentioned that you are maintaining the guidance of 25% growth for FY '25. So, this is factoring in the slowness in Q2 that you mentioned, right, if I understand correctly?

Ramesh Iyer: Yes. We expect that the demand from the U.S. coming up and we should be able to catch up with the growth numbers. So just assuming that not the export demand also

completely comes up, that's where we expect 25% growth in the annual numbers.

Mohit Motwani: And can you elaborate a bit on the competition that you're seeing in the cables segment? So, have you seen -- because some of your peers have also started exporting to the U.S., so have you seen any pressure on the market share or maybe pricing pressures, which could mean some negativity for the margin front? So, any colour on that you can share with us?

Kushal Desai: So, the U.S. imports nearly USD20 billion of cables in the year and the aggregate import from India of all the cable companies put together is -- last year's numbers were close to 400 -odd million. So, the real competition is still not just from, necessarily from other Indian cable manufacturers, but is against imports that are

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happening from China, from Southeast Asia, Middle East, Europe, Mexico, Colombia and some of the Latin American countries.

So, I think the market is so large and the Indian share is so small that even though others may want to start exporting from India, other manufacturers, I think we still are quite focused in terms of the market and increasing our client base over there. So, we don't see the increased Indian competition has actually been the issue, the real issue will be whether we are able to compete against existing channels of supply into the U.S.

Mohit Motwani: Sure, sir. And sir, on the gross margin front, I understand that you have a complete hedge book, so the movement in the copper and aluminum prices don't really affect them. But if I look at gross margin in this quarter versus the last year as well or in the previous quarter, so it has been down. So, can you give a sense on how does your gross margin move and how does it depend on these raw material prices? I know you hedge it, but just a little bit, if you can elaborate on that?

Ramesh Iyer: Yes. This quarter, it has been down largely because export mix has also been less and the margin profile has been lower because the U.S. sales has been down and overall export mix has been less. So overall, we are looking at about 10% to 12% EBITDA margins. And once the scale of the business goes up, we can expect improvement in a few basis points due to your factory manufacturing overhead, co

nversion costs getting spread over a larger volume.

But yes, if you theoretically put in the copper -aluminum going up as a percentage to sales, it may marginally come down because in this thing, you're looking at a percentage to sales. But as the scale improves, we also expect the cost to come down as well.

Mohit Motwani: Okay. And right now, in terms of conductors in the domestic market for the Indian transmission lines. So, is it -- this is more of AL -59 conductor that is going into these transmission lines or is there more of any reconductoring that has started right now? If you can give a colour on that?

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Kushal Desai: Yes. No, it's primarily AL -59, the conventional product. But there is some HTLS or the reconductoring business also, which is going on. Which was mentioned in our remarks also that after this election is through, we expect now the momentum to pick up there.

Mohit Motwani: Sure. And sir, this container availability issue that you spoke about for conductors, how long do you expect it to persist? I mean, I know you said that Q2 may be impacted. So, after that, do you expect this to normalize from Q3, the container availability issue?

Kushal Desai: Container availability issue is not only the conductor division, it's across our 3 divisions and across every single exporter from India. As I mentioned earlier, so I'm sure as you attend other companies' earnings calls and people who export, you will find that this has affected everybody.

As I said, it's -- the duration by very nature is short term because of a lot of movement from China into the U.S. to beat that deadline. Now how long it will take for it to normalize? It will take a few months. I don't know whether it will be 3 months or 6

months, but it will normalize because these containers, once the delivery happens, the U.S. will get destuffed and come back into circulation.

Moderator: The next question is from the line of Mukesh Patil, individual investor. Please go ahead.

Mukesh Patil: Just wanted to know cables and wire business volume growth for this quarter?

Ramesh Iyer : Sorry, your question was not clear. Can you repeat?

Mukesh Patil: What is the volume growth for cable business this quarter?

Ramesh Iyer : So, in the cable business, we don't report the volume numbers because there are a wide variety of different product sets. So here, we only report the value numbers.

Kushal Desai : 7.8% is the value mix.

Mukesh Patil: Okay. And what is the capex plan for this year and next year?

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Ramesh Iyer: We are looking at capex of about INR300 crores to INR350 crores in this financial year.

Mukesh Patil: And next year?

Kushal Desai : It should be in the similar range.

Mukesh Patil: And it will be basically towards?

Ramesh Iyer: Largely towards the cable and the conductor division.

Moderator: The next question is from the line of Saurabh Patwa, Quest Investment Advisors Private Limited. Please go ahead.

Saurabh Patwa: Sir, I just wanted your thoughts on a medium-term volume outlook for transformer oil given the context of the increased investment in new power generation capacity as well as transmission, especially given the solar, which will require the increase in transmission line to much more extent versus thermal?

Kushal Desai: So, as I mentioned earlier, Saurabh, we expect that there will be a good demand for transformer oil. There is a number of substate -- with every generating site, every renewable energy-generating site, a substation goes in to step up the power and then a substation is required to step it down.

So, this entire renewable energy journey or transition that's happening is also becoming more substation intensive. And as a consequence, the v

alue of

transformers in the whole chain is also increasing. And that has a direct linear bearing on the demand for transformer oil. It also has a linear bearing in terms of the demand for copper transposed conductors or CTC conductors.

Saurabh Patwa: Right. And sir, out of the data center-led demand can impact, especially if the localization has to happen in India, will this drive another set of demand?

Kushal Desai: Absolutely. Not only in India, but around the world. So, there are a number of global studies which are out there on data center addition, the highest which is happening in the United States, India is actually a distant like 6 or 7 at the moment. But these

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data centers are extremely power intensive. If you take the data centers which are being added in Navi Mumbai alone, once this current set, which have been announced are added, we need in excess of 3,000 megawatts of power to service them. So, it is a single largest, it's like 75%, 80% of the operating costs.

Saurabh Patwa: Right. So, is the product requirements different in terms of transformer oil?

Kushal Desai: No, no, no. So, see, the transformer oil will go into the transmission side of the system. If you're talking about liquid cooling, then for the data center. So that is still a category that is still being developed and is slowly increasing. There are standards which are slowly evolving in terms of data centers. And it would be a combination of using mineral oils and synthetic oils.

Saurabh Patwa: I have one more question related to oil. So, you highlighted you've gained market share on export. So, is it from the local firms or is it -- are these global firms which you've taken market share or the local domestic players?

Kushal Desai: From global firms. If you take share of export that's happening from India, anyway APAR has the lion's share of the export portion. So are really as new avenues have opened up, we've been able to pick up a larger share of the business, plus one of

our competitors out of Europe, which was erstwhile the largest supplier of transformer oil, they've still been affected with financial problems and things. They're in a better situation than they were a couple of years ago, but not the kind of force to reckon with before. So, we've managed to gain shares. Most of our share gain has been in Southeast Asia, Australia, South Africa, Middle East. These are the regions where APAR has been strong and a fair amount of growth has also been happening.

Moderator: The next question is from the line of Gaurav Uttrani, IIFL Securities. Please go ahead.
Gaurav Uttrani: Sir, could you just highlight like what would be the revenue contribution from ACCC conductors in our conductor division?

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Chaitanya Desai: We don't have a specific breakup of that. But in the overall context, it is a very minor percentage of our conductor business.

Gaurav Uttrani: Okay, sir. My point of asking this question is that CTC Global has added one other player in domestic market to supply these conductors. So are we expecting any decline in volumes or distribution of volumes between the two of...

Chaitanya Desai: Well, actually, there is no net increase in the partners. There was one partner which currently has gone into NCLT. So, there's another one which has now come in place.

So, we don't see much difference here in our future offtake. In fact, the overall pie of the market also is growing. So, we may not have a problem in any case, even if there are more players.

Gaurav Uttrani: Okay. Got it. And sir, any ideal revenue share between domestic and export, which we're targeting going forward, like it would be 50 -50 or 60 -40 in terms of if you could highlight a directional sense in terms

of exports, which we are seeing largely in conductors only?

Chaitanya Desai: Yes, in the past also, we have actually clarified that we are generally agnostic to where we sell. We try to optimize our net realization. Of course, current market in the export is somewhat affected and in India, there's a good offtake. But in the medium to longer term, I think it may be more like 50 -50. As already explained, we anticipate growth both in the local market as well as in the international markets, both.

Moderator: The next question is from the line of Mukesh Patil, individual investor. Please go ahead.

Mukesh Patil: Just want to know capacity utilization product wise for us?

Ramesh Iyer: Can you repeat?

Mukesh Patil: Capacity utilization for cables, conductors and...

Ramesh Iyer: Capacity, we are running over 90 percentage on our cables and conductor division.

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Mukesh Patil: Okay. And what is the margin profile for our export business?

Ramesh Iyer: There are multiple products which are there...

Mukesh Patil: Specifically for export cables?

Ramesh Iyer: Yes. Again, there are export products, there are multiple products. Overall, your EBITDA is in the range of 10 percentage. Exports typically are higher than the domestic margin, but because of multiple products involved, we don't give individual EBITDA margin for the division.

Mukesh Patil: Okay. And are we -- so our domestic business are growing very fast in the last few quarters in cable business, so are we looking to increase our product portfolio?

Ramesh Iyer: Increase our, sorry, what?

Mukesh Patil: Product portfolio. Are we increasing our product portfolio?

Ramesh Iyer: We have a wide variety of products already in our current kitty. So -- and we are also looking at opportunities to increase the product portfolio wherever there is demand and products that are ancillary to the current portfolio.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand over the conference to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone for joining our Q1 FY '25 earnings

call and thank you for your time and attention. Just in conclusion, I'd just like to reiterate that all the growth drivers that we've been talking about for the last couple of years, they remain intact. And in fact, our conviction in the growth continues to remain fairly strong. There have been a few factors that have disrupted in the short term, the latest of which has been container shipments going from China to the U.S. to beat a certain tariff deadline and then prior to that, the Red Sea kind of problem. But we feel that these are not going to remain forever. They will be overcome and the growth will continue. Fortunately, the backdrop of domestic demand continues to remain strong and the Indian market is maturing and premiumizing in terms of

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the requirements that they have in terms of the infrastructure within the country. So, we continue to remain reasonably optimistic and see a good growth profile in the medium to short term. Thank you so much.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Sep 2024

SEC/ 0409/202 4 By E- filing September 04, 2024

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship
Department

Sub. : Submission of Transcript of Investor Day Conference Call made by APAR Industries Limited (the Company) on August 28, 2024.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter no. SEC/ 2808 /2024 dated August 28, 2024 w.r.t. submission of link of Audio Recording of post Investor Meet / Investor Day Conference Call organized by the Company.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith transcript of the Investor Meet / Investor Day (Conference Call) made on Wednesday, August 28, 2024 for the information of members.

The aforesaid transcript is also made available at the website of the Company at www.apar.com.

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

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“APAR Industries Limited

Investor Day Conference Call ”

August 28 , 2024

MANAGEMENT :

(APAR INDUSTRIES

LIMITED) MR. KUSHAL DESAI – CHAIRMAN AND MANAGING DIRECTOR

MR. CHAITANYA DESAI – MANAGING DIRECTOR

MR. RISHABH DESAI – NON-EXECUTIVE DIRECTOR

MR. RAMESH IYER – CHIEF FINANCIAL OFFICER

MR. MANISH AGRAWAL – CHIEF EXECUTIVE OFFICER (CONDUCTOR
& TELECOM)

MR. SHASHI AMIN -- CHIEF EXECUTIVE OFFICER (CABLE DIVISION)

MR. GIRISH GUPTA -- SENIOR VICE PRESIDENT - TELECOM

MR. SUNDAR SUBRAMANIAN -- SENIOR VICE PRESIDENT – AUTO
AND INDUSTRIAL LUBRICANTS

MR. SUYASH SARAOGI – PRESIDENT (STRATEGY & PROJECTS

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Ramesh Iyer: Good morning ladies and gentleman and welcome to the investor day.

Today, we have Chairman and Managing Director and we have the entire senior management team of APAR Industries who would take you through the different business divisions and the growth opportunities that lie for us.

I'll just take you through a quick view of the -- what's in store for the day today. We'll start the session with opening remarks by our Chairman and Managing Director, Mr. Kushal Desai, followed by Managing Director, Mr. Chaitanya Desai. After that, we will have the divisional highlights, the Conductor Division business highlights by Mr. Manish Agarwal. He's joined newly as the CEO of the Conductor and the Telecom sector. Mr. Manish is travelling abroad, so he'll be joining virtually for the session today.

Post that, we'll have Mr. Shashi Amin, who is the CEO of Cable Division, talking to you about the cable and wire business highlights. Post the tea break, we'll have Mr. Girish Gupta talking on the Telecom Division. After that, Mr. Sundar Subramanian and Mr. Rishabh Desai will talk about the specialty oils and lubricants business. I will cover the financial overview post that. And after that, we'll have ESG initiatives by Mr. Suyash Saraogi . And towards the end, we'll have the Q&A sessions.

You have your QR code on each of your tables over there, so at any time during the course of the presentation as well as towards the end of the presentation, you can scan your questions and all of those will be answered at the end of the session.

With that, I'll request our chairman, Mr. Kushal Desai, to begin the session for the day.

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Kushal Desai: Good morning, everyone. And I'd like to extend a warm welcome and hopefully a dry welcome. I know you had heavy rains this morning, because of which commuting was a little bit difficult. So, I thank all of you for making the effort to be here and be present for our Investor Day.

As Ramesh has mentioned here, we have a fairly comprehensive presentation for you. And hopefully it will give you a deep dive in terms of where the company stands, where do we see the growth and the future of the business? And how prepared APAR is to actually take on these opportunities?

There's a famous English saying that luck is the point at which opportunity meets preparedness. So, at the end of the day, you guys should be able to judge whether APAR is going to be lucky or not in terms of its preparedness.

So, I'd just like to start off with just this slide, which puts in perspective what drives us. So, if you look at our mission which we define as why we exist? I think this is very important because whatever we've done in the last 10 years and what we propose to do in the next 25 years is pretty much dictated by this one sentence.

So, our mission is to design and manufacture building blocks for the energy infrastructure, transportation and telecommunication sectors that contribute meaningfully to make this world; A, more energy efficient; B, environmentally sustainable; and C, a safer place. So, you will see every single activity, every single product that APAR has worked on in the last 10 years meets these three criteria.

Our vision is to be a global leader in the energy infrastructure, transportation, telecommunication sectors by providing the best solutions
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and value creation for our stakeholders. In 2020, we actually changed APAR's tagline by changing it from tomorrow's progress today to tomorrow's solutions today, keeping in mind that the important barometer to gauge, how useful you are to your clients is how effective your solution is to them because that is what is the final measure in terms of

of what value
you've given to them.

There are these five values based on which we consider ourselves -- to measure ourselves to be an ideal APARian. So, the first one, of course, is innovation. When you're trying to solve and you will see that there are some gigantic problems which are coming up in the world in terms of the energy transition, you have to be very innovative, you have to pioneer beyond conventional solutions otherwise it's not going to happen.

We have to be driven, proactively strive for superior outcomes, because that's what delivers the value, the value creation to shareholders and to stakeholders comes only from that. We've got to be entrepreneurial, empowered to take ownership, learn how to get more out of less.

Accountability is important, we have to be committed to sustainable growth and be responsible in the way in which we go about doing it.

You will see in Mr. Saraogi's presentation that comes later on, in terms of the ESG side, it is going to be a license for you to operate. So, if you don't end up actually meeting those criteria in the next few years, believe me, you will not be able to operate. And then finally, we want to lead this whole innovation curve and inspire leadership at the forefront of innovation within our industries and as part of this energy transition.

So, the next slide, I'll just quickly go through it. These are the different segments and the brands which we have within APAR. So, we have the
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speciality solution group that covers transformer oil, wire and pharmaceutical oils and a bunch of speciality products. We are the world's third largest transformer oil manufacturer. Within the oil division, the transformer oil portion has been the fastest growing. We've been clocking over 18% CAGR growth, looking at the last five quarters.

And as you'll see through this presentation that transformer oil grows linearly with the addition of transformers. So, as you have more transformers going in, you will have transformer oil growing at the same pace. We are also the largest exporter of transformer oils from India. The product is sold in 140 plus countries around the world and you have about 45% of the revenues coming from overseas, 55% coming domestic in that segment. We have now become the ninth largest player in the lubricant industry. My colleague Sundar will take you through the lubricant part of the business.

On the Conductor side, we have been leading the innovation curve as the largest one-stop solution provider for design, manufacturing and upgrading transmission lines in the world. Even though there's no published data based on industry data, we are the largest manufacturer of aluminium and aluminium alloy conductors in the world. There's a very comprehensive presentation, Chaitanya here will take you through part of it and then of course Manish is going to do the deep dive.

On the Cable Solutions front, we have the widest range of products in India catering to two speciality sectors and these sectors are really growing. You have the Indian railways, you have the shipping, a lot of submarines being added. India has a 7000 plus kilometer coastline. And the interesting thing is we don't have a single offshore turbine, so you can imagine the kind of potential that can show up.

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Hybrid cables, harnesses, a whole lot of telecommunication cables and we also build the safest house wire in the country. Some of the leading brands like Polycab and KEI and RR and etc, etc are now following suit because they've seen the value of the product that APAR has launched in the form of APAR Anushakti.

We are also the largest exporter and producer of these speciality cables, especially for the renewable sector in India and we are the largest exporter of these cables from

India. In terms of the telecommunication side, we have been focusing on providing telecom solutions including fiber optic cables, copper and hybrid cable solutions and services and my colleague Girish here will actually run you through some of those opportunities.

This slide actually is very important and it just puts in context what we are going to be talking about for the remaining three hours that you will be over here. The largest revolution that is happening in this world, in the history of the industrialized world is actually underway. Most people in the world don't even realize it because you don't see power, you don't touch power but it's going to influence every form of what you do.

If you look at the root of this whole thing is that greenhouse gases are emitted basically from emissions that come out. You have it from the tailpipe of a car, you have it from a power plant, anything that uses a hydrocarbon form of energy has an emission. So, when you have greenhouse gases increasing, the heat that is retained in the world increases.

The important thing is that, and most people don't realize this, that greenhouse gases are emitted locally but they affect globally. So, if you do stubble burning in Indonesia or in India or in Papua New Guinea, it will

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equally affect Anchorage which is in Alaska or Rio de Janeiro in Brazil or Canberra in Australia. So, it becomes then, you may create that locally but

then it becomes a global problem.

So, governments and businesses across the world are trying to fix this. Demand for oil is projected to peak by 2030. You can already start seeing it, in spite of all the wars and so many other things happening, at least at the moment you don't see crude and gas oil going up that much because the demand has been a bit soft.

If you see annual investments across the energy sector, they are projected to grow at almost \$1.5 trillion a year and going up to \$3 trillion a year.

Now how does this affect APAR actually? So, what we see is that in this energy transition, if you look at the period from 2020 to 2050, the energy consumption is likely to double. So, if you are consuming 100, it is likely to go to 200. In 2020, electricity formed 20% of that energy mix. By the time you get to 2050, it will form 40% of the energy mix.

So, you are going to go from 20 to 80, which is where this 4x increase comes in. I'll show you a chart later on that puts it in perspective. The beauty is that the incremental consumption, you know, going from 100 to 200, almost 75 % to 95% of this is going to come from renewable sources and it's necessary because we need to have emission of greenhouse gases 25% to 30% lower than what they exist today, when you double this energy consumption. There will be, of course, energy storage solutions which will catalyze, you know, this whole transition process.

So, I've just tried to summarize here that there are these six areas, those of you attended our presentation last year, these six areas pretty much remain intact. And you probably will see this slide coming up for the next five to

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ten years, because the growth is such a long story in these areas that there'll be just more activity happening, more intensity and a faster pace. So, in the first case, obviously the main driver is the addition of renewable energy, wind, solar and nuclear.

The businesses that benefit from this for us is a cable business where we have a plethora of cables that go into solar installations and wind installations. It forms about 5% of the cabling that happens within the plant itself. There are overhead conductors which will then transmit power out of there. There is always a substation attached to a generating source, because the substation, the source is at 11 kV or 33 kV

and these

transmission lines go from 220 up to 765.

The interesting thing is that, you know, as the step-up increases, you require a lot of more copper transposed conductors, because the primary is at a much lower voltage level compared to the secondary. So as a consequence, the total amount of copper required in the transformer also increases.

On the CTC side, we've already doubled our capacity and by January of 25, we will further double it. So, it will be a 4x increase in the capacity of copper transposed conductors. Transformer oil, as this happens, there is more heat that's being generated, you need more transformer oil for cooling and the insulation requirements increase, so better quality oil required to manage this.

If you come to the transmission line side, the evacuation of power is going to play a very important role. And you know, it's happening all over the world, but I'll spend a minute and explain it to you in terms of what's happening in India.

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So, India works on a national grid, right? So, we have a grid that's a national grid and it connects into state grids, but really the concept you must have seen all over the place is one nation, one grid. What is the funda of this one nation, one grid?

You should be able to generate power in Kashmir or in Assam or in

Hyderabad and be able to draw that power in Cochin. You can put in power anywhere in the system, you can draw it anywhere, you know, from wherever you need, you pay wheeling charges and costs based on the movement of that power, just like in your telecom network. You can take a call in Tinsukia or you can take a call in Cochin or you can take a call in Srinagar. Right? There's a cost to be paid and as long as you pay the cost, it should happen.

When all this power gets added and renewable energy is being added in a fully distributed manner, it's coming up all over the country, there is going to be a massive increase required in the transmission network if you want to follow this one country, one grid policy. So that's what is throwing all this up. You will have reconductoring solutions, you will have new lines getting added, a lot of substation increase taking place, so again transformer oil and C TC coming into the picture.

On the infrastructure side, this is really highways, ports and other forms of infrastructure, bullet trains, etc., in which you have both cables and lubricants playing a role. Public transportation is undergoing again a metamorphosis. It is one of the largest forms of emission, whether it is your car, whether it's a truck, whether it's a diesel locomotive train. India has moved completely electric on the train side, 90% of the electrification program is pretty much completed. Our sense is that all the buses in cities

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and inter-city within a state will all move to being electric to cut emissions, much easier for government to control anything which requires a permit. Last will come EVs because electric passenger cars because it's a decision that people in this room need to take as individuals. The government can't force you beyond a point, but they can force a taxi operator, they can force a bus operator, and then of course the train service is anyway within their control. So here you've got cables, you've got electric vehicles, and we are hanging our hat more on buses because that's something, as I mentioned, will be regulated.

And then you've got, of course, copper conductors coming in for this whole railway electrification and upgrading the current speed of railways. So, as you move into the Vande Bharats to get the full speed of Vande Bharat, as you get the bullet trains, we need to move from plain copper to alloy copper because you need to carry more current on that line to be able to drive the train

at speed faster.

On the telecom side, as I mentioned, there is fibre optic, there's also interesting hybrid products and you know, there'll be more discussion on that. And then finally in this manufacturing China plus one, you're looking at transmission and distribution line expansion happening to power factories. You will have, obviously, lubricants as you bring in more machinery and more sophisticated machinery means more sophisticated lubricants. And then of course, every factory is filled with power cables. So, these are the six areas that we see, you know, the growth taking place. I'll spend just a minute on this chart because this is what I was talking about earlier. So, if you see how the energy consumption is growing, you will also see in here, you know, the light blue is solar, and you see how the

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whole solar thing is growing. So, it's growing by 25 points from 40 to 65 and if you see the dark blue, that's the onshore wind that's growing from 20 to 40.

So, if you see a huge portion of this addition that's happening, is happening basically from these two areas, there is also some increase which will happen in wind offshore, because you have countries like India, 7000 plus kilometer coastline and not a single turbine. So, when you start running out of space on land, the only option is to go, you know, just

offshore. And some parts of India, especially the entire east coast of India, Manish has a chart which he'll show later on in the presentation, has massive wind speed. So, this is where the whole transition will happen. Now if you go to the renewable energy side, this chart we had shown last year, I just want to reiterate on this, and we've added a bunch of pictures so you can visualize the products that go in. APAR is a very unique company, because if you look at the solar and wind chain from generation right down to the socket, say, you know, in an Oberoi Hotel or in your house, we basically have probably the largest number of products that run through the entire chain.

So, we've got, you know, various types of cables on the generation side, we have substation products, then again you get into the transmission side, you have a step-down substation that comes after that, and then you have a plethora of various cables that go into the distribution side. This is where APAR is a really unique company, because those who are very large cable manufacturers don't do transformer oil, they don't do CTC. Those who are big conductor manufacturers are not necessarily doing a lot of cables. So, this is the unique, you know, sort of position that APAR has.

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This is a little bit of a pictorial representation, so it just gives you a little idea in terms of what are we talking about. This Nacelle cable actually connects the wind turbine to the motor on top of a windmill. Then you have low voltage cables which evacuate from the windmill down to the substation. You've got a torsion cable, and then similarly you have also a tower cable that runs along the tower of a windmill.

You've got various instrumentation control cables which manage all the panels and communication within the towers and panels. You have an earthing cable; you have a fire-resistant optical fibre cable for evacuating data and then of course LAN cables again for information.

If you look at the transmission side, you've got transformer oil, you've got CTC conductors, you've got PCCC conductors, all these three products go inside a transformer. Just for your information, transformer oils are around 4% to 5% of the value of a transformer. CTC is almost 25% of the value of a transformer.

So APAR's products target 30% of a transformer. Of course we have significantly higher market share in transformer oil, but our CTC side of the business,

as I said, is also increasing to keep pace with this. There's been some legislative changes because of which you have to use CTC if you go to a 400 ampere, if a transformer emits more than 400 amperes of current, you've got to use a CTC.

Then of course you've got the traditional overhead lines, you've got new generation, you've got OPGW, and then we have these turnkey solutions that we provide for reconductoring. And if you come to the distribution side, you've got Light-Duty Cables, you have FTTX cables. This ADSS cable is equivalent to an OPGW but in a distribution network, so it has a fibre

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optic core in the distribution network. Then you have this medium voltage covered conductors, transformer oil and of course new generation overhead conductors.

If you come to the, this chart gives you an idea of where the world is going based on the previous chart that I'd shown you. And I think this is a little important, we can spend a minute on this. So, if you see, recent years is basically the base case is around 2020, about four years ago. So, the share of renewables was around 17% by 2030, this is a global number, it'll get to 35%, and by 2050 it is supposed to get to 82%.

The last one gives you an idea of the progress in the world, we have not even hit the first quartile. So, you can see where we need to go in terms

of additions if we have to get to the destination. Share of renewables today, it's 28%, it'll get to 68% by 2030 and then 91% by 2050. So, one is in terms of consumption, the other is in terms of generation.

Then you have renewable power capacity additions, so finally what is this delta we are looking at? We are looking at almost 300 gigawatts a year in the world, almost 1000 gigawatts by 2030 and then maybe 1100 or so gigawatts by 2050. So, the acceleration is going to happen between now and 2030 and then it'll continue at that pace for the next 20 odd years.

This is pretty much the prediction.

If you come down to dollars, you are looking at about \$486 billion, so about \$500 billion dollars a year right now, going to \$1.3 trillion and then up to \$1.4 trillion by 2050. And then the investments needed particularly for power grids is about \$275 billion, so today this is a typical thing that happens, you start putting money first in generation then you discover, oh my, transmission is not happening adequately, then the money goes into

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transmission and then you have distribution, that's the typical waterfall, we saw that in thermal, unfortunately people learn a little bit slowly, you'll see that happening again.

If you go to the next slide, which is what is happening in India, so today the share of renewable and finally energy consumption is now getting closer to 40%, we are cleaning up our grid, just a few years ago we were at hardly 22 %-23% and you see these massive projects, Khavda is going to be one of the largest solar generation sites in the world where you have three companies adding 10 gigawatts each, NTPC, the Reliance Group and the Adani Group and their plans are to add hundreds of gigawatts of renewable power . By 2030 it will get to about 50 odd percent and this works out to about almost 90 gigawatts annually in PV additions, it will grow to about 170 gigawatts .

Wind, which was a little bit slow is catching up, 47 gigawatts to about 100 gigawatts, there is a national policy that's just been released which may get upgraded where they are looking at upgrading the windmills, some of the best real estate for windmills has been occupied by windmills, it was set up 10 -15 years ago, which are at 250 megawatt -- sorry 250 watt for one tower, today the minimum is 3 megawatt a single tower, so you can have significantly more power being generated on the same landmass, so that's

another thing that's coming up.

So that's pretty much what I wanted to give in terms of the overview, now Chaitanya will come here and take you through a much deeper dive on the execution of this whole process. Thank you very much.

Chaitanya Desai: Good morning, thank you, I'd like to present some of the important trends in the transmission and distribution segment . So on the back of the strong

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demand from renewables, what we are seeing is this interstate Indian transmission segment has seen very good demand and we expect that to continue, unlike the past where a lot of transmission lines used to originate from the eastern part of India to evacuate the coal -based thermal power plants, the new power transmission lines are being installed where the solar and wind big power plants are coming up . So, these are typically in the western part and the southern part of India and that is where the major new transmission lines are coming up.

The point of this slide is to explain that India has seen a decent amount of growth already amongst the democratic countries, the ecosystem here is relatively good and also in terms of the regulatory clearances, the bidding process, financial closures, it's actually helping to execute on the ground much faster the various transmission lines.

The current transformation capacity is 12.5 lakh MVA and the further projects will get it to about 17 lakhs MVA by 2030, which is about 35%

increase, the overall transmission line length in the country is at present 4,86,000 circuit kilometers and is likely to get to 5,35,000 circuit kilometers by 2030, so this is about 11%.

In the old days, we used to have a ratio of 70% transmission investment, 30% substation, now it's getting skewed more towards the substation and that is where this is almost 3x in terms of the transformation capacity increase. I'd like to mention that the type of renewable energy requirements for the consequent transmission line systems is to be designed with a lot more robustness to take care of the inherent capacity and also the surges which happened during the course of the day and the various planning authorities are actually working on giving the right type of solutions and

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hence the ratio of transmission to substations has changed now in favor of the substation investments.

Another important trend we are seeing is urbanization and the increase in demand of electricity, the growing population and increasing standards of living, rapid transition to electricity from various forms of other energy sources as was explained by Kusha I bhai. And also, the progressively less land being available especially in the semi-urban and urban areas with the associated difficulties of right of way is forcing the utilities to look at de-bottlenecking the current transmission lines through advanced products.

So not only are we seeing increase of the new lines, but also there's going to be reconductoring as an example of the existing base which is already at place. So, there will be two types of demands, new demand coming in for new products and substations as well as for the old lines and the old substations which need to be upgraded.

From your school days you will recollect that power is basically voltage into current and the current is the one that is the low-hanging fruit to upgrade, to increase that. So, a lot of the products to increase are on the ampacity or current and here we see like the CTC which is used for the copper winding in the transformers or the high temperature low sag conductors which are used to replace the old lines to double the amount of power throughput. These are the type of products and solutions which are forthcoming nowadays.

In addition to the power transmission there is an additional r

venue

possibility for the utilities and they are leasing out the Optical Fiber that they are putting in the form of OPGW and similarly there are other revenue models which are coming into place. So, this is another new trend. The

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reliability of data transfer through the overhead as opposed to underground is significantly better because there is very less risk of damage like digging or road repair work.

Another phenomenon we are seeing in the Indian transmission system is that there is increasing flexibility which is coming in terms of the choice of products to be used to improve the economics, especially for the tariff-based competitive bidding for the interstate with the amendment of the Electricity Act the developers are looking at the best value for money option and here as an example I have a part of the tender which is shown for the TBCB or the Tariff-Based Competitive Bidding which is that they give the option to use the traditional or conventional conductor of ACSR or alloy and nowadays another type of product called AL-59 which we are calling as a high efficiency conductor. So, this gives a better value proposition, it not only reduces the cost of the entire system because the weight of the product is less and hence the tower structure, the civil foundation, but all of that can also be reduced.

In addition to the TBCB which is in the interstate there is also the state intrastate work which is happening in terms of feeding the power to the

urbanization area and reconductoring with the H TLS. So here there is a formula used to ascertain what are the line losses and the combination of the price of the product and the net present value of the recurring line losses is considered to figure out what is the best option. So, this is giving interesting opportunities to companies such as us to differentiate ourselves by innovating, bringing out new products.

Some of these new products like HTLS require a different type of installation and here we are giving an end-to-end specialized turnkey solution and it is not everybody's cup of tea to build these R&D capabilities

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and have those resources to develop these end-to-end innovative solutions. This is also transforming the competitive landscape in the industry where the smaller players are actually closing down and the bigger ones are gaining a larger share of the markets and profits. Similarly on the distribution side we are seeing a number of changing trends.

The various centrally aided schemes to strengthen the distribution network grid are for upgrading and adding a lot of new distribution lines both underground and overhead. The planning authorities have been carefully selecting different solutions for improving the reliability and longevity of the distribution networks and as an example I have the Gujarat state where there is a large coast and associated corrosion issues and also cyclone challenges. So, in this the authorities have been planning underground cables for the coastal area within 20 kilometers.

Then they have another product called the covered conductor which is being preferred in the distance between 20 kilometers to 60 kilometers and then there's the bare conductors for beyond 60 kilometers from the coast. This type of improvised planning that we are seeing nowadays by the various authorities is beneficial because it will ultimately help get more revenue from paying consumers of electricity to get reliable good quality of power 365 days a year. The ongoing reforms through conditional support schemes like RDSS from the central government to the State Discoms will be ensuring that there is more revenue.

We expect with implementation of smart metering the billing and collections will improve significantly and there should

be less theft and

leakages in the times to come. Further with cheaper solar power being used to supply to the agricultural sector, the subsidy burden on the states is likely to reduce. More pressure will be there to supply uninterrupted

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power at our doorsteps and also for some of us who have seen power cuts in our childhood days at home and even today we see painful unplanned power outages in our factories.

We'll see and actually we have been forced to run on DG sets. We will see a much-improved dependable power supply scenario in the near future with all these various investments which are coming in the right type of products. Also, with increased need for last mile power connectivity for greenfield and brownfield expansions by the private sector, the industry will be funding the power infrastructure although this is technically owned by the Discom.

So, on one hand the Discom will not be putting in capex but on the other hand it will get some share of the revenue. So overall we expect to see increased consumption of grid power and reduced DG set usage. The state utilities are likely to get into a positive cycle and the structural problems will get resolved to a large extent, ultimately enabling more spend on capex.

In conclusion, all these various trends in the transmission and distribution industry are likely to help continue the existing trend of significant demand not only in terms of volumes but also higher end solutions to meet the

planning authorities and consumers requirements. There is a clear visibility of growth in the Indian T&D industry for the short term, medium term and long term. There is also a changing competitive landscape.

The bigger players are gaining on market share and also profit share relative to the smaller players who are unable to invest in developing new products and solutions. With tougher measures imposed on quality control for Central Government Schemes, the possibility to cut corners on quality

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by the small-scale players is also reducing. The global scenario is similar to that of India's with regard to renewables driving the energy transition and increasing the demand for building blocks used in the power generation, transmission and distribution segments.

At APAR, we are investing in getting ourselves future ready. We have been investing in capex to increase our capacity and fungibility to improve our capability to cater to improved range of products and technical requirements. At the core of APAR's manufacturing excellence is a commitment to operational superiority, aligning people, processes, technologies and resources to enable production and quality.

Capex investments for the last four years has been INR764 crores for expanding our capacities across our 10 manufacturing facilities. We are also introducing a number of innovative products to meet rising demand and providing customers tomorrow's solutions today. The company is adopting industry 4.0 technologies including IoT and smart factory solutions. We are modernizing our manufacturing processes. Also, we are utilizing advanced systems like SCADA and Pigging for improved efficiency and waste reduction. This strategic focus on continuous improvement driven by Six Sigma and Kaizen principles will allow APAR to optimize costs, enhance product features and consistently exceed customer expectations. Through these initiatives, APAR is building its position, leading innovation and sustainability in its core industries.

I would like to also mention on ESG we are doing a fair amount because especially in Europe we are already seeing that the various customers there are considering this as one of the important components in their decision making in the entire calculation. Like in the case of the HTLS w

here the line

losses are incorporated, we are seeing in some of the European customers

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they are also having a very significant portion in their calculation of the bid to be about the carbon dioxide emitted in the supply from our side.

So, with this I will now pass it on to my colleagues who will go into much more detail on the various action points that we've talked about. And I'll invite Mr Manish Agarwal to go next. Thank you.

Manish is joining from the US, so he's online.

Manish Agarwal: So good morning, everyone. Just to introduce myself, I'm Manish Agarwal, CEO, Conductor and Telecommunication Business and I take care of APAR T&D Projects Private Limited as an MD.

Prior to joining APAR Industries, I held the position of CEO and Whole - Time Director at Sterlite Power Transmission Limited where I led the company's global product and services business. It's been just two months since I have joined APAR Industries. Today I wish I were with you all in person as I speak with you from the US and thank you CMD and MD for setting up the tone.

With this, let us dive into the presentation of mine. Though the CMD and MD have given many details what's happening into the Indian and global arena, I will take up a few things more on the same site, how demand is going in India and globally. So, first of all, let's talk about some of the mega trends that are driving electricity demand in India.

So, I'll take five points, four are on this slide and fifth one is coming in the

next slide. So, number one is India GDP. So Indian economy is demonstrating resilience in the face of geopolitical challenges. It is estimated to have grown 8.2% in FY '24, reaching 3.5 trillion, setting the state for achieving the \$5 trillion target. There's an orbital shift from 10th APAR Industries Limited
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largest economy 10 years ago. The demand is tightly intertwined with the nation's aspiration to become third largest economy. While India's per capita energy consumption, which is roughly around 1300 units, is below the global average, which is about 3000 units, the economic development shall spur the electricity demand. By 2030, it is projected to reach approximately 1800-kilowatt hour to 2000 -kilowatt hour per year, as per various estimates, including that of Central Electricity Authority, which is CEA. There is a need for decarbonization of economy, which is another demand accelerator, if you see on the right top. India's hydrogen mission is a prime example to the need for RE to produce green hydrogen, the integration of hydrogen in industrial and transportation sectors, and the role of hydrogen in energy storage and grid management. As the mission progresses, it is expected to significantly boost electricity demand, particularly from the renewable sources. Down below, you see the EV part. Government is keen to shift the narrative towards EVs with the vision of 30% EVs adoption by 2030. Increasing percentage of the population moving into cities, as per World Bank, 40% of country's population will be in urban areas, up from 31% in 2011, as per the last census. So, these mega trends collectively shape electricity demand, driving the need for more capacity and obviously robust grid infrastructure. Can we move to next slide, where I will talk the fifth one, which is around the climate change, climate action. Yes, thank you. So here you see that climate change will accelerate investment in RE and power grids. So, if you see on the left side, there's a chart of IEA. So, if you see, undoubtedly, climate action will accelerate investment in RE and Power Grids. As per APAR Industries Limited
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International Energy Agency's net zero scenario, 4.5 trillion investment is needed in clean energy, majorly into the clean electrification. A 2.5x increase from current levels in the given scenario. India's climate commitments have a significant impact on the country's electricity demand and energy strategy. In COP26, India presented the five nectar elements, the panchamitra of India's climate action. I'll mention all five. Number one was committed to reducing emissions intensity with respect to 2005 of its GDP by 45% by 2030. Second being reduction of 1 billion ton of carbon emission from 2022 to 2030. Third, non-fossil capacity to 500 gigawatt, which I'll talk, you know, soon. Fourth, meet 50% of its energy requirements from renewable energy by 2030. And last one is Net Zero by 2070. Despite a low per capita income, India has a steep climate commitment and is striving for a green transition. And if you see down below on the right, setting up the context with the number, USD30 billion is in estimated investments by 2030 to integrate 500 gigawatt of non -fossil energy into the grid. That's adding 50,890 circuit kilometer of transmission line, nearly 4 lakh MVA substation capacity at just the ISTS level, Interstate Transmission System Level. Transmission has to match the RE capacity addition speeds. Hence, these transmission projects need to come online by 2028 -29. As you know that gestation period in India for transmission line is two to three years at least. So, if you have to achieve that 500 gigawatt, you must finish all this transmission lines by 2028 -29. Let's move to the massive infrastructure push presenting multi -year opportunity where our CMD did talk about some

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gigawatt and the offshore wind zones chosen by MNRE which is in Gujarat and Tamil Nadu.

So, Gujarat, it's towards off Gujarat coast and Gulf of Khambhat. And in Tamil Nadu, towards Gulf of Mannar and off Tamil Nadu coast, which are identified as high wind energy zones. So, India's massive infrastructure push represents a multi-year opportunity across various sectors driven by the need to support economic growth, energy security, enhance connectivity and meet climate commitments.

A few snippets as I talked to you about one is the 37 gigawatts. And if I have to add something further, just three, four months back, union cabinet chaired by our Honorable PM approved the VGF, the scheme for offshore wind energy projects at a total outlay of INR7,500 crore approx, including an outlay of INR6,853 crore for installation and commissioning of 1 gigawatt of offshore wind energy projects, which is about 500 megawatt each of the coast of Gujarat and Tamil Nadu and grant of INR600 crore for upgradation of the two ports. So, this has recently happened, which is, you know, these projects will slowly come, you know, over a period of time. On the right, you see something more is happening.

India is building a couple of large HVDC projects, mega transmission highways in the form of HVDC are under planning and bidding as we speak. And some of them have been listed. Distribution, Discom upgradation and modernization, which is RDSS, Revamped Distribution Sector Scheme.

This is a capping investment for the distribution upgradation. Last one you see is around one world, one sun, one grid, a truly global grid represents a monumental shift in how the world could generate, share and consume
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energy. Its implementation will drive significant demand for a wide range of equipment and solution from HVDC transmission lines to smart grid technologies and RE stations.

So in between you see a point around railways, you know, so Government of India has allocated about INR2.6 lakh crore budget for upgrading and modernizing the Indian railways in 2024, which our CMD mentioned

initially. So, this is our diverse portfolio. I know CMD and MD both showed, what the portfolio of our industry is limited as a company we have.

I am now talking about just the conductor business, what all we carry, all kinds of products. So, as you heard the mission that at APAR Industries, we have always been guided by a simple yet powerful mission to design and manufacture building blocks for energy infrastructure, transportation, telecommunication sector that contribute meaningfully to make this world a more energy efficient, environmentally sustainable and safer place. The mission is central to our strategies.

Consequently, APAR offers a diverse range of products, not only into transmission, but also into distribution, also into railway segment. If you see, we have conventional conductors, high efficiency conductors such as AL-59, which our MD just spoke about, high temperature low sag conductors, medium voltage covered conductor, also high efficiency covered conductor. These are the end products used in the T&D industry. If in between you see down below CTC and PCCC conductors, which are integral to transformer manufacturing, ensuring optimal performance and longevity. OPGW, which is optical ground wire application extend across the power grid management, telecommunication, renewable energy integration and smart infrastructure. We also, on the bottom left, you see -
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- sorry, right, you see turnkey, specialized turnkey solution, which we provide as a company, managing the entire process from conceptualization and design to the erection, even in the most challenging terrains.

Can we move to next slide, please? Interesting slide, this shows transformation journey of APAR conductors, right from 1958 to 2023. So, APAR Industries has transcended in its humble beginnings to become a global powerhouse. Conductor business of APAR has been the cornerstone of its operations, undergoing significant growth over the years. Rooted in entrepreneurship, the company has expanded into several product and solution, if you see from the left to the right offering, which is around high efficiency conductors, high temperature low sag conductors, various types of elements.

Chaitanya Desai: If there is a connectivity issue or...

Manish Agarwal: Yes.

Chaitanya Desai: We lost you in between. Manishji?

Manish Agarwal: Sorry.

Chaitanya Desai: Yes, you are at the various type of aluminium and aluminium alloy rods.

Manish Agarwal: Sure. After that, I was saying that, as I said in my last slide, the company has also ventured into a specialized turnkey solutions for the T&D industry, which I'll elaborate further into my slides. Can we move to next slide, please?

So, this tells about the location of our plants. On the right side, mostly you see all the conductor facilities. So, APAR is one of the largest global manufacturers of conductors. INR512 crores of strategic capex was APAR Industries Limited

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undertaken from 2017 to 2024 to expand capabilities, increasing production capacity, improving productivity, reducing cost, ESG, R&D and adding capacity to manufacture, test and install high value-added products. That's been our focus. Last financial year, the company acquired two factories in Silvassa.

At the core of APAR's manufacturing excellence is a commitment to operational superiority, aligning people, process, technologies and resources to enhance production and quality. The capacity addition plan, which is listed below, the copper busbar, we will go from 100% to 166% if I compare the level from 23 to 25. CTC/PICC will be almost double, and then we have further planned to increase the same.

AL-59 and alloy conductors, which will be about 200%, which includes new capex in Khanvel, and repurposing of machines in our

Odisha facility.

Today, utilization overall is hovering at 90% across all plants that we are making.

Next slide please. I'll be talking about now convention and HEC conductors in brief. First, this is about ACSR, alloy conductors, AL-59, which is HEC conductors. So base is our estimate. India contributes nearly 20% to 25% of the global demand, if I exclude China, Japan and Korea. This market geography is poised to grow at a CAGR of 8% to 10% in the next few years. If you see on the right, as per CEA transmission plan of 500 gigawatt are integration, as I said before, 51,000 circuit kilometer and 4 lakh MVA substation capacity to be added by 2030. Please be informed that 66% of transmission line requirement in this plan is 765 kV and HVDC, which has not happened before. So, if you see down below, our leadership and competitive edge advantages.

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And also, we have been manufacturing since 1958, developed a strong expertise and rich experience. We have been largest supplier for different

types of conductors. We have supplied to most of the top EPCs and utilities worldwide. We have been exporting to 100 plus countries. We have very strong design capability, focus is immense on in-house R&D, and our export mix in total conductor division has stood about 45% in the last financial year. Key markets are mentioned below, which are Americas, Europe, Middle East, Africa and Australia.

HTLS conductor, that's another very, very important product that we make and offer and we have the leadership. So, these conductors' demand is driven by the need for increased transmission capacities, infrastructure upgrades, resilience to climate variability and the integration of renewable energy resources. HTLS conductors offer significant advantage in terms of performance and efficiency, making them a key component in modernization of power grids and pursuit of sustainable energy goals. If you see below, APAR has excellent credentials on this account. APAR's presence in HTLS so far has been 50,000 kilometers of high temperature low sag conductors supplied in domestic and export market, which is about 35,000 -plus kilometers, which is operational and working satisfactorily. 140-plus reconductoring projects we have done in India. This is about close to -- approximately close to 4,000 circuit kilometers.

We had done not only transmission, but distribution reconductoring projects and as we go forward, there would be much, much market creation happening around this distribution sector for reconductoring. So far, we have done 150 -plus circuit kilometers in Goa, West Bengal and Odisha.

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We have also done reconductoring projects about 200 -plus circuit kilometers with ACCC in Nepal and Bangladesh, which is unique to APAR. And we have done quite a few prestigious reconductoring projects, about 800-plus circuit kilometers with GAP technology for power grid and other utilities. And we have had tie-up with CTC Global, USA, which is healthy and growing year-on-year.

Next one is optical ground wire, very important product. It goes above the transmission line. It is dual-functioning cable. Its ability to combine grounding as well as high-speed optical fiber communication in a single component, it makes it an essential element in modernizing and expanding both power and communication systems. APAR has developed expertise, technical expertise in fiber optic cables, proven its capability in manufacture of energy-efficient bare overhead power conductors.

APAR has integrated these core strengths in its comprehensive OPGW solution that includes what I said is optical fiber composite ground wire and related hardware. Very interesting to share that we have designed, manufactured and tested optical phase conductor cables, which is OPFC

for 33 kV and 66 kV transmission lines. Very soon, we will be doing end-to-end pilot turnkey job, and we'll commercialize this offering in the next few months.

Next slide, please. Next category we have is aluminium speciality alloy rods and wires. So, this we have been manufacturing electrical grade, mechanical grade, welding grade, high-conductivity and high temperature resistant rods and wires, which is TAL, STAL, super-thermal alloy you call XTAL.

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And the industries we cater to are the cable industries, fitting and accessories, which is hardware, fastener, wire mesh industries. So, this has also been growing business, and not only in the country we supply, we have been the largest exporter of these products.

Next category is railway overhead conductors. The picture shows you what all goes in electrifying the train. So, if you see the contact wire below in

middle of the picture, and then there's a capillary wire on the top. So, by 2025, the Indian Railways expect to achieve 100% electrification of its broad gauge.

This is in line with the sector's target to become the largest rail network with zero carbon emission by 2030. While India is ahead in the electrification drive, efforts are needed in other parts of the world to meet the net zero requirements, and that is US, UK, Europe. These present opportunities for APAR have come true.

Furthermore, India's metro system plan is a cornerstone of the country's urban infrastructure development. Therefore, India is on track to become the world's second largest metro system, surpassing Japan, Korea and the US. More than 20 Indian cities consist of metro systems with around 870 kilometers of track, operational and additional 1,040 kilometers are under construction.

As CMD pointed out, railways are planning to increase the capacity on many of the existing corridors for increasing the speed of the trains. So, as you see on the numbers, we have the number one, we have largest market share, and we have a very good track record on the supply, and very important is we have also developed special conductors for high speed and bullet trains.

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Next slide, please. Next category is the continuous transposed conductor and/or paper insulated copper conductors. So, CTC is the most used for windings on power transformers. It consists of a group of enamelled rectangular wires that you see in the picture, usually with polyvinyl formal PVF enamel, which are transposed to create a kind of rectangular strand. The bundle of strips can be wrapped and insulated with tapes, generally in pure cellulose paper. Our CTC and PICC conductors are integral to transformer manufacturing, ensuring optimal performance and longevity. APAR is today a prime supplier to transformer manufacturing industry in the country, and we have also started exports to select countries and the target is to increase number of countries as we go forward.

A very important information, you know, if you can go back, please. So, while it's not mentioned, I just wanted to highlight that Central Electricity Authority, CEA, recently issued advisory for usage of CTC as main winding for rated current of 400 amperes or more. So, this is very, very important move by the Ministry of Power, which is CEA, which they have released this advisory that, you know, the companies should use CTC as main winding for 400 amps or more.

Next slide, please. So, we also manufacture copper rods, wires and busbars and strips. So, we are targeting the industries, as it's mentioned, switchgear industry, electrical panel industry, and electrical substation. And as you heard before, we are increasing this capacity to about 166% from 2023 due to increased demand in the sector. These capacities will be operational in the next two months' time

Next slide. An interesting slide, the uprate, which I think our CMD and MD did talk about, so I'll come to the chart shortly. So just for information, APAR Industries Limited
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replacing conventional transmission line with advanced conductors could sharply increase transmission capacity, and at a fraction of the cost of new power lines, reconductoring offers a new paradigm.

As new build lines are planned, permitted and constructed to meet long-term system needs, large-scale reconductoring can unlock renewables near the existing network and contribute to rapid and cost-effective grid decarbonization.

As depicted in the chart, the uprate solution, this specialized turnkey solution what we call, is course over new transmission line on multiple

parameters you see, which is capacity increased by maximizing transmission in given corridor, capital deployment at lowest cost of ownership, development speed, including permitting ROW, keeping pace with the generation, minimum land use, ROW completion dictated by the weakest link, lowest carbon footprint to build transmission infrastructure. So, these are the high lights of this uprate.

It is very interesting to see on the right side that APAR has completed almost 165-plus turnkey solution reconductoring project, installing about close to about 4,500 -plus circuit loaders since the start of SUS -turnkey business. 45-plus T&D lines comprise of 2,000 -plus circuit loaders under installation as we speak. We have invested adequately in special tools, tackles, tensioner and pullers, special training for manpower for specialized projects, and also the safety supervisors for every project.

Next one, please. So, within our specialized turnkey business that we have been talking, these are the things that we offer and do. Not only you see the transmission, but also, we are into distribution. We do optical ground wire live line installation on the transmission lines, and along with that, we

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do the active equipments and substation telecom equipment. We do substation augmentation work. Very interesting on the top right is we also are into turnkey for medium voltage covered conductor.

We have high efficiency covered conductors as well. So, this is very, very important product, and we are doing three jobs as we speak and we hope to complete these projects within this year and some by middle of next year. So, these MVCC solutions are designed to improve safety, increase lifespan, and reduced upkeep of line, lower risk of outage, vegetation and wildlife protection, and many more.

These conductors are used in a variety of electrical power distribution scenarios, and the four highlights would be reduced the possibility of unintentional contact with the live parts in urban and suburban settings, coastal and harsh environments, areas with vegetation, and high -altitude installation. So that's on this slide, which talks about a specialized turnkey solution that we have -- we offer as a company.

Coming to our power laboratory, this is about testing and research center. So, we have -- on the left, you see that we have advanced testing and research facility compliant to all the national and international standards, let it be IEC 738, IEEE 1138, IEEE 524. And the examples, there are four examples: heating and cooling curve versus ampacity, emissivity versus ampacity, creepage at different loading, sheave sizes versus conductor deformation. We have a fully equipped laboratory accredited with ISO 17025 -2017, recognized by GOI.

So currently, on the right, you see there are specific areas in which R&D is being carried out by the company. One product is around alloys, 4,000/5,000 series of alloys. Second is extra high conductivity alloys for

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superior grade conductor. Third one you see is mega strength galvanized core wire for gap type and ACSS conductor. These are HTLS conductor for superior design and competitiveness.

As I spoke to you about OPPC, so we have done design manufacturing testing. As I said, we are soon going to do a pilot project and then commercialize the complete end -to-end offering. Trials for a coating line involving coated conductor, this is also highlight. We are doing various trials to move to a coated conductor and this will be having many advantages in terms of lower losses vis -a-vis the current SGLS or normal conductor.

Next slide, please. So, this is our extensive global presence which is driving the exports. So, we have had been serving our loyal customers to

100-plus countries spanning six decades. And as I said before, during 2023-24 last year, this ratio of domestic export was 45-55, where premium products accounted for almost 45% of the business's total revenue. Next slide, please. Let me talk about some of the competitive advantage that APAR Industries Limited Conductor Division carries.

We have global leadership with six-plus decades of experience. We have had technology tie-up for advanced products and we are trying to do a couple of more within next couple of quarters. We have large capacities, wide range of product offerings, catering to both, as I said, transmission and distribution.

Raw material supply security with access to molten metal which MD did talk about. Quality customers and global approvals, the top-notch utilities, EPCs, developers and OEMs. We have had best of customer mindshare
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and grant recall. We have a very good financial ability to cater to the bank guarantee and working capital requirements of this business.

And we have leadership in a specialized turnkey solution in the T&D segment which I talked to you about, which is around HTLS, OPGW and MVCC. So, we have done remarkably well. This talks about our new product development journey while the first point talks about the expansion which I did talk about.

The second is coated conductor. As I said, it is under trials and it reduces the line losses, improves the life especially in polluted and coastal areas, increases the capacity of the conductor. So, we are doing trials and we hope to have a final product very soon.

Emergency restoration and MVCC. So, we have developed reconductoring with HTLS using ERS in some of the projects. So, we have developed this as an added solution. As I discussed, we are doing a couple of turnkey jobs for MVCC and as we go ahead, we are further, our cable division is developing a further enhanced MVCC which is high efficiency covered conductors that we will take up with our customers in order to offer them a far better, superior solution along with the turnkey.

And the last one is we are doing a pilot project of our ACCC or Aluminum Carbon Composite Core Conductor where it will have optical fiber embedded in the core and this is a new version of, new avatar of ACCC and we are doing a pilot project, hope to finish in the next few months. So last one which is way forward for this business. So, as we have seen, India is shining where there's a strong domestic demand. So, we would like to maintain the leadership and market share in core segments. On the global market side, we will increase the market access.

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We will have approvals with a couple of more utilities, global utilities, global EPCs into the targeted market. That will be another focus area. On the business side, the very, very important would be on time and full execution of capex program that we have taken. We will amplify our efforts on high value products. We will sharpen focus on productivity improvement

vement, which is very, very important, both manufacturing and project execution leading to obviously the cost leadership. And last one around operations which is the execution muscle.

I have been talking about specialized turnkey business. So how do we build this muscle further and doing all these projects? Reinforce the safety culture, which is very, very important to our company and the customers. Upskill the talent and continue to invest time and resources further on new product development. Some of the initiatives I did for this year and create much more technology partnerships. So, these would be some of the initiatives as we go forward. Thank you very much.

Chaitanya Desai: Thank you. May I request our next colleague, Mr. Shashi Amin to please

come and speak about the cable solutions. Thank you.

Shashi Amin: Good morning, friends. I would like to take you through the journey of the cable solution division. We came into existence or I would say cable division came into existence in the year 2008 when APAR acquired a company called Uniflex Limited with a turnover of roughly about INR100 plus crores and a bottom line negative.

And in last 15 to 16 years, we have come a long, long, long way. Our Chairman Kushal bhai had set the tone followed by Mr. Chaitanya where he mentioned that we are a global player. Even in cable solutions, we treat ourselves as a global player.

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In the financial year FY 22-23, 51% of the cables produced in our factory was sold in the global market. In the financial year 23-24, it came down slightly because of the de-inventorization which happened in US. Specifically, we saw that US requirement came down.

So, our percentage of international business came down to slightly less than 40%. But this year, we are on track as far as the global market is concerned. And I'm happy to say that we compete with global players like Prysmian, Nexans, Southwire of the world and a massive footprint of APAR in US market.

Europe, especially Italy, Spain. Now, we have got a place in UK market. In Southern America, yes, we are in Brazil, Peru, Chile. We do a big-time business in Australia and even in India. I will take you through the journey, what we are trying to do as far as the cable solution is concerned. We are not the market leaders as we are in conductors as far as cable is concerned. Probably we are number six in the country as far as turnover is concerned. But yes, we have an aim and ambition to be in the top three cable companies in India. So, we are pioneering cable solution.

If you look at it, we've got five electron beam facility where with this kind of technology, we produce our house wire, Anushakti wires. We produce railway cables which goes into the locomotives. We also produce cables which goes into defence.

We also produce cables which goes into solar. With five electron beam facility, we are currently the largest player in the e-beam segment. We are leaders in solar and wind. Wind probably it would be about 65% to 70% or maybe 75%-80% market share. But solar, yes, with the market share of 20%-25%, we are the market leaders.

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As Mr. Manish mentioned about MVCC, it is a medium voltage covered conductor. If you see or if you heard, most of the forests are burnt out because of fire. A lot of these cables are the bare conductor which goes into the forest. The moment the tree falls on the conductor, it gets stripped and a spark is generated at that point of time because of which the forest is under fire.

At the same time, in places where the terrains are very bad and even the snowfall is very high, medium voltage covered conductors are being used. We were the first Indian cable company to come out with this product about four-five years back. Like we said

, Anushakti Cables, we were the company which introduced this product.

We had a tagline saying that is tar ki shakti apar. Competition also felt that the power of this argument is truly immense and much greater. Therefore, competition has also come into electron beam house wires. Polycab RR has launched this house wires in Kerala. Finolex is yet to launch, expected to launch in next few months. So likewise in medium voltage covered conductor, it's a high-tech product.

Competition has really caught up and some of our friends in the cable industry have introduced this product. But we are one step ahead. We are

trying to do research in this product and soon we would be launching a high-tech product which is far far superior to what we are currently doing. We are the trusted partners as far as defence is concerned. INS Vikrant, INS Virat, we were the major suppliers. Currently we are working with a couple of submarine projects for Indian Navy. So, this is where we are. If you look at the product range, I think we are the only company in India

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who's got this kind of product range. I think most of the competition would not have the kind of product range what we have.

Like your low voltage, medium voltage and control cables everybody makes. Medium voltage covered conductor, we were the first company to introduce and now there are about four, five companies who are into this business and they are still struggling to develop the kind of product what we are manufacturing. Then we have this concentric core anti-theft cables. Again, very few companies in the world manufacture this. If you look at the last line, fire survival cable, this cable is being produced by many cable companies in India. But APAR is the only company who's developed cable which can sustain a temperature of 1,050 degree centigrade. That means in the event of a fire, this particular cable can sustain a temperature of 1,050 degree centigrade and nothing will happen to the integrity of the cable. That means whatever current a cable should carry will carry that current at least for three hours at a temperature of 1,050 degree centigrade and these cables are used in Australia. We supplied these cables into Sydney Metro and Westgate tunnel project. We are discussing with the railway authorities. We have in the advanced stage of discussion for Melbourne Metro and Brisbane Metro with the Olympics coming in Brisbane in the next seven, eight years time. There are a lot of developments happening in Brisbane and as far as we are concerned from India, we are the largest supplier of solar projects into Australia.

We are the largest supplier of cables from India to solar projects in US. I am supplying as Kushalbhay mentioned about the Nacelle cables, torsion cables and various auxiliary cables in the windmill. We are supplying these

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cables to various wind companies or windmill manufacturers in US and Europe.

House wires I mentioned, we are focusing mainly on electron beam house wires and three unique products what I normally talk about or we talk about is it is a melt resistant wire. It can carry at least 50% more current and the life of this product is more than 50 years. So, we have gone into the market with three unique proposition to the customers and I'm happy to say about 6,000 odd retailers in India are selling this product. It's an expensive product so we are present in the A class retail counters. These are some of the unique products which I wanted to speak about. Rest of the products I think most of the people do manufacture. We are the company which has got largest UL approval. Without UL approval you cannot sell cables in US market. We've got about 14 such approvals. Recently we've got an approval for medium voltage cables.

We are in PV cables, wind cables, building wires, irrigation cables, the whole lot of range what we can produce and also, we are actively involved in cable harness. When we have this tagline of cable solutions, we go a step ahead. Like your solar cables, we started promoting solar harness. We are doing wind harness. All this tower what we see in the wind, we supply cables with connectors.

They just need to plug it out at the site. Railway cables are with harness and recent entrant for us is in the data centre projects. We did pick up a job for Amazon. We did two jobs for Amazon. We did a job for Microsoft data

centres. Recently we backed a n order from Adani data centre.
Our focus is there in the data centre business too. If you look at the cable business of ours in last five years, we have grown at about 25% CAGR in
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the last five years. In FY20 it was INR1,600 crores, FY24 about INR3,900 crores and we intend to grow at a CAGR of 25% in the next five years. So, this business of INR3,800 crore, if we grow at a reasonable CAGR about 25%, we should reach a INR10,000 crores cable company in the next five years. If you look at the competition, on an average the top few cable companies have grown at about 20% except one company which has grown at around 26%, but we are the fastest growing company in the cable industry. So, I would just like to speak to you about the market in India. I would speak about the market in US and I would speak about the market in Europe. Indian cable and wire market is around INR70,000 to INR75,000 crores. Around 35% of the cables are sold in the real estate. That means your house wires, building wires, whatever buildings are coming up and the way the building segment is growing, this particular segment would grow in a big way. Real estate is around 25%, power distribution is around 15%, your industry is around 10%. If you look at, if I focus on this three alone, vertical, I think we are talking of 60% of business happening in these three verticals .
So, what we have done in APAR, in last few years we had a structure of regional manager and the branch manager or the state manager. We moved away from that and we formed verticals. So currently we have in this financial year, we have broken down our structure.
So, we have a vertical for solar, we have a vertical for wind, power, T&D, infra. Like when we did this verticalisation, if you see, we are talking of a 290 gigawatt of solar capacity which is likely to go up by 2030 from 85 gigawatt. Wind from 45 gigawatt to 100 gigawatt. Our chairman mentioned about offshore wind, 7,000 kilometres of coastline, but yes, we
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are not there in India in offshore, but government is seriously thinking of putting up an offshore wind and once that happens, probably this should also go up.
Government has come out with 3 lakh crores RDSS scheme, a big-time investment into transmission and distribution, mainly into distribution, and with the PLI scheme, we think that the industry also would grow in the next few years' time . Defence, government is talking of big investment, about INR21,000 crores of investment in 2024, like target is about INR50,000 crores of investment by 2029.
Railways, yes, happy to say that. More than 90% of the cables in Vande Bharat have been supplied by us and there are about 40 odd trains which are applying and we are the major players as far as Vande Bharat is concerned. We mentioned about PLI scheme, the focus would be on electrical and machinery industries like your TBM, Tunnel Boring Machine requires cables, your cable reeling drums require cables, elevators, stacker reclaimers, so our focus will go more into that and also auto cables and EV charging.
So our focus will be there on this 8 pillars what I
am talking about and we
see a big growth and we have a strength here and wherever we do not have strength as far as 8 pillars are concerned, we are adding on manpower, we are adding on team, we are educating our team to focus more on this segment and we do see lot of opportunities for us when we talk about a growth of INR210,000 crores, a growth of 25% CAGR year. We also formed a vertical called B2B channel, we were mainly into institutional, some of our competition have got distributors when it comes to cables, about some of the companies 60% to 70%, 75% of the cables

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are sold through dealers, wholesalers or distributors, so we have formed a team now, so our plan is we should have a presence in about 30 cities, looking at about 50 odd distributors in those 30 cities and doing a business of INR1,000 crores in next few years' time. Coming to B2C where we were there in this business selling house wire into the retail. So, we had this vertical called light duty cables, we separated that and we created a B2C and B2B channel.

Currently we are there in about 181 districts, we have got a presence of 339 distributors, retailer presence about 60,000 retailers, as I said our product is bit expensive, so our focus is mainly on A class retailers in the towns where we are present. Active presence in 18 states, number of electricians about a lakh, we do lot of demonstration to the individual buildings or the builders, we do lot of them, we do electrician meet, n ukad and meet and currently we are, this business is around INR250 crores to INR300 crores for us and in next 5 years' time this business will go to about INR1,000 crores.

Now coming to the global wire and cable market, I spoke about INR75,000 crores as Indian market. Globally the cable and wire market are about 210 to USD220 billion which is likely to grow at CAGR about 5% to 6%, US is around USD45 to 50 billion, Europe is around USD40 to USD50 and rest of the world is around USD120 billion. So, 50% of the business for cables and wire is present in US, Europe and India and balance 50% is in the rest of the world.

So, there is enough room for us to grow in this market. When I say about INR4,000 crores of business what you have done, out of 70,000, 75,000 we are at about 5% to 6% market share even in India and we see a lot of potential of growth when it comes to do a APAR Cable business.

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Now bit of a business on US, we are focusing big time on US. US business is likely to grow by about 5% to 6% from 45 billion to around 60 billion, 65 billion. So, our focus there is mainly on renewable, solar and wind put together is around 300 gigawatts to 350 gigawatt expected addition by 2029. We also see a good amount of investment in infrastructure project and even the build a vertical.

We also studied which are the countries who are supplying cables to US, 50% of the cables being used in US comes from out of US, the major supplies come from Mexico followed by China and if you look at India it's only 0.5% of the cable which is going to US from India. So again, we see huge potential and when I look at Europe, again Europe is around USD45 billion to USD50 billion. There were 20, 21 odd countries where we are looking at, but our focus would be on Italy, Spain, UK, Germany and France. These are the five countries where we think and we feel can add value to our growth.

So here again we are looking at focus into renewable, wind and solar. I would be happy to say we are the only Indian company supplying to a utility company in Italy which is also has got a utility business in Romania, Spain, Chile, Peru, Brazil, Colombia. So very happy and proud of our association with the company in Italy for supplying cables to some of the utility companies in Europe and Southern

in America and when I look at Europe,

USD21 billion of cables are coming into Europe from outside Europe.

Major players is China followed by Morocco because of the proximity to European countries, Turkey yes there are a whole lot of cable companies in Turkey. Tunisia is very surprising and India we are at about 0.4% and rest of the world 8.6%. Again, we see a huge potential for an Indian cable company to have a major footprint in Europe. So, when we talk about

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growing from 3,800 crores to 10,000 crores in next four to five years, we need to look at expanding our present capacity.

The current capacity what we have can produce about 5,000 crores of cables. So, if I have to grow this business to 10k, yes, we need to expand. We bought a land parcel in a place called Katalgaon which is in between our two existing factories Umbergaon and Khatlwad 43 acres of land and this is expected to be commissioned in the year financial year 25-26. This will happen in a phased manner. We are also looking at debottlenecking our initiatives. We are working on industry 4.0, there are a whole lot of initiatives happening on 6x and Kaizen.

We are adding capacity in in-house compounding, we are doing a backward integration. This would be added in next few months. We also doubling the capacity of our copper wire drawing, that is copper which are required for cables and your house wires. We are doubling the capacity there and as far as aluminium stranding and wire drawing facilities are concerned, the expansions are going on every year. Most of the orders we have placed, I'm happy to say that by 26 we would also be in the business of EHV cables.

We are putting up a plant for 220kv cables, we have already finalised the machinery for producing these cables even for testing facilities. We are also looking at expanding our electron beam facility at the factory. So, keeping in mind where we want to be in next five years time, we are putting money into the right kind of machineries and looking at growing in those segments where we want to focus in next few years.

These are some of the projects what I mentioned about Lean Six Sigma. We have achieved 50% reduction in defect rate. Our production has gone

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up by 15% with some of the projects what you have undertaken. Kaizen, yes, there are a whole lot of small, small projects which we have undertaken. We have significant savings, about USD150 million. Recently we started a project called SMED where we wanted to improve on the turnaround of changeovers.

Happy to say that we are participating, in fact our team is participating in various competition, quality control and industry excellence and we have got awards, platinum, gold at CII, QCFI and Kaizen Institute. Industry 4.0 is a project which we started about 7 months, 8 months back. It will take some time for us to achieve 100% goals as for what we want. But yes, we are trying to improve the overall efficiency of the equipment, improve on the energy management, savings and all other things related to sustainability.

I think this is one of the projects where leads to the sustainability aims or goals what we have. Before I wind up, this is what we are looking at. When we talk about INR10,000 crores, 40% to 45% business for APAR will come from the institution sales. When I say institution sales, it's solar, wind, railways, infra, heavy machinery, those 8 pillars what I named. 40% to 45% business will come from the international market for us. 10% business, I said I would like to take - we would like to take this business of house wires to INR1,000 crores in the next few years and B2B channel that is cables and flexibles which are sold through channel where our focus would be on the builders and our focus will be on the smaller indus

try that we would

like to take to 10%. Thank you very much. This is all from my side. I think we are breaking for tea now, Ramesh. And let us reassemble in another 15 minutes time where we have further presentations on telecom, oil,

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sustainability and other financial numbers. Thank you very much. Thanks a lot.

Girish Gupta: We have entered into the fifth realization, fifth industrial realization of the world. What exactly is that? There is a convergence of human, physical and digital world which is happening today. When I said human world to digital world, there are devices which are getting enabled to interact with or within the digital world.

When I said physical world into digital world, these are programs which are transforming the physical world into a digital world, creating the digital twins. What does that mean? That means that convergence of human to digital world and physical to digital world is creating a metaverse which will enable our workforce, which will enable our enterprises, which will enable our industrial revolution and which will enable our consumers.

Whatever we do efficiently and productively, it will further enable that. But what it translates to?

There are two underlying principles for this metaverse, for this digital twin. It's cloud which is driven by primarily 5G or 6G which is going to evolve and the block chain. Two technologies are supporting this metaverse to happen. And what does this technology need? One, we all know we need a real-time performance network. We all know we need a secure data. We need to know how our device detection and location. We need to have a network sensing. We need to have a self-healing network.

And we need to have a slicing of the networks so that when I need to transform, shape up the network, increase the capacity of the network, I can slice the network and increase the network. That convergence will happen not by only human intervention. And that's where this current term

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of AI is coming in, which is sensing, thinking and acting, creating an AI network for us.

What this means for us? We have been seeing the video consumptions, whether streaming, gaming, everything over the last, I say 10 years, that has been growing and that's what has caused the data growth till date.

Whatever we are today at 110, 112 EB per month globally is going to move to 300 EB or 320 EB per month, but is it going to grow from the videos what we are using? No. That's not going to become the demand driver.

The demand drivers are coming from purely this artificial intelligence which will need supercomputers, which will need every time data to be monitored, sensed, captured. We are talking about, as an example, self-driving cars, how much amount of data each car will generate and needs to be captured. And we are talking about robotic world, which will enable our productivity and you can say efficiency, both of these aspects get covered only in AI basis.

But what exactly is changing from now to then? Today we need internet for our comfort of life, that yes, I can use video, I can use chatting, social chatting, but tomorrow we need this, it becomes a necessity of life. And when I say necessity of life, this necessity of life will be low latency and flexible and adaptable. That kind of network is going to get built for us for tomorrow. How this network will get built? Today we talked about 4G and some aspect 5G.

But tomorrow it will be purely 5G network, purely fibre to the X connected, fixed wireless access is going to play another role and edge data centres are going to play a larger role in this space. These are the four technologies

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which will drive this. But who invest in the

se technologies? Who will come and invest in these technologies?

Primarily the telecom operators globally come and invest in these

technologies, but they are facing the headwinds. Typically, Telco industry spent USD300 billion a year globally for last seven to eight years, but the last two and a half years, three years, they've gone overboard, invested more than that to enable the 5G aspect of the business. Their spend ratio, capex spend ratio typically stands at 15% compared to what they used to spend earlier, 10% to 12%. They are trying to bring that back. How they do that?

They are looking at every alternative technology, every alternative medium to support and make themselves relevant and with respect to whom?

Relevant with respect to OTTs, Google, Amazon and all who have come up and taken up their share in the market. They have invested in the capex somebody else has come and riding on their capex and making money. So that's why there's a shift in the telcos mindset itself.

One, they are looking at every alternative technology to reach to the last mile, like low orbit satellite, some parts of the world it is accepted, India still policy is getting formulated, we are hoping by end of this year this policy should get implemented. They are augmenting their complete core network platforms, so that they can enable them with adaptability, with latency, with the scalability required at any given point of time because today I need 100 GB, tomorrow I need 1 terabit and day after tomorrow again I need 500 GB.

That scalability each operator has to arrange and manage in their networks. Third thing, we are talking about latency. The hyperscale data centres have

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come up in India, but when you talk about latency of nanoseconds, there are huge set of edge data centres which will come. Google, Amazon or Facebook, these guys will not put up edge data centres. Telcos will go and put up those edge data centres to deliver that low latency networks on their 5G, to enable those applications.

Fourth and the last important thing for them still they -- that is an investment they are doing, but how do they generate the revenue back into their networks? That revenue generation, they are entering into the front-end services, competing head-on against any other OTT player. They are providing enterprise services.

I don't know how many of you know, Jio provides Jio Agri service, which is based on AI. It helps the farmers to monitor their crops, to monitor monsoon, everything, augmenting their services. Today Airtel tied up with Apple directly. Apple was not able to barge in. Airtel closed their wing services and entering into with Apple tie up as a music service in India. So, there's a different set of front-end services coming in from each of the telcos to enter in this space.

So, all the telcos, communication service providers will become our digital service providers and there is a play which is going to remain. All these networks, whatever they are building, wireless and wireline, needs a fibre connectivity and that's where APAR role comes in this business. So as a APAR telecom solution like Shashi mentioned, OFC also got acquired in 2008 and we started very small, still small I'll say with respect to industry, though we are among top seven or eight in India, but still very small with respect to the global standards.

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We started manufacturing optical fibre cables in this business, which we cater to different needs, I'll touch upon that. Then since 2017, we entered in a power line solution, money is touched upon OPGW, we do ADSS as well and all power line solutions is being served by APAR telecom solutions. Then last year we entered in three new lines of businesses in telecom solution.

First, we said this 5G is e

nabling a lot of different set of demand, that every device needs to get connected. So, we ventured into different set of products, which is hybrid cable. I think our Chairman mentioned about that, but I'll touch upon little bit in detail on this venture which we started last year. Then looking at the data centre and enterprise demand, we started venturing into the data cables business last year and lastly, we entered into the services business of the telecom network build last year as well. So, what I'll do is going forward I'll touch upon these three or four topics, so that you get a perspective where we are heading to. We serve to telecom customers, definitely, railways and power we use our teams to serve that, defence we serve directly, enterprise we serve directly. So, till 2010, this network of NLD or fibre network getting built in the country or globally I will say. From 2010 onwards beyond this tower the network started getting built and that's where the new products, new solutions started coming in. As of today, as we speak, APAR telecom solution is fully capable to address any need of this newer network which is required in the industry.

Whether it's connectivity to a home, whether it's connectivity to an enterprise, whether it's connectivity to a tower, we serve each and every product in telecom business to connect these towers, these homes and

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these products, I will say whether it's our duct tape, we have seven or eight categories in this. Each of these products are fully qualified to serve any customer globally. So, this is the product which I mentioned we launched last year.

We went to the customer, understood his needs, where the gaps are, where the industry is struggling. The first struggle when we spoke to a couple of operators globally, the first struggle which came out is they had a number of issues managing a number of cables. Second struggle they shared with us that they had an issue of different operators working at different times in a different manner not managing the same standard operating processes.

Third issue they brought up, it increases their cost because they have to run their installer a number of times to install that and that's where the solution got carved out at our end because look at this, typically radio antennas will be six on any tower site. So, six times an installer is going and installing this product. Now the product which APAR launched last year is single time installation, no mess on the ground, absolutely no chaos, clean manhole providing a solution to him without any hazards.

Currently this is not a standard product which was in the industry, so this industry has evolved a kind of \$200 million last year and I see this growth happening 20% cent year-on-year at least CAGR from next five to ten years. US has adopted it, Europe is in process of adoption of such products and India will also adopt another year or two years, India will also adopt. We got awarded by Indian telecom industry for this product specifically last year, Aegis Graham Bell took our product and awarded us for this innovation in the telecom space.

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But currently as APAR we have done the manufacturing set up, we have gone to UL certification around that in US and currently supplying to the US market these products and I believe personally it will cater 15% of our revenue this year and going forward. The second set of products which we launched last year is data cables, which is primarily to address the data centre market demand.

But what is data centre market demand? Data centres growing in India at much faster pace, globally they are growing at 6.5%, in India they are growing at a pace of 25% CAGR. We are investing, India is investing 2X in next three years, another \$5.7 bil

lion investment is going into the country, that means 800 megawatts is getting added onto the ground, what does it translate in terms of kilometres or square metres, 10 million square feet of space, new space is going to get built which will consume our power cables as well as data cables.

That's where this market is evolving, right now this market what we see is primarily seven hyperscale locations where it is happening. Beyond this, this market will grow around at least 100 locations in India for edge data centres, which is not mapped yet, because it is being done in silos by different telcos. So, this market alone will give a huge demand to our power cables as well as data cables.

As a part we have invested in data cable manufacturing last year, the process is set up, the products are under qualification right now with the different authorities, once it is done, we start generating revenue. We'll have some initial revenue in this year, but that's the second line of business we added to the telecom solution. Third line of business which we added to the telecom solution last year is fibre network services.

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This again is a different ball game and this vertical, under telecom this particular business there are more than thousand players who play in this space. Our objective was if we are entering in this space why we should enter, I think me chairman and a number of guys we had a lot of discussions around that, why we should enter in this space. We went to our customers back, primarily the two large telcos tried to understand the challenges they faced in their networks.

So, the three larger challenges which we fixed for them is if there can be a hassle-free deployment for them, if there can be a delivery which is progressive, which can be delivered on time and in a progressive manner and third is the complete ownership. We looked back, reflected back into the system, we created an environment where every environment of installation we can do, because this is a start-up this has got a lot of ROW permissions, it has got inter-city and intra-city networks, so we looked at it, built a whole ecosystem based on some technology intervention based on some tech enablement, based on service partners which we build across India.

So right now, we have more than 100 partners registered with us as our partners to work for us along with us in this particular project. Then we not only built this capability to roll out the fiber network, but we also built the capability to install the active networks, we built out the capability to do O&M in case required. So that's how we became an integrated end-to-end network provider for the market.

As of today, if I speak, we are building this network for one of the largest telcos in the country. We just initiated, we have signed the contract with them, we have got the initial peers and we're looking forward to peers to

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grow in this space. Next is another project which you guys must have heard BharatNet.

It has been talked about for last 10 years and this project has been a prime project for our Prime Minister Narendra Modi. In 2019 in his speech on 15th August he mentioned he wants to connect 100% villages of India and still it took four years to launch that project. It has to connect 250,000 -gram panchayats across India.

It has to connect 625,000 villages across India. It's not a small and it's all rural connectivity. So, they launched a tender for roughly INR75,000 crores earlier this year in February which got participated in you can say last week of July and it has got companies who will get awarded will have to build take three years to build this kind of project and will have a 10 years of operation and maintenance on this project.

Roughly 10,00

0 kilometers of cable will get deployed, sorry 10 lakh cable kilometers will get deployed under this project over next three years. Never this scale project has been executed in India and I don't see in next 10 years this size project will be there in India. So, this project has not only fiber rollout, this project has got further than that.

It has to put the whole active equipment routers, switching, everything in that network. You have to build the state NOCs in this project and you have to integrate those NOCs with the central NOCs available in the market for the customer. So, it has got a full-scale network integration into the project beyond fiber overall.

So, it's a middle mile network which will get built. It will be a last mile network which will get built and last mile network will get built over 10 years period as the demand grows in the market, as the demand grows in

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the villages that network will start getting built and that's where APAR has gone ahead and participated in this tender. Results are awaited.

We have to keep another two months keeping our fingers crossed and hopefully we'll get some business out here. So as APAR telecom solutions over last one year we are strategically aligned to upcoming industry investments. There are three set of investments I put it.

One is an urban network which gets built, second is a rural network which gets built and third is a defense network which gets built in any part of the world, in every part of the world. And as APAR for US market, for European market we have got all our approvals done. We are now ready to go into the market.

We have started making some inroads with some initial orders and we make much larger. This alone market, US and Europe alone market is more than \$100 billion. India market is again another billion-dollar market from fibre to the home perspective and another \$10 billion market with respect to Bharat Net.

So, I spoke briefly about Bharat Net but beyond the 16 states there are another eight states which has again investment of INR40,000 crores which is not released yet, which will get released in next two years period. We'll have again a play in that. We are expecting two of those states should get released in next six to 12 months.

So that's additional opportunity where we see in BharatNet going forward.

So that's what will bring the services business to sustainability. Another defence networks, typically Shashi mentioned about INR21,000 crores and INR49,000 crores.

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Defence typically spend INR1,000 crores on telecom products, pure telecom cables which we manufacture as an organisation and we have got ourselves DGQA certified this year. Now we are fully eligible, capable to participate in these tenders and I'm hoping to grab some business possibility here as well. So, all the opportunities which are getting released in next two to three years, APAR is fully capable to go ahead and grab the business.

Competitive advantage, beyond standard advantages what we have with respect to others, I've just compared my competitors to put this slide up. We looked at three aspects, one from growth perspective, second from premiumisation perspective, third is from optimisation perspective. When I talk about growth, we definitely have a market access but what we have different from others.

We have the largest range of UL and CPR certifications to address US and European market which most of the other Indian companies don't have.

We have a largest global access to power utilities and EPC companies in US and Europe because of our conductor division where which industry itself is going through a transformation, where they are putting up their SCADA networks, where they're getting into the digitalisation, where the

demand of

our telecom products is going to go up. Premiumisation, we have already spoken about hybrid cables which we have changing the face of the industry with this product that the demand which was going in a different direction, converging that demand into a single product or single site.

The second set on renewable side, the market growth Shashi has spoken about, we have the whole connectorized solution for renewable sector, oil, gas as well as wind and energy which is only available to APAR in India, APAR Industries Limited

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no other company. Till last year these products were imported into the India now they are being bought from APAR. Last, we have the widest range of fire rated cables.

We have approximately 900-degree Celsius product which can withstand three hours. Look at this, when data centres are driving the cars on the roads, what kind of cables they will need inside the data centres. That's the product which is required.

In case of fire, you don't have an accident on the road, the products need to be like that and that safety standards are there outside in outside India but they are coming into the Indian market as well. So, the demand of these products will also go up. Optimization of the business, with this IoT demand what is happening is everyone is looking at different set of products, different set of cables and we as an organization, we had a polymer science department who understands polymer science and all cables what we make need to know the polymer science and that's where no other company in the country has got a polymer science knowledge.

We are the only company who brings that knowledge and capable to make a new product in the most efficient and fastest manner. We are leveraging our capacities to give a product to defence, whether it's fibre, whether it's copper. Certain products like torpedoes and TAC are absolutely exclusive to APAR the certain products which are generated which we quote as a team. Just to summarize, market will remain around 300 billion for next five years but there is enough room for APAR to grow where we are today. We are augmented ourselves with innovative products and approvals for all upcoming investment into the industry. We are building a strong competitive edge to expand our presence with relevancy and premium and APAR Industries Limited

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last, we are expanding ourselves beyond products for end-to-end services into the market and that's how we feel we are enabling the lives and connecting the lives. Thank you. Let me invite Rishabh for the oil presentation. Rishabh you will do or? Okay. Thanks.

Sundar Subramanian : Good afternoon. I like to take you around a few slides on the lubricant side of the business that we do. Before we start, the first slide is just to run you through an overview of the automotive market.

India is among probably the top three automobile markets globally. Some of the key statistics that would be very interesting to you is we clearly, everybody knows here that we are clearly the largest two-wheeler market in the world. We have an installed production capacity of close to about 1.5 lakh, 1.5 million vehicles of two-wheelers per month which is approximately 18 million a year. Follow that up with three-wheelers, we do close to about six lakh three-wheelers annually. Tractors, we do almost close to a million, 9.6 lakh was what was the production number last year. We are the second largest construction equipment manufacturer in the world, significant numbers.

Within the construction segment, we are the largest backhoe manufacturer, backhoe JCB, synonymous to JCB. We are the largest backhoe manufacturer in the world. We are the second largest bus market in the world.

We are the third largest truck market in the world and we are the third largest passenger car market in t

he world. So just to give you some more details on the passenger car market which is probably what most people look at in terms of automotive industry development, the largest market
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clearly is China which does about 27 million cars a year, followed by US which does about 13 million.

India is the third which has touched almost 4.8 million a year, followed by Japan which does about 4.1 million a year. So, the gap between three, number three market with the top two markets is significantly large and that clearly is a much bigger up room as the market tends to become, as we as economy become more developed. So, the upside in terms of automobile numbers are significant. We don't see this market slowing down in any way.

On the other side, a lot of you are interested here to see about how the electrification is coming in and going to affect this side of the business. Just to give you numbers on the two -wheeler side the average registries of electric vehicles over the last quarter has been approximately around 75,000 units a month. If you look at the two -wheeler industry side, the industry grows at about 6.5% CAGR which means that it adds close to about 1.1 million units every month.

The electric vehicles have still not breached the growth that's happening in the two -wheeler. So, it's still significantly small. We expect this to continue to eat into the growth and we see the ICE markets to be a little flat moving forward but we don't see the overall numbers significantly reducing.

The gap between electric vehicle costs and the ICE cost are still significant close to about 25% and this industry the only hope for this industry in the near term is clearly with governmental interventions in terms of subsidies and stuff before the cost of the battery starts to keep going down for the vehicle sales numbers to start to rapidly pick up. It's a different story in the three-wheelers. The penetration of electrics has almost reached close to
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about 40% and we see that moving in because the three -wheeler is what I call last mile logistics and the last mile logistics are more prone to earlier adoption of electrics.

So, we will see the three -wheeler side getting at least in the commercial cargo three -wheeler space becoming moving more and more electric. Apart from this, from a significant movement point of view, buses, if you look at the bus side of the business, if you clearly look at buses between intercity and intracity operations, we clearly see the intracity operations going electric and the intercity operations moving from fuel lead to gaseous fuels. That will be stage one before it starts to move into other technologies.

But more or less on the other side of the businesses, which are basically tractors and construction equipments, they will continue to remain fuel lead at least for a decade for sure. That's probably to give you an overview of the segment. In terms of numbers, the market's close to about 3 million metric tons in size, relates to a turnover of close to about INR38,000 -odd crores in totality.

The top 10 players in this market contribute almost close to about 80% market share by volumes. That's just to give you a scenario. Even though the market's heavily fragmented, the big really take over the top business positions in the segment. Coming very clearly to give you an idea of the growth in the segment, in the current scenario we clearly see that the automotive markets will, automotive industrial both put together, the lubricant market will continue to grow at close to about 3% CAGR.

We believe the automotive industry will slightly lag this number by around,

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side, because of rapid industrialization, China Plus One that was talked about a little earlier, and with a lot of manufacturing moving in, alternative supply chains being created globally, with India being a key benefiter for this, we believe that the industrial side will grow far more aggressively. We look at that numbers to be close to around 4% on a CAGR basis. The agriculture markets will remain robust, which is a key part of our economy, and we believe the lubricant business is going to be dependent on agriculture moving forward, which is a key component in this whole sector. The governmental focus on mining and infrastructure has been very high, and this is going to drive in a lot of high-performance lubricants, and a lot of consumption coming in. So off-highway segment as such in the lubricant side of business has been aggressively growing, and it will continue to grow at least over the next 5, 6 years.

With a lot of activity going on in manufacturing, there's a lot of requirements coming in for specialized fluids on the industrial side of the business, especially in metalworking, as we move away from cast iron and steel kind of product lines into speciality products, aluminium, copper, aluminium alloys, copper alloys, especially coming in through the EV side of the business, you will see a lot of action on the metalworking fluids, and the requirement for speciality metalworking fluids is exponentially growing. And finally, at the higher end of the industrial spectrum, compressor oils, full synthetic gearbox oils, you have a slew of product lines coming in at the higher end industrial applications, where we believe the market's growing aggressively, both in terms of volumes as well as from a value perspective.

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So that's an area that we look at, and we remain confident on the growth story on the lubricant side of the business. Just to give you our relative positions in this overall segment, like I mentioned, the market's close to about 3 million metric tons. The top 10 players contribute close to about 2.25 million metric tons in the overall pie.

Apart right now with our volumes that we did last year, we rate ourselves to be around the ninth largest lubricant player in this country, doing almost around 72,000 KL for the year F Y '24. We are clearly among the top 3 agricultural lubricant manufacturers in this country. We are among the top 3 in the industrial segment, among the private players, keeping aside the PSUs off in that volume.

We're keenly looking at exports in our business, and we have started to expand our footprint into the Middle East and Africa in a big way. Our export businesses have significantly started to grow, and we are seeing significant traction in these markets. With the focus as a group that we have around ESG, we have had a slew of offerings that we have been giving on the lubricant side of business too with regard to a key focus on ESG.

Products offering fuel saving, products offering long drains, products being manufactured to take care of durability, and also looking at products that are aiding emission requirements which are non-lubricants like diesel exhaust fluids or AdBlue as you may see. Some of the products that we have done over the last couple of years, which are helping us grow and cementing our associations with some of the key OEMs that we have.

So, this is just to give you, a picture as to where and all we are playing in the lubricant space. Of course, on the automotive side, we are present both on on-road and off-road. On the on-road applications, we have a slew of

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offerings on the motorcycles, passenger cars, and of course the commercial vehicles, light commercial vehicles. We play the entire space in the on -road

applications.

Coming on to the off -road side of the business, predominantly two segments to take care of construction and infra, and the second one being agriculture. Significantly positioned in agriculture, relatively small in the construction and infra -space, and which is an area of focus for us to grow. On the industrial side of the business, we basically look at maintenance products and speciality products which are revolving around metalworking. So, we have a slew of products there too, on both the segments. Pretty big on the industrial side, we continue to grow both on maintenance as well as on the metalworking side of the business. So just to give you from a split perspective basis, we do almost close to about two -thirds of our numbers through the automotive side of the business and one -third of our numbers from the industrial side of the business, just to give you a proportion as to where we are positioned.

From a distribution infrastructure space, we of course single manufacturing facility out of Rabale, Bombay, a central warehouse located at Bhiwandi, four regional warehouses to cater to the four zones in the country, 14 satellite depots. We manage a space of close to around 2.35 lakh square feet within our logistics to handle products and distribute products throughout the country and also take care of whatever we are doing for exports.

On the AdBlue side of the business, we manufacture and we also have eight outsource filling plants from where we manufacture this because this is distribution of aqueous urea, so transportation and logistics have a

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significant impact on the cost of the product and hence you need to be closer to the demand centers and hence the requirement of outsource filling plants.

So, just to give you some of our numbers from a distribution standpoint, we have a distribution strength which is significant, close to about 500 -odd distributors operating across our various segments. You have the numbers up there. What's more interesting is that we have started to digitize our distribution network both from the point of sale at the distributor level , subsequently tracking the sale through retailers and then finally having digitizing through the influencers who help sell these products, which are basically mechanics.

So, if you'll actually see this program which has started over the last 5 years that we have done, we have reached a level wherein we have the ability to trace close to about 50% of our products that we sell through this pipeline, enabling us to better communicate with the retailers, enabling us to better communicate with the influencers.

So, our marketing schemes can be very highly targeted and thereby get a better ROI on the investment that we do on the marketing. Some of the advantages that I would like to leave on as a player that we have in the lubricant space, we clearly are, like I mentioned, among the top 10 and if you look at it from the oil space that we play in totality, we clearly are the largest private player in the Indian market by the sheer volume of base oils that we handle.

That clearly brings in economies of scale. A very strong partnership that runs with E&I which we signed in 2006 and commercialized from 2007.

The partnership has been solid and has been running over the last 15, 16

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years now for the brand. Very strong presence in agricultural OEMs, tractor

OEMs. You will see that in the next slide.

We've been working in the agricultural space from as early as 2009, having significant presence with key OEMs with significant share of business. We are associated with most of the big global additive suppliers, so we have the access to technology for lubricants. A very, very flexible manufacturing facility to take care and

manage the entire OEM and private

label range, which helps us grow in scales, grow in volumes in our lubricant business.

And finally, to cement our relationships with OEMs, we've moved one step ahead. We're just not focused about product selling. We've moved into product management, thereby helping them manage the product through their channels and also helping them getting logistic solutions in place for them.

So, we operate both the product management as well as logistics for them, so that we are able to cement and the stickiness of business with us is much higher in comparison to a typical lubricant player. So, some of the key OEMs that we do business in the tractors, so if you look at this space that we do, why is this significant?

So just to give you some data points for you as to why we play the segment, this is probably one of the largest consumers of lubricants among the automotive sectors. Just to give you a percentage in terms of loops to fuel, this consumes close to about 2.5% of lubricants to the fuel that it burns. Significantly high.

The only two segments that are above 2% are agriculture, which is tractors and 2-wheelers. The rest of the industry as such, if you look at it from a

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loop to fuel ratio perspective, is under 0.5%. So, it's very significant to stick to this business as these are high volume loop guzzlers, as we call it in the industry, and so a focus on the site has been done by us as an organization very early on in our lubricant business, which has helped us grow and get skills.

So, we are present across, so if you take the top 7 tractor manufacturers in the country, they almost hold a market share of close to about 90% and among the top 7, APAR has a business of over 50% with the top 4 in the top 7. So, a significant play in the agri side of the business. Apart from this, we do, we are associated with a significant number of other OEMs and private label manufacturers, which is what helps us get our skills and get our volumes in this sector.

So finally, some of the areas of strength, repetitive in terms of our positions in tractors. We are a leading player in the ultralight commercial vehicle segment, the small last mile transportation segment, both in the three-wheeler as well as in the Tata segment that you can see. We have a significant aftermarket position with our brands, very strong OEM associations that you have seen in the earlier slide, and we are probably the only company right now which has started to blend and manufacture full synthetic base stock-based lubricants within the country for automotive products.

On the industrial side, we clearly are among the top 3 private players, in the industrial maintenance great space. A significant push and presence in port and infrastructure, that's a sector that we focus and work on, which is again a high lubricant consumption space. We have some specialized solutions coming up for the gas infrastructure, gas pipelines that are being put up.

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So, we have speciality lubricants solutions being offered to CNG booster compressors, which help transport gas through these long pipelines. And finally, we will be working in a niche area for refrigerating compressors,

because refrigerants in these refrigerating compressors are going from, they are becoming economically, so they're moving into an ESG perspective.

So different refrigerants will call for different refrigerating compressor oils, and we are working on a slew of products in the refrigerating compressor side, both mineral and synthetic, to take care of these changes in the refrigerants that are happening in the refrigerating compressors.

Some key products that we have done, just to give you a highlight on what we are focusing on around the theme, which

is on ESG. So, on the agricultural space, which is key for us, we did launch products with fuel saving 2.5% fuel saving over conventional products, mineral products, extended drains, on an average of around 250 to 300 hours to 600 hours drain interval is what we are trying to deliver, double the drain life with fuel economy. That's the kind of products that we launch to bring down the footprint, carbon footprint.

A lot of low viscosity product lines that we have drawn for transmission. So, if you'll actually see the automotive side, most of the fuel economy work has been done around the engines. We have started to move from engines to transmission, so the entire powertrain is being now captured by going lighter to bring in fuel economy, and that's what we have done with our lower viscosity UTTO products, for bringing in fuel economy as well as high speed operations with hydrostatic transmissions.

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A similar work that's been done on the passenger car side, with a special synthetic oil, low viscosity synthetic oils meeting the new emission requirements and both for commercial as well as for passenger vehicles. Why do we do this? Clearly, we're trying to get into differentiated offerings with better USPs to help improve our unit realizations and thereby demonstrate the superiority of the product in the marketplace to build in customer loyalty.

That's the objective. On the industrial side, similarly on the cutting fluids, we have a slew of products that we have done. Biodegradable ester-based fluids to take care again on the industrial side for ESG requirements. On the refrigerating side that we mentioned, POE-based products coming in for compressors, which have the new generation refrigerants coming into place.

CNG Booster compressors that we mentioned for gas distribution pipelines and again 100% PAO based products for gear and compressors, helping double the drain lives in case of conventional gear or conventional lubricants for gear-based applications. We see huge opportunities on the industrial side to upsell products, improving unit margins and thereby getting into a branding space for B2B sales.

This is an area that we are clearly working on and we see tremendous progress being made on the side of the business. Finally, where are we focused on? We continue to see significant opportunities both on the automotive and the industrial side. We remain focused on the OEM side of the business. We believe the OEM side of the business will continue to grow and internal combustion-based engines, will continue to stay at least for a decade. The impact that's going to come in from EVs is not going to be as soon.

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The growths probably start to taper off around 2035 is what is our estimation. So, we are expanding our product lines and product offerings both from the lubricant side as well as from the non-lube side to capture this market. We remain export focused. We want to get into the Middle East and African markets, growing our footprint there and the first target that we want to take is to do at least about 10% of our overall sales in export

markets.

We probably should be at those numbers by the next year, without fail and we are also working on interesting models for filling at the last mile in markets of high tariff, with high tariff barriers, especially in Africa and some of the markets in Southeast Asia. So that's an area where we want to work on.

With these, we still believe that we will still grow easily at around 3x of the Indian market growth rate in the lubricant space and we've been clocking much higher numbers in the last two quarters given the scenario with our volumes. So, we believe that this is a doable number. That's all I have.

Thank you.

Rishabh Desai: Hello, good mo

orning, everyone. My name is Rishabh Desai, and I will be giving the presentation further on specialty oils. There's a lot to cover in very little time so please bear with me. So, I'll quickly introduce you to the range of products that we have. I covered it in depth last year, so I'll just run through it very briefly. So, there's four major product lines.

The first one, our flagship product being transformer oil. Now for you just to appreciate what transformer oil is for people who weren't there last year. As you saw in the Chairman's presentation, when the electricity power is generated, there's a step-up transformer, then the electricity is transmitted

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towards the city and then near the city there's a step-down transformer so that we get the voltage, much lower voltage at our house and our sockets. So, these transformers, they're big machines. Some can be the distribution transformers are small, maybe this big. Power transformers are huge, it can be bigger than this whole stage and the beauty of this product, it's a coolant and an insulant and it's also a diagnostic tool, because the transformer is connected to the grid so you cannot just switch it off and study the health of the transformer.

So, like you draw the blood of a human being to see the human's health and study, the various things. You can draw a sample of the transformer oil and based on studying the health of the transformer oil, study the health of the transformer. Also, I mentioned you can't switch a transformer just on and off.

So, for you to appreciate, in engine oil for example, you can switch the car off, change the engine oil every 10,000 kilometres or whatever the norm is. With transformer oil, the transformer has to be running continuously for 20 years, 30 years, 40 years without changing the oil. So that's how good the technology and the quality of the product has to be because if there is any failure, it could lead to an explosion and that could be disastrous. It could cost money and lives more importantly.

Second is technical grade white oils. So that's used more in industrial applications. It's used also in certain agricultural applications for pesticides. It's used in textiles, paints, a whole bunch, there's about 50 different applications.

Pharmaceutical grade white oils, we have 15 plus grades of both technical and pharma grade. The pharma grade is generally used more in cosmetics,

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in any application that's in direct contact with the human skin. So, it's non-carcinogenic, non-cancerous, it's water-white, colorless, odorless product. I'll get to that a little later in my presentation.

And lastly, we have rubber process oils. It's used in EPDM, tires, rubbers, conveyor belts. There's a whole bunch of applications. Again, we have 15 plus grades. Despite having the set number of grades though, we consider ourselves tailors in that sense. We can tailor make any product to any specification were master blenders. So even if the client or customer has a unique set of specifications, we pride ourselves in our ability to be able to

meet whatever their requirements are.

Just very briefly, global approvals. This is specifically for transformer oil.

As you can see, I've just listed down a bunch of utility approvals. So, we have global approvals from utilities all over the world. So, you see Saudi Electricity Company, OETC Oman, MEW Kuwait, Eskom South Africa, Power Grid India, most importantly, WEG Argentina, which is underway. So, we are basically present in utilities all over the world.

We have all the major OEM approvals. You can see GE, Schneider, Tyree in Australia, Siemens, ABB, Hitachi, Hyundai, Hyosung. All the major names have approved Power Oil as their trusted brand for transformer oil. We can meet all the

international standards, IEC, which is European, ASTM

American, BS is British. So, we can meet all the various specifications from around the world.

I thought I'll take this time rather than to spend time on each product. I thought I'll just highlight two of the major innovations in the transformer oil space. Firstly, I can get to synthetic esters. I just put a picture of a transformer; it just gives you an idea of what the machine is.

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The oil lies within the core. So synthetic ester is a specific type of transformer oil and the base of the synthetic ester can be a natural base or a synthetic base. The synthetic base generally coming from an alcohol hydrocarbon base. We have catered our synthetic ester from a natural base, so it is almost a hundred percent biodegradable. That's in line with our sustainability goals.

So, through our natural ester, it improves the ability of running for the transformer. There's operational safety, I will get to that, but basically it has a much higher flash point than a regular mineral oil, which means it's much safer. There's a larger , a lower carbon footprint and it's readily biodegradable. So that helps with our sustainability goals and most importantly, the performance is consistent and stable.

We've done very stringent testing and got all the major approvals. So, what makes the synthetic ester unique? It has a superior oxidation stability. So, our paraffinic mineral oil passes a 164-hour oxidation stability test. Our current natural ester, it's found to last even 400 to 500 hours. So, it's got a very superior oxidation stability.

It has a really high flash point. So, a mineral oil has a flash point of about 150 to 170 degrees Celsius. Here it's above 250 degrees Celsius. So, it's much, much safer. And of course, as I mentioned, it has a much smaller carbon footprint because after 20 years, 30 years, whenever it is, the oil has to be replaced. The waste oil is biodegradable, so it's not environmentally damaging.

So, some of the applications where the synthetic esters come into use, it's whenever there's power generation, so there's power generation near a

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water body. So, you can see the picture there. It's an ecologically sensitive area.

Similarly, in mines, which are generally deep in the forest and stuff, if there is ever a leakage of the oil from the transformer, the oil is 100% biodegradable. So, there's no damage to the ecosystem. When there's the step-down transformers I mentioned in urban areas, like near housing societies, near schools, whatever it is, the oil, as I mentioned, has a higher flash so it's much safer. The chances of any sort of malfunction or explosion or whatever it is, is minimized with synthetic ester.

And we were talking about solar power and wind turbines and offshore wind turbines. So, when there's wind turbines in the ocean and stuff, the oil is biodegradable, so it will cause no harm if there's ever an incident. So that was one product which we have now launched and it's going to be

the future. We're going to be focusing on synthetic esters.

We've just acquired a plot of land in JNPT, so our mother plant in Rabale, there's going to be a little extra space and capacity. Right now, we are buying the natural base for the synthetic ester from abroad, so we're importing it. I guess in the near future, once we open up that space in Rabale, we will look to manufacture the base as well for the synthetic ester in India itself. So that's something also for the future.

I think the second and really exciting product is for chip cooling. So, I think currently AI is the talk of the world. I think everyone's seen the success stories of ChatGPT and everyone's seen the stock price of NVIDIA just skyrocket. So, data processing is massive

right now.

So, where the oil comes in is, right now there is air cooling done for 90% of server farms all over the world. It's very inefficient. I'll give you the

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statistics shortly. What we do, transformer oil, that is basically a dielectric fluid and for chip cooling, the most efficient solution is submerging the server into a dielectric fluid. Of course, the specifications are slightly different. We are currently tailor-making our product to meet those specifications, but it's something that we're working on very actively.

So, as you can see in the diagram here on your left-hand side, there's two types of cooling, number one is immersion cooling, where the entire server is put into the dielectric fluid. The second type is direct-to-chip cooling, where the dielectric fluid is brought to either the GPU or the motherboard directly through these tubes, because that part gives out the most heat. So only the chip is cooled, and then of course the heated dielectric fluid is then taken out through another tube for cooling.

So why is cooling necessary? I'll just quickly run you through that.

Electronic or electrochemical reactions generate as much heat as they consume electricity. Air is an excellent insulator, but it's not a good conductor of heat. Liquids, especially water, it's a very good heat transfer fluid, but it's highly conductive, so it's really not ideal for direct cooling. Dielectric fluids, they are excellent conductors of heat, and they're fully insulating up to 60 kV. Plus, we are working on making our dielectric fluids biodegradable and non-corrosive, as I told you in the natural ester segment. So, the challenges in thermal management, as you know, the data farms are just growing. Even in our country itself, to protect our data, instead of storing data abroad, they want to build server farms and store data within the country.

So, heat dissipation basically is the limiting factor. With these super powerful GPUs, heat waste can now exceed more than 4,000 watts per

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device. As you guys know, for computing AI, one AI search, like on ChatGPT, uses 10 times the computing power of a normal Google search. So, if that is truly the future and we're going towards that, there's going to be a lot more energy requirement, there are going to be a lot more powerful processors, and those processors are going to give away a lot more heat. So, it needs to be cooled.

As I mentioned, air cooling is extremely inefficient. Almost 40% to 50% of the total facility energy use is used for cooling. Imagine that. It's huge. 30% to 40% of the power is consumed just by air conditions and fans and associated devices. And 5% to 20% of the power is used by the devices, the small onboarding fans within the device. So almost a third of the space in the data centers/mines are dedicated just for cooling requirements, which when you think about it is absolutely ridiculous because these server farms are massive.

So, it's just a huge waste of space. And of course, also the capital costs are really massive because instead of investing on the servers, now you're

investing in cooling technology, which is just a waste of money and resources. That's why we need liquid cooling.

So liquid cooling within the data center, it removes heat with the direct contact to the electronics. There's a variety, there's the two major varieties which I spoke about, but the common denominator is that they use a dielectric fluid. So yes, that's a little bit about this and I'll just quickly tell you what the advantages are.

So, as I mentioned, there's a lesser capital cost, there's a reduction in the energy footprint, so that again ties in with our ESG goals, less floor space, faster CPU performance. Basically, they say the dielectric flu

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heat 12,000 times better than air, so it's way more efficient and the CPU can perform faster and it's much more reliable. So that was just a little bit on the future and we are devoting a lot of resources to develop this product.

It's still in a developmental stage, we don't want to release this to the market until obviously the product is perfected. Also, there are a few challenges, as I showed you for transformer oil, there are set specifications, there's IEC 60296, ASTM, they are set standards. Over here, because it's such a new space, there are no real standards in place, so each company is developing their own product with their own specification.

Today also if you approach customers, say you approach Amazon, they have their own internal spec. If you approach say a Microsoft, they have their own internal spec. So, it's a little bit of a challenge on what product exactly to develop because you cannot develop 50 different types of products just to cater to each customer.

So that is a work in progress and we'll need some sort of government intervention from a federal level to kind of standardise. But also, because we have a good experience in the dielectric fluid, there's a lot of influential people in our R&D team who have a say on these matters, we're trying to push certain standards and use that to our advantage to kind of standardise things.

Very quickly, I'll just take you through white oil. I won't spend too much time on this. The global white oil demand outside of India and China is about 950 kt, so that's 950,000 metric tons. It's an even split between the technical grade and the pharmaceutical grade. APAR, we exported 1,30,000 metric tons, so almost 17% -18% of the global market share outside of India

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and China belongs to APAR Industries. We're not looking to go too much above that in terms of volume. We're now focusing our energy just to cater to certain niche and high-end applications that will generate a better alpha. I just wanted to go through a few interesting applications.

I was mentioning there's about 50 different applications of white oil. And there's some really unique ones. We discover new applications every day. So, recently in a trip to Australia, we went to a pharmaceutical giant and they are actually buying our pharmaceutical grade white oil and testing it for use in animal vaccines because the white oil is a good carrier of the strain of the vaccine.

So, that was a really interesting revelation for me. It's used for egg coating. We've actually, our R&D team has done a huge amount of research on this and actually a pharmaceutical grade white oil coating on the eggs increases the life of eggs by about three to four weeks.

So, then also on my trip, I had visited a bakery, one of the biggest bakeries in Australia called George Weston Foods. They use our pharmaceutical grade white oil in the bread cutters. So, they dip the bread cutters in our oil so that when it's slicing the bread, there's no remnant or stickiness of the bread on the cutter or in the blender where they blend the flour.

So, there's just every day we're discovering new applications. It's a huge market out there and we're trying to focus on finding these niche applications and that's how we differentiate ourselves from our competition. Another application which I spoke about last year but I also want to mention again is the Hot Melt Adhesives.

So, the Hot Melt Adhesives, it's used for example in diapers. I don't know how many of you guys are moms and dads, but we use disposable diapers

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all the time and that sticky part in the diaper which you stick together, that's actually a hot melt adhesive and we manufacture

that oil. Even in all your

water bottles, for example, Bisleri bottle, the label is stuck, right?

So, that sticky glue, it's actually a Hot Melt Adhesives, which is the base of that is a naphthenic base oil. So, that's a big market. The total market size is about \$10 billion globally and it's growing at 5% CAGR and that's where our specific focus is because it's niche products with high margins.

Lastly, I just want to tell you a little bit about the global success story of you can say the power oil brand. I'll focus on six geographies. The first success story is Turkey. We've partnered up with a company called Arkema in Turkey. They have a local manufacturing facility in Istanbul. APAR has 3,500 metric tons of storage in a bonded warehouse in Gebze Port.

So, there's a famous saying, I don't know how many of you watch F1 but there was a legendary F1 driver by the name of Senna and dad likes to quote him a lot. There's one particular quote saying that on a sunny day when the conditions are perfect you can never overtake 15 cars, but when it's raining you can do that and when conditions are adverse and challenging like, how they are today with the global supply chain as you know, the Red Sea issue and there's bombing by the Houthi rebels on ships and whatnot.

This is the perfect example because we've kind of omitted all that, beaten all of that. We get our material in bulk from the United States of America directly to Turkey and we then manufacture the product and sell it all over. So, as a result we've completely destroyed the competition. We have 50% now market share overall in Turkey for transformer oil and 85% market share for the paraffinic oil.

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So, none of our Indian competitors are even close to being competitive right now and we've pretty much taken over that entire market. Last year volume was almost 15,000 metric tons and we're planning to grow above that. In South Africa we have a similar setup. We work with a company called Engine Petroleum. We used to bring in oil directly from the US there as well. Due to certain logistical constraints now, we supply the finished product.

They have tankage over there. They handle and market the product. We have now over 60% of market share in South Africa and we're one of two companies that has the ESKOM approval. That's been a major success story as well. In Australia we've partnered with DKSH. They're a EUR10 billion trading giant based out of Switzerland.

They have a strong presence in Australia. Why it was important to partner with them is they have a local storage capacity of 2000 KL. Australia is a huge country. It's a country continent. It's basically a continent by itself and as you know, Australia is rich in natural resources. They have coal, they have a whole bunch of gold, coal, uranium, a whole bunch of resources and these mines are located far into the desert, into the forests etc.

So, the last mile delivery is extremely important and that's something being an international company you can never master. That's why we've partnered up with DKSH, so that they do the last mile delivery very efficiently on a need basis and as a result, we've taken over now 50%

market share in transformer oil, 57% market share in white oil. Our volumes have grown steadily as you can see. 16% growth in the last 2 years and we expect it to continue to grow.

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Fourthly in Malaysia we've partnered up with a company called Glide. We had zero presence in Malaysia 2 years ago, because they have a law saying that they will only give preference to Bhoomiputra meaning local owned companies. So, from doing 0% market share we've done the same thing in the sense we follow the Coca-Cola model whereas we supply them the base, we supply them our IP which is the a

dditive.

They blend it up over there. They've got the approval of the local utility which is TNB and last year from doing nothing 2 years ago, last year we did 1450 metric tons. This year we're on course already to beat that and I think that's been a wonderful success story for us. I won't spend too much time on the UAE. I covered it last year, but that's our own facility, that's where I'm based.

We crossed 100,000 metric tons in production last year and we're now doing an expansion, because we want to grow the business. Lastly Saudi Arabia, that's the most exciting thing coming up. So, as you know, in Saudi there was a huge plan for Neom City. That's been scaled back a little bit, because I think in Saudi, they've bitten off more than they can chew. They have the Expo 2028. I think many of you might have heard of Expo 2020 which was in Dubai.

So, they have the same thing in Saudi Arabia in 2028. They have the FIFA World Cup in 2030 and I don't know how many people have been to Riyadh, but it's a very dilapidated old city, which needs a huge infrastructure overhaul. You might have read that in the UAE they put out 50,000 hotel rooms just for the Expo 2020.

In Saudi they're going to have to do the same thing and they want to do the same thing. So, there's a huge potential for growth. Secondly, they

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want everything made in Saudi. So, they're putting up barriers, import tariffs etc. To stop people from abroad supplying in. So, what APAR has done, we have partnered up with Luberef, which is the subsidiary of the Saudi Aramco. It's the base oil subsidiary.

They have offered us a plot of land opposite their refinery. So, it's like going to the source, like going to Gangotri and getting the base oil. So, it will come in a pipeline from across the street directly to our tanks. So, you cut out the entire supply chain, freight rate. Generally, we buy from Korea or from Saudi. The material comes in ship and there's a cost associated. Here it will just come by pipeline across the street, eliminate all of that. We will sell within the Saudi market plus we will sell to North Africa and other countries in the GCC because then we will be part of the Arab trade agreement. So, we get a zero duty for any of these countries. So that's the exciting project now that's underway.

We've already put in a land application and hopefully by the time, I come here next year I'll give you a very positive update on the progress of the factory. Thank you very much. I took a little extra time. Apologies for that and I'll pass it on to Ramesh. Thank you.

Ramesh Iyer: Good afternoon, everyone. I'll take you through the financial overview for the company. Let me begin with by listing down the transformation initiatives taken by the company over the last 3 years which has driven financial outcome. There have been strategic transformation initiatives that the company took that has actually driven all these financial outcomes and a lot of these initiatives were actually taken in the past decade and as electrification requirements have been accelerating recently, we were able to tap the opportunities all in our way over the last 3 years or so.

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We are an innovative and customer-centric company and this has actually allowed us to gain first mover advantage. We continue to hold significant market share in all the key product verticals that we launched, in terms of innovation and customer centricity. To name a few there are these HTLS, MVCC conductors, CTC, Bus bars, wind cables and cables that are used for specific industry application.

As we launch products with an innovative mindset it has always allowed us to remain ahead in the race vis-a-vis competition and this has actually allowed us to beat the competition and e

ither penetrate the market or to continue to maintain the shares or to improve the gross margins. Products that launched were this E-beam technology, a market leader in the domestic business for the special grade transformer oil as well as the AL-59 conductors.

These products were launched with a competitive mindset, innovative mindset that has allowed us to beat the competition and again penetrate the market as well as increase the share. The result of the innovation, customer centricity and competitive edge products have resulted in revenue grow up from FY '21, which is about INR6,400 crores to about INR16,000 crores in FY '24 showing a CAGR of about 36%. We have also been strategically focusing on premiumising our product portfolio.

The premium range of conductors has grown about 38% CAGR over the last three years as well as there has been higher emphasis on special application cables the cables that are used for renewables, defence, railways, shipping etc. The CAGR has been 48% in the last three years. The result of this premiumisation has been that the EBITDA margins for the company as a whole that used to be about 7% in FY '21 has now gone up to double digits in FY '24.

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We are widening global presence with exports growing about 40% CAGR over the last three years. We sell to more countries now than what we used to do about five years ago. There has been strategic investment in growth levers.

Our capex has steadily increased to over INR300 crores in FY '24 with a clear focus on premium business verticals as we expand our production capacity ahead of market demand to leverage the opportunities coming our way.

We have been optimally allocating capital across all the three business divisions. The net fixed assets of the conductor division were about 315 crores in FY '20. That has risen to over INR400 crores in FY '24. The oil division, the net fixtures has gone up from INR267 crores to about INR288 crores. And in case of cable division, the fixtures have gone up from INR300 crores to about INR550 crores.

Our fixed asset turnover ratio has steadily increased to about 10x to 12x with higher turns for the oil and the conductor business and relatively lower turns for the cable business. The result of the allocation of capital into higher margin products has really seen the margin profile going up with the competitive edge and innovative products that we talked about earlier. Across all the three business verticals, we see margins going up.

The conductor EBITDA per metric ton has gone up from about 11,000 per metric ton to close to about 40,000 per metric ton in FY '24 with the margins going from 4.7% to 10.8%. The cable margins have been about 11 odd percentage steady over the last three years. And oil EBITDA has gone up from about 3,000 per KL to about 5,700 per KL. Again, the margin jump has been about 5.2% to 6.4%. As we allocate capital to

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products division with higher margin profile this has actually improved the overall efficiency for the company as a whole with the ROC E which used to be about 10 to 12% in FY '2021 has gone up to about over 30% in FY '23 and also to about 34% in FY '24. As we did the QIP towards the end of the year, there has been the base of INR1,000 crores sitting the denominator due to which you see the ROC E coming down to 26%. But if you look at Ex-QIP the ROC E has been about 34% for FY '24.

Our financials indicate strong capability to generate positive cash flows over time. If you see from where it began in FY '20, we had a beginning cash flow of INR400 crores. The operating cash flows, we added about INR2,000 crores during the period from FY '20 to FY '24. Of course, in the financial, you will see about INR1,136 crores. The INR983 crores of QIP was d

eployed into working capital. Therefore, you see a number of INR1,100 crores. But Ex-QIP, we generated about INR2,000 crores of operating cash flows. About INR700 crores was deployed towards income tax. We invested INR900 crores of these cash flows back into the business through capex and about INR334 crores was paid as dividend, with the closing cash flow of about INR587 crores. So, the money that largely got generated, a substantial part has been invested back into the business through capex with the potential to generate further revenues in years to come.

Over the period of time, our free cash flows have increased to what it used to be negative INR200 crores in FY '20 to about INR170 crores, INR84 crores, INR342 crores. And Ex-QIP, we have been generating about INR121 crores in FY '24.

Over the last five years, our revenue has grown by about 15%. Our EBITDA growth has been about 27%. Our EBITDA margin has increased by about

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3.6% from 6.5% in FY '20 to about 10.1% in FY '24 backed by premium products, innovative products, products that we launched with customer centricity in focus. There has been a very strong focus on keeping working capital tight under control. Our average net outstanding days based on last three years has been just about 50 odd days of which more than 50% has been within secured receivables. We have been very tightly focusing on whom we sell, who are our customers and more than 50% of our receivables are backed by either letter of credit or insurances. We have less than 2% exposure to state-run distribution companies. And with a strong monitoring of working capital, we are able to strongly manage the cash flows. The net debt, which was about INR153 crores in FY '20 has turned to a net cash positive of about INR180 crores. So, over the period, we generated a net cash of about INR335 crores in the last five years. The QIP that we launched last year further strengthened our balance sheet of INR1,000 crores getting into the kitty. We deployed that into the net working capital that has helped us to improve the working capital ratios. It has reduced the debt equity ratios from 0.14 to 0.1, as well as outside liabilities to total equity has come down from 2.67 to 1.48.

There exists robust growth drivers and strong head rooms for growth based on the renewables and transmission expansion, as you've been hearing since morning. Growth opportunities exist from differentiations as well as improvisations. We'll benefit from the shift from China plus one happening. The macro environment is conducive for our kind of business. Along with that, a dominant market position and leadership positions across all the three categories is actually helping us. Our operating efficiency, we are able to leverage on that. We've already reached double digit EBITDA margins. Our PAT margins have been about 5% that has

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increased steadily year after year. We have a strong capital structure. We work on very less debt. Our debt equity ratio has been just about 0.1. The credit ratings have got upgraded from the last few years, which we expect further to improve with the QIP funds coming into the company. We delivered about ROE of more than 20%. With effective risk management strategies, we feel that we are appropriately positioned to tap the long-term opportunities coming our way.

The EPS, which was about INR36 in FY '19 has gone up to over INR200 in FY '24. The conductor division has added about INR115 per share over the last five years. The cable division has added about INR37 per share over the last five years and the oil division adding about INR23 per share. Across the divisions, we have been expanding across the globe, predominantly in US, EU and Australia, that has helped to improve the top line

as well as bottom line. There has been a clear focus on premiumization across all the business verticals, improving the margin profile for the company. As I said about innovation and customer centric, I have already spoken about that. And the per unit EBITDA realisation has accelerated, which has improved overall margins as well as EPS for the company as a whole.

Lastly, through FY '28, we feel that over the years, we will aspire to maintain leadership position across the key business verticals with continuous innovation and cutting-edge products will be launched over the years to come. We will be very keenly focusing on capex to improve capacity, especially in the premium business verticals, which we have.

We will continue to tap domestic opportunities coming our way at the same time expand a global footprint as well. And overall, we feel that we will be

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able to tap the opportunities and to leverage the energy transition that we are going to see in the future. Thank you so much.

Suyash Saraogi: Good afternoon. I am Suyash Saraogi. So, what is the objective of this presentation? It is to highlight how important sustainability is. If you want to remain plugged in into the global supply chains, sustainability becomes extremely important. As we are seeing that exports are going to be a key lever for APAR and sustainability will become key to qualify for this business.

Also, I would like to show what we have done on sustainability at APAR.

So, I just want to spend a minute on this slide. COP stands for Conference of Parties. It is the main decision body of the UNFCCC and includes representatives from all the countries. There are 197 countries. And the COP meetings are crucial for funding key decisions on issues related to climate change, such as emission reduction targets, financial support and adaptation measures.

And these meetings are held annually. The last one was held in Dubai in 2023, started from Berlin in 1995. So, what happens is that based on these COPs, each country has accordingly declared its NDCs, that's Nationally Determined Contributions, and now is requiring their corporates to reduce their energy emissions.

So that's what's happening. So therefore, these corporates from Europe, from US, from Australia and other countries are pushing their supply chain partners, that is companies like APAR, to reduce their emissions. So that's how the pressure is coming. And this pressure is increasing as the days are going by. So APAR's customers who have committed to Net Zero as per their country's mandate are demanding low carbon product from their

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suppliers. Some of these customers have put stringent sustainability criteria

as bidding qualifications.

There are some tenders you can't quote if you don't meet the sustainability criteria. In addition, there are regulatory compliances. I'd like to mention CBAM, which is Carbon Border Adjustment Mechanism, which I'll touch at the end of my presentation. And of course there are cost savings. When you reduce your carbon emissions means you're using less energy. Less energy means less cost.

So, I'm going to spend the next part of the presentation on the alignment of the organization's purpose, strategy, business and governance. So, sustainability is an integral part of APAR's business. So, there are three parts to it, economic on the left, environment and social. So, the economic piece has been adequately covered in the previous presentation, so I'll stick to environment and social. So, APAR has integrated sustainability into its core business operations. It involves adopting eco-friendly processes, promoting social responsibility and aligning the company goals with sustainable development goals.

So, APAR has formed a board-level committee, the

Corporate Social

Responsibility and Sustainability Committee, and the purpose is to review sustainability goals, ESG risks and opportunities, ESG targets, and performance against established sustainability metrics, as well as sustainability-related policies, programs and initiatives. So, our CMD has also completed a course in business and climate change towards Net Zero emissions from the Cambridge Institute for Sustainability Leadership, just shows the commitment from the top. Now we'll come to measurement, disclosure and target setting.

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So quickly, so it's good to talk about it, but what have we done? So, oil business, we have reduced our emissions from 0.009 tons of carbon emission per kiloliter of product to 0.006, it's a 33% reduction over two years, the emissions intensity. In the cables and conductor business, we have reduced it from 0.321 tons of carbon per ton of product produced to 0.275, which works out to 14%. Our total Scope 1 and Scope 2 emissions, Scope 1 is the fuel that we consume inside our plants and Scope 2 is the grid electricity that we get, is about 1,24,000 tons. So how have we reduced it?

We have increased electrification, reducing from fossil fuels to electricity, we've implemented various productivity measures, we discussed about industry 4.0, KAIZEN, Six Sigma and all those things in the earlier presentations, and we've increased the share of renewable energy. Just to let you know, like in Gujarat, for example, we are getting a lot of renewable energy, it costs INR3.5 per kilowatt hour lower than grid electricity, so it makes good business sense also, and it reduces our carbon emissions. So, I mentioned in the earlier slide that we had an emission of 1,24,000 tons of carbon, so we got it verified by DNV. DNV is probably one of the most credible organizations for certification. Water. Water in India is free, although India is one of the most water-stressed countries. The problem is, what happens if the water goes out? What do you do with your plants? So, what we are doing is that we have reduced our water consumption from 3,25,000 kiloliters in 2022-23 to 3,14,000 kiloliters, in spite of 20% increase in volume of production, so this is the absolute reduction. This has been done through demand-side management as well as supply-side management, and a lot of focus is going on in that, because water security is going to be a key risk for the future.

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CDP disclosure. CDP is a global platform; it's called the Carbon Disclosure Project. Customers want us to declare in CDP, CDP rates us, and they want to get the scores directly from CDP, that's for our global customers. We

got a score of B's last year, and only 27 companies in India were ahead of us, most were the IT companies and companies like ITC and Tata, which had started way before us. We are going to make our submission this year in October, and hopefully we'll get the result by December.

EcoVadis. EcoVadis is a renowned evidence-based online platform, providing supplier sustainability ratings and allowing companies to assess the ESG performance of their global suppliers. We got a silver rating last year, and we are submitting our, we are making our submission in September, we hope to do better this year.

BRSR, we all know is mandated by SEBI, it's part of our annual report, we have done our BRSR submission also. We make -- annually we make our ESG reports and the third edition of the ESG report is available at our site, the fourth one will be done by, with in October. That is for 23-24.

TCFT, Task Force on Climate-Related Financial Disclosures. So, we are not only assessing the climate risk, but we are also quantifying the risks, and setting a process for regular monitoring and mitigating it, by integrating it

into our ERM, that is our Enterprise Risk Management. So, this TCFT is a very critical thing, it goes with CDP, so we do that. So, we are working on our report, it will be ready by September end.

Then there are these EPDs, that is Environmental Product Declarations. So, we have measured and reported the EPD for four products, it's there on our website. Basically, what it does is, it communicates the carbon emission of the product, that it starts from the cradle to the gate. In other words, like APAR Industries Limited

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for our aluminium conductors, it would mean starting from bauxite mining to the time the finished conductor is ready for delivery from APAR's factory gate. So, we do this cradle to grave thing. So that becomes very important for the customers to know what is the carbon footprint of the product that they are buying?

We are working on 10 EPDs, which should be ready within this year, in addition to the four that have already been done. SBTI. SBTI is Science Based Target Initiatives, we have registered for it, and we are committing that by 2030, our products will have -- our products, that includes the raw material, will have 50% less carbon emission per ton of product produced from what it is last year.

So that's the commitment we are doing, which will require effort at our plant, effort with our raw material suppliers, inward logistics, everything, so that's the level of commitment we are doing. This becomes critical again to become part of the global supply chains.

So, the fact is that with these five disclosures, that is CDP, EcoVadis, ESG report, TCFD and EPDs, we can be sure that our global customers and other stakeholders will find us adhering to the highest standards of transparency and commitment.

Now we'll come to the path to Net Zero. So, what is our energy transition plan? So, first is renewable energy adoption. So, our target is that by March '26, we'll have 29% of our electricity will be through renewable energy.

By March '28, we expect it to become 45%. Of course, there are energy efficiency measures that we are doing in terms of we've had energy audits at all our plants, we've identified where we can reduce our energy consumption, and we are working hard on those things.

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And of course, like we said, I said earlier, 50% GHG emission intensity reduction by 2030. There's a target that we have taken as a company. Of course, there are development of low carbon products, which we had mentioned in the previous presentation. It's ACCC conductors, Poweroil NE, Poweroil NE Premium, natural ester-based and synthetic ester-based transformer fluids, and of course, APAR's advanced automotive lubricants.

These all were mentioned earlier, I'll not spend time on this. Most important thing is procurement. Like I mentioned, that when we look at our carbon footprint, we have to reduce our raw materials, the intensity of the raw materials. And remember, suppliers are not in our direct control. So, a lot of work has started happening. So, what are we doing about it? We are actively working to identify and reduce our scope 3 emissions through collaborative initiatives with our suppliers. Procurement of low carbon embedded raw materials, including green aluminium, increased engagement through regular supplier awareness programs, making suppliers understand, agree and sign the APAR supplier code of conduct. Use molten aluminium as direct raw material at our Orissa plants, which actually reduces our scope 1 and scope 2 emissions. Increase recycling in the manufacturing process to reduce wastage and of course, increased use of aluminium and copper scrap as raw material. Buy scrap and use it. It's also cheaper and also it has very little scope 3 emissions. So, we got the Great Place of Work certification last year. Sorry

, this year.

The last is the challenges and forward path. So, I want to spend a minute on this CBAM. CBAM is Carbon Border Adjustment Mechanism. This has been introduced by the EU. It is going to start next year. So, what it basically does is, I'll go to the next slide. So, the CBAM will require Indian exporters, APAR Industries Limited
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including APAR, to monitor and report the carbon footprint of the aluminium products.

This is a legislation that is imposed by the EU, which will basically tax the embedded carbon in the products that we do. So that's why it becomes very important to reduce the carbon intensity of both our raw materials as well as our finished products.

Now, what is the impact of APAR? So, we checked the CBAM regulation and said, which of our products are affected by the CBAM because Europe is a key market for us. There are only two products. One is ACSR conductor and one is ACCC conductor. So, our estimates were that based on the carbon tax that is there currently, which is not being enforced right now, but just as a reference, and based on the current volumes that we are doing right now, the impact would be about INR10 crores.

But of course, next year, 2026, when it starts, it'll be a lot less because we'll have reduced our carbon footprint in those products significantly. But the good part is that I'm sure that our competition will be nowhere close to it. So that will give us a great competitive advantage and of course, improve our brand.

So, what's our forward path? We will complete our TCFD report. We will disclose in September, October to CDP and EcoVadis. We will augment our wind, solar, renewable energy capacity. We will engage more seriously with suppliers for scope three emissions. We will complete the 10 EPDs for our environmental product declarations for our cable products and of course, we'll increase our scrap processing to reduce costs and reduce our emissions. Thank you.

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Kushal Desai: We started a little bit late and I think we've gone a little bit overboard in terms of time, but apologies for that. I know we stand between now and lunch, but I think after having heard all these presentations, a few questions would be in order. And so, we'll make an attempt to answer those questions which have already been put up. Pradeep, are you going to? Yes, so Pradeep will come up with the question. Thank you.

Moderator : Thank you so much, Kushal bhai and the speakers for the detailed presentations. So, we'll take up the Q&A. We'll be as brief as possible in the interest of the time. There is also a QR code on each of the desks and in case you can scan and put in your questions.

Moderator : So, the first question for Kushal bhai, what is the current revenue from the turnkey solutions and what exactly do we do in turnkey business and the future outlook? And what is the reconductoring contribution, reconductoring margin in India and our market share?

This question is from Amit Anwani from Prabhudas Lilladher.

Ramesh Iyer: Hello. So, the current turnkey solutions that we do in the conductor division would be about somewhere about 10% to 12% of the total conductor business. The HTLS, which is High Transmission Low Sag, plus the turnkey put together would be about 25% of the total conductor business.

And in this reconductoring, we do only a mini reconductoring, which is removing the existing conductors from the tower and putting in place a new conductor, which is a High Transmission Low Sag conductor, wherein the conductor cost would be about 70% to 80 % of the total turnkey solutions.

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Moderator : Thank you so much. This question is for Chandan sir. For the US and Europe market, what kind of new products are we going

to target in the medium

term and possibly highlight the market share in the competitive landscape?

Chaitanya Desai: So currently in the US, mostly the conventional conductors are used, but because of their environment difference, there are some cold areas with ice and all that. So, they are a little different version of the ACSR conductors. Similar is the case of Europe, where mostly conventional conductors are used. But in future, we see a lot of work happening on reconductoring in the US. So, a lot of active presentations are being given to the authorities there. And in times to come, even the HTLS varieties of conductors will be used.

Kushal Desai: Just to add to what Chaitanya has mentioned, contrary to what we would think intuitively, to build a new conductor line in India, it takes about three years to get the permissions for putting up the line. When you move to the United States, it takes closer to 10 years. So, in fact, there is a huge backlog of approvals that are required for transmission lines to be set up. And there are two major drivers to it. One is you've got a lot of solar farms, wind farms etc. in the pipeline or which have got commission that are not able to actually evacuate power.

Secondly, the United States is by far the leader in terms of putting up data centers and hyperscaler data centers. And the consumption of electricity there is going to triple or quadruple as these data centers come up. They're concentrated right now in just five states. 90% of data centers in the US are just in five states. And even in those five states, there will be a big increase in transmission lines and power required. Even if you move as Rishabh says, from air -cooled solutions to liquid -cooled solutions. So, I think over

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the next five, seven years, there is a massive opportunity for reconductoring.

And in fact, if you see Manish Agarwal put up, made a reference to India's 500-gigawatt renewable energy plan. It's a central plan. It's something that Prime Minister Modi has been really pushing for. So that plan actually outlines where these 500 gigawatts of generation is going to come from and it has also 500 gigawatts of transmission that will evacuate the power from these sources.

What it is missing completely is reconductoring opportunities. It covers only new lines that are coming in. Now in reality, that's not going to happen. Right away is so difficult.

And increasingly in India, as I was speaking to some of you in the breaks, every person in India has discovered the value of their land. Just to give you an idea, when we bought land in Khatalwad, same place, it's a relatively rural area in, you know, compared to the urban centers. In a span

of 14 years, you're paying 10 times the value of the land.

And this is the case across the country, whether it's in Mumbai or whether it's in some small town, even the guys in Kutch have realized that their land is very valuable if 30 gigawatts need to be put in here. So, as you saw in Manisha's chart, and just by the way, this presentation will come up on our website today. So, you will have access to it right away.

There is going to be an explosion of reconductoring opportunities around the world, because this problem which is there in India is there everywhere. And with the United States having this decade long policy, because you know, it's, if you think India is uncoordinated between center and states, you've got to look at the US. It is a mess.

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So as a consequence, the best solution is to reductor because you don't need a right of way. The only stakeholders really are the utility company, and the supplier that's going to do the reductoring for you. So that's why, you know, you may have any plan, but if you really want to do somet

hing, there is going to be a lot of this happening.

So, the reason I bring this up is that it's a new dimension. It's not covered under the possibilities which are there when you saw that 50,000 circuit kilometers, etc. It's talking about new lines, but the whole reductoring will happen and the logic for it, which we have been also lobbying with the CEA and the ministry through various bodies is that if you're going to see a 4x increase in electric consumption, you actually need to optimize the amount of power that can be carried on each and every line that exists. And if you reducted it in 10 years, 12 years, again, it's going to get saturated. So anyway, you're going to require parallel lines to take place. But until you get those ROWs and put parallel lines in place, you need to max out all the existing lines.

So, it's a long answer to your question that in the US right now, as Chaitanya says, they're using very base products. India is far ahead in terms of the technology that we use on transmission, but they are also going to have to transition to it.

Moderator : Thank you, Kushal Bhai . We have the next question. This is for Mr. Shashi Amin. How much capex is required for the total of the targeted INR10,000 crores of revenue in the cable division over the next four years or five years? And who are the key global and local competition in the US and Europe? And in which verticals are we targeting in the market sharing phase? Yes, thanks.

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Shashi Amin: We are looking at a capex of about INR600 to INR700 crores to scale up our number from INR4,000 or INR5,000 crores to INR10,000 crores. And regarding the competition in the US, it's the global players, Prysmian, Nexans, Southwire, then you have Aconite, who's a competition for us when we talk about covered conductors, Hendrix. These are the few I can think of.

As far as Europe is concerned, it's again Prysmian, Nexans and Turkey, also a lot of players who are supplying cables to that. Then you have LAP, then you have Leone. Smaller players are also there in European countries. And as far as our target is concerned, it's mainly, our focus would be on renewable, solar and wind. Currently, as we said, we are market leaders in India. We are supplying solar wind cables to the US. There are a few manufacturers of wind in Europe. We are focusing on that in the next few months. And Europe is mainly rooftop solar, so not much of solar farms. But in the US, Australia, it's more of solar farms ranging from 250 megawatt to 1 gigawatt. So, the focus is mainly on renewables for us.

Moderator : Thank you, sir. This question is from Sean from Aberdeen, for Ramesh, sir.

Moderator : Any growth and profitability targets that you can share?

Ramesh Iyer: Yes, so we have been guiding growth for all the three divisions. We feel that cable division will be the fastest growing sector for us, growing about 25% per annum due to the addressable market being high as compared to other divisions. Given the scale of transmission and expansion happenings, we feel that the conductor division can also grow by about 10% to 15% year on year.

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And given the scale increase that's happening across transformer oil, we feel that the oil division would be growing about 5% to 8%, of which the transformer oil is likely to reach to double digit growth. And these kinds of numbers, we are looking for a medium to long term perspective.

Kushal Desai: When we did the growths, our transformer oil business, if you take the domestic and the export, they're almost equal in terms of their growth.

We've grown, last five quarters, we've grown at about 18%. And it's going to be linear with, as Chaitanya mentioned, that the current expansion is much more substation intensive.

And

the most expensive component in that substation is the transformer.

So, as you start moving into higher voltage categories, you have transformer rectifier combination. So again, the amount of oil that gets used is higher in terms of volume. Also, the insulation requirements and characteristics become very high. Because what you need to insulate 33,000 volts versus 765,000 volts is a little bit different. So, the specifications are different.

The criteria are also different. And to tell you very interestingly, in most markets around the world that we sell, other than India, the competition is between three to four players. In many markets, it's just two.

It's only in India where people manage to use various connections and means to get themselves approved and supply. So, when the total cost of ownership comes in, which is the prevalent standard in most of these countries, they're very conservative in terms of who will buy. The other thing that we have, just a little snippet in here, you saw from Manish's presentation that there's a huge addition of HVDC cables, transmission systems coming up.

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So, APAR today has over 85% market share in transformer oil that goes into HVDC. And we have been condition monitoring from the initial transformers that we have filled in of HVDC. So, the first transformer that was filled in is in 2001.

And we do condition monitoring that every six months, that oil has deteriorated almost nothing from 2001 to 2024. And it has been certified for 20 years of additional usage. So, we really produce a very high-quality product.

The hydrocarbon composition and the formulation are quite strong. So, I think the growth will come in the oil sector will come largely driven by transformer oil. Also, what Sundar covered was the increase in volume. There is also a massive premiumization that's going on in the lubricant industry. Because drain intervals, and he did mention about some products, the drain intervals on a truck, for example, in the last 15 years has gone from about 5,000 to 7,000 kilometers to closer to 100,000 kilometers. So even though the vehicle park is going up, number of pieces of vehicles, two things are happening.

One is that the distance has been increasing. The distances that trucks with GST coming in, there is a lot more mileage that's going on compared to before. And secondly, the drain intervals have substantially increased. So, in spite of having a 15-fold increase in drain interval, you're still having a growth in the overall sale of lubricants. So, the value story is another story compared to the volume story.

Moderator : Thank you. We have this question from Gautam from Nepean Capital.
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Moderator : This is for Chaitanya bhai. The conductor margins have been very strong. Any expectation of normalization and could it hold the FY23 levels? And another follow up question is, are there any plans to start or acquiring new businesses?

Ramesh Iyer : So, on the conductor margin, we have been saying that because of premiumization, clearly the margins has gone up almost three to four X as what it used to be in three to four years earlier. While we premiumize our portfolio, we have been having the margins about 38,000 to 48,000 per ton. We don't expect it suddenly to come down in a quarter or two. But what we expect is that as competition catches up and with all the favorable benefits, if everything goes out of the benefit from APAR, even then we'll be able to maintain about somewhere about 28,000 per metric ton is what we have been saying. At the same time, we feel that the opportunities are high, especially on premiumized premium products and reconductoring business. So, we may expect that our margins to be on a higher side.

But on a conservative note

, if you want to make a financial plan for three years, five years, that's where we have been guiding a margin of about 28,000 per metric ton.

Moderator : We have a question for Manish, is he available or can I ask this question? Sure. What is the current AL-59 revenue contribution and how much growth or revenue contribution can we expect from AL-59 in the coming years?

Ramesh Iyer: AL-59 has been about 15% of the total conductor volume and in the domestic market we have completely substituted the ACSR products with the AL-59 which is a much more premium product than the ACSR one.

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Chaitanya Desai : This year we may go more like 33% by volume ...

Kushal Desai : So, you know in that chart as you saw, what's happening is that this was a first step where the market is changing and I'll spend a minute to just explain to you how this is happening. So, until a couple years ago, the CEA had mandated, Chaitanya had put up a little table there which gives how a tender looks like. So, they mandate in there everything, the type of conductor, size of conductor, all that sort of stuff.

So, it used to have just one column. Then they added a second one which was triple AC, that's an all -aluminium conductor. Now they've added AL-59. They're hopefully moving towards actually then opening that subject up completely and this is what we've been working with in terms of the CEA and the ministry saying that India has to look at the total cost of ownership. Once you look at the total cost of ownership, low loss and high efficiency conductors and all these other premium conductors, there's a completely dramatic difference in terms of the paybacks when you use these high efficiency conductors over ACSR and AL-59 are also in the 5 - year, 7 -year, 8 -year range when the life of that conductor is 35 years.

So, the whole equation will further change, you know, as they bring about that regulation. So, to answer that question, as what Ramesh is talking about, over a period of time we would expect the conductor margins to normalise to 28,000 a tonne, you know, if some of these tailwinds and these things are removed. But when you start having these sorts of legislation changing or the options that you can use changing and start bringing in these other paradigms, you know, total cost of ownership, etc, etc, reconductoring, the whole margin profile can again undergo a reboot.

So, if you just stick to this and continue to innovate in this particular space,

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the opportunities will keep on increasing as the environment changes and as the legislation starts changing.

Moderator : The next question for Rishabh Desai, how much of transformer oil demand comes from new transformers and how much is that in the aftermarket at the industry level?

Rishabh Desai: So, I think the split is 85 -15 and most of the demand comes from new transformers. I think over the world the grid is expanding, there's new power stations coming up, new cities being built, Egypt is shifting its capital, Indonesia is trying to shift its capital, there's a lot of development going on. So, there are a few top -up jobs in which we supply to drums, to the utilities, but that's much smaller volumes.

As I said, the oil is supposed to last for about anywhere between 20 to 40 years, depending on the quality. So, there is some conversion over time of the oil to sludge, but of course the quality ensures that conversion is minimum and just a small top -up job has to be done. Yes, 5% odd top -up per year.

Moderator : So how is the freight impacting your export business and do you think some of this will lead to low margins in the near term?

Kushal Desai: So, freight has been a complete yo -yo. So, we had very low freight during the COVID period, freight had fallen to almos

t unworkable levels. Then you had this one ship coming in and blocking the sewers and then freight went completely ballistic for the next 18 months.

And then as things normalised, interestingly, freight came down to most destinations below what it was in 2019, until the US decided to increase tariffs on Chinese products, which will kick in on the 1st of September. So, APAR Industries Limited

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there is a whole set of products, which includes all aluminium -based products, where there is approximately a 25% increase in custom duty coming in. So, from whatever estimates we have, the Chinese manufacturers along the solar supply chain were holding between one and two years of inventory in terms of panels, junction boxes, and all these things.

And with this tariff coming on all aluminium -based products, including batteries and certain other EV components, there has been this huge push that has taken place, to the US, which is what has disrupted freights. In fact, containers have just not been available. Typically, we saw that , after the situation started normalising, it took about a year for the previous cycle to normalise.

It could take anywhere between six months to a year for this cycle to again normalise. Because what happens, containers start getting stranded in certain places, they need to come back, into where the supply chain is.

Some geographies will come back much faster, like Southeast Asia, Middle East, etc. But when you start shipping across, to the US and Europe and Latin America, it may take a little bit longer. It's just anybody's guess how quickly that freight situation will improve. But my sense is that you will start seeing improvement by the end of the year and by middle of next year, it will probably get normalised.

Often containers start getting produced more when you have a spike in freight, which is exactly what happened, because of which the freight rates fell up below the 2019 levels as such. So, if at all there is a problem, it's not going to really be a long-term structural issue. It's a, a much shorter - term problem.

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As far as our overall demand is concerned, I think we have an advantage

here in India that the home market is very strong. So, if, there are some delays or there are some EPC players who may push out deliveries because they have to pay for the freight and so as a consequence, what would have gone in the next quarter may go after another quarter or two quarters. So, in the meantime, you've got a strong domestic demand where you can repurpose, some of your equipment and sales.

So, there will be some impact, but I don't think it's going to be enough to derail the train. Usually once it starts normalising, you start seeing a big surge and a catch up that happens in the markets which are difficult to service because of freight. I hope that answers the question.

Moderator : So, for the conductor division, how do we describe the moat in our business, the barriers to entry, given that new players are entering like KEC possibly? And I'm not sure, but if KEC is also getting operational in the conductor division, what is the moat in our business?

Chaitanya Desai: One is, of course, as I mentioned the technology of the new products. So, these have been developed over a long period of time and it does need a fair amount of metallurgy. So, we need to be backward integrated in terms of making our own alloys. In terms of the competition, some name you mentioned, so they are basically a cable manufacturer who have the equipment to make conductors. And we believe that it would be easy for them to make conventional type product, but for any new party to get into the more value-added products, it will take a fair amount of time and effort.

Kushal Desai: I think there is a fundamental difference.

If you take, you specifically mentioned KEC and they are a great company and a very good customer of ours as of date. But they are an EPC company that wants to make
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conductors reduce cost. We are a conductor company that wants to make conductors to be a very important part of this whole energy transition which means that and as you may have seen through the presentation, we have been working very closely with customers to understand what are their pain points, what are their problems and then develop products and services to be able to deliver that.

So, if you see the whole high efficiency conductors, the whole HTLS, the whole hybrid products that Girish spoke about extensively, the ester-based transformer oils that have come up, because you are going to have offshore solar. In India, there is already a lot of solar that is coming up on the water. So, they are using lakes, they have started using the rivers to build solar. So, we are actually very focused on delivering solutions to our customers. And for that you need to have a certain technology understanding and experience too. There is a lot of money that has gone into the R&D facilities in place. If you, I mean, some of you may have visited the plants. There is a lot of work going on in Rakoli, so we took people to the other plant, which is Athola.

But if you see, there is a huge amount of work that has gone in over the last 10-15 years, and it's not something that one can catch up. Secondly, the culture that we build in the company is one which is focused on innovation and solutioning. And yes, you can buy equipment and put it in the plant, but buying culture is a bit more difficult.

So, I think, yes, there will be competition. People will see numbers. In India, if you do anything good, five other guys want to jump into it. But hopefully, we've gotten on to momentum where we are able to, you know, remain at least a step ahead of the competition.

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Moderator : We'll take up last two questions in the interest of time. So, this is for the telecom division. On the target of INR10,000 crores of total revenue, are we considering the telecom division as a part of that or separate?

Ramesh Iyer: So that telecom will be separate. Currently, telecom is a very small

proportion, but overall, INR10,000 crores, we are looking at excluding telecom.

Moderator : Capex guidance for the next two to three years?

Ramesh Iyer: Capex we are likely to spend about INR300 crores to INR350 crores year - on-year, and that may see over the next few years. As we need to build turnover, as I said, turnover ratio is about 10 to 12 times. We'll need about INR300 to INR350 crores capex over the next two years, next few years. And largely around the capex will be spent about in the cable division as well as in the conductor division. As oil division, we have still spare capacity, but a lot of capex is likely to be spent on these two divisions.

Kushal Desai: Just in terms of our last comment, just a closing comment that we've titled this as energy, enabling the energy transition. The only thing I wanted to leave you with a thought here is that two things. One is that energy is the biggest business in the world. There is no business that comes anywhere close to energy in terms of the physical volume and the dollars that are involved, because it covers everything from oil, gas, coal right down to renewables, nuclear, all that.

Secondly, when you're looking at 20% going to 40% and the kind of growth of 4X that is going to happen, it's not going to be an energy transition, it's an energy revolution that's happening. And we don't feel it

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so much because you can't touch and feel electricity i

t just comes here and

it lights up the bulb, you don't realize how it has come there.

But for people who are in this industry, believe me for the next 20 years, 25 years, the kind of opportunities that is going to throw up for people who are along the entire supply chain, globally is just unprecedented. I've never seen, I've been around now for 35 years, never seen anything like this. It's really a tsunami of change coming in. And this revolution will be as big if not bigger than the whole steam engine.

You don't realize the amount of transition that's happening. And in many cases, because it's so huge, you will have bottlenecks and you will have problems, but I can tell you that for someone in the industry and who's been playing across many verticals in here, the end destination point, which is a 4x growth is pretty much written in stone. What will vary is the timeframe in which you will hit that. And different countries will be able to hit it at a different pace.

What we are seeing really is that the G20 countries are the ones where most of that work is happening. Because they have access to capital, they also have a much better regulation in place. So, in case a producer puts in assets, there is a dispute or there is a problem, there is a proper mechanism for being able to address it and source it. So, there will be growth happening. Most of this growth will come from the G20 countries. You won't have someone queuing up and running to put a one-gigawatt power plant in Zimbabwe, for example.

Whereas it's much easier to put it in India or in Australia or in the United States. So, the growth will be a little bit uneven geographically. The time could be elastic a little bit, but that destination is going to happen. And

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finally, those numbers will have to pan out because there is no other choice. So, if you if you are patient with this space and you're looking at it carefully and seeing which players are actually innovating and doing the right things in here, then I'm sure that their stories will play out over a period of time.

I thought I'd just leave you with that last comment. And I guess lunch is pretty much ready. Apologies again that we've gone a good. We started half an hour late because of the rains, just to accommodate more people to be able to come in, but we are around here during lunch. Happy to

answer any further questions. Thank you.

Call: Nov 2024

SEC/ 0611/202 4 By E-filing November 06, 2024

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra - Kurla Complex,
Bandra (E),
Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship
Department

Sub. : Submission of Transcript of Earnings Conference Call made on Un-audited
Financial Results (Standalone & Consolidated) of APAR Industries Limited
(the Company) for Q 2FY25.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable
Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"),
as amended from time to time

Dear Sir / Madam,

Kindly refer to our letter no. SEC/ 3010 /2024 dated October 30, 2024 w.r.t. submission of link of
Audio Recording of post Earnings Conference Call made on Un-audited Financial Results
(Standalone & Consolidated) of the Company for Q 2FY25.

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting
herewith transcript of the Earnings Conference Call made on the Un-audited Financial Results
(Standalone & Consolidated) of the Company for Q 2 and Six Months period ended September 30,
2024 on October 30, 2024 .

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.
Thanking you,

Yours faithfully,

For APAR Industries Limited

(Harish Malsatter)
Deputy Manager – Secretarial

Encl. : As above

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"APAR Industries Limited

Q2 FY25 Earnings Conference Call"

October 30, 2024

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED

M R. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED

M R. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to APAR Industries Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari Thank you. Good afternoon, everyone. This is Ambesh from S-Ancial Technologies. I welcome you all to the Q2 FY '25 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer.

I would now pass on the mic to Mr. Kushal Desai for the opening remarks.

Thank you, and over to you, sir.

Kushal Desai: Thank you, Ambesh. Good afternoon, everyone, and a warm welcome to the APAR Industries Q2 and H1 FY '25 earnings call. I'd like to begin by actually wishing everybody a Happy Diwali. I'd like to start by actually giving a brief overview on our performance. Then I can follow that up with a short industry update and then dive into more details based on each of the major 3 business segments that we have. Post that, we can open up the floor to questions.

So looking at our Q2 FY '25 consolidated revenue that came in at INR4,645 crores, which is up 18.4% year-on-year compared to the same APAR Industries Limited Q2 FY25 Earnings call

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quarter previous year. And this has really resulted from a very strong growth on the domestic business front, which grew 61.1% compared to the same period last year. There has been a bit of a transition with the increased business coming from the domestic market versus export. Export has contributed 29.8% to the overall revenue versus 48.4% in Q2 FY '24. Now this can be attributed to lower revenues from the U.S. market in the quarter as well as various other factors which affected export logistics, etcetera, including the closure of the Red Sea shipping channel to a very large extent, a substantial increase in freight and also an increase in the delivery time given that with the Red Sea channel closed, shipments all going to Europe, West Africa and the United States, all have to go through around the Cape as opposed to through the Suez Canal.

However, domestic business has remained quite strong with an increased order inflow across all our business verticals in this quarter. U.S. business compared to last year was down 38.9%. However, we see a sequential growth in the U.S. business. So when you look at Q2 FY '25 versus Q1 FY '25, our order intake has increased in the U.S. by 17.5%. And we believe that this trend will continue. And after a couple of quarters, you will start seeing the U.S. business again forming a meaningful portion of the total pie.

On the EBITDA front, EBITDA is up 7.8% year-on-year to INR402 crores. The margin has come in at 8.7%. Profit after tax is INR194 crores, which is higher by 11.5% versus the previous year. And this has partly been aided by better finance costs. The profit after tax margin is at 4.2%.

Now looking at figures for the first 6 months compared to the previous year same period. The first half consolidated revenue is at INR8,655

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crores, which is actually an all-time high H1 revenue. It's up 12.6% year-on-year. Domestic revenue in the first 6 months is higher by 53.4% compared to last year, and exports constituted 33.2% versus 50.9% a year ago. EBITDA po

st Forex is at INR796 crores, which is up 7.2% and PAT came in at INR396 crores, which is up 6.8% for the first half.

Coming to some of the key sort of highlights in the industry, the Ministry of Power has finalized the national electricity plan this month for both central and state transmission systems, and we have projected a massive investment of INR9.15 lakh crores. This plan aims to meet the growing energy demand, targeting a peak demand of 458 gigawatts -- basically 500 gigawatts by 2032. To support this, the transmission network capacity will be expanded from 4.85 lakh circuit kilometers to 6.48 lakh circuit kilometers. And the transformation capacity will increase from 1.25 gigavolt-amperes to about 2.34 gigavolt-amperes. Coming to just specifically transmission lines and substations, during H1 FY '25, a total of 3,308 circuit kilometers of transformation lines were added. Overall, transmission line additions have fallen considerably short of the target, which is 8,516 kilometers. So it's actually lower by almost 60%. Central transmission utilities added 457 circuit kilometers of lines while state utilities made the highest contribution of 2,441 circuit kilometers, though it has fallen short of the plan of 6,221 circuit kilometers.

However, there are several projects in the bidding and awarding stage for which the process will be completed in the next few months. If you look at the entire FY '25, the planned addition of transmission lines is expected to be at 16,667 circuit kilometers. However, just 3,308 circuit kilometers has been added in H1.

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And as a consequence, the achievement of the annual target is just at about

20%. Our expectation is that in the second half of the year, you will see a significant pickup in execution taking place. On the substation front, as against the plan addition of 42,230 megawatts of substation capacity, in the April-August period, the actual addition has been only 18,270 megawatts. So that implies a target achievement of 43% of what the annual number is.

On the renewable energy front, India has reached a significant milestone in its renewable energy journey. The country's total renewable energy capacity has crossed 200 gigawatts as of October this year. According to the CEA, the total renewable energy-based electricity generation capacity now stands at 201.5 gigawatts. The total nonfossil fuel-based power now accounts for almost half of the country's installed electric generation capacity, signaling a strong move towards clean energy leadership on the global stage.

Coming to the individual performances of our businesses, I'll start with the conductor business, which is our largest business vertical. So in Q2 FY '25, our revenues grew 18.3% year-on-year largely due to higher realizations. Volume has been relatively flat compared to the previous year. And this can be attributed to lower export volumes and as well as upscaling as we move from ACSR to AL-59. And so we've moved up in terms of value. Some of these conductors are a little bit lighter in weight -- given that they are alloy conductors and they don't have even a steel element in them. Exports contributed about 18.7% to the overall revenue as opposed to 48.3% for the conductor division. The export mix was affected to some extent, even by Chinese competition and slow offtake as there have been delays of materials, especially in some of the overseas projects, given that

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customers were moved to procuring products on an FOB basis. So with the increase in the freight and the -- and decrease in the availability of containers, this has had some impact. Given the strong domestic business, we've been able to divert capacities towards the domestic side and still maintain a relatively good set of numbers. Our prem

ium product mix

contribution continues at 42.2% in the second quarter. EBITDA post Forex period came in at INR37,702 per metric ton as opposed to 39,000 per metric ton in the same period last year. Our pending order book remains healthy at INR6,615 crores. The new order inflow in the quarter came in at INR2,234 crores.

Looking at a 6 months working, the revenue growth has been 13.9%.

Volume is up 3.1% versus last year. Volume growth is lower again -- as I mentioned earlier, because of the export volumes that have reduced and the export mix for the first half for conductors is at 23.6% versus 50.2%. Our premium product mix stood at about 40%.

In our oil business vertical, the revenue from our operations grew 12.1% in Q2 FY '25. That's driven by an 11% growth in volume. Transformer oil volumes grew by 25% in the quarter. Both domestic and global sales of transformer oil, both contributing towards this increase almost equally. Our automotive oils posted a fairly strong volume growth of 21%, backed by growth in our OEM business. The retail business has remained relatively flat. In terms of our industrial lubricant side, we grew by about 8% year-on-year. The export mix remains healthy for the oil business at 44.7% versus 47.4% in the previous period. EBITDA post Forex grew by 34.1%, converting this into an EBITDA per KL, it stands at INR5,473 per KL compared to INR4,532 in the last year.

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Looking at the first half, the revenues are up 9.1% in the oil division to reach INR2,605 crores. The volume increase is 8.5%. Transformer oil volumes has grown by 21%. The export volumes contributed to 44.9% of

revenue. EBITDA has grown by 27.1% over last year and now stands at INR6,178 per KL versus INR5,275 per KL.

Coming to our cable business, the revenues in Q2 FY '25 has grown by 39% to reach INR1,227 crores on the back of fairly strong domestic demand. Our domestic revenues are up 77.8%. And due to this stronger domestic revenue, it has offset the impact of lower exports, again, especially the exports to both the U.S. and the European markets. So export mix for our cable division was 29% in Q2 FY '25 as against 45% in Q2 FY '24. EBITDA post Forex grew in the quarter to -- grew by 21.2% to reach INR119 crores. EBITDA percentage margin came in at 9.7% in the quarter. Partly, this was due to increased competition and a higher mix of domestic business versus exports, where traditionally the exports have been more profitable. The pending order book remains at approximately INR1,738 crores.

Looking at the first half, revenue is up 22.7%, and the domestic business in the first half is up 67.4%. Export mix stands at 30.9% as against 49.4% for a year ago.

The global supply chain continues to throw challenges with higher freight rates and a shortage of containers in several freight lanes. There is substantially increased competition from China. Except for the United States, we pretty much see Chinese competition being -- having become stronger than what they were in the year ago period.

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Having said that, the export outlook continues to remain positive. And we see a steady increase in inquiries coming to us. As I mentioned earlier, there is also a sequential growth that we have seen between Q1 and Q2 of shipments to the U.S. On a global scale, the energy transition, especially in the renewable space, there remains a strong prospect and we are well positioned to take advantage as that unfolds.

I would also like to mention that we have a very detailed corporate presentation in our Investors section of the website. And that includes the full presentation made on our Investor Day. It is very comprehensive, and I would encourage you to please go through that to get a better perspective of the company. It's various activities

as well as the strategy that we are following as you would like to participate in this massive energy transition that's happening.

So with this, I'd like to come to the end of my comments. I would once again like to take this opportunity to wish you all a happy Diwali. And we can now move on to the Q&A session, please.

Moderator: First question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar My first question is, sir, how difficult it is to manufacture the HVDC cables?

And is there a plant to produce the same in our factories?

Kushal Desai: So, Mohit, the HVDC cables are not very much more complex manufacturers compared to the regular 755 KV -- sorry, I meant is, conductors -- so there's not a major difference in the format of the conductors which are there for HVDC. And we have already supplied conductors previously in this HVDC space. Where the big transition takes place is in the transformer oil side, where moment you move from AC to DC, there is a significantly higher amount of pressure on the oxidation

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stability and the insulating characteristics of the oil. And that's where I think APAR really stands out compared to competition not only in India, but even at a global space.

Mohit Kumar My question is primarily from the fact that India is looking to set up so many HVDC lines, right? It looks like there will be a huge opportunity. So can we participate in that opportunity? That's fair...

Kushal Desai: Yes, absolutely, for both conductors as well as for transformer oil.

Mohit Kumar Understood, sir. My second question on the volume growth in conductor business that has been, I think, on the lower side. Is it fair to say that -- is it fair to say that we are still maintaining the guidance of 8% to 10% growth in the medium term?

Ramesh Iyer: Yes. So what has happened in the first half of the year, Mohit is that, one is that export volume has come down. So to that extent the volume growth has been less. And secondly, also what is happening is that even in the domestic business, there is a shift to a much more superior and premium products as compared to last year. And these products have a lower metric ton to kilometer ratio.

So that's the reason we are seeing lower volume growth. However, we expect that volume growth to pick up in the second half of the year as we see inquiries from the U.S. exports market is increasing. But I guess, for the full year, we may be short of the 10 percentage guidance that we have given earlier because the first half has been lower. However, we plan to make it up for it in the second half of the year.

Kushal Desai: This transition which we've been explaining about of shifting from ACSR to AL-59. So that -- we still classify AL-59 under conventional conductors, APAR Industries Limited Q2 FY25 Earnings call
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but it's right at the upper end. So ACSR is at the lower end of the spectrum and AL-59 is at the upper end of that spectrum. The tonnage as Ramesh has said, is different when you move -- when you transition from one to the other. So you will see that the value has increased considerably more than the tonnage as this transition is taking place.

Mohit Kumar Understood. My last question on the reconductoring opportunity. What has happened in the first half? Can you just throw some light on how do you see the entire year in terms of the reconductoring opportunity? Of course, we read all kinds of literatures. In fact, the CEA transmission plan talks about the reconductoring. So that's the background, yes.

Chaitanya Desai: So in this first half, we had a slight slowdown with the elections. So a lot of tendering and all got postponed out. But now in the second half, we see this activity build up again. But, again, in terms of the deliveries and the execution on the ground, those things g

enerally in the first half are lower

compared to the second half considering the monsoon comes in the first half of the year. So this is a trend which we see every year actually. So these 2 factors, I just sort of talk to you about -- mentioned to you.

Mohit Kumar Sir, my question is primarily on the tendering opportunity. Are you seeing a lot of tenders which are floating around for reconductoring?

Kushal Desai: Yes. There's a lot of that in the pipeline, as I mentioned in my opening remarks also, there is quite a lot which is sitting in tenders that have been prepared. In some cases the tenders have been opened but not awarded. So through that entire cycle, there is quite a lot of activity.

And companies like APAR are also proactively working with the CEA and the ministry, etcetera, to look at setting up a national reconductoring policy because the key thing that comes with reconductoring versus setting up APAR Industries Limited Q2 FY25 Earnings call
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new lines is, the right-of-way is very simple because in a reconductoring, the right-of-way already exists. And it's just the decisions to be taken by the utility as opposed to going out and getting an external clearance.

Second thing is you can still use the same tower infrastructure, in same cases the tower infrastructure is a bit old. You spend a fraction of the money to strengthen it relative to building a new tower.

And the third thing is a gestation period of a reconductoring project is significantly shorter than on a greenfield. So in a resource-constrained country like India, we have a constraint on land resource. We also have a constraint on the amount of CapEx that can be spent because ultimately, the cost of your capital gets captured for what we will charge in terms of

leasing charges at the end of the day.

And no matter how competitive you build, a greenfield project will always be more expensive compared to a brownfield, which is a reconductoring project. So I think this whole reconductoring thing over the next several years, not only in India, but around the world, is going to be a very major factor.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Just first thing on this commentary, which you also stated last quarter about international Chinese competition -- Chinese competition coming in the international markets barring U.S. How you are assessing -- I'm assuming you're talking about more of Australia and other countries, which is bigger for you after U.S., you can correct me on that.

But generally then in that scenario, is it something we are also getting aggressive in terms of lowering the prices? Is that what you're trying to

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do? Or is this something where you feel a little push to be realization part as well? So just first take -- first question is on that, if you can talk about.

Kushal Desai: So Nitin, as a company for the last many, many years, we have positioned ourselves that what is the best netback that we get on execution. And what has been happening is that the 2 markets where the Chinese are not able to participate so easily is the United States and India.

And if you go around Europe, Australia, certain parts of Africa and many countries in Latin America, they have equal access, if not better access than an Indian company, given more favorable FTAs in some cases. And the Chinese have been very aggressive. In many cases, it looks like the pricing is even below cost.

I guess it's not just in our product lines, but it's there across the board. But having said that, I think the business -- the domestic side of the business remains very strong. And especially with some of the fundamental changes that have happened or moving from the ACSR to AL-59, reconductoring projects coming up, et cetera.

So these are things which re

ally go in favor of quality companies that actually are involved in basically this improvement of the whole augmentation and the whole system as such. I don't think we will drop prices to just meet Chinese competition just for the sake of volume because we have better options available.

As far as the U.S. market is concerned, as I said, we've seen a 17.5% improvement sequentially. We are seeing a stronger uptick on the cable side than the conductor side. On the cable side, I think we will see every quarter an improvement taking place in the order book and the order flow.

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On the transmission side in the U.S., one thing to keep in mind is that it takes over 10 years to get approval. There are a lot of -- there are many, many gigawatts of power, which are actually just waiting for transmission evacuation. So it's a question of moment the approval comes in, then suddenly you will see this whole supply thing coming up. And given that it's been delayed to a significant extent, it's quite logical to expect a big surge to happen moment approvals for a particular line come through. So I think we are very active. We are very much in touch with customers, keeping a track of what's happening in the U.S. market. But otherwise, in the meantime, for the next few quarters, we see the domestic market being very strong.

Nitin Arora And what's your take on the realization, sir, because still it's holding up well. And I'm assuming the end market is firing, for example, domestic. I had a separate question, but exports is also something which is, as you said, U.S. has also grown sequentially. So any risk, any thought process now...

Kushal Desai: The improvement in realization is fundamentally coming from the change in the format of the product on the conductor side. On the cable front, the domestic market is certainly not getting us the profitability that we get from some of the more premium markets like the U.S. market. And that's why you see the -- as the domestic sale has substantially gone up, you see the EBITDA percentage having fallen to some extent. But I think we'll try to balance. You'll see higher growth percentages overall coming in India. But our U.S. business also will start growing up.

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The company is also adding more infrastructure in the U.S. by working with more distributors, bringing in some full-time sales people in the U.S. market, et cetera.

Nitin Arora And sir, just last, outlook on the domestic, where you said articulating the growth part is pretty strong. And this growth looks optically very high. When you just strip out some export part on a percentage basis and just we calculate on the domestic side, it's like a very, very high growth. You still think it's going to sustain for the next few quarters, this kind of a growth?

Kushal Desai: I would not focus on just the percentage of growth because the base for the domestic market was lower. But you will see our -- especially our -- both our conductor and cable business, domestic percentages remaining at reasonably good level simply, because, as I said, when you move from ACSR to AL-59, there's quite a technology leap that one has to take, and that has reduced the number of fringe players.

On the cable side, we've been following a fairly strong verticalization strategy. So we are quite strong on the solar. We are strong on the wind. We've also been working on data centers and have a full suite of cables that go into data centers. So I would see that the domestic market will also remain fairly strong. There may be a reasonably high polarization where most of our revenue comes from India and the U.S. And some of the markets like Australia and Europe, which will continue to be serviced, but the level of business there may be relatively a bit lower.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Sir, in continuation to exports, you did highlighted a couple of things that, especially U.S., the cables business will grow sequentially. And at places,

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you highlighted that the Chinese competition is heating up. So can we expect that this will be prolonged in ex-U.S. geographies, the Chinese competition? And how are we thinking to deal with this Chinese competition? Or are we going to diversify with products? Or any thoughts on geographies? Anything you would like to add?

Kushal Desai: So if you see -- okay, let me answer first your immediate question and then give a slightly broader answer. So in terms of what do you see whether -- what do we see, whether Chinese competition will continue? We are working on a default case that it will continue. It's very difficult to predict what they will do, how long they will do it.

So given the fact that the Chinese competition is going to be severe outside of India and the U.S. If you see the portfolio of products that we've created across all the 3 businesses, we have a more diverse portfolio. You will not find a single conductor company in the world which does the sort of suite of products that we have.

So we've added, for example, copper transposed conductors -- that's been growing at a very rapid pace, over 50% growth year-on-year because transformer demand is increasing as well as above a certain size, CEA has mandated that you have to use a copper transposed conductor. It reduces the losses essentially in a transformer and it improves the consistency of the quality of the winding which is at the core of the transformer.

So we have also added busbar. Busbar is another segment which has been growing. It's used extensively in high-rise buildings. It's being used in data centers, in all of these places where you have an input of power going in and a split of several locations where the power needs to be split and delivered.

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So the way we are insulating the company and positioning it is not only looking at geographic growth, but also the product mix that we have. And then within that product mix, pushing to produce the best quality and specification of products that exist. So that's the strategy which we've been following.

And I guess we'll continue to follow that to sort of counter some of the competition coming in from China. By the way, the Chinese competition is not something that just came up in the last quarter. It's -- for the last 3, 4 quarters, it's been quite severe, and we've, managed to continue to perform.

Amit Anwani: Right. Sir, second question on -- then will it be a fair assumption that this year, maybe export domestic will be kind of 30-70. And you can give it a thought. And second, on cables, you said that domestic cables business was pretty strong, but margin came lower because there is a difference -- obvious difference between export and domestic. So just wanted to understand the differential margin, any sense would like to give for cables and conductors, export and domestic side? Yes.

Kushal Desai: So the volume of 70-30, I think the export, especially on the -- see, the oil side has been reasonably steady. The cable side has already bottomed out because going forward, we will see a healthier demand coming in from the export market, especially the U.S.

Ramesh Iyer: As we see sequential growth happening on a quarter-on-quarter basis, so we'll have to see how the second half of the year pans out. Also depends on how much order we get and how much we are able to execute. Based on that, the export to domestic ratio will pan out for the second half of the
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year

. But optically, it is looking better as compared to the first half of the year.

Kushal Desai: And in terms of your question on margins, the domestic cable side, mind you, the typical wires and cable company have a building wire or a house wire business which is a branded distribution-oriented business. And then you have a cables business.

So typically, the cables business, given the competition, given the performance levels, et cetera, has been lower than what would be in some of the overseas markets. But having said that, we also have a number of premium products in cables in the domestic market. And you will see some of that volume growing. Like for example, wind capacity has started picking up, and that's where APAR has a fairly strong position.

Also, we see defense execution picking up in -- as we end FY '25 and get into FY '26 given the number of projects that have been announced and the positions that we have relative to some of the equipment that's coming on. So we'll continue to have this focus on the domestic market. But the export business will start at least on the cable side, showing quarter-on-quarter growth.

Amit Anwani: Right. Lastly, sir, you said the domestic has been very, very strong as we can see in H1. Well -- and you also highlighted that at a pan-India level, we are still just 20%, 25% execution which has happened on circuit kilometer substations. So does that sense that the growth in H2 will be even stronger in domestic market versus H1? Or this is the pace where we'll be heading in the Q3, Q4...

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Kushal Desai: The percentage would be a similar sort of percentage because the base in FY '24 was lower. But then as you move into FY '26, etcetera, you will have a much higher base, so the percentage will fall off.

Ramesh Iyer: And also, we look at more profitability -- so we'll have to see how the export market pans out in the second half of the year. And wherever the more returns are there, that's where we'll focus our volumes.

Moderator: Next question is from the line of Naman Parmar from Niveshaay Investments.

Naman Parmar: Yes. So firstly, I wanted to understand any new product on the pipeline on the transformer oil or oil division like data center air cooling, like that?

Kushal Desai: So we have developed a bunch of products and tested it in the labs and within our facilities for data center cooling, but we haven't yet been able to get a site to be able to do field trial and field testing. And it's not just the oil, but it's the full system. That means there are many levels which require to be aligned in order to do that. However, on the transformer oil side, we have developed and launched a synthetic transformer oil.

And so that's a very high-performance transformer oil, better biodegradability, a very high flash point without sacrificing the cooling characteristics and the insulation characteristics of the oil as well as the life of the oil. It's significantly more expensive. It's almost 3.5 to 4x the price of a mineral oil. But it will find its way into special needs and special applications.

Naman Parmar: So it will find its application majorly in renewable or in both the transformers?

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Kushal Desai: In renewables, the Indian railways are looking at it as they build -- they use traction transformers which requires higher insulation characteristics as well as a higher operating temperature. Plus in renewables, it will find its way into offshore either wind or solar on water, where in case there is a spillage, you need better biodegradability. So we've developed the product. We've got it approved at a few places and have started now commercially bidding on business.

Naman Parmar: Okay. And secondly, on the margin side, you have correctly said that the export ha

s been decreasing over domestic in all the segments, so it has impacted your margin. But also on the raw material side, if you see aluminum, copper and all that prices may have increased in the quarter 2, so which has also impacted your margin. So what do you expect in the coming quarters, it will be sustainably -- you will be able to stabilize the margin? Or how much your contract used to have a price escalation clause?

Ramesh Iyer Aluminum and copper does not affect us much in the cable business because we run a 100% hedge book. We do MTO. So the moment we get an order, we do a back-to-back hedging. So to the extent of aluminum and copper prices going up and down, we have a hedged position. So that does not affect materially our P&L. The margins are down, yes. But as explained, export volumes are down. And exports have higher margins than the domestic margins. So as domestic mix is higher in the first half of the year, so we saw EBITDA margin shrinking a bit.

But as you see export volume again increasing sequentially and hopefully, in the second half of the year, the export volumes will be better than the first half, we can see margins going up again to what it used to be earlier.

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Moderator: Next question is from the line of Ankur from Future Investments Private

Limited.

Ankur: My first question is, what is the total global conducting and reconducting market opportunities here annually? And what is APAR's market share in this total opportunity size? And do you see this opportunity size changing when we consider the net zero scenario? That's my question.

Kushal Desai: So on the reconducting side, essentially in the world, every non-HTLS and high-performance conductor is something that is potential to get changed and reconducted. And different countries depending on how aggressive they are with wanting to deal with change and less conservative, ready to take a calculated position in terms of moving forward with technology, and you will see the pace vary.

And honestly, India has been doing extremely well. If you see even right from right-of-way, the Modi government has done an incredible job of coordinating with the states right down to the taluka level for right-of-way and for working through all these things.

That's why our transmission line right-of-ways are in the 3, 4 years maximum versus the U.S., which is 10-plus. Europe is even beyond that.

So we see the reconducting as a philosophy is something that every old conductor will get reconducted because right-of-way is a problem not only in India, but in most parts of the world. And the world is continuing to see increased urbanization. So it's not that there is a huge flight of population out of urban clusters into rural areas.

And with electric cars and electric infrastructure, including trains and other things picking up, appliances, the demand for electricity is going to

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continue to grow. So that is what will drive this whole reconducting. If countries like India come up with a national reconducting policy, it will facilitate a significantly faster transition taking place. So I hope that answers your question, Ankur.

Ankur: Yes. I just wanted to understand what we will be the total annual opportunity size will be? And what will be APAR's market share in this?

Kushal Desai: It's difficult to put a number on the total annual opportunity because usually a utility weighs various factors, including the amount of resources they have available to be able to actually spend on this reconducting. We've seen most of the utilities that have actually implemented it, has benefited immensely from the reconducting because you got more power than we can transmit and the incremental cost of revenue versus incremental cost of Capex

is also in their favor.

Ankur: Actually, I was more -- like understand -- I want to understand the total opportunity in terms of conducting and reconducting.

Kushal Desai: I don't think anybody can guess that because the total opportunity, you can add up all the transmission lines that are there in the world, and they end up -- that is the opportunity as well.

Ramesh Iyer: There is no source of information for that. There's no organized source that gives this information in terms of total reconducting, how much it is there.

Ankur: Okay. Got it. My second question was on the -- there were paper which was released by the U.S. Department of Energy on the national transmission planning study, and they recommend actually large-scale transmission lines, both intra- and inter-regional in the U.S. Do you see this reflecting on

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round in the conversations with large utilities in U.S. or in other parts of the world as well ?

Chaitanya Desai: It will pan out over a period of time. But as was mentioned, in the U.S. and certain countries like in Europe, it takes a little longer to get all the approvals. So there are certain delays before the projects actually get implemented.

Kushal Desai: So the cycle time there, as I mentioned, is over 10 years in the U.S. In

Europe, it's even longer than that. So there are several lines where the permitting and approval process is going on. The moment the approvals fall in place, you will immediately have the RFQs and quotes coming up and the line execution taking place.

But it's a question of -- it's a long process, 10 years is not a short period. So difficult to predict exactly when that approval will come in place. But our expectation is that over the next few quarters, you'll start seeing an increase happening of this. There's a lot of renewable energy that needs to be transmitted today, it runs in tens of gigawatts. It's not a small amount in the U.S. So there is a lot of pressure that these developers are also putting on getting these clearance.

Ankur: As you said, they're taking 10 years -- It will take 10 years to get approvals for a transmission line. So are they considering these high-performance conductors like the premium conductors that we have?

Chaitanya Desai: In the U.S., there is a certain portion of the market, which is currently on a high-efficiency type conductors, that is there. And those are going actually on new lines. So there is a lot of discussion going on with the authorities there that why not utilize the current lines to do a reconductoring. But generally, in the transmission segment, the engineers are more
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conservative. So they take a little longer to adapt to new technologies or new way of working. So in the U.S., a little more time may go in actually converting the market to reconductoring.

In India, we may see a little faster movement like we have been seeing because of the urbanization organization and also because of the renewable energy, which is happening at a very fast pace.

Moderator: Next question is from the line of Bobby Jay from Falcon.

Bobby Jay: First of all, congratulations on your excellent execution over the past 2 years and what was essentially a cyclical company has shown structural kind of growth. But at some point, the cycle will turn. So where do you think India is in terms of its infrastructure upgrade, the power transmission infrastructure upgrade? Are we 20% done, 30%, 50%? Any thoughts on this?

Kushal Desai: So actually, there is -- as we've been talking through the call, there are 2 areas where fundamentally, you see the infrastructure going. There's one where the addition of new infrastructure to evacuate -- we have a 500 gigawatt plan. India is -- has just crossed 200 gigawatts of renewable energy. There

's a lot of renewable energy that's being executed right now, et cetera, all of it needs evacuation.

And there is a whole lot of debottlenecking that is going to happen, leading to urban centers of reconductoring. So we don't see this being cyclical actually. The cycle is going to be a decadal cycle. It's not going to run in quarters and a couple of years. It's a really huge transition that's happening. And this will only continue for a long period of time. And in fact -- in India being actually better than most of the countries. I think after
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China, India is the second fastest in approvals and erecting transmission lines in the world.

Bobby Jay: Right. So in terms of conductors, who is your closest competitor?

Chaitanya Desai: In India, it's Sterlite Power.

Bobby Jay: Right. And how close are they? I mean, in terms of your product range, quality and technology, are they very close or they're quite distant?

Chaitanya Desai: I think they are privately owned, so they don't declare their figures, but from our general information, they are roughly half our size of volume.

And they are not having the full range of the products that we make, especially on the copper side.

Bobby Jay: Right. So when you talk about all these projects you're bidding for, right,

reconductoring and all the others, you must be bidding against several others. Are they foreign multinationals? Or what kind of companies are they come up against?

Chaitanya Desai: No. In India, we don't see the multinational companies here. It's mostly the domestic players.

Bobby Jay: Well, in that case, is that a clear field if you're saying that you're far ahead of the second biggest?

Chaitanya Desai: In India, most of the business goes on a L1 basis. So price is an important criteria in the decision-making of the utility. So in that sense, although we have higher economies of scale, not necessarily we get any pricing power over the competition.

Bobby Jay: I understand. And do you see any change...

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Kushal Desai: Capability is higher than -- if you look at the amount of projects that we've done in reconductoring as well as supply of AL-59, any of these new formats, we actually have experience and background, which is far higher than others, even including Sterlite. So I think in that sense, we are well positioned.

But as Chaitanya has mentioned, finally, it goes through a bidding process, there's a technical bid. Once you clear the technical, then it's based on whoever is the lowest price. But you keep in mind that you can't have infinite capacity to execute these projects because it requires specialized manpower, it requires specialized equipment. And we do have the largest capacity to not only produce the conductors, but to also execute the reconductoring. So I think in that sense, from a competitive standpoint, we do have a good position.

Bobby Jay: Understood. And do you see any chance of the Chinese coming in? Are they not cost competitive or they're simply not allowed?

Chaitanya Desai: So even in the past when they were allowed, the Chinese are not so competitive in India. There are certain custom duties and import barriers. But even currently, the situation is not allowing for foreign companies to bid for the Indian projects. There is a Make in India program, it's allowing only the Indian players to bid for it.

Kushal Desai: So you can have a Chinese company that produces in India that can bid on that, but there is no significant cable or conductor producer from China who's located here. On the contrary in transformers, you do have TBEA and TBEA actually is running full today on the transformer capacity.

Moderator: Next question is from the line of Sagar Dhawan from Valuequest.

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Sagar Dhawan: Just a question on the domestic cable side. I wanted to get more color on the domestic growth that we're seeing in the cables business. So we had high market share in -- I think in wind and solar cables, we're traditionally been strong there. So how to understand this growth? Is it that the market for these products has grown? Or are we gaining more headway into newer products within cables ex of solar and wind?

Kushal Desai: So there are certain verticals which are growing faster than others. So the ones for -- that are growing -- that have shown relatively good growth is solar, solar cables. Wind is actually going to now start showing signs of higher growth from the second half of the year onwards. Given the number of projects that have been awarded and the increased capacity that's coming in from the various wind companies.

The Indian railways has been continuing to grow. And we've been focusing on some segments like data centers and other areas where there is inherent growth taking place given the current data center boom, that's happening -- largely being driven from the fact that Indian data has to be maintained on Indian shores.

So what we've done as APAR is we've taken the sunrise sectors and

ensured that we have the right products, in fact, the best quality and the highest performance products to meet the growing environment. So we see the solar side growing, the wind side going, railway is growing, data center cables growing, all of these, we will see multiyear growth because a lot of capacity is being added in these areas.

Sagar Dhawan: Got it. And what is the quarterly run rate on the LDC, B2C cable side on the revenues?

Kushal Desai: Sorry, we couldn't...

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Sagar Dhawan: Yes, sure. So I'm trying to understand the current revenue run rate on the B2C cables for us.

Kushal Desai: Okay, the B2C side. .

Ramesh Iyer: Yes. So B2C cable last year, we did a total turnover of about INR275 crores. And it's growing strongly this year as well. In the first half of the year also, we saw good growth of upwards of 35 to 40 percentage growth this year. And the momentum looks very strong for this year as well for us.

Sagar Dhawan: Sure. And 1 last question from my side. I think in the footnotes, you announced the possibility of entering into energy storage business. So if you could just shed some light into what would be our scope there and what are the products you're looking to add? Yes.

Kushal Desai: Well, actually, we just amended the articles to allow us to look at that as a future line of business. So it's something that at a very early stage for us.

We're just trying to explore. So one fine day, you will see that as the solar and wind capacity grows, storage is becoming a very important aspect. So not only will you have that with the solar farms and wind farms, but also rooftop generation and various other forms that are used by industries and other commercial establishments, they will also start looking at having to store energy. So normally, this renewable energy, particularly solar is generated at a time when the tariff is the lowest. So when India comes in also with tariffs depending on the demand, then you start having these technologies starting -- storage technology starting to play a very big role. So it's something that we are just at a very early stage. We are obviously looking at different options and opportunities. So that's where that the board note came from.

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Moderator: Next question is from the line of Shaun Tan from Abridn.

Shaun Tan: I have 2 questions, please. First question is on capacity expansion plans. I was wondering if APAR would still be continuing your announced CapEx capacity expansion given the seemingly weaker-t

han-expected volume?

Ramesh Iyer: Yes, the capacity expansion happens. It's a continuous process for us. And as we see volume growth happening in all the 3 divisions, we increase the capacity. In fact, we work a year behind to see that we have enough capacity as and when the demand comes.

Kushal Desai: But here, Shaun, I think your comment was that whether they're going ahead with capacity expansion, given that the conductor business volume year-on-year was -- quarter-on-quarter was a bit flattish. But keep in mind what we've said earlier in this earnings call. And as you move up from ACSR to AL-59 and these sort of products, the tonnage reduces and the value goes up. So we are going ahead with all our capacity expansion plans.

There is no change in that at all. And we are quite optimistic that as that capacity comes on, it will be in line with what we expect as increased demand.

Shaun Tan: Okay. My second question is on conductor EBITDA per tonne realization of margin. I was wondering if you could talk about how we think about the trend of that going forward given the lower exports and higher premiumization that we are seeing and the competition from local players

like Diamond?

Ramesh Iyer: Yes. So this conducted EBITDA is dependent on the domestic export volume as well also. Within domestic, we have the premium conductors, APAR Industries Limited Q2 FY25 Earnings call
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we have the conventional conductors and now with more AL-59, we have a higher end of the conventional conductors also. So given that our premium conductors in this quarter has been over 40 percentage to about 42 percentage. And selling up more superior and premium products is helping us to retain the margins of about INR37,000 to INR38,000 per tonne.

However, we also see competition is also very aggressive in overseas and exports volume is dropping. So we continue to keep a guidance of INR28,500 as we have been doing that earlier. However, we see tailwinds coming in, in few markets and in few products, which have higher margins, and we are able to have an edge over competition. To that extent, the margins are higher, but we continue with our guidance of INR28,500 for the future as well.

Moderator: Next question is from the line of Himanshu Upadhyay from BugleRock PMS.

Himanshu Upadhyay: Yes. I had a question on this. We made a comment in our Analyst Day -- Investor Day, that CTC is almost 25% of the value of transformer. So is this segment much larger than transformer oil? Is 4 to 5x? And how is the profitability of this business? And in U.S. also, where we are seeing a lot of shortages for the transformers, do you think this can be a large segment for exports? And how competitive is the market for the CTC or copper transposed conductors for transformer?

Kushal Desai: So in any transformer, the ratio is something that holds good, where it is 5x the value that's used in our transformer because the entire core is made out of this copper. The demand for that has remained quite strong. There are 2 types. There is CTC and there's PICC. PICC is a paper insulated APAR Industries Limited Q2 FY25 Earnings call
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conductor. And CTC is a pure copper that is processed differently and it has the inherent advantage of faster winding as well as lower losses. So -- however, the Capex involved in building a CTC plant is quite high. So it's not something that anyone and everyone can throw in of a large capacity. So APAR has been steadily increasing its CTC capacity. From the original volume that we had, we've already doubled it. And we are going in for doubling it one more time with that capacity coming on stream in January. So our expectation is that it will all get sold out. However, you need a large infrastructure to build it, not only cost-wise, but even in terms of space, building, etcetera, etcetera. And it's very customized.

So each transformer manufacturer gives you a very customized design to wind and make. So -- yes, the U.S. and export markets are in place. We are looking first at export markets which are more geographically closer to us, like the Middle East, etcetera. And in the U.S. market for us to actually penetrate this, we first need to get closer to the customer and have a sales force on the ground to get after it.

We've been short of capacity at the moment. So we've just been focusing on the domestic market at this stage. But yes, as the transformer capacity goes up around the world, the CTC requirement will also go up proportionately...

Himanshu Upadhyay: Sorry, can you repeat?

Kushal Desai: I'm saying, there is an opportunity in the U.S. market, but we have not explored fully so far.

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Himanshu Upadhyay: And 1 more thing. We have stated that about legislative changes have been there. So for more than 400 amps, CTC will be used. So are those legislative changes across the globe? Or is it just for in India when...

Kushal Desai: This is something that has been mandated by Central Electricity Authority of India guidelines. And it's a guideline. So usually CEA issues guidelines and then it's the utilities that ends up adopting those guidelines. So it's a guideline for India.

Himanshu Upadhyay: Okay. And globally, so is CTC a large market versus PICC, which is paper insulated? Or -- some thoughts on that.

Kushal Desai: PICC has been the default product, which has been running for very long. There is a transition happening with PICC being replaced by CTCs. There are many transformer companies that are even using it for less than 400 amps.

Many of the renewable energy guys are also preferring CTC because the transformers can be wound also faster and the consistency is much higher. So in solar and wind, when you -- each set of panels has -- so you just keep repeating the same designs. Same thing in the case of a windmills. So that's how the demand for this is increasing because it's faster to wind, the quality of the winding is better and the losses are lower.

Himanshu Upadhyay: Okay. And the price-wise, any big difference between PICC and CTC?

Kushal Desai: So CTC is more expensive than PICC. But usually, you can justify that because of the lower losses and the higher reliability.

Moderator: Next question is from the line of Aditya from Securities Investments Manager.

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Aditya: Sir, I had a question on your transformer oil segment. So what we understand is there is a demand-supply mismatch for transformers. So do you foresee a similar situation happening for the transformer oil segment as well, both in domestic and global market?

Kushal Desai: So there is no shortage of transformer oil as such. But certain high-end grades, which are these naphthenic grades, which go into higher voltage power transformers, et cetera, there the demand is very strong and the supply is not increasing commensurately. So there is really your ability on the customer side of having approvals and on the procurement side being able to access the refineries and the supply chain. So as far as APAR is concerned, we are stronger than our competition in both these areas.

That's how we've been able to kind of grow faster than most of our peers.

Aditya: Understood. And if I look at the previous decade and compare it to this decade in the transformer oil segment, do we witness higher pricing, which we are getting for our transformer oil and lubricant business considering the overall demand scenario?

Kushal Desai: So the transformer oil profitability has been -- is higher than some of the other categories. And that's why as you see the -- as the transformer oil volume goes up, the overall average has also been moving up.

Aditya: Understood.

Understood, sir. And now, sir, in the export market, we are seeing very strong growth in the transformer oil segment. So just wanted to understand how are you able to compete against global MNC players who would have local manufacturing facilities?

Kushal Desai: So in many countries where we export and have significant market share, they don't have good transformer oil manufacturers. So when you look across the Middle East, there's nobody else who does the sort of
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naphthenic transformer oil. When you got into countries like Vietnam, Indonesia, Australia, there is no local manufacturers there. And these are the countries where APAR has a very strong position. Even a country like Turkey doesn't have a local transformer oil manufacturing. .

Moderator: Ladies and gentlemen, we will take this as a last question for the day. I

would now like to hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone who's been on this earnings call for taking out the time. This is the festive season and Diwali holiday kind of begin from tomorrow onwards. Again, I'd like to wish all of you a happy Diwali and a prosperous New Year.

We are quite confident that this energy transition is here to stay. And as it unfolds, it's not a quarterly sort of game. It's going to run over multiple years and, in fact, maybe decades. And it's our position that we would like to be at the forefront of this whole transition, or as I call, revolution taking place. So thank you once again for all your time. And greetings for a happy Diwali.

Moderator: On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

SEC/ 0302 /2025 By E -Filing February 3, 2025

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of Earnings Conference Call made on Un -audited Financial Results (Standalone & Consolidated) of APAR Industries Limited (the Company) for Q 3FY25.

Ref.: Reg. 30 read with Para A (15) of Part A of Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer to our letter no. SEC/ 2801 /202 5 dated January 28, 2025 w.r.t. submission of link of Audio Recording of post Earnings Conference Call made on Un -audited Financial Results (Standalone & Consol idated) of the Company for Q 3FY25 .

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith transcript of the Earnings Conference Call made on the Un -audited Financial Results (Standalone & Consolidated) of the Company for Q 3 and Nine Months period ended December 31, 2024 .

The aforesaid transcript is also made available at the website of the Company at www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As Above

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DIRECTOR – APAR INDUSTRIES LIMITED
M R. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
M R. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to the APAR Industries Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you, and over to you.

Ambesh Tiwari: Thank you. Good afternoon, everyone. This is Ambesh Tiwari from S-Ancial Technologies. I welcome you all for the Q3 FY '25 Earnings Call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer. I would now pass on the mic to Mr. Kushal Desai for the opening remarks. Thank you, and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to the APAR Industries Q3 FY '25 Earnings Call. I would like to start by giving an overview of our performance and then follow that up with a short industry update. Post that, I can cover the segmental performance of each of the individual businesses and then open up the floor to questions.

So in Q3 FY '25, the consolidated revenue came in at INR 4,716 crores, which is up 17.7% year-on-year. This was due to a strong volume growth in the domestic business with a continued focus on T&D renewables and business from the railways.

Domestic revenue grew 31.8% versus last year. Exports contributed 33.5% to the overall revenue, which is lower than what it was in the same period the previous year. The number was at 40.7%. Compared to Q2 FY '25, APAR Industries Limited

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exports have grown in Q3 FY '25 by 14.3%. EBITDA, however, is down by 7.1% year-on-year to INR 401 crores with the EBITDA margin coming in at 8.5%. Profit after tax came in at INR 175 crores, which is lower by 19.7% versus Q3 FY '24. The profit after tax margin is at 3.7% compared to 5.4% in the same quarter previous year.

Now looking at figures for the first 9 months compared to the previous year's period. Consolidated revenue came in at INR 13,371 crores, which is an all-time high for a 9-month period. It is up 14.3% year-on-year.

Domestic revenue in the first 9 months was higher by 44.8% versus the previous period, and the export mix is 33.4% versus 47% a year ago.

Fundamentally, the domestic business has grown relative to exports. And the export business had been affected to some extent due to a slowdown in order booking from some of the territories as well as challenges that had

come up on the freight front. Both of these factors seem to be dissipating to some extent with freight due to the Red Sea issues starting to now cool down to some extent and export booking starting to improve. If you look at the EBITDA post forex, that came in at INR 1,198 crores, which is up 2% compared to the previous year. PAT for the 9-month period has come in at INR 571 crores, which is 3% lower than the same period previous year. In terms of some of the key industry highlights, the Ministry of New and Renewable Energy has reported that there has been remarkable progress in India's renewable energy sector, highlighting significant achievements between December '23 and December '24, where the total solar energy installed capacity amounted to the addition amounted to 24.54 gigawatts, representing a year-on-year growth of 33.5%.

So as of December 2024, the total installed solar energy capacity stands at 97.86 gigawatts. Wind energy has also contributed to this expansion

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with an addition of 3.42 gigawatts installed in the year 2024, increasing the total amount of wind capacity at 48.16 gigawatts with a growth of 7.64%. Our expectation is that the wind capacity will grow at a faster pace as we run through the calendar year '25 and '26.

On the transmission lines and substation side, according to the statistics released by CEA, the total quantum of transmission lines added for 220 kV and above stood at 5,960 circuit kilometers during the April to December period, which is barely 50% of the planned addition of 11,720 circuit kilometers. For the entire FY '25, the planned addition came in at 15,253 circuit kilometers, which is only about 30% of the actual addition as planned.

Regarding the substation addition, according to the CEA statistics, the total transformation capacity added during the 9-month period stood at 46,325 MVA against a planned addition of 70,905 MVA. So this shows only meeting 65% of the target. Having said that, a number of new tenders have been finalized. And in some cases, some of the tenders did not get finalized and went for retendering because the budget values were lower than the quoted values.

Given what has happened with the depreciation of the rupee and the movement in the price of copper, aluminum and various other commodities, these tenders, which have been refloated are likely to get finalized at higher numbers in the months to come.

Coming to the individual business performance. I'd like to start with the conductor business. So in Q3 FY '25, our revenue grew by 23.4% year-on-year, led by a growth in the domestic market. Volumes were overall up by 19%. Exports contributed to 25% of the total revenue as opposed to 40% in the period a year ago. The premium product mix contribution came

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in at 37.4%. The EBITDA post open period forex came in at INR 29,593 per metric ton as against INR 41,500 in the same period previous year. The order book, however, stands at a healthy INR 7,600 crores.

New orders received during the quarter was INR 3,077 crores, which is 62.3% higher than the same period previous year. Our copper business, which includes copper conductors, copper transposed conductors for transformers and bus bars is up 31% in the 9-month period over the same period previous year. The U.S. business, in terms of billing, has increased in Q3 relative to Q2 by about 8.5%, and we see that this trend has now reversed.

On a 9-month basis, revenue for the conductor business grew 17.2%, and the volume is 8.5% higher than last year. The export mix came in at 24%. The premium product in that mix stands at 39%.

Coming to the Oil business vertical. Revenue from the operations degrew

by 0.6% year-on-year, but that was largely because of the value of the base oils during this period. Volume has grown by 4.8%. The transformer oil volume was higher by 6.3% versus last year on a global basis, but was over 18% higher in terms of the domestic growth. Automotive oil grew by 13.5%, largely on the back of an increase in the OEM business. The industrial lubricant part of the business grew 13.8%. The export mix remains healthy in the oil business at 43.8% of the overall revenue. The EBITDA per kL came in at INR 6,364 per kL.

If you look at the 9-month comparison, revenue is up 5.8%, reaching INR 3,836 crores with a volume growth of 7.2%. The transformer oil revenues year-on-year are up 16.6%. Export has contributed 44.7% of the overall revenue. The EBITDA per kL stands at INR 6,240 per kL as opposed to INR 6,257 in the same period last year.

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Coming to our Cable business. Revenue in Q3 FY '25 posted a strong revenue growth of 37% to reach INR 1,266 crores on the back of strong domestic demand. Continued government capex in t

ransmission,

distribution, renewables, infrastructure and railways has led to continuing strong demand in the domestic market. Domestic revenue was up 30.4% in Q3 FY '25. Export was 34% of the mix as against 30.6% in Q3 FY '24. EBITDA post forex recorded a year-on-year growth of 14.2% to reach INR 122 crores. The EBITDA margin, however, was 2% lower than Q3 FY '25. The pending order remains reasonably strong at INR 1,550 crores.

Essentially, both for the Cable and conductor business, the exports, which were more profitable, have been replaced with the domestic business, which in absolute terms has been profitable, but in relevant in relational terms is less profitable than the export.

Looking at the 9-month period, revenues have grown 27.5%. The domestic business grew by 51.9% for the Cables division. Export mix stands at 32% as opposed to 43% from a year ago. The EBITDA post forex grew 10.6% to reach INR 348 crores. On one hand, we are seeing increased competition in the export market, especially from Chinese producers in territories where there is a level playing field for Chinese exporters, and that includes Australia, some parts of Africa and Latin America, whereas their presence in the United States has been still limited.

Overall, even though U.S. sales are lower than what we would have liked, the period-on-period sales has increased. And I think the trend seems to be has got reversed. We are hopeful that the export demand will improve. We clearly see that freight costs are starting to soften, which should also help in terms of the competitiveness of our landed cost.

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The phase of energy transition still remains intact. The fundamentals we see have not really changed. And we are optimistic that we will be able to continue to reap the benefits as this business grows based on our strong execution capabilities and strategic initiatives that we have taken on innovation and product differentiation.

In addition to this, we have also increased our approvals and presence in the U.S. market, which just for cables remains at close to a \$20 billion market per annum. And as these approvals increase, especially for utilities, we have an ability to place both conductors and cables at the same customer. We have a detailed corporate presentation in the Investors section of our website. I would encourage you to please go through that to get a better perspective and a much more detailed perspective on the company, its activities and strategy.

So with this, I'd like to come to the end of my comments and would be happy to take questions.

Moderator: Thank you. We have the first question from the line of Amit from PL Capital.

Amit: My first question is on the U.S. market. You did highlight that there was some recovery and we have been taking more approvals for cables as well to expand and cross-sell in the market. My perspective, if you could highlight on how the view on U.S. now post the change in regime there? And is the opportunity size remain same for us in terms of reconducting all other opportunities which we are building in? That's my first question.

Kushal Desai: Okay. So the change in government and the change in policy based on some of the statements the President has made generally, there's nothing specific that's come about with respect to India. I guess only time will tell in terms of where that finally settles down.

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There are a couple of fundamental facts, which are there. One is that electrification in the United States is continuing to increase. They have a certain level of dependence on import. It's almost like a 50-50, where about 50% of the product that the U.S. market needs is manufactured in the U.S. and close to 50% is imported.

Given the time that it takes to set up a facility in the U.

S., get all the permitting, et cetera, et cetera, and with the ability to actually source manpower to run these facilities where unemployment is at still a record low, it may not be very practical to, so if the demand remains there, I guess there will be an import component that will continue. So at least as of today, we remain committed to working on that market. There are many renewable energy assets that are continuing to be stranded in the absence of evacuation capability.

There are still a lot of data centers coming up, which require connectivity. So I think time will tell, but at least as of today, we have not seen any signs where the business should just suddenly turn on its head.

Amit: Right. Second question on the premium products. I was just checking on absolute basis, the premium product sales has grown by kind of mid-single-digit. I think, 2,600 for first 9 months versus 2,450. So is it the right understanding that this is getting impacted because of the exports market? Because what we understand I think last time we discussed there was more growth or premium products happening in the domestic market and domestic market are actually doing pretty strong for us. So what should one understand on the premium product sales getting softer quarter-on-quarter?

Kushal Desai: So there has been -- the copper side of the business, as I mentioned, has been quite strong. If you take a 9-month period, it's actually up 31%. Some

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of the conductor tenders and other infrastructure like substation, various things have gone into retendering simply because our budget was set up based on some historical costs, and the costs have gone up with respect to copper, aluminum, steel and various other components.

So the finalization of some of those tenders have actually not been at the same pace as one would have liked. So some of them have gone back into a retendering mode. As I mentioned in my opening comments, my sense is that as you get into Q4 and then into FY '26, you'll start seeing awards of those tenders taking place because the business is right there, the lines need to be put up. This adjustment process has to take place in terms of the budgets that are being allocated against some of these projects. So this is impacting some of the HTLS projects as well.

Amit: Lastly, on conductor EBITDA per ton, are we now, any thoughts on INR 29,500 EBITDA per ton, which we have been guiding. And second, on Cables margin, which are keeping very low from past 2, 3 quarters versus FY '24 and '23 and if you could give some perspective on these 2 elements? That's my last question, yes.

Ramesh Iyer: Yes. So on the conductor margins, we continue to have the same guidance

as we have been saying earlier, about INR 28,500. And that to, typically, we look at these margins on an annual basis. This particular quarter, the margins have been low primarily due to the premium products that got executed in this quarter has been lower than the earlier quarter.

At the same time, there is a mix change happening in terms of the geographies that we've been selling. There has been less execution of sale of products in the North America compensated with some other geographies where the margin has been lower as compared to North

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America due to which the margins have been lower in this particular quarter.

So on a YTD basis, we look at it, it's close to about mid INR 30,000, but this particular quarter has been affected due to mix change as well as the premium product that has got executed.

On the cable margins, while the domestic market continues to be competitive and price competition is there that we can see. We are also working on various cost optimization strategies so that upon the scale of the business achieves the growth, then we'll

be able to get some cost

reductions over there. But given the current state, this market is competitive, that has affected the margins of this quarter. In addition to that the U.S. business is picking up. Once we see U.S. business going up in quarters to come, we can see revival of margins on the upward trend.

Moderator: We have the next question from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Just carrying on with what Amit was asking on the profitability. We understand the premium mix was lower. But just a little bit direction wise, because competition has also increased, which you highlighted 3, 4 quarters back in the export market as well, the Chinese competition ex of U.S. Does that also look like that this is something a new normal of kind of a profitability one should work with? Or you think once the premium mix starts coming back, we should again start going towards 35%, 37% where we were delivering.

And second, on the Cable profitability. Our top line is not that heavy. And we have started talking about optimization and cost optimizations and competition, which I think was not the commentary about 2 quarters back because all the other cable companies are pretty heavy in terms of revenues

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and all and capacities. And I think we guided for a double-digit margin in this year. So apart, if you can throw some light what has significantly changed because our size compared to the industry is still very less and we are talking about competition. These 2 aspects, please.

Kushal Desai: Okay. So looking at the relative size of the Cable business, one quarter ago, if you take the first half because the first half results have been declared for all the cable companies, APAR today is the fifth largest after Polycab, KEI, Havells, RR Kabel. So we've gone ahead of Finolex. We've had a 37% growth in this quarter over the previous quarter, which would clearly bring us to the number 5 position.

What has fundamentally happened is that the mix has moved for both conductor and cable at the moment more towards the domestic side where the order books have been stronger. So the margins have been lower relative to the U.S. and some of the export markets. If you take the 9-month margin for cables, we are at 9.6%.

So we are just a little bit away from the double-digit period. But clearly, the domestic market does not give us the same profitability as some of the overseas markets does, where there is a premium for the quality of product that is produced relative to what the Indian market offers.

As the U.S. business and some of the export business increases, I would

see definitely a little bit of an upward bias coming on the margin. But what Ramesh is talking about in terms of cost is that we have a number of initiatives to improve the efficiencies which are there. So we have a very strong Industry 4.0 program that is running in our Cable business, for example, all the machines, over 400 machines will get hooked up to the platform by the end of March.

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So you start seeing all that data coming out in the first quarter of FY '26, which actually gives you live 24/7 data on pretty much every rotating machine, every running machine that we have in the division to then start working on pinpointed productivity programs, et cetera. Some of those cost initiatives are also there, which would help expand the EBITDA and they are essential given the fact that the domestic market does remain competitive.

So I think the benefit that you will reap, if you continue, our target is to continue to grow 25% a year, year-on-year. So when you start executing INR 1,200 crores, INR 1,500 crores, sorry, INR 3,000 – INR 5,000 crores a year to INR 6,000 crores a year in terms of revenue, then it is a very, it is a good bas

e on which to run these programs to actually reap the benefit.

Nitin Arora: Kushal, just on the near term, sorry for asking a little near term because your numbers are becoming quite volatile quarter-by-quarter. And we understand there is a mix issue with respect to U.S. coming back or not. But generally, the sense which you're getting now post the new regime coming in, are the inquiries level increasing both at the Cable and at the Conductor division, which you think can rebound? Or do you think it will take at least 2, 3, 4 quarters and then we'll see. I mean, just to understand your confidence on both these segments.

Kushal Desai: Okay. So I think the new regime having come in, Mr. Trump has taken office only a week ago. So I guess the dust really needs to settle on that front. The inquiry levels have continued, in fact, they have been increasing with time. There was a much bigger lull and a greater worry 1 year ago compared to what it is today. And as I said, if electrification grows in the United States, then there is no option, but for a certain amount of imports to commence because local production is able to cater to only 50% of the current demand.

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Moderator: We have the next question from the line of Nattasha Jain from PhillipCapital.

Nattasha Jain: So my first question is in continuation to what the last participant had asked. Now in terms of U.S., can you, first of all, give us any broader sense as to how the margin differentiates between geography, India included compared to what we get in U.S. for cables. Any broad sense would do.

Kushal Desai: So usually, you would end up getting 3% to 5% plus differential for a like-to-like product for the same application because the U.S. specifications are far more stringent. And all products need, for example, if you're marketing any electrical product in the United States, you need a UL approval. So the UL approval itself is a fairly stringent process to get the mark. Then post that, their process is similar to the U.S. FDA, where samples are drawn from the field and tested. So you have to continue to deliver the kind of quality of product, which has been delivered at the time of the initial approval.

And that's something that's relatively not so easy compared to whatever happens in India where you don't have the same kind of scrutiny that takes place. So essentially for companies like us, where we believe that we are at the upper end of the pack in terms of the quality of product that we deliver, a market like the U.S. or Europe is always helps us get a premium relative to the Indian market.

Nattasha Jain: Understood. Sir, so is it fair to say that India in terms of cables would be the lowest margin compared to all other geographies in U.S. on the other extreme end?

Kushal Desai: India is not the lowest because in India we do sell a lot of specialized products as well. We supply to the Indian railways, we supply to the Indian defense. If you look at a typical low-voltage cable, in India, that is about as

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cheap as you can get anywhere in the world. So our Indian product mix also is the richest product mix in terms of specification of products that's being sold because we sell a lot of elastomeric and renewables and railways and defense and all these other products.

But on a like-to-like basis, if you take the low voltage cables in India versus a low-voltage cable in the U.S. or in Australia, then the Indian product is definitely cheaper.

Nattasha Jain: Understood. And sir, another question, again, relating to exports. Now you just mentioned in your opening comments that 50% of the demand for U.S. is still imported, and it's a big market. And also, there are not a lot of Chinese players because of tariffs, et cetera. So just trying to understand

then what is the problem? Why is U.S. export not picking up, if it's sitting at a most favorable position given Chinese player are not there in the U.S. So please throw some color on that?

Kushal Desai: So, the U.S. market for us has started and has already turned the corner.

So, as I mentioned in my commentary that for Cables, there is an 8.5% sequential growth between Q2 and Q3, and we expect Q4 to be higher than Q3. The market is definitely starting to -- so the excess stock, which was there, et cetera, that's all pretty much behind us. And the inquiry flow also has started increasing. So it's not that we are not seeing any inquiries and not seeing demand.

Nattasha Jain: Got it. So we can again say that deinventorying has pretty much happened in the U.S.

Kushal Desai: Yes, yes. In addition to that, we are optimistic in the years to come is that we have been working on approvals from utilities. Because finally, if it's a distributor or XYZ, a significant product is bought by U.S. utilities. So we've been working on utility approvals all through this period. We actually

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increased our manpower and infrastructure in the U.S. to service the market. So, I think over the periods to come in, we should see increased business.

Nattasha Jain: Got it. And sir, my next question is on the domestic side. Now if I see the governmental capex has slowed down. A lot of your peers have also made that commentary. We've seen that in the numbers. So my question is more on the near-term, say, maybe a year's time frame. Do you think a slowdown in the governmental capex can seep into the power and transmission. And this in combination with the fact that a lot of your peers are coming live with capacity this year for cables in huge capacity. So, are we at a risk where there can be slightly overcapacity versus low capex spend and therefore, low demand on the government power and transmission side?

Kushal Desai: So as I mentioned in my opening comments that the catch-up that is required compared to the plan is also because of the whole tendering mechanism. So if you take historical cost, when copper and aluminum and all that, and if you take the rupee value of that, because it's a dollar value multiplied by the exchange rate, all the budgets and the bids have come in higher than the budget. So as a consequence, there are many tenders that have gone into retendering. And that's one of the reasons why there has been a slowdown in terms of award as well as execution taking place. So our sense is that, that pace is going to pick up because those lines are required, that business is required. And it's not only just conductors and

cables, there is a shortage of transformers, for example, of certain sizes. There is a shortage of certain type of switch gears and other equipment required in the substation. So as all that starts coming through, then you will have the whole chain getting -- the order flow for the execution to take place.

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Nattasha Jain: So we can expect the retendering happening probably in FY '26 first quarter onwards.

Kushal Desai: It's already happening now also. Many of them are going in for retender and they have to adjust the prices upward, simply because of the increase in the cost, which has taken place.

Nattasha Jain: Got it. Got it. And sir, last question, if I may. I know your Wires portfolio is quite small at this point. But can you just throw some color as to how you're growing there because it's one of the fastest growth category products? And in combination, do you think at an industry level, you're sitting at overcapacity for Wires versus the demand. That's all.

Kushal Desai: Okay. So, in the Wire segment, capacity is not really the bottleneck. It's very easy and relatively not that expensive to add

capacity to manufacture

a house wire. It's a very simple product relatively to make. The key is in terms of your ability to distribute and market the product. We've grown...

Ramesh Iyer: In that Wire category, we have grown about 46 percentage in the 9 months FY '25 versus FY '24. We've increased our distribution presence by 67 percentage. Our retail count has almost doubled as compared to last year. We are now present in 18 states there, and there's a lot of product awareness and demos that happens. So, we are bullish about this particular segment in the Wires and Cables business, and we are hopeful for growth going forward as well.

Kushal Desai: So that segment itself for us because of having a relatively lower base compared to some of the others we sell a very -- in terms of performance, we sell Wire at right -- at the top of the spectrum. And as Ramesh said in distribution, et cetera, is all growing. That business will be an INR 300-plus crores business for us this year.

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In addition to that, we've also started setting up a B2B distribution business. So, you have -- so this is just Wires. In addition to that, you have light-duty cables also which are sold through a distributor set up. So that's something that we've been working on.

So together, those 2 pieces will well exceed INR 350 crores this year and will continue to grow. Now if you see it in the overall context, this year we will cross INR 5,000 crores in the Cable business. So, it's still a small percentage of the total. But on an absolute basis, it will continue to grow.

Moderator: We have the next question on the line of Maulik Patel from Equirus.

Maulik Patel: On the conductor side, you always guided that the margin will be in the range of around INR 25,000 to INR 30,000 for a medium to long term.

And after many quarters, it has come down. But at the same time, your order book has grown very handsomely. So, the current order book what you have is relatively will further increase your margin from the current level? Or it is still a -- as you mentioned the competitive intensity from China has gone up so the margin will now probably be at this INR 20,000, INR 30,000 kind of range.

Ramesh Iyer: Yes. So as we have been guiding earlier also Maulik, this conductor division, we need to see margins on a 12-month basis because what happens that in the quarter, the margin gets affected with what we have billed and executed in that particular quarter. And as I said, this quarter had a mixture of low premium products. It had a mix change from North America to some of the other geographies. And a mix of thing has all come in this particular quarter. And so you saw the margins being lower.

At the same time, we are seeing increase in price competition also in the domestic market. There is price competition over there. In terms of the order book also if you see, there is about 20% of the orders that actually gets executed after FY '27 -- 1 year later from now. So it's a mix of current orders that will get executed in the next 6 months or is something that gets executed after 1 year.

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The blended margins could be anywhere between INR 30,000, INR 35,000 per metric ton. But that will not only be the entire part of it. We'll have some orders also coming up during the quarter, and that will get executed in the same quarter as well.

So the final EBITDA will really depend on the mix of orders, mix of products getting executed from the pending order book as well as the new orders coming in during the quarter.

Maulik Patel: Got it. And just one bookkeeping question. What's the acceptance currently?

Ramesh Iyer: Our interest-bearing acceptance is about INR 2,500 crores and the total LC is about INR 3,300 crores.

Maulik Patel: Acceptance has come down signif

icantly on a quarter-on-quarter basis

because I understand that earlier, the run rate was used to be around INR 4,000 crores or so.

Ramesh Iyer: Yes. So we have been optimizing our working capital on that front and the cash that has been generated in the business, we have been using to make cash purchases or to reduce the level of acceptance. And that is also helping us in terms of overall working capital.

Maulik Patel: Your interest costs have come down. The quarter-on-quarter, the interest quarter has gone up. If the acceptance has come down from INR 4,000 crores to INR 2,500 crores, interest cost should have gone down.

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Ramesh Iyer: Yes. So this quarter, the interest cost has actually gone up because of 2 reasons. One is that there is an increase in exchange rate from -- it's been touching about INR 85 per dollar. And because of that, to some part of the increase in exchange rate gets reclassified to finance cost as per the way our accounting standards are there.

In addition to that when we discount some of our receivables, there's an increase in interest costs. So these factors account for higher interest cost in this particular quarter.

Maulik Patel: I think you mentioned that the external fluctuation. So are you shifting your acceptance and converting it to LC, which is from the local banks?

Ramesh Iyer: We have domestic LCs as well as import LCs. And to the extent of revaluation of the import LCs, some part of that exchange rate change can form part of the finance cost. And therefore, you see some finance cost has gone up, especially in this quarter because we have this imported LC revaluation affected in this finance cost.

Maulik Patel: Last question on debt -- long-term and short-term debt for this the -- December end?

Ramesh Iyer: Sorry, I didn't get you.

Maulik Patel: Debt -- the borrowings at the end of this December?

Ramesh Iyer: The short-term debt is about INR 120 crores. The long-term debt is about INR 330 crores.

Maulik Patel: Substantial decrease, if I look at combined from long-term, short-term plus acceptance, which was around INR 4,000 crores at the end of September.

And now you mentioned that it's INR 2,500 crores plus and -- INR 2,500 crores of acceptance and INR 500 crores of borrowing, so it's INR 3,000

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crores only. You paid back around INR 1,000 crores in this quarter. Am I right?

Ramesh Iyer: The interest bearing is INR 2,500 and the total LC is INR 3,300 crores. That's how the number comes.

Maulik Patel: Okay. Okay. Okay. I think that acceptance number is also including the noninterest bearing cost component, correct? Got it. And just one more question. What's the capex you have done so far and the outlook for the next year, if you have probably finished the budget for the FY '26?

Ramesh Iyer: Capex is till 9 months, we've done about INR 270 crores. And the budget, of course is underway. So we are going to -- we'll be finalizing it in the next month or so.

Moderator: We have the next question from the line of Levin Shah from Motilal Oswal.

Levin Shah: My question is, again, on the U.S. market. So when we see this quarter's numbers, like Y-o-Y, the numbers are flat and sequentially, the U.S. revenues overall for the company have grown by 8.5%. So when we look at margins, there has been a big drop both in cable and conductor. You explained some of it. But despite U.S. recovering quarter-on-quarter, the margins have gone down substantially. So can you help us explain what's the -- what's impacting the margin despite U.S. improving?

Kushal Desai: So in the short term, there was an impact on freight for shipments that went to the U.S. because suddenly you had this Red Sea issue and freight rates in the short term had really shot up. Since the deliveries are on -- partly on a

DDP basis, there was higher freight that was incurred, not only for the U.S. but for anything that otherwise would have gone through the Red Sea. So there were some of those factors that did come in. Now as I mentioned in my opening remarks, that has started also turning around. And with this

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truce that's happened in the Middle East, et cetera, we -- I think that will also settle down over some period of time. Plus you've got to keep in mind that the domestic business also has gone up. So when you say U.S. has gone up sequentially, overall exports have not increased over the same period previous year.

Levin Shah: Yes. Sir, I was more comparing it with previous quarters. So Q2, the U.S. share would have been lower versus Q3 despite that Q2 margin...

Kushal Desai: So the U.S. business is picking up, but the overall export business has not gone up substantially quarter-on-quarter.

Levin Shah: Sure. And just on the U.S. market per se because that's like our largest export market. Excluding the shipping costs, if you were to look at contribution of gross margins on product like-to-like, has that gone down significantly due to competitive intensity or that has been impacted?

Kushal Desai: No. So there has been some erosion in the margin, but it's not a huge erosion in the margin. The competitiveness has been there, but it's still better than what we would have got in the domestic market or even compared to many export market, especially in areas where the UL approvals are not held by multiple competitors.

Levin Shah: Right. So sir, will it be fair to say that once the U.S. market recovers beginning Q4, we should -- obviously, I understand that officially, our guidance stays on the conductor margins, but we should see margin improvement because the U.S. market will also pick up and the shipping issue is also behind now.

Ramesh Iyer: Well, our target is to get up to 11% to 12%. And so every effort is being made in that direction.

Levin Shah: Sure. And this 11% to 12% is the blended margins, right? We are talking.

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Ramesh Iyer: Cable division as well.

Levin Shah: And on the conductor part, sir, with the U.S. market improving, that segment should also see improvement in margins, right? Sequentially?

Ramesh Iyer: Yes, we have been guiding the number earlier, and we continue with that guidance. There's no change in our guidance as what you have said earlier. Of course, with some tailwinds and with the U.S. mix improving, it can be better, but we also need to see how the domestic market margins pans up during that period. But we continue with the guidance that we have shared earlier.

Kushal Desai: So there are 2, 3 fundamental things, which one can keep in mind, especially -- see near term in this sort of business where it is more difficult to predict than something which is in the medium to longer term.

So a few fundamental changes have happened. One is that the base category of conductor has moved in India from ACSR to AL-59. So that's one big change that has happened. Second thing that has happened in the short term is that many tenders have gone back for reevaluation and refloating because the bids that came in exceeded the budgets on those tenders. So the premium product side had got a little bit slowed down. The third thing is that there is a clear case that reconducting to increase capacity going from point A to point B is far faster and better to do than setting up a brand new line. And that's something that CEA and the Government of India also understands that a more comprehensive policy in that direction is being looked at.

Number four is the renewable energy assets are continuing to grow. You see wind has grown in single digits, not double digit in terms of the additions. But going forward, there

is a lot of wind capacity that's actually

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coming on stream. That again has a consequent impact on the business that APAR gets because we have a very good market share on the wind side. So all of these things are pointing towards a better medium to longer-term position, even in the domestic market.

Levin Shah: Sure. That was helpful. Sir, and my last question is on -- again, on the U.S. market. So what we have seen is post a new government there, they have put on hold the IRA benefits that were to be given to the new renewable assets that were being put up. So how much of our revenue stand to impact due to this IRA regulation change in the U.S. market?

Kushal Desai: It's just too early to sit and make a call on that. I think with a little bit of time passing by the picture will get clearer. However, you have to keep in mind that some of these renewable assets generate power also very competitively in terms of cost.

And if the cost of hydrocarbons like you've seen the Brent and all of this also going up, it's making renewables more competitive. So some of these things have been put on hold, but there is no judgment that has been passed that needs to be canceled or any such thing. So I think before reacting immediately, some more time needs to pass by for clarity to prevail. Having said that, electrical requirements are going up and not down.

Levin Shah: Sure. So what I was trying to understand is how much of our Cable segment? Because I understand conductor segment may not be impacted with this IRA going away, if at all that happens. But how much of the Cable segment revenue today would be related to this IRA related capex.

Kushal Desai: So we have a full mix of cables going in there, right? We have medium voltage cables going in there. We have photovoltage of PV cables, which are for renewables. We have cables that go into building another

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infrastructure. So there's a whole range of cables. If you go to the APAR website, you will see all the approvals in the -- and you'll see all the different applications they go into. So it's not all focused only around renewables.

Moderator: We have the next question from the line of Prerak Gandhi. Please go ahead.

Prerak Gandhi: First of all, the thing is that you were bullish on the wind sector comparative with the solar despite solar being targeted 300 gigawatts for the year FY 2030. So why do we see a faster growth in wind sector compared with the solar sector? And secondly, sir, with Trump coming in, U.S. will be pushing for more indigenous operators, right? So do we see a loss of market share over there in the near future or at least in the medium term?

Kushal Desai: Okay. So let me answer both your questions one by one. I didn't say that I'm expecting a slowdown in the solar side. The solar side is continuing to grow. Wind has grown only single digit year-on-year. And we see that the wind capacity getting added in India is going to increase. So you will see another dimension of growth coming in as the windmills increase, the cable business that is catering to windmills should also increase.

And here, whatever growth happens, APAR stands to gain because we have a very significant share in that segment. So I just wanted to clarify that part. As far as the second question was about pertaining to Trump coming ahead. So that, I think we already answered that. It's just a matter of time before which we'll get to know the clarity.

Our market share in the U.S. is very miniscule. If you see \$20 billion cables being imported, we are not even at 1% of that. We are like at 1% of the import taking place. So there's a huge room to grow. As long as there is a need for the cable and it can't be produced locally, there is a potential for us to sell that.

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Prerak Gandhi: And sir, just a last question. Sir, the government, as per the CAG report, we have seen in the capex cycle has been very slow. So do we expect the capex which is left in this past 6 months, and the capex we announced in the budget. Do we see an extension push towards the capex in the next 9 months or next fiscal year?

Chaitanya Desai: Actually, in our conductor business, we have been seeing good order flow. And we anticipate that in future also based on already orders which have been placed at the capex level and then to the EPC community, those orders, either from the developers or from the EPC companies will keep us going for the whole next financial year. And even beyond that, we see a good flow of orders.

So yes, as we've explained that the market has moved from 1 variety of conductor to another so we see that business continuing in terms of strong demand in the local market.

Moderator: We have the next question of the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil: Sir, I have one question, like we said that the Chinese players are entering the market when they have a fair position in like the markets in Australia, Africa and Latin America. So how -- what is the APAR strategy to compete with them in those markets? And sir, my second question was like in the export market, our inquiries are increasing and order inflows also increasing. Is there any kind of execution delays happening there because our export mix is going down?

Chaitanya Desai: So with regard to the Chinese having the advantage currently in certain geographies, it's on account of their cheaper raw materials that they have in China. Because the government of China has made certain changes in their taxation and support to the various industries in China, which is

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enabling the Chinese conductor manufacturer or cable manufacturer to get Chinese aluminum at a much cheaper price compared to the rest of the world, and that is helping them.

So we have seen these cycles in the past come and go. Over period of

time, these are not sustainable because definitely, if the price of the aluminum in China has kept at a lower number, then it means the Chinese aluminum producers are suffering as opposed to getting a fair price compared to the rest of the world.

So we don't think this may continue for long. But till it continues on, we feel it is better not to participate just for the sake of competing and incurring losses, is better to divert our capacity to the next best realization market, which is the Indian market. So this is the strategy we have taken for now.

Nikhil: Yes, sir. Understood. Sir, my second question was like our export inquiries are increasing. And our order inflows are also increasing in export because our order inflow is like 31% and our total order inflow was 67% up. So I'm asking that, is there any kind of delay in execution? Is there any kind of regulation problem going on there like the execution of export orders or something like that?

Chaitanya Desai: So some of the markets, they have staggered delivery requirement. And generally, in some of those countries, especially in the U.S., the procedures are more cumbersome in terms of actually starting the work on the ground compared to in India. India is one of the fastest for actually putting out the transmission lines.

So yes, some delays have happened, but now things are sort of looking more clear in terms of orders on hand and also in terms of the execution.

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Moderator: We have the next question from the line of Mayank Bhandari from AMSEC.

Mayank Bhandari: My first question is on the revenue growth you've shown 23% in the Conductor business and 17% in the 9-month period.

d. If I were to understand

the forex impact in this, what would be the forex impact in the growth -- top line growth for this.

Ramesh Iyer: It's difficult to put the numbers exactly on the forex impact on the growth number because the top line actually gets driven by your commodity prices, aluminum price, exchange rate and also the volume growth and also the mix of the product that goes into -- in some of the export markets. It also depends on whether the selling prices including freight, whether it is a CIF contract, DDP contract or an FOB contract.

So it's a mixture of many things that goes into the value growth numbers.

So it is difficult to separately identify which part has contributed to what.

And therefore, we look at more volume numbers than the value numbers for this purpose.

Mayank Bhandari: Sir, 19% of volume growth and 23% of value growth, the differential of 4% includes our product mix and other factors you mentioned?

Ramesh Iyer: Various other factors, yes, as I mentioned, yes.

Mayank Bhandari: So product mix is ideally deteriorated this quarter.

Ramesh Iyer: As I said, it's tough to put that number because it depends, as I said, product mix, export domestic ratio and within export also, CIF, DDP contracts, FOB contracts, the price of aluminum and metals also, that has also changed quarter-on-quarter. So it's a mixed bag of various things that gets into the sales value growth.

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Mayank Bhandari: And similar thing on the EBITDA post open period forex that you show of INR 29,593. So is there any number which is like preopen forex period.

Ramesh Iyer: We have been sharing that earlier, but now consistently we have been using the post open period forex number because that's the number we have been consistently using it, and it gives a proper representation for the business as a whole.

Mayank Bhandari: Okay. So I think all -- for the other segments also, it is not possible to give a breakdown in the volume and value.

Ramesh Iyer: It is the same reason that apply for all the divisions.

Moderator: We have the next question from the line of S. Karlekar from HSBC.

S. Karlekar: Sir, you highlighted \$20 billion U.S.A. cable imports as a large opportunity. So I may ask how much of that is really addressable considering the product portfolio that APAR has and the certification that you will be having.

Kushal Desai: So in terms of the addressable products which we have, it is catering to over 50% of the market in terms of -- I mean, the categories that we have UL approval for is almost 50% of the U.S. market.

S. Karlekar: Okay. So broadly more than \$10 billion -- 50% of \$20 billion number, right?

Kushal Desai: Yes, that is the gross opportunity that's out there.

S. Karlekar: Right. And sir, you also highlighted that in the meantime when market was weak in U.S., you have been seeking approvals from the end customers such as utilities. May I ask how far have you reached in that journey in terms of whether you're in early stage or mid-stage.

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Kushal Desai: So I'd still say that we are in an early stage, simply because the number of utilities in the U.S. is a very large number. There are over 300 utilities in the U.S., of which about 25, 30 of them are very large in size. And the rest of them then -- because it's a regional-based system. But the approval flow is -- we are continuing to appoint more and more manufacturing reps, make presentations to utilities and customers, et cetera. So the approval base is growing.

S. Karlekar: And sir, my third and last question is that you highlighted retendering of orders because of the quoted price coming higher than the budgeted price. Is that specific to power grid or that is that phenomenon across other state department, central department and PSUs?

Chaitanya D

esai: Yes, it is across various state utilities also and power grid also.

Moderator: We have the next question from the line of Aman Soni from Nvest Analytics.

Aman Soni: Could you provide insights on the anticipated capital expenditure allocation for the power sector in the upcoming financial budgets, especially, is there any indication of potential reduction in the government capex for the sector?

Kushal Desai: So I think I wouldn't be in a position to just answer that straight, but the fact that the government has been pushing for more renewable energy and more power assets to be added, I would not think that the budgets would be lower than what for FY '26 would be lower than what they are for FY '25.

Chaitanya Desai: In any case, the -- not all of it is funded by the government because there are tariff-based competitive bidding. So depending on who wins the business, then that is funded by the concerned developer.

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So as long as the projects happen irrespective of who wins the business, government promoted company or otherwise, the growth should happen. And it is -- a lot of it is driven by renewable energy, where again, a lot of the developers are nongovernment concerns.

Moderator: We have the next question from line of Amit from PL Capital.

Amit: Just a couple of more questions. One on domestic side. We have seen quite a strong growth and as you highlighted, the key reasons also. I wanted to understand which part of domestic side, you're facing competition? Is it premium products, conventional products, AL-59? And what was -- any sense on what was the mix in first 9 months, conventional versus AL-59 versus premium in domestic market?

Ramesh Iyer: So we have converted most of the ACSR products into AL-59 products now. So that mix has completely been changed. It's a much more superior product than the traditional ACSR products.

Kushal Desai: Which is all under conventional.

Ramesh Iyer: Yes. But it's still part of the conventional, but it's on the higher end of the conventional product.

Chaitanya Desai: And as far as the competition is concerned, currently, the market is much larger than the new supplies, which are coming in, in the form of new entrants. But just that the overall structure in the Indian market does not allow very high margins compared to some of the other markets outside. So the profitability difference is more on account of the product mix and geography mix as opposed to competition level.

Amit: Right. Possible to share what was the contribution in domestic market from AL-59, first 9 months?

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Ramesh Iyer: We don't share that product level detail, Amit, for confidentiality purposes.

Amit: So last question on if possible for us to share the U.S. sales contribution segment-wise or overall company level?

Ramesh Iyer: U.S. sales has improved sequentially, but the specific of that mix, we don't share it out. But quarter-on-quarter, it is improved by 8.5 percentage.

Moderator: We have the next from the line of Vimox Shah from Goyam Iabdh Fintech.

Vimox Shah: Yes, so I wanted to know that what are the plans that you are observing for the cooling solution in the data center? How we are positioning to meet this need. Basically, what are the opportunities do you see in this sector?

Kushal Desai: So far, cooling solutions in data centers are still at an early stage. Most of the data centers are still using air. So basically use cold air to take away the heat. And air is the worst conductor that's out there. Liquid based cooling can be significantly better. But when you're looking at such strong SLAs and such high uptimes, it is not easy for you to try out a liquid solution versus the air cooling solution.

So we've not -- even though we have products in place, we've also developed produc

ts. We've not yet been able to get it tested out at the test site. That's why you don't hear us talking much about our -- because the product is actually fundamentally quite similar to a transformer. The whole difficulty is not in producing a product, but is in getting a test site to test the product out.

Vimox Shah: Okay. So are we looking to test into that segment actively or...

Kushal Desai: We are constantly in touch, but we haven't yet had any breakthrough on that front. However, having said that, we are supplying cables to the data centers. And in that, we have all the big names. So we have supplied to

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AWS, which is Amazon in India. We supplied Microsoft. We have supplied Google. We have supplied Adani. So we have supplied all of these people and continue to bid on their cable business, but we haven't had a chance of yet being able to get a test site for testing out our liquid cooling solution.

Vimox Shah: Okay. Okay. My second question was like, what are your growth expectations for the domestic market compared to the international market for upcoming financial year.

Ramesh Iyer: We have given a mixed guidance for both domestic and global market both put together. And that's what we continue to hold even now, which is cable division top line growth of 25 percentage in value terms, conductor division about 10 percentage on volume terms, and oil division, about 5 to 8 percentage on volume terms.

It's a blended of both domestic and export market. And depending on where the margins are higher, you may see domestic mix going higher or export mix going higher. And also depending on external factors like U.S. demand, etcetera, the mix during the period may keep on changing as we go ahead.

Moderator: We have the next question from line of Pratik Lumbe, who is an individual investor.

Pratik Lumbe: I just had one question on the industry front, basically, the power transformer industry in India. You alluded to your comments and also in your response to one of the participants, that basically, the slowdown in execution in the power transmission space is one of the reasons that you alluded to was due to the shortfall in -- or the shortages of the components such as the transformers or the other things?

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So is that the main reason or any other key factors that you could associate with that slowdown. Because I understand that there has been a significant growth in the tendering activity as compared to last financial year. But it hasn't happened on the ground. So could you give some color on that or any other additional reasons for that?

Kushal Desai: Yes. So let's look -- so there are various aspects to look at. One is that the CEA has declared their plans. You have time frames in which they want to have addition. So when you compare versus what they have declared and what they themselves have declared in terms of achievement, there is a big gap, which is what I had brought up in the opening comments.

Second thing is tenders have been floated, but they have -- there's a delay in their finalization. In some cases, tenders have just recently been finalized, so the execution is to take place. In some cases, tenders have gone for retendering because they've had to fix the budgetary price quote on the price level. So my -- the reason for bringing all this up is that there is significant pent-up demand.

There were questions that people were asking on the call that you see government spending going down, will business come up in the next few years as it has come up in the past. So I think these are all hints towards -- what we feel is that the business is not going to slow down. There is a pent-up demand, which is there in place compared to whatever the CEA themselves have identified that they should have ex

ecuted.

They're running at 50% for this transmission line side. And if you look at the substation side, they are at 65% or whatever numbers that they themselves have declared. So there is going to be a catch-up going forward. And there are some capacity increases taking place, but I think they'll get absorbed against this increased demand that is going to happen.

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Pratik Lumbe: Okay. But even Kushal, sir, that 5,000 number that we have done in this 9-month period is still very low as compared to '24. Around 14,000 some circuit kilometers were added in the last financial year. But in the 9 months, we are only at 5,000, leave aside the target. So of course, maybe election would have been one of the reasons, but there are some serious challenges faced at the execution level, I understand?

Kushal Desai: So actually, the execution level, especially for conductors, India is actually one of the best in the world. We -- a typical line -- from the time it has been awarded, it actually runs in about 3 -- between 3 and 4 years a full line comes up versus 10-plus years in the United States and something even longer than that in Europe. Now when you get a number reported here, it is actually a commissioned line. So it would be -- they don't -- this commentary is not carrying what stage of completion is there for the gap. But our sense is that this tendering is going to continue to take place. And the government is very aware of the total amount of electricity that needs to be moved. A lot of new generation -- you heard also the record amount of solar investment awarded and is being generated, a lot of that is actually Gujarat, Rajasthan and in remote places. So you need evacuation lines that will bring the power. And so bottom line, I think at this stage is that business is not going to subside in the local -- in the domestic market. It looks like there is good amount of steam for the next few years to come.

Moderator: The next question comes from the line of Piyush Arora from SYC Research.

Please go ahead.

Piyush Arora: Just a question -- just on the overall EBITDA margins of the company, do you think Q3 was absolute bottom and we could see it basically moving up over the next financial year?

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Ramesh Iyer: Yes. So as I said, we continue to hold the guidance that we have given in the past. And for the kind of product line that we have, it is better to see these margins on a 12-month basis rather than on a quarter-on-quarter basis.

Moderator: The next question comes from the line of Hardik, an individual investor.

Hardik: Question is, this quarter, the other expenses has increased by INR 50 crores. Any light you can throw on it?

Ramesh Iyer: That happens because of the terms of shipment. In some cases, the selling and general administration cost goes up depending on whether it is FOB contract or CIF contract, the freight cost, the processing cost and generally, the selling, general and administration overheads changes depending on the product mix and the kind of sales that happen. So that's the reason you see that swing happening.

Hardik: Is it a reoccurring one for the next quarter? Or is it just...

Ramesh Iyer: Sorry.

Hardik: Reoccurring for the other quarters, coming quarters? Or is it a onetime expense?

Ramesh Iyer: No, it's better to be measure based on the EBITDA because that takes into account all these factors, typically, other expenses can go up and down. And most of it is already priced to the customers. However, the EBITDA margins and EBITDA percentage that we use takes into account all these kind of permutations and combinations. So that's a better way to judge the results.

Hardik: Sir, what would be the overall growth rate for the coming year?

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Ramesh Iyer: We have shared the guidances earlier. I repeated also in the call. So we continue to hold those guidances.

Moderator: As there are no further questions from the participants. I now hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: I'd like to take this opportunity to thank everyone for having taken out the time to attend our Q3 earnings call. Just in conclusion, I'd like to mention that the fundamental premise of electrification increasing and the electrical infrastructure increasing not only in India, but in most parts of the world as the energy transition takes place, there is really nothing that has changed this fundamental premise.

APAR continues to remain focused in terms of growing the premium products in the domestic market as well as looking at growing the export markets. A market of specific focus for us has been the U.S. market. And we believe that the fundamental steps there have to be taken -- have to be done irrespective of whatever the policy is, which is to focus on getting utility approvals and building our credentials with respect to a larger customer base in that market, 50% of cables are imported into the United States and that equation cannot change in a big hurry as long as the demand exists.

In the Indian market, we are seeing growth in the renewable side, both in terms of solar. Our expectation is that wind assets will get added at a faster pace going forward. We continue to grow our business in the infra space, especially with Railways, Defense and these sectors as well.

As Ramesh has guided, all businesses are still looking at growing year-on-year. And even if there may be some short-term changes that happen because of certain events or because there is a movement in terms of freight or foreign exchange rates, et cetera, et cetera, if these businesses

are looked at over 12 months or a longer period, I think the fundamental premise still remains the same.

In addition to that, we've been running a number of programs to improve productivity and alluded to Industry 4.0 for the Cable business, which is at a fairly advanced stage. Once we start reaping the benefits of that, there will be a much more rapid implementation that happens in the Conductor business, where a certain portion of equipment are actually common. And so productivity will also help drive some of the margins.

So we still remain fairly optimistic and don't believe that there is any fundamental changes that have happened. So I'd like to leave you with that thought and once again, thank you for joining our Q3 earnings call.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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"APAR Industries Limited Q4 & FY '2025 Earnings
Conference Call"

May 14, 2025

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR, APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR,
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER,
APAR INDUSTRIES LIMITED
MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to APAR Industries Limited
Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And
there will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please
signal an operator by pressing "*", then "0" on your touchtone phone.
Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial
Technologies. Thank you and over to you, sir.

Ambesh Tiwari: Thank you. Good evening, everyone. This is Ambesh Tiwari from S-Ancial
Technologies. I welcome you all for the Q4 FY '25 Earnings Call for APAR
Industries to discuss Business Performance and Outlook.

We have from the Management side, Mr. Kushal Desai – Chairman and
Managing Director; Mr. Chaitanya Desai – Managing Director; and CFO
– Mr. Ramesh Iyer.

I will now pass on to Mr. Kushal Desai for the opening remarks. Thank you
and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good evening, everyone. And welcome to the
APAR Industries' Q4 and the full year earnings call.

Let me start by actually giving a quick overview of the overall performance
of the Company:

I will follow that up with a short update on the industry and the spending
and trend. And then I would like to get into more details on the segmental

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performance of the three major businesses. Post all that, we can open up
the floor to questions.

So, APAR concluded the financial year with both revenue and volume
growth across all three business verticals. It's an all-time high quarter for
us. And the first time in our history, our quarterly revenues crossed Rs.

5,000 crores. So for Q4 FY '25, the consolidated revenue came in at Rs. 5,210 crores, which is up 16.9% year-on-year. The domestic business continued to demonstrate strong growth, and the domestic side is up 31.4% versus the same period previous year.

Our export mix is at 31.3% for the quarter. The US business has improved in this quarter; it is 195.6% higher than what it was over last year's Q4 and is 48.1% more than Q3 FY '25. So there has been an increase in the execution of orders and the receipt of orders from the US, thus far.

In terms of EBITDA:

Our EBITDA is up by 5.7% to Rs. 483 crores. It is at 9.3% EBITDA margin. The profit after tax came in at Rs. 250 crores, which is about 5.9% higher than the previous year. The profit after tax margin is at 4.8%. If you look at the 12 months consolidated revenues, we stand at Rs. 18,581 crores, which is 15% higher than a year ago. Exports have contributed to 32.8% of revenues in FY '25 as opposed to 45.2% in FY '24.

Coming to a few key industry highlights:

According to the National Electricity Plan, India's peak power demand is expected to hit 388 gigawatts by 2031-2032, for which the country would require a power generation capacity of 997 gigawatts. This will necessitate expanding the transmission and distribution network from source to grid,

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and then through the last mile to the consumer. The Union Government is planning to connect all upcoming green energy units to a green national grid at an estimated investment of Rs. 4.9 lakh crores between 2027 and 2032. The NEP has also projected that during the same period, 2027 to 2032, India's battery energy storage capacity will reach 47 gigawatts, and the current capacity is just about 300 megawatts.

On the renewable energy front:

The Ministry of New and Renewable Energy achieved a historic milestone in the renewable energy sector for the financial year FY '25. As the coun

try

has recorded its highest ever renewable energy capacity addition in a single year, adding 25 gigawatts, which is nearly a 35% increase over the previous year's addition of 18.6 gigawatts. India's solar power sector led this growth with the capacity addition rising from 15 gigawatts in FY '24 to nearly 21 gigawatts in FY '25, marking an increase of nearly 38%.

The country also achieved a significant milestone of surpassing 100 gigawatts of installed solar capacity this year. Additionally, India's solar module manufacturing capacity has nearly doubled from 38 gigawatts to about 74 gigawatts in March '25, while the solar PV cell manufacturing capacity has tripled from 9 gigawatts to 25 gigawatts. So all these are indicators that show that solar addition should continue to take place at an accelerating pace.

Coming to the transmission line and substation addition:

In FY '25, India's transformation capacity has grown by 7% year-on-year, the installed capacity by approximately 5% and the transmission line network by approximately 2%. There were many issues with respect to right-of-way constraints and land acquisition hurdles which impacted growth.

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Also, with the national elections taking place in this financial year, the first few months were pretty much lost in terms of all the election-related activities with relatively less expansion taking place through that period.

To address the rising demand and to facilitate integration of renewable energy sources, the transformation capacity and installed capacity will need

to grow by exactly 2x and the transmission line network by approximately 1.3x by 2023. This demand will be largely met through the tariff based competitive bidding which is TBCB. 45 Inter-State Transmission Systems or what they call ISTS projects will be awarded under the TBCB through this period of FY '25 onwards. The Central Transmission Utility of India Limited has released a rolling plan which is running up to '29, '30 projecting a CAPEX of almost Rs. 4.3 lakh crores for upgrading the ISTS network. So coming back to financial performance by each of the individual segments, we can look at the conductor segment first:

In the 4th Quarter of FY '25, revenues grew by 24.5% year-on-year, driven by strong demand in the domestic market. We also had a higher amount of realization in exports from the US. Volumes grew by about 5.9%, exports contributed towards 24.5% to the overall revenue. The US revenue grew by 142.6% for the conductor division over Q4 FY '24 and 229% over Q3 of FY '25. If you look at the premium product mix, that has contributed to 45.9% in Q4 FY '25.

In terms of EBITDA post open period FOREX, that came in at Rs. 41,430 per metric ton as against Rs. 48,438 per metric ton in the same period last year. The product mix and growth in shipments to the US, has led to the higher EBITDA per metric ton over what we saw in Q3 FY '25, which had come in at a period low of Rs. 18,860 per metric ton. So the order book

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stands today at Rs. 7,163 crores, new orders received during the quarter came in at Rs. 2,114 crores.

On an annual basis, revenues have grown by 19.3%, volume has grown by 7.8% versus last year. The export mix was 24.2%. So even though the volume growth is showing 7.8%, a lot of value-added products, the mix has moved towards that, which includes a substitution of the conventional ACSR conductors with AL-59, and also the overall copper business has grown, with the copper transpose conductors going into the transformers being a major leading factor in the growth.

Coming to the oil business:

The revenues from the operations grew 3.3%, but the volume has grown by 9.3% versus the Q4 FY '24. Transformer oil volume growth came in at 7% higher,

automotive oil grew 6% higher, while the industrial lubricant size grew by 11.3% year-on-year. Export remains healthy, 41.7% of the mix. The EBITDA per KL came in at Rs. 5,873 per KL versus Rs. 4,251 from a year-ago.

If you look at the full year period, FY '25, revenue has grown by 5.2% to reach Rs. 5,087 crores. The volume growth has been at 7.8%. Transformer oil volumes have grown by 14%, driven by stronger demand, both domestically as well as overseas. And our automotive sales growth led by higher volumes to OEMs has grown by 17.6%. Export for the year contributed 44% of the overall revenue. EBITDA per KL for the year came in at Rs. 6,145 per KL as opposed to Rs. 5,746 per KL in the previous year. Now, coming to the metrics of our cable business:

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Our cable business revenue for Q4 FY '25, it posted a strong revenue growth of 29.9%, 30%, to reach Rs. 1,410 crores on the back of both strong domestic demand as well as increased shipments to the US. Continued infrastructure CAPEX has led to domestic business growth, this includes shipments to various data centers that are being set up in the country and is covering not only Amazon but also Google, Microsoft and

Adani. Export mix came in at 28.4% in Q4 FY '25 versus 24.7% in Q4 FY '24. The US revenues grew by 268% over Q4 of FY '24.

Coming to the EBITDA post-forex, that recorded a year-on-year growth of 21.5% to reach Rs. 150 crores. The EBITDA margin is slightly down by 0.7% versus what we had in Q4 FY '24, but it is up 1% versus what we had in Q3 FY '25. So this has contributed from a better product mix and larger shipments to the US. Scale economics has also added to improve the EBITDA margin over Q3 of FY '25. The pending order in the cable business is at about Rs. 1,500 crores. So if you look at the revenues for the 12 months FY '25 for the full year, that has grown by 28.1%. Domestic business grew by 43%, the export mix stands at 31%, and the EBITDA post FOREX grew 13.4% to reach Rs. 498 crores for the year.

So the US business has shown a recovery in this quarter, which along with continued domestic business growth has resulted in an all-time high revenue for the Company as well as for the conductor division, oil division and the cable division, individually. This was in spite of the general election and some of the supply chain disruptions that happened, and the poor US demand which happened in the first part of the year. We have also seen increased Chinese competition which has posed challenge in terms of export to countries where the Chinese products are well accepted, which includes some parts of Africa, Latin America and Europe.

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We believe that the fundamentals of the business remain intact, and we are optimistic that we will continue to be able to deliver sustainable and healthy business in the coming periods. The US tariff situation continues to have a bit of an overhang until there is a DTA in place with the US. Hopefully, this is at an advanced stage, and we hope that the outcome will be favorable for India relative to what tariff is being charged to other countries.

I would just like to reiterate the fact that over 40% of the wires and cables and conductors are imported into the United States, which is over \$20 billion from a total market which is about \$55 million. And with this whole energy transition moving towards more electricity-based demand and with the growth of hyperscaler data centers where the largest number of data centers being added are in the United States, we would continue to see the US as being an important and a strategic market. The gap remains so high that the only way that the electrification can continue is with import of products. Within hopefully a short time the overhang sho

uld actually settle
down in terms of where exactly this stands.

The Company is actually stepping up substantially its CAPEX plan. We completed CAPEX of about Rs. 500 crores in FY '25. We have a plan of adding Rs. 1,300 crores of CAPEX through FY '26 and running into the 1st Quarter of FY '27. So the CAPEX should go in the next 12 to 15 months. And considering commissioning, in about 18 months we should have most of this equipment up and running. This includes about Rs. 800 crores on the cable side with building of a brand new site. Post this expansion, we would expect a turnover to be able to be generated from that complex, which would take the business up to about Rs. 10,000 crores of capacity that we would have from what we have executed this year, which is close to Rs. 5,000 crores. So it's essentially being able to double the capacity of the business.

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We are looking at adding about Rs. 300 crores of CAPEX to the conductor business, and that includes some of the rods which need to be produced

for our cable business as well. We are also expecting to spend about Rs. 200 crores in the oil business, where we are building a brand-new storage terminal in the JNPT port, so that we can cut down the supply chain cost of bringing product into the country, better distribute it across the manufacturing facilities we have. And this is also going to allow us to be able to do bulk exports from the terminal of transformer oils, white oils, and pharmaceutical oils, which is something that APAR has not had so far. We have had to resort to doing export only through flexi bags and containers.

So in conclusion, I would say that looking at the situation today that I have explained, we are fairly bullish in terms of how the business will develop over the next few years. We are loading up front the CAPEX that we planned, so that we have the capacities in place as the demand in the business continues to grow. We also have a very detailed Corporate Presentation in the Investors Section of our website; I would encourage you to please go through that to get a more detailed perspective on the Company's activities and strategy.

So with that, I come to the end of my opening remarks, and we would be very happy to open up the floor to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Mohit Kumar from ICICI Securities.

Please go ahead.

Mohit Kumar: Good evening, sir. Absolutely fantastic job on the profitability. My first question is, from the looks of it, it looks like you are selling a lot of non-premium conductors in the domestic market. Still, you have been able to

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maintain the EBITDA per ton. What explains the strong profit despite your exports? Is it AL-59?

Ramesh Iyer: So, as you see, in this particular Q4, we have about 45% of the products coming from the premium products that we have, and this is actually excluding AL-59. AL-59, we are still categorizing it as a standard non-premium product. So 45% of the products are premium, giving a higher margin, plus you have AL-59 as a non-premium product, but still the margins are higher compared to the conventional business.

Secondly, if you see, this particular quarter we have rebounded in terms of the US business. The turnover from the US business has increased, where the margins are higher, and that has also resulted in high margin, especially in this particular quarter. So broadly, these two are the reasons that have helped. And also if you see, the copper business is also scaling up, the margin and the products. And the mix of copper is going up, that is also helping us to increase the margins of the overall conductor division.

Mohit Kumar: My second quest

ion is on the US. The US looks to be a lot more uncertain compared to the last quarter, right? But is it impacting our sales in Q1? Is it a fair assumption that Q1 will be weak in the time, and we get the clarity as we go forward, and the US will pick once we have the FTA in place?

Kushal Desai: So, Mohit, Q1, actually, we are still continuing, on the cable side still we have got a green signal for a lot of the material which had been planned to be produced in the month of April, May and June. As you know, the tariff falls has happened up to the 9th of July. So, a lot of the order book which was there, we got to continue to execute that. Some of the customers who are already at advanced stages of executing on their projects have even agreed to pay whatever is the differential tariff that comes in post the 9th of July as well, because the cables are required to complete their

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projects. So, you would not see that dip actually taking place substantially in Q1.

Also keep in mind that a lot of product is already in the DDP stage, meaning DDP as in it's in transit. So, all that revenue will be booked in the 1st Quarter of FY '26. Similarly, even on the conductor side, there is a product which is being delivered. We have got clearances to produce and dispatch product for this quarter. I think beyond this quarter, many customers are just waiting to see what is going to happen. Both from the US side as well as from the Indian side there have been various announcements of trade delegations going back and forth, very high level, right from Vice President of the United States, Commerce Minister of India, etc. And the sense is that, whatever be the final situation that settles, India should hopefully not be at the disadvantage as compared to other countries.

Now, if you see the major places from where cables were being imported into the US, looking at the US import statistics, countries were basically Vietnam, Cambodia, Indonesia, India, Mexico. From where, the kind of product range that we are exporting, the competition is coming from. Both Cambodia and Vietnam are seen as a proxy for China. And their duty rates are much higher than whatever were the tariffs that were originally declared. India being at 26%, these two countries were at 44% and 46%, respectively. And Mexico at 25%. So, that was what was announced. Then the pause came in, so everybody is at 10% currently. And we will have to wait and watch.

That's why I said in my opening remarks that there is a bit of an overhang. But I think the market requires a very, very substantial amount of import. It's exceeding \$20 billion. And the kind of demand that's coming from data centers and these things, one is continuing to scale up. One of the

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highlights which I did not mention in the opening remarks is that we have got, after supplying Microsoft quite satisfactorily in India, we have gone onto the global vendor list for supply to data centers in the United States. And so that I think is another area that we are looking forward to be now able to participate in various RFQs that come up through our FY '26 onwards. Does that answer your question?

Mohit Kumar: Yes, sir. It does, sir. Thank you and all the best, sir. Thank you.

Kushal Desai: Thanks.

Moderator: Thank you. The next question is from the line of Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani: Yes. Hi, sir. Thank you for the opportunity. The first question is on the conductor exports. Now, we saw very strong growth in the US exports on a quarter-on-quarter basis. Can you talk about the outside US markets, what we have seen there? Because I think in the last quarter the US was soft and other geographies were helping to get growth. But I think in th

is quarter it

seems there's some moderation in the outside US market, so if you can speak about that.

Kushal Desai: Yes, I think last quarter, we had actually explained in one of the questions that outside the US and India, the rest of the markets were weak for us, because the Chinese competition was very aggressive. So this is the situation for the quarter which has just got over as well. And even for the future also, the immediate future, we see the situation continuing. It's the domestic market which is doing well in India.

On the US side, also in the last six months what we have been doing is that we have been actually working in improving our on-the-ground presence

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in the US. So, APAR today has four employees, one very senior advisor and three employees on the ground in the US on the cable side. There's one person who is being seconded there on the conductor side, full-time. And we have been signing up distribution and reps, manufacturing reps, which is what they call in the US, the people we have signed up is covering about 75% of the US market. So we have been systematically working with them to increase our approvals in the public utilities, in the independent-owned utilities, as well as in the commercial industrial space, including real estate.

So on the ground the thing is, the US market maybe made quite a lot of advances in terms of on-the-ground presence, on-the-ground approval. I also mentioned about Microsoft approval just a couple of minutes ago. So, as Chaitanya mentioned, in other markets you are finding a lot of Chinese competition. There is a subsidy which is in the region of about 8% to 12% coming in from China. Selected premium products, we signed up some business in Latin America for HPLS and a few other premium products. But otherwise, the domestic market continues to remain very strong. And the prospects in the US are looking better. If this tariff overhang wasn't there, I think we would have been looking at a very, very substantial runway and growth there. But we are optimistic that this thing will also get resolved. Keep in mind that basic import duty for aluminum is at 25%, even today, in the US. So as a consequence, even the local manufacturers are facing an increase taking place. And that is not based on any reciprocal tariff etc., there is a separate notification out, which is under Section-232, under which this higher tariff has been applied for aluminum, steel and a few other products. So, even though we see that non-US exports are not looking very attractive because of the pricing, the Indian market itself is very strong. And the US market, it will settle down, and we are quite optimistic that the

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business there is going to grow. So we are basically gearing ourselves up to be able to make sure that we meet all that demand coming up.

Mohit Motwani: Sure. Thank you for the detailed color. One more question on your employee expenses, any reason for the sharp drop quarter-on-quarter, is there any reason for that?

Ramesh Iyer: No, there is no specific reason for this. Some of the estimates, based on quarterly numbers we revised the employee benefit expenses. There is no specific reason for the drop in the numbers.

Mohit Motwani: Okay. Sure. And one more question on your cables, you mentioned the front-end CAPEX of Rs. 800 crores. So in the previous calls we have guided for 25% revenue growth of cables. So this incremental CAPEX, does it increase our guidance for cables or is this already factored in the higher CAPEX? Is the 25% growth factored in the higher CAPEX?

Kushal Desai: So we are still guiding a 25% growth for the simple reason that, if you see, by the time this whole thing is executed and in place, it is really going to be available

for revenues that kick in from FY '27 onwards. This most of the money is going into the greenfield site, where almost 48 acres of property is being completely built up. All the civil infrastructure will be in place. And we are making an investment essentially a year ahead, so that we have a clear runway to get to Rs. 10,000 crores in business.

Mohit Motwani: Got it. Thanks for the answers. I will jump back in the queue. Thank you.

Moderator: Thank you so much. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thank you for taking my question. And first of all, congratulations for the strong numbers. First question, in continuation to cables again, sir,

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you said that we will be investing Rs. 800 crores and revenue is going to double in the next three-four years. I wanted to understand this incremental Rs. 5,000 crores revenue, as we have been also discussing in the past the specialty cables like elastomeric, E-beam and low-duty cables also, so where the focus will be in this capacity expansion? And will it be margin accretive? Any guidance or directional margins which we are targeting to achieve?

Kushal Desai: So, in terms of where the capacity expansion is happening, all varieties of cables are expanding. So we are looking, if you take the XLP side, which is the power cable side, our medium voltage capability, which is your 11 kV, 33 kV and then in this expansion, we will also have the ability to manufacture 132 kV and up to 220 kV. So the testing equipment, manufacturing equipment, everything is going in. So our total capacity to produce medium voltage cables and up to 220 kV cables, if we aggregate that, it will go up by 4x from what it is as of today. So there is a new line, two new lines coming in, two existing lines getting transferred to the new plant and getting completely rebuilt. So that there will be not only this capacity expansion, but our utility costs and conversion costs will also substantially fall.

Then if you come to the low-tension cable side, because we do a whole lot of specialty LP cables, UL approved for the US market, which go into the residential, commercial, industrial, utility, etc. So that portion of the business also the capacity will double from what it is today. We are also looking at doubling the capacity that we have for the medium voltage cables that go into windmills. So we are seeing a big resurgence on the windmill side. And our sense is that there will be modernization schemes that will come up.

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If you look at the windmill landscape, if you see, once upon a time the wind power was much more than solar power, if you dial back about 10 years. And those windmills which have gone in are all very low capacity. The windmills are 250 kilowatts, etc. Today, the minimum standard is 3.3 megawatts, 3.5 megawatts. So, a lot of new windmills are being added to form the hybrid combination of wind and solar. In addition to that, we expect that over the next few years, a very good policy will come in which will upgrade the old windmills to be modernized for new windmills, because that real estate is already occupied by windmills which are actually of very low capacity, the best tracts of land where the wind is at very high velocity.

So, the wind side is also going to increase. We are substantially increasing; we have already increased our electron beam capability. There is one more machine coming in. So, the amount of solar cables which we can produce, we have doubled the solar cable production between FY '24 and FY '25, and we will have the capability to double that from FY '25 as we go into FY '27. So, all around you will see all categories we will have the ability to expand. We

are also bringing in some new equipment on the cable side to be able to make much higher volume of cables that go into the Indian defense where you need very specialized type of equipment to make those cables. We expect that over the next few years; defense spending is not only increasing but the indigenization content is also increasing. That includes the cables which we are going to supply.

So, all around we see on the cable side the growth and we do not want to miss out on these opportunities. So, we are expanding our capacity at least one year ahead of time because it is very difficult in a growth phase like this to time exactly when the growth will happen. So, all varieties of cables

clearly we have got expansion in place. The only area where we are not

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expanding is in optical fiber. The optical fiber side is because there we see that the OFC cable demand is actually quite poor at this stage. So, our concentration is on everything other than OFC.

Amit Anwani: Right. Right, sir. My second question, sir, again on the US business, though there is a very good comeback and resurgence in US business which has happened for us this quarter and you highlighted there was some overhang. So wanted to understand what is still bothering us, will it be landed cost which because of tariff might impact our competitiveness? Because you have highlighted that the business in US is still strong, data centers plus the macro demand there, and you highlighted that massive imports are still happening in the US for cables and conductors.

Kushal Desai: Sorry, I am cutting you, there are three data points that I mentioned which is the best information that we have as of today. One is that there is an over \$20 billion annual import that is taking place and is likely to continue. Second thing is that the key exporting countries into the US, India even at the moment is not at a disadvantage relative to Mexico, Vietnam, Cambodia and Indonesia. So, in that sense also we are not so badly off. Hopefully the tariffs will be down lower than what they are.

The third thing is that the US is importing aluminum, and that at the moment is under a special Section-232 where the tariff is at 25%. And that Section-232 is based on products which need to be manufactured in the US in the long run, and is of strategic importance. So, if you look at these data points, it does not point towards us having, I am sure that we are very optimistic that things should settle down. So, you may find a little disruption in the short-term but hopefully it will iron itself out over time.

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Amit Anwani: Right, sir. Sir finally, any guidance you would like to give for EBITDA per ton growth or maybe also for the oil business EBITDA per KL, any guidance you would like to give for FY '26?

Ramesh Iyer: So in terms of oil division, the volume growth we are looking at about 6% to 8% and EBITDA guidance is about Rs. 5,000 to Rs. 6,000 per KL. In the conductor division, we are looking at a volume growth of about 10%, and EBITDA per metric ton of Rs. 30,000 plus tailwinds on a 12 months basis. In case of cable business it would be value growth of 25% and EBITDA range of 10% to 12% on a 12-month basis.

Amit Anwani: Thank you, sir. Thank you so much for taking my questions.

Moderator: Thank you. The next question is from the line of Jayesh Sundar from Axis Mutual Fund. Please go ahead.

Nitin: Hi, sir. This is Nitin here from Axis Mutual Fund. Sir, just one question on the non-US business. You articulated your context, I think, over the last two, three quarters that competition is really increasing from the Chinese players in the non-US market. But how are you thinking about it? Because it's also a very decent piece which is coming down q

uarter-by-quarter. So is there something backward integration or localization or putting a subassembly there helps you? I just want to know how as a promoter you are thinking about it. Will it structurally keep perennial issue? It keeps coming down only now. There is no chance of recovering back. How one should think about this business, if you can throw some light on the non-US part.

Chaitanya Desai: So the thing is, with the Chinese government policies, we have seen in the past also, at times they have kind of subsidized the aluminum and steel in China. So that has given the advantage at that time. But these things go in

cycles and cannot be predicted. So, we do not want to kind of do any

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backward integration or any such thing in China because, again, we may not be able to have that sustainable advantage. It's all dependent on how the Chinese government policy is from time to time.

Kushal Desai: On the contrary, we are looking at, and we had mentioned this in the previous earnings call as well, and we have gone ahead to appoint advisors to look at manufacturing in the United States. And so that exercise is actually going on. Because not only do you have tariffs and a potential tariff overhang, but there are certain projects which are being executed. And there are certain public utilities in the US who want to buy only US-manufactured products because of the way in which they get compensated etc., etc. It's a very complex sort of network in the US.

And there are customers who pay a premium for immediate delivery, very short notice delivery. So that exercise is going on. So rather than looking at backward integrating and doing anything in China, we are looking more in terms of wanting to produce and expedite production in the United States, given that market is such a large market, and will continue to be a large market over the next decade or so.

Nitin: Sir, the CAPEX which you have announced, does that entail a picture of putting something in US as well? Or that will be fresh investments that we should look this year announcement should come, or how are you thinking about that?

Kushal Desai: So this current investment is all the investment that's going into our existing manufacturing plants in India as well as there's a piece in the UAE for our oil business where we are putting in some new tankage and stuff over there. So it's all in our existing manufacturing facilities plus this greenfield facility coming up in the cable side. So the US will be something that will be over

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and above this. And then the growth numbers would be also different, wherein there will be additional growth to support that investment.

Nitin: Okay. Now why I am asking this sir, sorry for again now pressing on this because there's a recent agreement that happened with China as well, the FTA between the US and China. Can you throw some light, because now the articles are not out yet which product gets about 25% or a 30% duty versus us. Can you throw some light if when we send a conductor from here to US versus what China now will send to US, has the duty arbitrage has become very narrowed down or still the arbitrage is 20% to 30%?

Kushal Desai: So if you see, what has happened is that everything has reverted back with a 10% delta to what was existing. So there is an additional duty of 10% which is put on every single country, right? And in the case of China that additional is 30%, because previously the delta between others and China was 20%. So what the Trump administration has done is, they have recalibrated back to whatever deltas were there with a 10% increase. So that is what is happening in this 90-day period. I guess the Chinese 90-day period is a little bit different than the rest of th

e world because we were from maybe 9th of April onwards to put this in place. But otherwise the economics, I do not think that there is anything more favorable going to come into China relative to India, that Delta will probably remain, and the signaling is that it's going to remain at 20%.

Nitin: So basically I was asking this only that going forward the US itself will become very important for us and non-US will now face a perennial issue until unless you feel that you set up a plant in US, which can cater to the

other parts of the world at a less cost.

Kushal Desai: So the plant in the US, will look at catering to the US, and especially those utilities which buy US, products and which work on short deliveries. What

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Chaitanya has mentioned is that, even in the past the Chinese have done this, in the last 15 years, this is the third time that they are subsidizing by this time a lot more by 8% to 12%. But that adds up in multiple billions of dollars.

The way they do that is they subsidize the price of the metal for our industry, there are other ways of subsidizing for other industries. So that bill becomes a massive bill over a period of time. So they have after doing it for X number of months or up to a year or year and a half then they pull that off and then again you have a period where the Chinese people then, are not in a position to compete as much. So we believe that these sort of cycles of subsidy are there to meet a certain objective and when the bill becomes too hefty then it gets reduced. And we have seen that happen twice before in the last 15 years at least.

Chaitanya Desai: I will also add there that a lot of this is because the Chinese government has tried to help their manufacturers who earlier had a decent market in the US, and then finally they were out of the US, market. So then to help them to penetrate the rest of the markets this kind of subsidy is being given. So if suppose things may at some point not be, so difficult for the Chinese manufacturers in the US market, then it is possible that subsidy may also get reduced out. But we can't say for sure what will happen exactly as of today. But this is one of the reasons we were given to understand from people that we have been talking to in China.

Nitin: Got it. And sir this last question on the guidance of EBITDA per ton, I mean, this has become the very difficult number for us to predict but given the Rs. 30,000 per ton kind of a guidance next year, plus the tailwind, what Ramesh said, generally you know your order book of conductors from the very first day. It's just when what gets executed becomes difficult, right, to

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assess in which quarter. And in the current order backlog, is it safe to assume that 40% to 45% is still premium? And that's where, at that premium level, this guidance of Rs. 30,000 per ton is given on an annualized basis.

Ramesh Iyer: Yes. So the way the guidance has been given is based on an estimated number for 12 months. And a lot of it, we do not have an order book as of now, but it's more of medium-term guidance that we have given, because the pending order book that we have also has some deliveries that may fall beyond FY '27. About 20% of the pending order books are those deliveries that can happen after FY '26. And we, at the same time, we also get a lot of orders during the quarter, and that has to be executed in the quarter. So typically, it's very difficult to estimate EBITDA for our line of business, and we have always been saying that we need to look at this EBITDA on a 12 monthly basis rather than on a quarterly basis. But based on the premiumization and the mix changes that we have worked out, we feel that any time it could be anywhere about Rs. 30,000 plus tailwi

nds. That

depends on the kind of product mix and the geography mix that we do.

Kushal Desai: So you see last year also, there's been, because of the election year and things, a lot of HDLS and upgrade projects did not happen. They are also in the process of various tenders have come up, etc., etc. So if these premium things keep on happening, then if you saw, we had said that if

you take a five year period or an average, we were talking about Rs. 25,000 to Rs. 26,000, then we upgraded it to Rs. 27,000 to Rs. 28,000. Now with the mix of products and what we see, we can further upgrade it to Rs. 30,000. So as more and more time passes by on the execution of these things and the visibility on these things, then I guess we would be in a position to then keep revising the guidance. But Rs. 30,000 is a guidance which, as Ramesh says, it's a medium-term guidance that you can work on.

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Nitin: Got it. That's very helpful, team, and all the very best.

Kushal Desai: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from Valuequest. Please go ahead.

Sagar Dhawan: Yes, thanks for the opportunity. A question on the domestic conductors business. So we have seen a strong growth in the domestic business, about 64% growth in FY '25. Just wanted to understand going into FY '26, what is the outlook and what could be the drivers for growth to be able to grow from a very good growth we have seen in this year already, the domestic conductors business?

Kushal Desai: We look at the growth thing more from a blended totality point of view. The domestic business has grown 64%. What we look at, what is the higher EBITDA per metric ton, whether it be domestic or exports. And based on this thing and also based on our factory utilization, we are kind of executing the orders. So I would say that we will more be guided with a blended growth rather than looking at domestic and exports for the division.

Sagar Dhawan: Understood. Just a follow-up. Just based on the demand environment that you see in the domestic market today, would it be fair to assume that next year as well there could be a double-digit sort of a growth or any number on the, purely on the domestic growth outlook?

Ramesh Iyer: Yes. So the market outlook looks positive with the kind of transformation capacity and transmission line that is needed. And based on various documents that is there for 2030 till 2031 onwards, the market outlook is positive. Our growth will largely depend on where the higher margin for your metric ton is there. And accordingly, we will allocate capacity either

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to domestic or exports based on the profitability that we get out of the orders.

Kushal Desai: If I may just add to Ramesh's, like, we have grown by this percentage. As you saw in the opening remarks, that the transmission network has grown only by 2%. The transmission line network, because of various right-of-way issues, the election period, there's been a lot of manpower shortage also. During that whole election period, there was a big manpower shortage, etc. So if these plans are executed, and we can see that several very, very mega solar projects are coming up. Solar, wind, and hybrids are coming up. If the pace of the transmission line additions start increasing, then you will see even further levels of growth. That's one of the reasons why we have been quite aggressive in terms of wanting to add the CAPEX in place so that we can proactively get after the demand rather than react to the demand.

Sagar Dhawan: Understood, sir. Just in terms of the CAPEX that you are adding on the conductor side, you said Rs. 300 crores. How much of capacity are we adding in terms of metric tons per year by the CAPEX?

Kushal Desai: It

could be about 10% will get added. So about 25,000 tons, but this 25,000 tons is capable of being made for all the premium type products

as well, so you have HPLS, you have CPC, all of those high-end products can be made with this 25,000 ton expansion.

Sagar Dhawan: Got it. And one last question from my side, what would be our market share in the domestic conventional conductors market and in the AL-59, if you have the numbers off-hand?

Chaitanya Desai: It's about 25% or so.

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Sagar Dhawan: Understood. Thanks. Thanks for the taking my question.

Kushal Desai: It would be much higher than the HPLS and those premium types. Yes.

Sagar Dhawan: Okay. Thank you. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel: Yes, thanks for the opportunity. Kushal bhai, I have never seen you so much bullish in the last 15 years of tracking you. Given that you are spending close to Rs. 1,300 crores over the next 18 months, almost 50% higher than what your current gross block is at, and you have summarized your optimism that various government schemes and the CAPEX which is driving that. I have just one question on that. How are you going to fund this CAPEX of Rs. 1,300 crores? Because we have never done this kind of CAPEX in such a short period of time over in our history.

Kushal Desai: So, we just had discussions at the Board level itself on that. And the plan is to do Rs. 650 crores coming from our equity and Rs. 650 crores coming from a long-term debt. So, we will use a one-to-one equity-debt combination to fund this.

Maulik Patel: Got it. And the second question is that, in terms of, see, look at that when you had hardly any margin in Cable, 10, 12 years back, now you are almost Rs. 5,000 crores of top-line and 10%, 11% margin. Cable was hardly contributing anything to the operating profit at that point of time and now almost 30% plus. Where you are at and the way your CAPEX plan is that you want to bring Cable from Rs. 5,000 crores to Rs. 10,000 crores. Are we going to see more and more of a Cable Company in the future than the other two? Obviously, today, the conductor EBITDA is relatively on the

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higher side and probably sustained for the next one or two years. But eventually, in the next three to four years, the mix will be much more towards Cable and less towards other two businesses. Is that what you think about the business?

Kushal Desai: So I think, Maulik, our position is that we want to support all the three businesses, be agnostic to supporting one business more versus the other.

I think we did that raise, the equity raise in November of 2023, simply because we wanted a stronger balance sheet in place to allow all the businesses to grow on their own merit. So, whereas we see that the cable business has the largest addressable market, and as a consequence, as we are also growing from strength to strength in terms of all those specialty products, specialty applications, the conductor business itself, being 50% of our revenue, is also growing at a fairly rapid pace, all over the world, transmission lines are to be added.

So, we are equally bullish on both of those businesses. Within the oil business, the transformer oil business is also growing at double-digits. It's the other lubricant pieces which are growing relatively slower, and we are quite happy with that, let it be at whatever, and this still growing more than the market is doing. So, I do not think, as a management, I do not think we are looking at supporting one business more than the other. We would like to support each of the businesses on its own merit, and as long as it makes

economic sense to invest in that and grow it, we

are going ahead and

doing it. So, you will see the cable forming a larger percentage of the total revenue because it is going to grow at a faster pace than conductors, and the oil business will probably be at the slowest pace of the three. Already, in FY '26, you will find the cable business being larger than the specialty oil business in terms of revenue.

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Maulik Patel: No, I think profit it is already much larger than the TSO segment. Just one question on the net earned balance sheet. What is the acceptance on the books at the end of FY '25?

Ramesh Iyer: It's about Rs. 3,500 crores, Maulik.

Maulik Patel: We remain the same, right? I think, compared to last year, the number has been pretty much stagnant.

Ramesh Iyer: Yes. Because we have deployed a lot of cash into cash purchases, the available profits have been deployed into cash purchases, and that's where as you know. And also, the earlier statement that we talked about the funding of that, half of it will be debt and half of it will actually be internal accruals, just instead of equity. Equity actually meant already the internal accruals or internal cash that we have on our books. So, currently, all this cash has been used to pay more or get purchases on cash basis. And therefore, as you rightly said, the acceptance level has increased. Once we deploy money of this cash into CAPEX, we will see a higher acceptances going forward.

Maulik Patel: You really see the higher number on the acceptance side next financial year?

Ramesh Iyer: Yes, as the money will get deployed into CAPEX, that is where it will get funded from.

Kushal Desai: But you will also see in the actual working capital management that we have grown the business and reduced the number of days that we use the cash. It's almost down by a week, seven to eight days, overall. So net working capital is also down seven to eight days.

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Maulik Patel: Got it. And just last question, if you allow me to, we heard earlier that some of these EPC players like KEC which has gone into and set up the conductor plant, right, own captive consumption. And I think Adani was looking to, and they acquired the Diamond Power, and they are also adding it. Why do you say this new conductor capacity is coming up in the domestic market and do you think that that will have any kind of bearing on a longer-term conductor margin? Because you have, I have seen that you keep adding your value-added products, you keep investing in R&D and stuff coming out with a new product, which has been your niche over the last seven, eight years. And that has reduced volatility in the conductor margin at a large extent. But these upcoming capacities, are they more for the traditional conductor or are they more for the specialist, I mean premium conductor?

Kushal Desai: So the thing is, Maulik, that the kind of investment, which is being made, for example, KEC in conductors, they will produce the conventional type of conductors, ACSR, AL-59. I think we not only produce that, and I have produced it quite efficiently because we are fully integrated, including doing our own alloying, etc. So they have developed their alloying technology for AL-59, but we have developed the alloying technology not only for AL-59, but we do gap conductors, ACSS, ACCC, we do a whole range of copper products.

Next year, our copper business will be over Rs. 3,000 crores, which will be, if you just look at the cable companies, we will be in the top 10 cable companies on copper. Not even 10, maybe the fifth or sixth largest. If you just look at it, copper has been produced on the conductor side. So, the business has evolved quite a lot. We do a lot of specialized EPC as well, which supports these premium products. So I thin

k, for us, we are playing
an infinite game. We are interested in increasing our own product mix,

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figuring out what are the products. So, you have got people like the large developers who are also bidding on TBCB lines to evacuate power from some of the generation sources that they have. We are in dialogue with them, saying that, why are you looking at only conventional conductors. We can offer you a full range of other products, which can reduce your losses, your cost of ownership, etc.

So the game that we are playing is now completely moved away from just producing a conventional conductor. The same thing is there on the cable side. On the cable side if you want to get into renewable energy, so on the renewable energy, there is a certain Indian standard, but there is a much higher standard that exists in Australia and in Europe. There is also a higher US standard that exists in the United States. So we are making products of all those standards. We are now pitching those products, and we supply thousands of kilometers to these countries.

Why do not you look at upgrading in India to those standards? Because they are all meant for being able to weather the weather. Temperature fluctuations, the hostility in terms of wind, sunshine, all those things. Water. You see, there is a lot of stuff going into deserts and into probably into the Rann of Kutch and those areas. So that's all salty terrain or it's desert terrain. So there are different types of products that can come up to better manage the application. Because these panels are supposed to last for 35, 40 years. We have just launched a new, we were the first to do APAR Anushakti in the country, the E-beam house wire. Now today, you have RR Cable has come in, Finolex has come in, Polycab has come in, V-Guard has come in. Everybody is trying to follow. We have come up with an upgraded product that instead of carrying 50% more current, it carries 100% more current.

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Instead of having 50-year life, it has a 70-year life. And this is zero-halogen product, so it's less toxic in case an accident does take place.

So I think we are constantly in a position to keep upgrading and that's the game that we want to play. So whether Birla enters this or whether you have Adani entering the wires business, I think there's enough and more business available for players like us to continue to innovate and sell in different segments and different geographies.

Maulik Patel: What kind of growth you delivered in FY '25 on the Anushakti side?

Kushal Desai: 37% growth.

Maulik Patel: That makes close to around Rs. 350 crores top-line on that?

Kushal Desai: Yes, about Rs. 375 crores. Yes.

Maulik Patel: Got it. Thanks. Thanks, Kushal bhai. Thanks very much. Thanks for taking my questions. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil Poptani: Yes. Hi, sir. Congratulations on a great set of numbers and thank you for giving me the opportunity. So my first question is like, in network Vodafone, there were a lot of companies that were front running due to

the US search. So have we seen searches value in our clients? And second, sir now with this, so much tariff wars in Q1/Q2, so are we expecting that companies will pilot in UK and then we will see an increase of inventory de-inventorization phase again?

Kushal Desai: Sir, your first question we did not understand, can you repeat?

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Nikhil Poptani: Sir, like in Q4, we have seen a lot of companies front running their tariffs. Like a lot of companies started building up their inventory, so have you seen the same phenomenon?

In the secondary, now with the tariff pause, so our companies start building their inventory and now are we seeing inventories being built up and then we will see a phase of de-inventorization in Q2 or Q3?

Kushal Desai: So, it's a good question. I do not think, Nikhil, that's not what we are seeing at our end. We have a significant amount of our shipments which are going in directly to EPC players and project sites. So, those are against specific requirements which are there. We are not really seeing a big inventory build-up. Also, many distribute, import distributors wanted to place much larger orders on us but we had already booked out our capacity. So, we were not in a position to take on, we did not have any spare capacity. Everything was already allocated, and orders were booked. So, those are getting executed.

And the kind of client mix which we are looking at because now we have got a bunch of, we have got a sales team on the ground and working with manufacturing reps. We are no longer looking at being overly dependent on an import distributor. We are the ones who, actually stock up. They also sell a lot of cables in their own brand name through multi-listing on the US, whereas the APAR focus is to sell also a lot of APAR branded products with approval from end customers.

So, I think for us the overhang is just basically in terms of the tariff and clarity on that so that people can price their product, correctly. And our sense is that hopefully it will get resolved within the period of these 90-days. And then as the business, the new orders start coming in, they will come in from a much larger set of customers. So, we are not worried about

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any front-loading or, front-running, etc., or an inventory overhang. At least as of now, that does not seem to be the case.

Nikhil Poptani: That's great to hear. That's absolutely great to hear. Sir, my second question is, like, how were the inquiries in the month of April and May? And now, as you said that China is providing 8% to 12% subsidiary. So, are we expecting price wars in the US, market too?

Kushal Desai: So, the serious buyers have actually been quite wary of wanting to, sign things up. The US China relationship, as you can see, is extremely volatile. And, the 90-day truce, as I mentioned just a few minutes earlier, which is there, is keeping the same delta as was one existing before. So we do not see anything like substantially changing as such. In fact the Chinese competition is hurting us in non-US markets, we are not so worried about China in the US market. We have to compete with them in other non-US markets.

Nikhil Poptani: Okay. That's great to hear sir. And sir now as we have upgraded our guidance from Rs. 28,500 EBITDA per ton to Rs. 30,000 EBITDA per ton. So are you assuming that EBITDA per ton has bottomed out. Now there's only upper credit trend going forward?

Ramesh Iyer: No, we have been saying this earlier also, we need to look at it on a 12

months basis and that is how we have given this guidance. So there will be some quarters where EBITDA is low, some quarters EBITDA is high, because of the nature of the business is such that it is all made to order business. And therefore we need to look at a long-term 12 months or even beyond that to get a good feel of the numbers.

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Kushal Desai: But as things are as you have premiumization being played, as you move from conventional ACSR to AL-59, all that, so fundamentally the product mix should drive it upward.

Nikhil Poptani: Okay. That's great to hear, sir. My last question is on the new Trump administration is not the plan of renewable energy, they are moving to coal-based. So have we seen any kind of clients having lower confidence in renewable energy

, renewable energy CAPEX, something like that?

Kushal Desai: So, the point of view that we have been able to gather through various customers and whoever we are in touch with, including developers in the United States, is that solar and solar including the energy storage, the ESS system, is the cheapest form of energy available to add in the shortest period of time. So the solar side of the business is going to continue. You have more and more US manufacturing also being set up, Waaree, for example, has set up US manufacturing.

I think other manufacturers from India are also exporting panels to the US. So the solar side looks very much intact. The wind is a mixed bag. There are certain corridors in the US which are extremely windy and can carry a high plant load factor. So those corridors you can continue to develop. What is likely to stop is the subsidy that is going on, on the wind side. And the offshore wind, which is being built only with subsidies pretty much for making it viable, that is to be forgotten as far as the US is concerned. So we do not see the renewable story completely ending. We see the subsidy story ending. So the renewable that is actually able to stand and expand based on its own economics will continue to expand. And see, today the permitting in the US, is very, very tedious and whatever direct information we have, it takes 10 to 12 years to get permitting to build a transmission line in the US, versus three years in India. So there are similar

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issues are there for building power plants and power sources as well. So you will see solar addition happening because that is the fastest way of being able to actually get power. If you add it along with battery storage capacity, then you are able to deliver power 24/7.

Nikhil Poptani: Okay, sir. That's great to hear, sir. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Vimox Shah from Goyam Luxy Fintech Private Limited. Please go ahead.

Vimox Shah: Thank you for the opportunity. And congrats for the good set of numbers. So most of the questions you have answered, I have just one follow-up question, sir, like in the last quarter, you were mentioning that companies are supplying the cables to the major data centers, like you were mentioning, like Microsoft, right? So you are actually the liquid cooling solution, right, but making a test site. So has there been any progress on this development?

Kushal Desai: So we, at the moment, I am not we have developed a product here. We are still looking at how to test market it, etc., because, the liquid dielectric, first of all, most of the data centers today do not use liquid. There are a few companies overseas that have been, supplied as a system. So we have not really made any progress on that front. We are still working, knocking on

doors and trying to figure out how we can get a trial for that to happen. In the meantime, the cables which are being supplied are being supplied on, basically in the substation and substation to connecting to the data center equipment. That side of the business is what we are covering today.
Vimox Shah: Got it. Thank you.

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Moderator: Thank you. The next question is from the line of Avnish Tiwari from Vaikarya. Please go ahead.

Avnish Tiwari: My first question is, what is the tariff on the US, exports you are doing for the cables? Say, in May, you are paying compared to what were you paying in February or March. And the delta which you are experiencing now, how is it being shared between you and your end customers, whether it is importer or whether it's an actual customer in the US?

Kushal Desai: So the basic duty remains intact. So the basic duty that we were paying on cables is 4.9%.

So for argument's sake, you can take it as 5%. Now whatever has been put here is a reciprocal tariff. So that applies over and above. So the 10% or 26% or 46% or whatever it is, is over and above the basic tariff which is in place. So currently it is at 5% plus 10%.

Avnish Tiwari: And the additional 10%, how are you sharing it between the importer and yourself?

Ramesh Iyer: So there are different contracts with the customers. Some contracts are on FOB, some contracts are on DDP. Some are deliveries below, before July 9. Some are deliveries after July 9. In some cases, we are talking to some of the customers who are agreeing to share a part of the duty. So those all mix and combinations are actually happening at the moment.

Kushal Desai: So all the FOBs is absolutely no problem. The DDPs, we have had to sit and negotiate with customers. So there's been some portions where there's been a combination. We have picked up part of it. Customers have picked up part of it. Some of the contracts have allowed us to pass the whole thing on. So overall, we would not see some major impact, at least for this 10% tariff field.

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Avnish Tiwari: Okay. That's good to hear. So basically, the dominating part is FOB or where most of the pay is shared by the importer. You only take part of it, a small part of it.

Kushal Desai: Yes. So the bulk of the business which we are executing right now is in that bracket.

Avnish Tiwari: Right. The second question is that what are the dominating types of cables you export to the US? Are these less than 1,000 V or higher, more than 1,000 V? And what is the key raw material in this thing, aluminum or copper?

Kushal Desai: So the bulk of what we export is all aluminum alloy. So there's a special alloy which is used in the United States, which is an 8000 series aluminum alloy. So we produce the alloy ourselves, the rods that is from our rolling mills in the conductor division. Then they are aged and then made into conductors and then finally insulated to make the cables. So there's a whole section on our website. If you go and see, you will see a set of UL approved products. So those are the products which are being manufactured and shipped to the US. There are a few copper products as well, which is a relatively very small volume. The bulk of the volume is aluminum alloy.

Avnish Tiwari: And these copper products would be cables of less than 1,000 V or more than 1,000 V?

Kushal Desai: So the copper products which are being exported right now are basically

medium voltage cables which are with copper in. So we are not doing any lower end copper because there's the US has zero duty on import of copper even today. There is a 25% duty on import of aluminum. So aluminum has been a strategic manufacture in the US, whereas copper is something that even today the government believes that it should be

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imported in the US, without tariff. So our whole strategy is to focus more around products that are aluminum based where APAR has always had strength.

Avnish Tiwari: So in less than 1,000 V are they typically using copper or aluminum if you want to do in future?

Kushal Desai: So the US, is largely an aluminum market. Aluminum alloy market.

Avnish Tiwari: Less than 1,000 V, no, I am just talking about normal cables.

Kushal Desai: Less than 1,000 V, above 1,000 V only special applications you use copper over there. Otherwise predominantly it's aluminum.

Avnish Tiwari: Got it. Mostly it's the aluminum market then, okay.

Kushal Desai: Yes.

Avnish Tiwari: And last question I have is that you talked about Mexico also having the duty. But my understanding was most of the cables are under USMCA in Mexico. Is that, like, you are talking about mostly alloy which is not part

of this USMCA, or you think cables are also not part of MCA and they are attracting duties?

Kushal Desai: Right now, from our understanding is that unless and until Mexico comes up with anything different they are also facing the same tariff situation as India. The minimum tariff is 10% whatever you want to bring into the US. Unless there is a very specific FTA in place which is like the first one that they signed is with the UK. Nobody else has signed anything specifically as of now. So we are in the same boat as Mexico as of today.

Avnish Tiwari: Okay. So your understanding is that these cables or alloy you are exporting are not part of MCA, USMCA in Mexico?

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Kushal Desai: Yes, I mean whatever we hear from our customers is that there is nothing advantageous currently in Mexico other than the short delivery cycle that is there.

Avnish Tiwari: Okay. Great. Thank you very much. And if just a last question I can pitch in. How much extra either margin at the contribution level or EBITDA level you make or better margin capital comes in that same cable or you are selling to US, export versus in India?

Kushal Desai: The US is very tricky to just put a number because it is a combination of FOB and DDP. So it's not a number that I would like to hazard any guess. It keeps changing depending on who wants to buy FOB versus on a DDP basis. So EPC players normally want it on a DDP basis, but actual users are very happy to buy it on an FOB basis. So they have the full transparency of freight.

Avnish Tiwari: Right. But you make higher margin in US export versus India sales. Is that fair to understand?

Ramesh Iyer: So it depends on different products and mixes. So on an apples-to-apples basis, we cannot actually compare this because different products go for the US market and different products are there for Indian market. And we do not actually give out geography-wise margins for the division.

Avnish Tiwari: Okay. Great. Thank you very much.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Just a follow-up. Is it possible to share the annual US contribution in overall and as well as within the conductors and cables this year, FY '25?

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Ramesh Iyer: So the margins we do not share, Amit.

Kushal Desai: Are you talking about the revenue that we have done?

Amit Anwani: Yes, yes. Revenue contribution.

Ramesh Iyer: Overall, the US would be slightly on a higher single-digit compared to the total consolidated turnover.

Amit Anwani: And sir for cables and conductors?

Kushal Desai: We have done about Rs. 1,000 crores in cables. About Rs. 1,000 crores in cables and --

Ramesh Iyer: Rs. 600 crores.

Ramesh Iyer: Rs. 600 crores on conductors.

Kushal Desai: Rs. 600 crores on conductors. About Rs. 1,600-odd crores approximately overall. So that's why, Amit, it's lower.

Amit Anwani: How much was this last year? Rs. 1,600 crores on what base, FY '24?

Ramesh Iyer: We have given that in our corporate presentation. It was slightly degrown still compared to last year on an annual basis. But sequentially, things have improved. Every quarter has been better than the earlier quarter when it comes to the US

Amit Anwani: Yes. Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Raaj from Arjav Partners. Please go ahead.

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Raaj Macwan: Sir, I would like to start on the outlook part. For FY '26, you are intending to grow. And I couldn't hear that. So, can you please repeat it?

Kushal Desai: Sorry, your line is breaking up. We are not able to hear you.

Raaj Macwan: Sir, for FY '26 outlook, I just skippe

d your comment. So, can you repeat it again?

Ramesh Iyer: Yes. So, on the oil division, we are giving a top-line volume growth of 6% to 8%. EBITDA level margin, Rs. 5,000 to Rs. 6,000 per KL. Cable division, top-line value growth, 25%. EBITDA percentage, 10% to 12%. And conductor division, volume growth, 10%. And EBITDA per metric ton, Rs. 30,000 plus tailwinds.

Raaj Macwan: Rs. 30,000 plus?

Ramesh Iyer: Tailwinds.

Raaj Macwan: All right. All right. And also, can you repeat on the CAPEX part? How much? In what division?

Ramesh Iyer: About Rs. 1,300 crores of CAPEX. About Rs. 200 crores coming from oil division, Rs. 300 crores in the conductor division and Rs. 800 crores in cable division.

Raaj Macwan: Okay. And how much time will it take for all these three to come on stream?

Ramesh Iyer: 15 to 18 months.

Raaj Macwan: Sorry, 15 to?

Raaj Macwan: 15 to 18 months, all right. And how much will be your expended capacity percentage?

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Ramesh Iyer: So, it will grow for the conductor division it may grow by about 10% in terms of capacity. For the cable, as we already mentioned once the entire plant is commissioned then it will have capacity to generate revenue of about Rs. 10,000 crores once it is fully commissioned.

Raaj Macwan: All right. And for the oil part?

Kushal Desai: So the oil, there is no real capacity constraint other than on the auto-industrial side where today we run two shifts and we can just add a third shift in place. So this investment is going in largely in terms of building a storage facility in the port in JNPT and expanding our storage capability in Hamriyah as well in the UAE. So right now, almost 24 million liters of storage space we have on a rental basis from third parties in Mumbai. So that is going to get collapsed into about 30 million, 35 million liters storage which we are building out in JNPT. That also has a big productivity boost on the supply chain side because the ship will directly be able to unload from a ship in those tanks.

Raaj Macwan: All right. Understood sir. Okay sir, thanks. All the best.

Kushal Desai: Okay.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Markets Securities. Please go ahead.

Mayank Bhandari: Thanks for the opportunity. Sir, I just wanted a few data points if you could provide. In the cables revenue how much would be the B2C revenue? How much would be the defense telecom cable revenue, EHV revenue, and of course railways revenue?

Kushal Desai: We do not give out so detailed revenue break-up for the division. But I can tell you about this B2C is about Rs. 375 crores that I have mentioned earlier.

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Apart from that the nitty-gritties of revenue coming from each is that something we do not give out.

Mayank Bhandari: So have we started supplying to defense telecom?

Kushal Desai: You mean defense telecom? For us there are two separate verticals. One is defense and the other one is telecom, so it depends.

Mayank Bhandari: Cables that we are supplying to the defense.

Kushal Desai: Yes. So that is something that is ongoing, we would see that in the future as more and more localization is taking place, the volume should start increasing as I mentioned in my earlier comments that we are bringing in additional equipment as well which can help produce larger quantities of some of the sophisticated cables and so on, for the Indian Navy particularly.

Mayank Bhandari: What about EHV, sir? Are we doing any evaluation in EHV?

Kushal Desai: So, as we complete our expansion in the cables side, currently we are able to produce up to 66 kV. So this will go up to 220 kV that we will be able to produce.

Mayank Bhandari: No, does this contribute any revenue in FY '25 EHV?

Kushal Desai: No. Because

by the time the capacity goes in place and gets implemented, then post that we will start hunting, we will start working on getting approval. So, you will see that revenue not coming in FY '26 at all, you may start seeing small portion coming in FY '27 but a larger portion coming in FY '28. In the meantime, that same equipment is capable of producing up to 220 kV. So you will produce the other voltage levels until those approvals come in.

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Mayank Bhandari: What about the wind, sir? Wind cables?

Kushal Desai: So, wind is produced on totally different equipment where we are also

looking at doubling our capacity. And those are elastomeric cable or rubber cable. So, that production is also going to be doubled in the same time frame. And that's part of the Rs. 800 crores CAPEX.

Mayank Bhandari: No, I am just checking if we would give the contribution of the renewables cable revenue in the total cable revenue right now.

Kushal Desai: So, we are not giving these detailed breakups as such pertaining -- go ahead.

Mayank Bhandari: And last, what is the interest on the interest-bearing acceptances in FY '25? Interest number?

Ramesh Iyer: It's about range from 6.5% to 7.5% over a period of time.

Mayank Bhandari: 6.5% to 7.5%. No, I am asking the absolute number out of the total interest expense.

Ramesh Iyer: Out of total interest, you see about 90% would be on the acceptances only because we have very less debt on the balance sheet. Most of it would be out of acceptance only.

Mayank Bhandari: Last year, FY '24, this number was around Rs. 240 crores.

Ramesh Iyer: Yes, large part, almost everything would be out of, we have just one ECB loan on the balance sheet. Apart from that, everything else is actually the interest on the acceptances only. And that disclosure is there in the balance sheet, the interest part of the ECB loan.

Mayank Bhandari: Okay. Any guidance on FY '26 for the interest expense?

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Ramesh Iyer: So it will go in line with the volume of the business as all of this is relating to acceptances as the volume of business growth. The interest cost will go up. Also, the interest cost depends on the price of aluminum and copper, on the value of that purchases. So, depending on the price of the metal, this fluctuates.

Mayank Bhandari: Okay. Thank you. That's it from my side.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Yes. I would like to take the opportunity to thank everyone for participating in our Q4 and financial year FY '25 earnings call. Just to summarize, we do have a few overhangs like, the US, tariff situation, which will hopefully get clarity and sorted out in the next few weeks. But overall, as a management, we continue to remain very bullish on our business. We are putting in Rs. 1,300 crores of CAPEX, which will go in over the next 12 to 15 months and then get commissioned thereafter. This is in addition to Rs. 500 crores which we have put in FY '25. All the three businesses are poised to be able to grow. The product ranges also as well as the premiumization of product and customers is something that we are working on. And whereas, it's always difficult in our business to predict quarter-by-quarter, but if you take a medium-term view, we continue to remain very bullish on the growth of the business. So once again, thank you so much for attending our call and goodbye.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

SEC/ 0408 /2025 By E- Filing August 04, 2025

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department

BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of the conference call on Un -audited Financial Results
(Standalone & Consolidated) on Q1FY26 (2025 -26)

Ref.: Reg. 30 read with Schedule III & all other applicable Regulations, if any, of the SEBI
(LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated July 29, 2025, under Ref. no. SEC/ 2907/2025, w.r.t. submission of Audio Recording link of the conference call on the Un -audited Financial Results (Standalone & Consolidated) of the Company for Q1FY26 (2025- 26).

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are submitting herewith the transcript of the conference call made on July 29, 2025 on the Un -audited Financial Results (Standalone & Consolidated) of the Company for Q 1FY26 (2025- 26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary
Encl. : As above

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“APAR Industries Limited Q1 FY’26 Earnings
Conference Call”

July 29, 2025

MANAGEMENT : MR. KUSHAL DESAI - CHAIRMAN & MANAGING DIRECTOR,
APAR INDUSTRIES LIMITED

MR. CHAITANYA DESAI - MANAGING DIRECTOR, APAR
INDUSTRIES LIMITED

MR. RAMESH IYER - CFO, APAR INDUSTRIES LIMITED

MODERATOR : M R. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day and welcome to the APAR Industries Limited Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you and over to you, sir.

Ambesh Tiwari: Thank you. Good afternoon, everyone. I welcome you all to the Q1 FY’26 Earnings Call for APAR Industries to discuss the ‘Business Performance’ and ‘Outlook’.

We have from the Management side, Mr. Kushal Desai – Chairman and Managing Director; Mr. Chaitanya Desai – Managing Director and CFO – Mr. Ramesh Iyer.

I will now pass on to Mr. Kushal Desai for Opening Remarks. Thank you and over to you, sir.

Kushal Desai: Thank you, Ambesh. Good afternoon, everyone and welcome to the APAR Industries Q1 FY’26 Earnings Call.

I would like to start by actually giving a quick overview of our performance, then get into a quick industry update and then post that we can look at the segmental performance and finally open the floor to questions.

We have started off FY’26 with a notable 1st Quarter Result. Our revenue for the quarter grew 27.3% over the same period last year to reach Rs. 5,104 crores and this was driven by growth in the domestic business particularly. Export revenues contributed about 31.6% to the turnover. Our EBITDA is up 27% year-on-year to about Rs. 501 crores which is at a margin of about 9.8%. Profit after tax came in

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at Rs. 263 crores which is about 30% growth year-on-year with an absolute margin of 5.2%.

In terms of key industry highlights:

India's renewable energy sector has recorded its strongest growth in the last three years with power generation rising by about 24% in the first half of 2025 compared to the same period in 2024. The renewable power generation has reached 134 billion kilowatt hours in the January to June period which is the highest semi-annual growth rate that has been seen right from 2022 onwards. June 2025 alone added about 7.3 gigawatts of renewable energy. This is about four times what it was in the same period a year ago which was 1.4 gigawatts. So, this sharp increase has primarily been driven by both expansion in solar and wind and this has been further advancing India's clean energy transition.

In the meanwhile, you will also find that coal-based electricity generation has declined by nearly 3% in the first half of 2025 and this was influenced to some extent by milder summer temperatures that reduced the overall power demand. However, we expect that in the short to near term there will be an increase in conventional energy as well to ensure that the base load is being maintained.

In terms of recent tenders and projects in the renewable sector:

I would like to point out that in June 2025, approximately 6.8 gigawatts of renewable energy tenders were issued for project development reflecting that the sector is still seeing momentum. SECI which is a solar energy corporation of India has invited bids for 2 gigawatts of interstate transmission systems connected to solar projects along with additional between 1 gigawatt and 4 gigawatts of energy storage systems as well. During the same period, 520 megawatt of EPC tenders were announced including 260 megawatt of solar EPC floated by NTPC in Rajasthan. Further, about 1.6 gigawatts of BESS, which is battery energy storage

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systems capacity and 312 megawatts of renewable energy capacity were also awarded to develop

pers. So, there is a lot of action that is happening in this sector and you will see that increasingly more and more systems are requiring storage solutions in place.

On the transmission side:

According to Central Electricity Authority India has added 22,190 MVA of new substation capacity in the 1st Quarter of FY'26. This is of 220 kV class and above and this is more than double what was added in the same period last year. However, this achievement is still significantly short of the planned capacity which was supposed to be 48,185 MVA for the quarter. So, there is a pent-up demand which is continuing to be built up. In contrast, the addition of transmission lines in the 1st Quarter of FY'26 was much below target. Only 1,031 circuit kilometers of lines which are 220 kV and above were added, representing just 17% of what had been targeted which was 6,000 circuit kilometers. Some of these delays have been actually attributed to segments where the right of way has not come through and there is a lot of attention being provided to get these clearances and once again, we feel that as these clearances come through, there will be significant call-ups and demand coming up. So, in the full year FY'26, the planned addition of transmission lines stands at 24,400 circuit kilometers, which is planned to be 2.5 times what it was in FY'25.

Now, coming to more specifically the business performance by each segment, I will cover the conductor segment first, follow that up with the Specialty oil segment and then finally close with the cables.

So, in terms of our Conductor Division:

Q1 FY'26 revenues grew by 43.9%, say 44% year-on-year on the back of improved product mix, higher realization as well as volume growth. The volume has grown

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by about 18% versus Q1 FY'26. Exports contributed about 20% to the overall revenue of the Conductor Division as opposed to almost 30% in Q1 FY'25. As I mentioned in my opening remarks, on the conductor side, the domestic business was quite strong during this period and the domestic order book as well as the expected business to be awarded as I mentioned in my opening remarks continues to look strong. Our US revenues grew by almost 83% over Q1 FY'25 and 8.6% over the fourth quarter of FY'25. Looking at our premium product mix that contributed 43.5% in Q1 FY'26 compared to 37.1% in the last year. On the

profitability front, the EBITDA post-open period FOREX came in at Rs. 43,688 per metric ton as against Rs. 38,532 per metric ton in the same period last year. This can be attributed to an improved US and export product mix as well as growth in the premium business. If you look at the order book, our current order book stands at Rs. 7,779 crores and the new orders received during the quarter were about Rs. 3,135 crores. So, all in all, the conductor business has put in a very strong performance.

Coming to the oil business:

Even though the revenues seem to be flat over last year, given that the average price of crude gas oil and some of the derivatives were lower than the same period previous year, however, the volume has grown by 8.1% compared to Q1 FY'25. Transformer oil volume was higher by 7.4%. The domestic transformer oil volume grew by almost 20%. So, it's really the overseas business which was a bit slower. Automotive oil grew by about 8.4%. Industrial lubricants grew by around 15.9% year-on-year. However, as I said, the export side was a little bit slower. Many transformer oil projects in some of our key markets like Saudi Arabia, South Africa and Australia have got a bit delayed. We do have a strong order book but its execution has been pushed out by a few months. For the first time, the export mix actually came down to 36.7% which used to always remain 40%+. Last year, on a comparable basis, it was about 45% of our revenues. Our expectation is that this

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is a temporary blip and as the project executions start picking up, you will see this whole equation reverse. When you look at EBITDA per KL, it came in at Rs 7,004 as opposed to Rs 6,935 per KL a year ago.

Now, coming to our cable segment, revenues in Q1 FY'26 posted a revenue growth of 36.3% and revenues have reached Rs 1,419 crores. There has been a strong export performance in the cables segment. Domestic revenues grew 19.7% year-on-year whereas our US revenues actually grew 136% over the same period last year. Part of this was customers calling up product to meet a deadline of 1st August where tariffs will change pending a conclusion on the tariff agreement between India and the US. So, if you look at the export mix, it came in at 41.3% versus 33.2% a year ago. If you see EBITDA post FOREX that also grew almost proportionately by 32.2% to reach Rs 142 crores. The EBITDA margin came in at around 10% which is marginally lower than what it was in Q1 FY'25. The current pending order book stands at about Rs 1,653 crores.

If you look at exports in the non-US markets, we continue to encounter some headwinds due to the subsidized exports taking place from China. I mentioned in the last earnings call that we had at the end of the full year results where Chinese products are being subsidized by between 8% and 12% and that trend continues. The trade deal with the US unfortunately has not yet been closed. So, the impact on India still remains a bit uncertain until this issue is settled. However, pending the finalization of the import duty structure, we are given to understand that many US clients are sitting on the fence. They are going a little slower in terms of ordering as they are not clear exactly what the landed cost will be. Having said that, we are hopeful that the India duty rates should not be a huge disadvantage compared to some of the countries that so far, we have been having to compete with which are fundamentally Vietnam, Cambodia, Indonesia, Korea, Mexico and the EU. However, we are optimistic that in the medium-to-long term, the demand in the energy sector with all the various initiatives that are running continues to

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remain strong. In Europe, ESG requirements are continuing to increase and in fact, participation in tenders is becoming contingent upon clearing a certain basic ESG screening. So, as I mentioned in the last earnings call as well that we are continuing with our planned CAPEX spending of about Rs.1300 crores. So, far, we have incurred Rs.150 crores of CAPEX in Q1 and we additionally expect, based on the orders that have been placed, about Rs.350 crores to be spent in the next few months, within the quarter maybe running up to the month of October. This will enable us to be prepared for the future and tap the various opportunities that come by.

I would also point out that we have a detailed corporate presentation in the investor section of our website. Also, this year APAR has released an integrated annual report. It is a very comprehensive report which covers not only the financial performance but it integrates ESG considerations within the report. We would be happy if all of you go through it and if any of you have any feedback because this is a gigantic exercise that has been undertaken and it is for the first time that we have done it. Please feel free to give us your comments and feedback because this is something that will continue going forward.

So, with this, I would like to come to the end of my comment and I would like to turn it over for any questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.

Vidit Trivedi: Hi, sir. T

Thank you for the opportunity and congratulations on a great set of numbers. My first question is with respect to the Conductor Division. We have seen the realization as close to 43,000. My question is how sustainable are these levels or should we stick to the earlier guided range of 30,000 plus tailwinds?

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Ramesh Iyer: Yes, we have always been saying this. Our Conductor Division because of the various products that we have, the premium and non-premium mix changes and also the geography mix changes and different product categories have different margins. So, always they have been saying that our guidance has been about 30,000 plus tailwinds and in many ways the tailwinds are not so easy to predict. So, we continue with the same guidance, 30,000 plus tailwinds and the tailwinds will depend on the use of premium mix and non-premium mix on the various metals involved, the geography mix, the kind of products which are there.

Comprehensive mix of that will determine the EBITDA for the quarter.

Vidit Trivedi: Got it, sir. Second, on the U.S. growth this year in the Conductor Division, it's close to 83%. So, can we assume that this is also because of the pre-buying? As sir mentioned that in the cables division, a lot of activity was seen because of the pre-buying?

Ramesh Iyer: Yes, so. To some extent, yes, we can see that one of those activities because this duty structure is uncertain at this stage and therefore customers have been insisting for some early deliveries.

Vidit Trivedi: Sir, what's the rate of duty when we export to the U.S. and the other players export to the U.S.?

Ramesh Iyer: Ours is subjected to reciprocal tariff which is 10% plus the duty which was already there about 5%. That is what the products from India we are subject to. But different countries have different rates of duties. In some cases, the reciprocal tariffs are there and also as you have been reading the newspapers, there is a duty on aluminum and steel also. So, that duty is different and the reciprocal taxes are on top of that.

Vidit Trivedi: Got it, sir. Thank you. All the best.

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Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Hi, sir. Just first question on the conductors. When we look at your export mix on a quarter-on-quarter basis, it has still not moved that much as a share in conductors. Then it looked like to us that this realization growth has come from the domestic side largely. Can you throw some light? Is this analysis correct and how you're seeing domestic prices specifically AL59 and also if you can throw some light, do you think there is a likelihood of expanding more of these capacities because you yourself said that domestic demand continues to remain strong. So, just on one of that aspect, if you can throw some light.

Chaitanya Desai: So, on the first point, it is correct that the domestic market is the one which has driven the growth compared to the export. And on the second point, the various products which we have been expanding in on the copper side as well as on the aluminum side, both have grown in the domestic market. We see more of a possibility of growth in volume rather than expansion in margins, especially on

AL59.

Nitin Arora: And on the pricing of AL59, how that has been panning out? Why I am asking you this because it was always our exports which used to drive EBITDA per ton or realization per ton on the conductor. But this is the first time we are seeing that export market is so strong that it's taking your EBITDA or rather your realization or EBITDA per ton so higher. So, on the pricing side, do you see any risk in the domestic market or you think the demand is so strong that this pricing will remain fo

r the next 1-2 years or 3 years? How you are looking for a little on a longer term?

Ramesh Iyer: So, Nitin, the function of EBITDA was one, exports as you rightly said, but also the function was on the premium products that we have been selling in the domestic market. We have the premium products that get sold on the domestic market and the standard products that goes to the export market. These two have been APAR Industries Limited Q1 FY'26 Earnings Conference Call
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accounting for the high EBITDA margins. And as you have seen in the earlier, even in the non-premium part of the domestic business, largely because of AL59, we have been able to get a higher price as compared to the traditional ACSR conductors. And as of now, and it has been happening for the last 2-3 quarters, the entire AL59 has replaced the traditional ACSR market. So, there are these three things at least on a big scale that is accounting for the higher EBITDA. Export was just one part of it, but the high premium mix as well as more use of AL59 has also added to the EBITDA margin for the division.

Nitin Arora: Just one on that export part, I think you explained in the last call as well, because one is obviously the reciprocal tariff. The other part, even on the steel, aluminum, they are putting a lot of tariff. I am talking about US. That's where sir touched base that there might be a situation that he might start looking putting capacities there. Because as you rightly said in the starting of your point, what will be the landed cost, nobody knows at this point in time. And that's for every country, given steel and aluminum, I think the duties are similar. India is not known how much they will put on us, but at least for the other markets, the duty on steel and aluminum is about 30%-40%.

Kushal Desai: I will just clarify that. The tariff in the US, there is one which is a reciprocal tariff. However, the basic materials, which is steel, aluminum, copper and a few others are falling under a completely separate classification called Section 232, which are products of strategic nature to the government of the United States. There, the tariff is an absolute tariff. Currently, for all of these three items, that is steel, aluminum and copper, it is at 50%. If a local conductor manufacturer need to import aluminum or someone needs to import copper or steel for that matter, they also have to pay 50%. So, the situation is a little bit fluid in terms of where this is finally going to settle. Because just recently, it was just about a month ago that it was increased from 25% to 50%. And copper, which was previously zero, has also come into this 50% band. So, there have been so many changes that have APAR Industries Limited Q1 FY'26 Earnings Conference Call
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happened that I think a little bit more time will allow all of this to settle down. In the meantime, there will also be some more clarity in terms of the reciprocal tariff that India will have with respect to the US. What I mentioned earlier in terms of the rates with some of the countries from where imports are taking place, that is a reciprocal tariff. So, the Section 232 is an absolute number. There is no reciprocal tariff, nothing. It is just a fixed number irrespective of pretty much where the import takes place. I just hope that I have clarified this. A little bit complicated, but this is what our understanding is based on whatever US advisors have informed us.

Nitin Arora: So, this is very helpful. So, basically, anyone either you supplying from India or someone else supplying from the other country, the raw material import cost is the same or any US local player also importing that, the duties are the same as of now.

Chaitanya Desai: The American manufacturer will have a 50% duty on his raw material, not ours. We don't have 50% on our raw material.

Kushal Desai: So, supposing we are exportin

g a cable which is having aluminum in it at the moment, so right now the reciprocal tariff is 10%, the basic duty is 5%, so you end

up paying 15%. If today I file a bill of entry in the United States for aluminum ingots, it would actually attract a 50% custom duty under Section 232. Now, what the final Indian tariff settles at, we need to still understand. But I mentioned a few countries, the EU currently, the settled deal is at 15% reciprocal tariff and you have got Vietnam which is I think at 19% or 20%, Indonesia is at 19%, etc. Japan is at 15%.

Nitin Arora: Let me ask you this way, sir, at what percentage you think will go favor for India at least for our business? I don't know about any other business.

Kushal Desai: We were previously competing when the tariffs were the same. When the tariff was the same for Indonesia, Vietnam, India, Korea, Japan, all these places. So, if we are not at a disadvantage relative to these countries, then the customer will be APAR Industries Limited Q1 FY'26 Earnings Conference Call
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bearing a higher price and whatever is the effect of the project cost going up will result in some amount of demand getting a bit handicapped. But we will not be then at a competitive disadvantage to these countries. The EU is at 15% which is lower than the rest of the Asian countries that the export is happening. But I think in the course of the next few days, I think there should be more clarity on this particular front.

Nitin Arora: Very helpful, sir. I will come back in the queue. Thank you so much.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thanks for taking my question. First question on the cables business. This quarter, we saw a pretty strong export growth. Export number for cable is almost Rs. 586 crores versus almost Rs. 350 crores-Rs. 400 crores run rate for the whole of last year. And despite that, the margins are keeping at about 10%. So, first thing I would like to understand is which strong export is coming from only US or these other functions also. And second, despite export contribution going up this quarter, why the margins are still keeping at 10% for cable?

Kushal Desai: So, there is an overall growth in exports. A larger portion has gone to the US market. Part of it was, as I mentioned in my opening remarks, to try to pick up a tariff where it had been declared at that 10%. There has been some impact that has happened because in some contracts, the customer has paid the higher tariff, the 10% reciprocal tariff. In some cases, we have had to negotiate and compromise with the client and make sure that all of this product has gone through. So, combination of these plus some of the freight rates also had gone up in the short term when everyone is trying to push the product into the US during this interim period where the tariff was pushed back. So, there have been so many moving parts. So, I would not look at it as a fundamental change in the business economics. What fundamentally can change is if the tariff situation becomes something that is APAR Industries Limited Q1 FY'26 Earnings Conference Call
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highly unfavorable. I also want to emphasize that the US market on cables is about \$55 billion and 40% of those cables are still imported. And even though there are a bunch of new plants which are being declared, if you look at the cumulative output of those 4-5 major plants which are coming there, the output would just add up to a few billion dollars. And the growth rate there is about 3% a year, year-on-year, at least so far. So, just the growth is equal to \$1.5 billion or \$1.65 billion a year. So, our assumption is or thinking is that once this noise settles down, there will be a certain, the demand should start coming in. The issue right now is that if someone were to say that what is the la

nded cost of my product, we are not in a position to give that number.

Amit Anwani: Sir, again for cables, earlier we were talking about the competition increasing. So, any change on domestic market on the competition front for cables as well as both?

Kushal Desai: So, on the cable side, the competition does continue. There has really been very little change in the intensity of competition. We have been focusing on certain areas where APAR has been fairly strong. One of the segments which has been growing very rapidly is the wind segment because that is something that was very slow for the last few years. Currently, there are several new windmills going in, especially the hybrid projects, which is a combination of solar and wind. So, we

are seeing a good growth on the elastomeric cable and the windmill side. But otherwise, there is no change in the, there is no major change in the competitive intensity, still remains competitive. So, our emphasis has been really on improving productivity and taking out conversion costs, energy efficiency. We have a bunch of new windmills which are coming through for our own third-party captive, which will also help reduce power costs, etc.

Amit Anwani: Right. Sir, on cables part, the premium mix has gone up significantly. Q4 it was about Rs. 1,300 odd crores. This quarter also, roughly about Rs. 1,200 odd crores.

The run rate previously was only Rs. 800-Rs. 900 crores. So, I wanted to

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understand, you explained that the reason also for EBITDA per ton being higher is the standard product sales in US and premium product sales in India. So, I wanted to understand which premium products we are talking about, if you could explain more in the domestic market, which has contributed very strong contribution from premium products during this quarter and in Q4 as well?

Kushal Desai: So, generally, there has been improved execution on the HTLS, which is the high temperature, low sag. There has also been a growth in the entire copper set of products. We have overhead railway conductors, we have copper transpose conductors going to transformers, and we have bus bars. So, that range also has grown besides the HTLS and some of the execution of the semi-EPC turnkey projects that we have on the HTLS. So, overall, that whole group, every line item has pretty much shown an increase on that side. That's how we are seeing, even the order book has increased by almost 8 percentage points from the same period in the previous year.

Amit Anwani: Right. Any color on, that is my last question, any color on the non-US business this quarter and how has been the performance in non-US business for conductors?

Kushal Desai: So, the non-US business inquiries continue, but we are finding in many cases, some of the domestic projects are more interesting than going down in pricing for exports in certain geographies, especially Africa and some parts of Latin America etc., where the Chinese products carry a fairly high level of acceptability. So, our strategy has always been that what is our best net back that we get and based on that, we have been allocating where we want to export. Over the last few years and including in this CAPEX cycle, we keep on increasing the fungibility of our equipment. So, it gives us so much more flexibility to be able to move around within the product mix. So, that's why sometimes you find that Ramesh starts off being more conservative and then the numbers, because if the opportunity comes up, we have the ability to switch on the fly.

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Amit Anwani: Just a clarification on CAPEX, we said Rs.1,300 crores and Rs.370 crores is additional or it is part of it?

Kushal Desai: That's the execution of that. So, when we spoke about this Rs. 1,300 crores, which we expect to

spend by June of 2026, of that Rs. 150 crores physically has been already spent and then Rs. 350 crores is what we expect to spend in the next few months. So, progressively it will go through, the big payouts will come actually around November, December, January when you pay for all the equipment's because initially you pay 20%-30% of the value of the equipment and the rest of it comes later on. So, progressively this is being executed.

Amit Anwani: Understood sir. Thank you so much and all the best. Thank you.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

CA Garvit Goyal: Good evening, sir and congrats for a decent set of numbers. My first question is from your opening remarks. You mentioned about the transmission lines that we have achieved 17% of our annual target for FY'26. So, is it due to monsoons entering earlier in India or any structural issues that you are seeing?

Kushal Desai: No, so last year, number was very majorly affected because of the elections as well. But if you are talking about so far in the 1st Quarter, 17% of the planned quantity has been executed. So, if you were to split it into four quarters, it should have been about 25%. So, there is a little bit of and part of it is because the monsoons did come in a bit early. There is also a right of way issue. Many lines

have got stuck because of right of way acquisition matters. There is also a few forest permissions and clearances that are required. So, the expectation is that given the fact that so much solar is being added, these lines also will have to speed up. And I think everybody right from CEA downward including the PMO's office, everyone is aware of this particular issue. This is on the back of last year being APAR Industries Limited Q1 FY'26 Earnings Conference Call
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also relatively missing the plan as I mentioned by a fairly large number. So, there is a good amount of pent-up demand which should come up in the domestic market.

CA Garvit Goyal: Got it, sir. And secondly, there are some issues happening in the industry related to delays in approval for solar projects that are to be connected with grid and some land availability issues that you rightly mentioned in the domestic market. So, conductors are also an important component in the wiring of the solar plant. So, are you seeing any slowdown here in the orders in Q1?

Kushal Desai: So, we have had a reasonably good order book as we mentioned, Rs. 3,175 crores approximately. So, the order flow has still come in. And our expectation is it should continue as this execution takes place. If they had gone as per the plan, there would have been more business than we have been awarded. But our plants are running pretty much full and in a way actually, it will time some of the expanded equipment that is coming in.

CA Garvit Goyal: Okay. But actually, I am just trying to understand from you regarding the industry issues that recently came into picture regarding some approval getting delayed with respect to solar paths to be connected with the grid. And secondly, on this ISTS waiver that is removed from the inter-transmission connectivity. So, are these issues anyway going to impact our business going ahead?

Kushal Desai: I don't think so. In fact, these are matters which have to get resolved. And I think as I mentioned, even at the highest level, there is a reasonably good understanding of what the issues are. So, people are all working towards solutions on this. So, in fact, on the contrary, I believe that in the months going out, you may see stronger demand. Once these issues get sorted out, there will be more ordering that will take place.

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CA Garvit Goyal: Got it, sir. Thank you very much, sir. That's it from my side, sir. All the best for the

future.

Kushal Desai: Thank you.

Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP. Please go ahead.

Charanjit Singh: Hello, sir. Thanks for the opportunity. Sir, my question is on the premium conductors. So, especially in the domestic market, if you can help us understand in terms of the demand supply scenario and from the growth perspective, what is the current size of the market and how do you see over the next 2 to 3 years? This is mainly for the domestic market premium conductors.

Ramesh Iyer: Charanjit, there are no sources to get the market information on this kind of premium products. But what is also happening due to various right of way issues and the general increase in electrification, there is more tendency to switch to reconductoring due to which the work on reconductoring is happening on a, may happen on a faster pace. So, as I said, there are no sources to get this market information. And overall, there is, as I said, there's more tendency to do more of reconductoring projects because of various right of way issues, because of time cost, because of capital cost outlay by the utilities company. So, there is more tendency on the premium part of the conductor business.

Charanjit Singh: Okay. Sir, in terms of the execution of the projects and especially in the US market, how you are seeing that on the ground and when you are saying in terms of the stocking and the inventory buildup which has happened there, this could be for what duration you would generally see the kind of inventory buildup happening there?

Kushal Desai: So, Charanjit, on the buildup, it's not really, these are all projects which are being executed. So, most of the products have actually gone to project sites. And I think APAR Industries Limited Q1 FY'26 Earnings Conference Call

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calling them up a little bit sooner is only because these guys, whoever has been importing the products in has already given a fixed price previously for the build. So, this is not like the kind of stocking up that happened at COVID, where there were several months of destocking to take place, at least not in our products, because we were not in a position, we were already running at a full capacity. We only gave some preference to clear off orders where the settlement had taken place with the customer in terms of we will land it prior to 31st of July. So, I don't see really a big overhang from the current supply. What will be critical to see is where this tariff finally lands up and hopefully, it will not be disadvantageous to India. If it isn't, then we would continue to see the order flow taking place. And on the contrary, we have really improved our go-to-market channels, the distributors we signed up. We have today a team of three full-time representatives in the US. We have a fourth colleague who is going to be joining shortly. So, the team is being enhanced and our sense is that once the noise settles down, then I think business should start picking up again.

Charanjit Singh: Got it, sir. Sir, on the EBITDA per ton perspective, would you like to change your guidance in terms of what the number has been or you would like to maintain at the earlier level of guidance itself?

Ramesh Iyer: So, we have been increasing these guidance's on the conductor EBITDA per metric ton. You have times where competition is putting a lot pressure. As you see in the domestic market, there is pressure on prices and also in the non-US market, there is pressure on prices. But wherever we feel that we have that confidence that the EBITDA cannot go beyond X level, that's where we put our guidance on. And we have been increasing that. Having said that, in the last quarter, we increased further to 30,000 plus tailwinds. For now, we are studying and depending on how the future quarter and US tariffs and there are so many moving parts to all of this, currently we would

like to maintain it at 30,000 plus the tailwinds. And as I said, the tailwinds could be positive depending on various things that happen. But we
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are not able to predict the exact amount of what kind of tailwinds that will happen in a quarter.

Kushal Desai: So, we will probably wait until all this quarter gets settled down. I think after that, if any revision has to be done, I think a more appropriate time would be once all this settles down in terms of US tariff, etc.

Charanjit Singh: Got it, sir. Thanks a lot for taking my questions and all the best for the future.

Kushal Desai: Thank you.

Moderator: Thank you. The next question is from the line of Nilabh Jadey, an Individual Investor. Please go ahead.

Nilabh Jadey: Hello. Congratulations on a good number, sir. One question I have regarding, for a long time you were telling earlier, at least in 2024, we have heard that you are facing a lot of competition from China because they are transshipping the goods to Vietnam. So, now, how is the situation panning out after this transshipment tariff has come in? Are you facing some better ecosystem with regards to the competition? You mentioned that they are still giving 8% to 10% subsidy. But this transshipment was a major issue you were facing earlier. How are things now?

Kushal Desai: So, I think the current US administration is very much aware of this. And I think the undertones have been very clear that if they start picking up activities of this sort, then there could be an immediate change in the tariff that that country is facing, whether it's Vietnam or whether it's Cambodia, etc. So, I think the level of heightenedness that is available now is much higher than what it was prior to the Trump administration coming in. So, I think it's something for us to wait and watch. But if this transshipment route is being used, then I think whoever is using it is really gambling on this. That's the sense that we have.

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Charanjit Singh: And another question, I am listening to your conversations. One thing is, I know there are a lot of confusion right now in terms of tariffs, because raw materials are

higher tariff in USA. So, net, even 8% to 10% subsidy China is giving, but there are a lot of tariffs have come in, almost 30% tariffs on Chinese products. So, net-net, I do not factor the products, what is the competitive advantage? How much competitive advantage China is now having over us with the subsidies and, etc.? How much in terms of percentage ?

Kushal Desai: The subsidies constitute anywhere between 8% and 12%. In terms of efficiency of conversion cost, etc., there is no difference. We are able to, in a level playing field, we are in a position to compete against the Chinese on a day-in day-out basis.

Charanjit Singh: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil: Yes. Hi sir. And thank you for giving me the opportunity and congratulations on a great set of numbers.

Kushal Desai: Thank you.

Nikhil: So, my first question is like, with so much uncertainty to cables export, so are we still guiding 25% value growth in the cable segment?

Ramesh Iyer: Yes, we are still guiding 25% value growth in the cables.

Nikhil: So, that's great to hear. And then my second question is like, let's say India, as you mentioned that tariff, we have the tariff of total with the duty is 15%. And if you assume that reciprocal tariff goes to 15% to 20%, and then our landed cost would be like 25% to 30%. So, will we be advantage over the Chinese competition or not with that kind of scenario?

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Kushal Desai: So, currently, the Chinese tariff is gen

erally running 20% higher. So, when the interim tariff for India and various countries was at 10%, the Chinese tariff was at 30%. So, right now, it seems like the new normal they're looking at is a 15%, which is what they have finalized with Japan, what they finalized with the EU, etc. So, you know it's all speculation right now. As a matter of a few days, I think some of this should start getting settled down. But I don't think India will be at a disadvantage relative to China and a 10% gap, at least as far as the US market is concerned, may not really be much of a worry going forward. Also, as we mentioned in the last call, this is not the first time that China has had such subsidies, where the Shanghai Metal Exchange is so much lower than LME and the premium basically doesn't exist there at the moment. So, the Chinese government when the losses go up of the subsidy become too large, they have in the past just completely reversed it as well. So, it's not something that will be sitting with us forever. We have seen it happen a couple times before and we have seen it getting reversed as well.

Nikhil: Okay, sir, that's great to hear. And then my next question is like, the cable segment, how was the volume growth in that segment? And are you assuming the same kind of volume growth going forward too?

Ramesh Iyer: We don't report volumes in the cable segment, because there are number of categories within the segment. So, we are only reporting the value. But yes, I mean...

Kushal Desai: To answer the question that yes, there is the demand, domestic demand remains reasonably strong. For us, what's important is that the premium segments are the segments where we differentiate ourselves, the demand for that should be strong, then that's how our domestic participation happens. We are seeing the wind sector is doing reasonably well. We are also seeing that solar is continuing to expand. We are supplying several data centers in India. So, we see that the demand generally in the domestic market has been strong. What may get affected in the
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short term for the cable side is the export to the US because, until this tariff thing gets sorted out. But fundamental demand, maybe we don't see too much of a let up. It will continue to be there.

Nikhil: Yes, sir. And so my next question is like the new contracts that we are signing on new orders that we're getting, who will pay the tariff? Like, are we supposed to pay the tariffs or will be split between the client and you? So, what are the what

are the new norms of these orders that we're taking?

Kushal Desai: So, tariff today is coming as a line item. So, it comes with a straightforward assumption today saying that, okay, the tariff at the moment that we priced it like this, whatever changes happen is not to APAR's account, it will be to the client's account. And if the client is not willing to accept that, then we are actually not taking on the business and we are just sitting it out. The orders that are continuing to come in today are those attached to projects which are advanced stages of execution, because you see, the cost of the cable is about 5% of the cost of the project. So, even if you have a 10% difference, it becomes only half a percent on the project. So, delays in the project actually would result in a much higher overrun than just paying the increased tariff. So, we are not taking on any more tariff risks for new orders and new business that we have been signing on ever since this whole tariff thing got declared. So, whatever compromises had to be made was before this whole order book, which we were carrying prior to the declaration of the tariff, the 10% increase that happened of the reciprocal tariff. And the same thing is also true on the conductor side. Both the divisions, APAR, has been following exactly the same practice.

Nikhil: Oka

y, sir. That's really great to hear. And so my next question is like, on our conductor's order inflow, we are at a 5 quarter high order inflows on the conductor segment. So, sir, majority of this might be from the domestic business, as you said. So, are we looking at the export, how are the export RFPs and all that, in terms of conductor side business order inflow?

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Chaitanya Desai: Yes, they are okay, as in, like it was explained in an earlier question, answered towards that, that we are getting the RFQs, and we are giving the quotations, but our success ratio has dropped because of the intense competition from China, which is subsidized, but this may not last for long, hopefully. So, we are keeping with the market, and we are actively sort of, you know, trying to make inroads again into that marketplace, but at a reasonable price.

Nikhil: Okay, sir, that's great to hear, sir. Thank you for giving the opportunity, sir, and all the best.

Chaitanya Desai: Yes, thanks.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.

Himanshu Upadhyay: Yes, hi, good afternoon. My question was on the oil business, okay. What we are seeing is, we are having pretty good growth rate on the better products, transformer oil, auto oil, and which we have been highlighting in industrial lubricants versus rubber processing oil and some of those segments. But the margins wise, it seems there is not much of an improvement, okay. Though it seems YoY it is some improvement, but again, the price of crude has fallen.

Kushal Desai: So, I think the reference which I read out and I mentioned during my opening remarks is a quarter-to-quarter reference. So, if you see in the 1st Quarter of last year, it was also the highest margin that was there in the year. So, if you see on an absolute level, a margin of 7,000 plus EBITDA per KL is one of the higher margins that we have had.

Himanshu Upadhyay: And are we seeing these margins what we are having, what we are expecting? Will it be because of product mix improvement, majorly or volatility is helping?

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Kushal Desai: No, the volatility is actually not helping at all. It's actually dragging things down. It would have been even higher. It's really the mix, the transformer oil part of the business has grown and so has the lubricant side of the business, as I mentioned in my earlier remarks. So, these are the two segments which have grown. The white oil business has actually, export side of the white oil business has de-grown because that's really something that's very tactical for us. The margins weren't good. So, we just allowed that part of the business to slip a little bit.

Himanshu Upadhyay: And the transformer oil and oil business, some of those challenges which are there on the conductor side, are those similar challenges on the transformer oil and ...?

Kushal Desai: No, so the market segment, the geographic mix is very different for our transformer oil business compared to what we do on conductor and cables. In

conductor and cables, both of their largest market outside India is the America. So, when you add up the United States, Canada and some of the LATAM countries, that's where their focus is. If you look at our transformer oil business, we are very strong in Asia, all across Asia, right, including Australia. We have a very strong position in South Africa. We have a strong position in Turkey. And we are the largest in the GCC. So, it's a completely different geographic footprint. So, there, the challenges which were there is that some of the projects in these countries in Saudi and Australia, South Africa got postponed a little bit. So, even though we have a good order book, the execution of that got pushed out.

Himanshu Upadhyay: Okay. Yes. Thank you so much.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from ValueQuest. Please go ahead.

Sagar Dhawan: Yes, thanks for the opportunity and congratulations on a good set of numbers. My question is on the US demands. Basically, keeping the tariff-related uncertainties aside for a minute, what is your outlook on the US demand after the big beautiful APAR Industries Limited Q1 FY'26 Earnings Conference Call
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bill getting passed as an act? Because it puts a service, it puts a place in service deadline for the renewable projects to come in to avail the incentives. So, does it change anything on the demands front for you in the US because of the urgency it creates for the renewable projects?

Kushal Desai: So, if you look at a renewable, it falls under actually three buckets. You have solar, you have onshore wind, you have offshore wind. So, for a long time, we have been saying that the offshore wind side has been one which cannot operate without significant subsidies. And that's the first one that's getting killed. If you look at the other end of the spectrum, which is solar, solar can actually be viable even without subsidies. It's the cheapest form of power today, pretty much in most of the world. And in North America, it's a good source of power because most of the country receives fairly good sunshine. So, we don't expect any massive change coming from the solar side. The wind side could face some challenges, especially projects where the subsidy is playing an important role and the plant load factor is not good based on just the natural amount of wind that's flowing. So, that could have some compensatory effect. However, on the other hand, one sector in the US which is going extraordinarily strong is the whole data center market. And data centers require both upgradation of transmission lines coming into them as well as a reasonable amount of cables. So, we don't see overall the demand scenario actually getting affected. We feel that there will still continue to be a growth in the North American market.

Sagar Dhawan: Got it. And the question that I had was again on the US, any plans of setting up a local manufacturing capacity in the US? You talked about it in the past. What is your view now?

Kushal Desai: So, we have been doing our homework on it. However, at this stage, until this whole tariff thing becomes clear, because suddenly there was this increase from 25% to 50% for import of aluminum, ingots, copper rods, all these things. So, that would obviously have a material impact if you were to manufacture locally in the APAR Industries Limited Q1 FY'26 Earnings Conference Call
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United States. So, we have been doing our homework quietly in terms of figuring out what could be the possibilities there. But we haven't taken a call. I think we need more clarity before a commitment can be made.

Sagar Dhawan: Understood. And one last question from my side is on the conductor volume growth, you've been guiding for about 10% volume growth on conductors. Any change in that guidance or are we sticking to that number?

Ramesh Iyer: We are sticking to the same number, 10% on an annual basis. Some quarters may be but I think on an annual basis, 10% volume growth is what we are guiding.

Sagar Dhawan: And sir if I heard correctly, in answer to the earlier participant, you're running at full capacity. Did I hear that correctly?

Kushal Desai: We are pretty much for most of the products on the conductor side, we are running at capacity. However, you know, as part of the Rs. 1,300 crores, there is almost Rs. 400 crores, Rs. 300 and odd crores into expanding the conductor, various products that are in that division.

Sagar Dhawan: Okay, so by when does that line come online? It is an additional capacity that you

are getting.

Kushal Desai: Equipment are st

arting to come in and getting installed, but a chunk of them are coming actually in Q3 and early Q4.

Sagar Dhawan: Okay. That is it from me. Thank you.

Kushal Desai: Okay.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

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Amit Anwani: Yes, just a couple of things on conductor as the realization has been high in Q1 and Q4. Are we expecting similar number like 4,80,000 per ton, that is what we reported? Just wanted to understand on realization going forward for conductors?

Ramesh Iyer: It depends on the product mix Amit. It's not possible to predict that way. And as you know that our business runs on order book and there are one, it comes from the pending order book and another would be the orders that we get during the quarter. And due to the various product categories which are there, so it's difficult to get that number whether what kind of trend will continue in terms of realization. So, we are more guided with the EBITDA per ton. Also, aluminum price and copper prices fluctuate.

Kushal Desai: And there is a big difference between the two. One is almost 3.5 times.

Ramesh Iyer: So, when that price of metal fluctuates, the composition of that changes. So, it's a bit difficult to predict that number.

Kushal Desai: So, everybody in the business is actually measured on a per ton basis. So, that's a good measure to track because variable compensation, bonuses, everything is based on fundamentally that metrics. And that's the metrics which we also put out for investors and in the public. So, we just, I think, focusing on that rather than the realization, I think, would be better in terms of setting up your model as well.

Amit Anwani: And sir, you highlighted about reconducting being a very strong opportunity in domestic market. Just wanted to understand what was the reconducting contribution in terms of volume or what is the percentage of reconducting of current order book? How much reconducting would be there? So, any color on reconducting contribution?

Kushal Desai: We don't actually end up giving sub-segments within that. We classify a certain set of products which are premium products and this falls within that. I can only tell you that as these right-of-way issues continue, the best solution is

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reconducting. And theoretically, we feel that every conductor that has been put into India a few years ago is actually primed for being reconducted. So, we don't have a breakup of that. We don't give the breakup of that because it's sensitive information. But otherwise, as you can see that whole sector or section is growing and that includes the reconducting portion of the business.

Amit Anwani: Right. And so, any color on the competition is reconducting? What are products we're supplying? Are we just one or two players or how is the market?

Chaitanya Desai: There are players who are getting into the business. The largest is clearly ourselves. Then after that, you have Sterlite Power and following that is JSK. But the way we do the business is not just supplying the conductor but we also do the entire solution for the utility. So, it's one thing to produce a conductor. It's another thing to be able to provide that solution. And having done now close to 200 plus projects in the country, we really have a very strong ability to actually execute these reconducting projects. So, even if competition comes in, A, the market itself will grow and B, the expertise doesn't lie just in doing a conductor production but in providing the entire solution which is far more difficult to do.

Amit Anwani: Right. Lastly, sir, on cables business, if possible to share the breakup of specialty cables, power cables, elastomeric, LTC and the kind of growth

h we have witnessed in this quarter?

Ramesh Iyer: We give the total only, Amit. We don't share the breakups of that.

Amit Anwani: Okay. But sir, any color on the growth of total specialty cable portfolio? Has this been higher than the total growth in the cable business?

Kushal Desai: I think it's been almost similar. As I said, the segments have moved for us where we have done more work with respect to data centers in India. We are supplying pretty much every major data center company. Recently, we also got into the global Microsoft approved vendor list for cables to data centers. So, that includes the APAR Industries Limited Q1 FY'26 Earnings Conference Call
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approval for the US market. And so, once this whole tariff overhang settles down, that's another opportunity for growth. But otherwise, we have seen the power cable side growing. We have seen a little higher growth in the flexible elastomeric side because the wind has actually picked up very substantially compared to previous periods. But otherwise, it's really growth across segments. The railway side has been also steady. As they add more Vande Bharat trains, etc., we are still at 90% of the supply to Vande Bharat trains as well. So, it's quite a secular growth.

Amit Anwani: Great, sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Balasubramaniam from Arihant Capital. Please go ahead.

Balasubramaniam: Good evening, sir. From the solar industry, model manufacturing capacity is almost doubling up, and how we are leveraging our solar cables and conductor side, and is there any risk of oversupply in the solar segment, which is impacting margins?

Kushal Desai: So, on the solar side, we have substantially increased our own. So, if you look at the solar cable, as you've seen that investor presentation that we have, which is the comprehensive company presentation, 140-odd page. So, that is a slide which gives all the different types of cables used in the renewable energy. So, one is the string cable, which is the cable that's connecting the panel. That is where APAR actually has a very strong position because those are electron beam cables. We do our own compounding. We manufacture the whole cable end-to-end, every component that goes into it. So, that part of the business has been substantially growing for us. The margins there may have come a little bit under pressure because the volumes are just higher, but that business has been growing quite substantially. Then there is the cables which connect the panels into the substation, which is essentially a power cable. And the requirements in the US are quite unique. The requirements in India are relatively straightforward. So, that part of APAR Industries Limited Q1 FY'26 Earnings Conference Call
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the business for us, we just measure it up against other opportunities that we have for power cables. So, the solar cables which we talk about, where APAR has a very strong position is the DC cables, which are the cables that are used for stringing the panel. So, there we have invested in capacity. We have capacity to grow. And in fact, my sense is that the highest amount of addition is still to come because as Reliance starts producing their own modules, there will be a huge amount of execution that they will do. Similarly, as you know, I read out earlier in the opening remarks, the momentum of more and more solar projects continues to grow. The solar projects are very large in size. So, you will start seeing more premium conductors being used so that the evacuation that can be done from those sites is actually carrying much higher power from those sites.

Balasubramaniam: Okay, sir. So, from the oil storage terminal side, how much cost reductions we can expect from JNPT expansions? Will this improve our export competitiveness?

Kushal Desai: So, first of all, wh

at's happening today is that since we have exhausted building storage within our existing facilities, we actually have rented out a whole lot of tanks outside. So, this is going to result in actually consolidation of that. A lot of tank land is basically sitting on companies which previously used to manufacture liquid products and they have shut down and they have been renting out these tanks. So, as time passes by, the rental value on these tanks is continuing to grow or companies are going to redevelopment of that land. So, you will see that tank capacity will start getting a little bit more scarce as well as will get more expensive. So, this is one way of actually consolidating our stocking, making sure that the base oils are also maintained with very good quality in terms of storage because we use so many third party facilities, we don't have as much control on how the product gets into the tank, gets out of the tank. And it does open up as you did the possibility of exporting product in bulk which we haven't been doing so far.

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to take place but the project can be justified simply on a payback based on external storage cost.

Balasubramaniam: Got it, sir. So, on that export side, especially we are focused on aluminum alloy cables, 8000 series, especially for US. Is there any copper demand lacking due to cost or any performance factors?

Kushal Desai: No. So, previously what was happening is that copper in the US had zero duty whereas the cables carried a duty that was the same as aluminum. So, as a consequence, there was more competitiveness that a local US manufacturer had to produce copper based cables compared to aluminum alloy based 8000 series. Now, the situation has changed where copper hasn't moved into that strategic 232 section. So, we have to see. We have capacity that's coming on stream within the next few months. So, once the dust settles, we can move around in terms of whether to produce more copper or to produce more aluminum alloy or to actually allocate more cables to be produced for the US market itself. So, there's a lot of flexibility that will come at our end as this CAPEX is getting executed. So, it's something that one has to still discover based on how this whole tariff thing settles down. But whichever way it goes, the product mix-wise, we are very flexible.

Balasubramaniam: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Thanks for the opportunity, sir. I have one clarification. Our export in the oil business, does it include the sale that we are doing from the Sharjah plant?

Kushal Desai: Yes, absolutely, it is the global sales that we report.

Mayank Bhandari: And what was the FY'25 number for that Sharjah plant?

Ramesh Iyer: It's about 1,000 crores.

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Kushal Desai: FY'25 exact number you will find in the annual report because all the subsidiary numbers are there in place. But the number that we have been talking about is the overall consolidated number.

Mayank Bhandari: Okay. So, and just in terms of understanding the aspect there in the Middle East, we are hearing very good demand, particularly in the construction side. So, I mean, how is the business of specialty oils particularly panning out from that segment? I mean, what kind of growth we should anticipate from that particular plant in Sharjah?

Kushal Desai: I didn't get your question clearly. Can you just rephrase your question again, please?

Mayank Bhandari: Specialty oils, Sharjah plant, I mean, if we are exporting from Sharjah to nearby countries, I am assuming. So, I mean, how is the business

growing in terms of the demand environment, if you could comment on that?

Kushal Desai: Yes. So, actually, it's a mixed bag. Some countries are doing very well. Like, for example, there's a lot of infrastructure being added in Saudi Arabia, given that they have a commitment to increase in-country value. So, as a consequence, there's a lot of new plants coming up, a lot of new requirements coming up from there. And the government is also expanding the infrastructure substantially, because other countries where demand is flat to marginally declining. Like you've got Oman, you've got Qatar. Qatar did a huge build-up before the World Cup. Some of the North African countries are a little slow. So, Egypt has improved a bit, but it's nowhere close to what its peak was. However, from our plant in Hamriyah, we also export product into Australia and South Africa is covered from there, for example. So, it all depends on which geographies. But the thing is that APAR produces exactly the same slate of products. Whatever we produce in Hamriyah, those formulations are identical to what we produce in India. So, we have actually 100% fungibility for our client. So, we end up looking at wherever
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the freight and logistics are better, both in terms of timeline as well as in terms of cost. And then we work with our customers to allocate where it makes sense for them to receive the product from.

Mayank Bhandari: And sir, we were planning to leverage on this cost advantage from that plant. So, why is this segment then overall not delivering growth? And the growth has been quite muted for quite some time.

Kushal Desai: So, everything is relative. When you look at the growth relative to what the whole segment is growing at, the entire Specialty oil lubricant segment itself is growing at around 2%-3%. So, when you have an 8% growth, you are at around 2.5-3 times the market. Also, there are sub-segments in there. As I mentioned earlier in my opening remarks, the transformer oil side is proportionately growing because a lot of electrical networks are getting added. The white oil side, we have been dropping it off because we do not like the margins on some of those products and we treat that significantly more tactical. But if you see the overall business of the oil side, the sales volume, if you see, every year, every quarter has been hitting all-time highs. And it is not a very huge number, but it is very consistently been growing. And today, if you see the quantity of base oil that APAR imports into India and blends in India is larger than any single base oil refinery that runs in India. If you take the largest refinery of IOC, you take the largest refinery of HPC, we consume more than that entire refinery can produce. So, it is a very steady business. It is not a business that is going to grow at the pace of the conductor business or the cable business, but it is a very good cash flow business.

Mayank Bhandari: Okay. So, just to sum it up, whether your overall business, whether the Sharjah plant will grow faster in this oil business or the overall domestic business will grow faster?

Kushal Desai: So, I believe that the domestic business is actually growing faster than the Hamriyah business because we have transformer oil, which is a big portion of our APAR Industries Limited Q1 FY'26 Earnings Conference Call
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domestic business. We also have lubricants, which is a big portion of our domestic business here. Having said that, the Sharjah plant is an extraordinarily efficient plant. So, the fixed structure there is not very high. And so, you have a lot of ability to actually scale up and down depending on the opportunities that the market presents itself.

Mayank Bhandari: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Sushil Dhoot from Insig

htful

Investment LLP. Please go ahead.

Sushil Dhoot: Yes. So, my question actually is a couple of things. From a more longer term on a structural perspective, what really worries you most in terms of, if you just have to do some brainstorming in terms of what can go wrong, so, for instance, other than China, which is not likely to be possible where duties will be lower than India from a US perspective. Is there another country who has the capacities and the capabilities to export into US if that particular country has a lower duty than us eventually? Will that be something that will worry us, number one? Number two, on the fact that you now have power storage, which is more affordable, and if wind overall slows down, is that something that can affect our longer term growth rate? So, these kind of questions is what basically answers that I am looking for.

Kushal Desai: Okay. So, on a structural basis, you see, what is our biggest worry? Our biggest worry is actually the geopolitical tensions which are there, because they are coming in from all kinds of different directions. Like the US right now and the Trump administration is not just increasing tariffs, but it's threatening that if you use Russian oil, then we will... basically, there is a tariff whip that is being used to try to pull these things. So, that adds to a certain level of uncertainty. I am not sure whether any of this is sustainable, but it can cause a lot of short term confusion. So, obviously, that's something that would keep... it has to be very high on the risk level. In terms of the renewable energy front, I think we have relatively less worry, APAR Industries Limited Q1 FY'26 Earnings Conference Call
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simply because there is no other option that's out there. Again, there may be some short-term issues, you may have someone carrying an opinion, but the fact actually, you can't change facts. And the problem that seems to be there with some of the

administrations around the world is that they are playing around with facts. You can play around with an opinion, but you can't play around with a fact. So, when you do that, then it's only a short term thing before the reality dawns on you. So, the thing is that we focused a lot on where the demand of the market is going to come from. The solar demand is going to be universal everywhere because it is the fastest, cheapest form of power.

Sushil Dhoot: Sir, this is not solar, completely?

Kushal Desai: Yes, on the wind side, we are focusing basically to a large extent on the wind in India because what has happened here is that given that solar was cheaper and very easy to add, a lot of emphasis has been given to solar. There are two issues coming up with solar. One is that if you want to build really huge solar farms, land is starting to get difficult. And so, not everybody can build in the salt pans of Kutch and in the Thar desert and things like that. And also, the seasonality of solar is a little high given that we do have a four-month monsoon when it falls and wind actually complements it completely. So, as a consequence, you are seeing that new tenders coming out are coming out with the hybrid and they are coming out with a certain minimum power that you have to deliver. So, that can be delivered based on a combination of solar wind and the amount of battery storage that you put in. So, when you look at all these things, and I think the regulators are getting very smart now by pushing for all these combinations, etc. So, our sense is that wind is not going anywhere. Wherever there are big subsidies required to run wind, then you will have a problem. So, we are focusing actually North America has some of the best wind tunnels. And they are also in places where Mr. Trump is not in a position to see the windmill because they are like way out of where he would typically play golf or go on a holiday or travel around. So, I don't think win

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is going to disappear. It's a little unpopular for some powerful people in the world, but the economics are not changing, especially where a plant load factor remains good.

Sushil Dhoot: Okay. So, we are not leaning excessively on wind in case wind slows down for whatever reason, whether in India or US. That is not going to change materially our secular growth rate?

Kushal Desai: I don't think so. But at the moment, India has still got a huge runway to go on wind. The one thing that hasn't yet picked up, but is going to pick up because it's right at the top of the regulator's discussion is the replacement of windmills on existing land. You see, the windmills that went in 10 years, 15 years, 20 years ago, were of a very suboptimal size. And they are occupying some of the best wind real estate in the country. So, that is going to change because you are going to go from 250 kilowatts to upwards of 3.5 megawatts. So, the amount of wind that you can generate per acre of land is going to dramatically change if the old windmills are pulled down and the new ones are put in place. There are some policy issues that need to be ironed out to help the change to happen. And moment that happens you will see large-scale replacement of windmills happening. And as a consequence, again, good demand for cables because the towers will be replaced. So, we really think that this is a very long-term thing. It's not going to really get affected.

Sushil Dhoot: And sir, any one or two particular countries other than China, because the US is doing bilateral now with most of the countries, where the duty structure turns out to be lower than India, for that particular country, then where are exports particularly of conductors or cables and cables both can get impacted?

Kushal Desai: So, I think that makes sense to take a call once the dust settles on this. I think in the next few weeks, there will be the letters going out to various countries, especially those that haven't got into very serious dialogues with the United States.

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But if 15% seems to be the bottom, and if India is in that ballpark, then we don't see anything major upsetting this whole game.

Sushil Dhoot: My understanding is just that if Vietnam, Cambodia, Korea, or I don't know, Bahrain, or someone gets 10%-15% differential versus India, then do they have those kinds of capacities where they can really...

Kushal Desai: If something happens where Bahrain is 10% cheaper than India, then obviously their conductors will land cheaper, but they don't do cables. There are still some specialty conductors which we do, especially the HTLS and some other special forms which are quite popular in the US, which will continue to go from here. So, I think, Sushil, we will wait for it till all this happens, then take a call.

Sushil Dhoot: Fair enough. Thank you so much and best of luck for the year ahead.

Kushal Desai: Thank you so much.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Thank you for the opportunity. So, my first question is on the interest that we paid for quarter is around Rs. 85 crores, even though our execution is almost similar to what we did in Quarter 4. So, I wanted to understand if this lower interest outflow is majorly because of lower net working capital cycle, or is it because we paid off some long-term borrowings and our total cost has come down?

Ramesh Iyer: So, we have used cash and internal accruals to fund our purchases as compared to the letter of credit. So, when you do the letter of credit, you have an interest element, but when you do cash purchases, that kind of cost comes down. So, that's the reason you see in this particular quarter, there is a red

uction in the finance

cost. It's also a measure of more working capital utilization that we are able to generate cash and internal accruals more to be able to purchase on cash basis.

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Vignesh Iyer: So, basically, instead of the working capital usage, we have gone for the internal accruals, right? I mean, that has resulted in this lower interest outflow, right? If I get it right?

Ramesh Iyer: Yes.

Vignesh Iyer: Okay. And secondly, sir, on the cable division side, we have seen exceptional growth in this quarter. And if I remember from your commentary, at the start of the call, it is because of higher procurement from US due to fear of tariff. So, can we assume that the other three quarters on a normalized basis could consistently give us a 25% growth?

Ramesh Iyer: We have been targeting 25% growth. Now, actual number can be more or less depending on what kind of orders we get during that quarter. At the same time, domestic business is also very strong. Our domestic business also growing by 20% odd. So, we won't be able to give that impact how much will happen if that, you know, US thing, US orders would have not got executed, what would have been the growth rates, those would be difficult to predict. But overall, we feel that for the blended division, 25% value growth should be something that we can guide for.

Vignesh Iyer: Okay. That's all from my side, sir. And all the best for the year ahead.

Ramesh Iyer: Thank you.

Moderator: Thank you. That was the last question for today. I now hand the conference over to Mr. Kushal Desai for closing comments.

Kushal Desai: Thank you everyone for joining our earnings call. As I mentioned, we fundamentally remain fairly optimistic about the business. There are a few overhangs and short-term clouds, particularly around the US tariffs. The domestic side of the business, we feel continues to remain fairly strong right across the

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transformer cable as well as the transformer oil side. As I mentioned earlier, there was a little slowdown in some of the strategic markets for our transformer oil exports side of the business due to project delays, but that is also picking up. And I guess once the dust settles on the whole US tariff and import policies, then we should start seeing business again, picking up there and getting to more normalized levels. So, with that, I would once again like to thank everyone for taking the time to be on our earnings call. Thank you very much.

Moderator: On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

SEC/0611/2025 By E-Filing November 06, 2025

National Stock Exchange of India Limited
"Exchange Plaza",
C-1, Block G,
Bandra- Kurla Complex,
Bandra (E),
Mumbai – 400 051.
Scrip Symbol : APARINDS
Kind Attn.: Listing Department
BSE Limited
Corporate Relations Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Fort,
Mumbai - 400 001.
Scrip Code : 532259
Kind Attn. : Corporate Relationship
Department

Sub. : Submission of Transcript of the analysts and investors conference call on Un-audited Financial Results (Standalone & Consolidate d) on Q2FY26 (2025-26).

Ref.: Reg. 30 read with Schedule III & all other ap plicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations "), as amended from time to time

Dear Sir / Madam,

Kindy refer our letter dated October 30, 2025, unde r Ref. no. SEC/3010/2025, w.r.t. submission of Audio Recording link of the analysts and investors conference call on the Un-audited Financial Results (Standalone & Consolidate d) of the Company for Q2Y26 (2025-26).

Pursuant to the provisions of Regulation 30(6) of t he Listing Regulations, we are submitting herewith the transcript of the conference call made on October 30, 2025 on the Un-audited Financial Results (Standalone & Consolidated) of th e Company for Q2FY26 (2025-26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Chaitanya N. Desai)
Managing Director
DIN : 00008091

Encl. : As above

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MANAGEMENT : MR. KUSHAL DESAI - CHAIRMAN AND MANAGING
DIRECTOR , APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI - MANAGING DIRECTOR ,
APAR INDUSTRIES LIMITED
MR. RAMESH IYER - CHIEF FINANCIAL OFFICER , APAR
INDUSTRIES LIMITED
MODERATORS : MR. AMBESH TIWARI - S-ANCIAL TECHNOLOGIES

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Moderator : Ladies and gentlemen, good day and welcome to APAR Industries Limited
Q2 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode and there
will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the conference call, please
signal an operator by pressing ' * ' then '0' on your touchtone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S -Ancial
Technologies. Thank you and over to you.

Ambesh Tiwari: Thank you. Good afternoon, everyone. This is Ambesh from S -Ancial
Technologies. I welcome you all to the Q2 FY'26 Earnings Conference Call
for APAR Industries to discuss the business performance and outlook.

We have from the management side, Mr. Kushal Desai – Chairman and
Managing Director , Mr. Chaitanya Desai – Managing Director and CFO –
Mr. Ramesh Iyer.

I would now pass on to Mr. Kushal Desai for the opening remarks. Thank
you and over to you, sir.

Kushal Desai: Thank you, Ambesh. Good afternoon, everyone and welcome to the APAR
Industries Q2 & H1 FY'26 Conference Earnings Call.

I would like to start by giving a quick overview of our consolidated business
performance and then follow that up with a short industry update. Post that,
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we will get into more details on the individual performance of segments
and then finally open up the floor to questions.

In terms of 'Financial Performance' for Q2 FY'26:

The consolidated revenue came in at Rs. 5,715 crores representing a 23.1%
increase in year -on-year with volume growth being witnessed across all
three divisions. This is largely due to good domestic business performance
as well as good export performance in the quarter as we II. Our exports are
up 43% year -on-year contributing to 34.7% of the company's consolidated
revenue compared to 29.8% a year ago. EBITDA post open period forex
increased 24% year -on-year to Rs. 499 crores with a margin of 8.7%. Profit
after tax came in at Rs. 252 crores which is 30% higher than the previous
period. Profit after tax margin is at 4.4% which is 20 basis points higher
than what we had in the 2nd Quarter of FY'25.

In terms of the first half, consolidated revenue came in at Rs. 10,820 crores.
This is the first time that we have crossed Rs. 10,000 crore s in one half.

It's up 25% year -on-year. EBITDA post open period forex stands at Rs. 1,000 crores which is historically high half yearly EBITDA post open period forex. This is up 25.5% versus the first half of FY '25. The EBIT DA margin stands at about 9.2%.

In terms of key industry highlights :

India's renewable energy sector continues to show good momentum with the first half of the current fiscal year witnessing a record capacity addition of about 25 gigawatts which is the highest ever in a 6 -month period driven largely by the solar sector. Of the total capacity of 25 gigawatts added

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during April -September 2025, the solar power sector encompassing ground -mounted, rooftop hybrid and off- grid segments contributed around 21.7 gigawatts and the wind contributed about 3 gigawatts according to the data which has been published by the Union Ministry of New and Renewable Energy.

In terms of some sectoral updates:

The Central Electricity Authority under the Ministry of Power has prepared a master plan proposing the development of 208 large hydro projects across 12 sub -basins in India's north- eastern states. The government's

ambitious Rs. 6.4 trillion which is \$77 billion transmission plan aims to evacuate over 76 gigawatts of hydroelectric capacity from the Brahmaputra basin by 2047. This ini

tiative is designed to unlock the region's vast untapped hydro potential supporting India's clean energy transition and enhancing the national grid reliability. This initiative also represents India's largest ever investment in hydroelectric transmission infrastructure.

In terms of the transmission line and substation addition:

According to CEA, India's substation capacity addition saw a good momentum in the first half of FY '26, rising by around 74% year -on-year.

The country added 44,645 MVA of transformation capacity which is a sharp increase from 25,690 MVA in the first half of FY '25. However, this represents only two -thirds of the planned 68,183 MVA target for the period indicating continued execution shortfalls compared to the plan. However, in contrast, the transmission line additions have actually remained subdued. During April -September FY '26, only 2,411 circuit kilometers of

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new lines were commissioned which is a 27% decline from the first half of FY'25 and achieving just 39% of the plan for the period. This shortfall was particularly acute in the 765 kV category where additions dropped to 300 circuit kilometers, down 26% year -on-year and covering only 9% of the planned addition.

In June 25, the Power Ministry announced a rollout of ultra- high voltage AC power transmission systems with nine 1,100 kV lines and 10 substations identified for development by 2034. So, overall, while substation capacity additions have shown an encouraging momentum, the transmission line expansion continues to lag behind targets. However, this is expected to

gather pace and align more closely with the targets in the months to come.

Now, coming to our segmental performance :

The conductor division in the 2nd Quarter of FY'26 had a revenue growth of 34.9% year -on-year on the back of a product mix which had higher realization and a better composition plus there was a volume growth of 16.2% in Q2 FY '25 versus the previous period. Exports grew 74.6% over last year's same period. Exports contributed 24.2% of the overall revenue compared to 18.7% a year ago. The U.S. revenue in the first half was up 145%. Premium product mix contribution is 45.4% in Q2 FY '26 versus

42.2% in Q2 FY' 25. The EBITDA post forex also grew 21.4% to reach a value of Rs. 248 crores. On the margin front, EBITDA post open period FOREX stands at Rs. 39,636 per metric ton as against Rs.37,702 per metric ton for the same period last year. Improved premium mix and growth in the U.S. business has resulted in this higher EBITDA per ton. The total order

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book is at Rs. 7,168 crores and the new orders received during H1 were Rs. 5,256 crores.

As we look at the first half revenues, that came in at Rs.5,885 crores which is up 39% over the first half of last year. Volume again has grown at 16.8%. The export mix stands at 22.3%. The EBITDA has come in at Rs. 497 crores which is 27% higher. The EBITDA margin is at Rs. 41,421 per metric ton versus Rs. 38,095 per metric ton in the last year.

We have strengthened and opened up new markets beyond the U.S. For example, in Europe, we are expanding and entering a larger footprint in new countries for some of our premium products and also adding them in Latin America. We have also added a few new customers in Canada. In spite of all this, growth in the first half, there are actually two headwinds which we are facing as we get into Q3 which is particularly due to the increase in metal prices. If you see, aluminum prices have increased to almost \$2,900 per ton and copper prices have increased to more than \$11,200 per metric ton. This is causing new ordering globally to be put on hold when customers and EPC players, developers etc. are playing a waiting game in the short term to see if prices act

usually correct downward.

During this period, the ordering is significantly reduced. What we see is execution taking place of only those customers who had previously blocked

the metals at older prices. This is also to some extent true in the cables business, especially in solar cables and some of the other cables where the metal content is reasonably high.

Now coming to our oil business :

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Revenues from operations remain flat compared to last year, largely because crude prices in the first half have been lower than what they were in the same period previous year. Volume has grown 8.2%. Transformer oil volume was a bit lower at 4.6% at a global level on account of some execution delays in the supply chain, especially from our plant in the Middle East as well as in some of the export locations. However, the transformer oil domestic business posted a very strong revenue growth of 13.6% versus the previous year. Automotive oil grew 3.7% whereas

industrial lubricants grew 18.8%. Exports contributed 43.2% of the overall oil division revenues as compared to 44.7% a year ago. In terms of EBITDA per KL, this quarter it is at Rs. 5,869 versus Rs. 5,473 per KL a year ago.

H1 revenue has also remained pretty much flat for the same reason. However, the domestic transformer oil business has grown 17.3% in the

first half versus the same period previous year and the export mix in the first half stands at 40.1%.

In terms of our cable division :

The revenue in Q2 FY '26 posted a strong revenue growth of 25.1% to reach Rs. 1,535 crores. The US revenues in the first half have grown 121.2% over the last year. The export mix was 42.3% in Q2 FY '26 versus 29% in Q2 FY '25. The EBITDA post forex recorded a year-on-year growth of 32% to reach Rs. 157 crores. EBITDA margin came in at 10.2% in the quarter which is up 50 basis points compared to last year. The pending order book stands today at Rs. 1,836 crores.

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The cable business for the first half posted a revenue growth of 30.2% to reach Rs. 2,954 crores. The export mix stands at 41.8% in H1 versus 30.9% a year ago. Again, the US revenues have grown 127.7% in the first half.

The EBITDA post forex grew 32.1% to Rs. 299 crores with an EBITDA margin of 10.1%.

I would now like to move to concluding remarks and summing up the scenario:

If you look at the fundamental growth drivers for the Company, we believe

that they still continue to remain fairly intact. There is a steady inflow of business coming from renewable energy in India as well as around the globe. There is continued investment happening in terms of grid monetization and augmentation at a global level. Domestic business continues to be relatively strong. And our presence across multiple segments in the generation, transmission and distribution of electricity continues to be healthy. On the export front, the US tariff situation is fluid at the moment with various announcements that have happened over the last few months. One important development has been that aluminum and almost 400 products were added to the Section 232 duty, which is uniform at 50% for aluminum, copper and steel. This is uniform across all the countries. So, as a consequence, that puts us in a slightly less disadvantageous position. When you look at the export of the product, the metal content is charged at 50% and the non-metal content is charged on the basis of the basic duty plus the reciprocal duty, which in India is at 54% at this stage versus the Q2 & H1 FY'26 Earnings Conference Call
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lowest duties which are coming from the Middle Eastern countries and the UK, which stands at approximately 10%.

Basis news articles and talks which are going on about the trade deal, hopefully it seems that there

is a certain level of progress taking place.

However, in the meantime, customers in the United States have honored their commitments on most of the orders and they have accepted the materials. There is also a willingness for them to absorb a part of the duty, allowing us to make some adjustments in our prices and margins. And the new order inflow has started in Q3 after a break of two months in Q2. The pace of orders is a little bit slower as customers try to size up the

geopolitical situation and the tariff situation. However, there are certain incentives which were announced by the US government which are time-bound. So, it requires construction to start of renewable energy projects, especially solar projects by 4

th of July 2026. And the project has to be

completed and in service i.e. by delivering power into the grid before December '27. So, considering this, I would believe that order inflow will

continue to be there and would actually increase to avail of the incentives which are there. The Trump government seems to have hinted that this period may not get extended. So, accordingly, we are seeing improvement

in the order inflow in Q3. But this is likely to be executed during the end of Q3 and early Q4. And the revenues for what we export in Q3 will be realized only in Q4, resulting in a Q3 coming under some amount of pressure both on topline as well as on the overall profitability side. So, given that globally there is an increase in demand, we would also look at trying to mitigate some of the shortfall of the US in the shorter term by trying to book more business in the domestic market as well as in some of Q2 & H1 FY'26 Earnings Conference Call

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the other export markets. As I mentioned earlier, one dampener is that there has been a sudden spike in the price of aluminum and copper, which is holding off people from finalizing their orders in the hope or expectation that these prices may fall. But overall, we believe that if you look beyond one quarter and you look into the medium term, we believe that the business fundamentals continue to remain strong.

So, on this note, I would like to conclude my presentation and open up the floor to questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Hi, sir. Congratulations for a very strong set of results. My first question is pertaining to a conductor segment where we have reported a very strong set of EBITDA per ton realization numbers consecutively for almost now

three quarters. And our guidance is at about closer to about Rs. 30,000 per ton on this side. So, any revision in terms of guidance now considering that consistent performance of EBITDA per ton more of closer to Rs. 40,000 per ton. And especially with respect to what you talked about in case of US market, how demand is kind of shaping up. If you can divide that demand in case of data center and then other government -related projects ? And where exactly do you see postponements kind of happening in terms of decision making from the customers? And also in case of domestic market, how do you see second half shaping up in terms of demand considering that first half was relatively noted in terms of executing projects on transmission line side?

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Ramesh Iyer: Hi, Umesh. So, I will answer the first part of it. Basically, on the EBITDA part, we will continue our guidance of 30,000 per metric ton as we have been explaining in the calls earlier, it's a combination of various product categories. And depending on what gets executed during the quarter, our margins comes up. And as you would have seen, the EBITDA margins we have been guiding from 10,000 to 30,000 over the last 2 -3 years, where we see

a comfort level below which the EBITDA are not likely to drop over a 12-month period. So, despite that, we have got 35,000 to 40,000 EBITDA per metric ton. For the time being, we'll continue to guide 30,000 per metric ton for the overall medium to long -term 12 -month period.

Chaitanya Desai: On the second part of your question, so data centers is definitely one of the major drivers of the electricity demand in the US. But in terms of the products that we are selling, especially the conductor part, so transmission is an important component to feed the power to the data centers. And definitely, that is one of the areas we don't have the exact breakup. But our estimate is that the major part of the demand currently in the US is actually coming because of the data centers. The second driver is also in terms of the various other projects, especially wind energy in the US. So, a lot of transmission lines are coming up in those wind corridors to transmit the power from the generating point to the various consumption areas. So, these are the major drivers.

Umesh Raut: Okay. And in domestic market, how do you see things shaping up in especially second half of FY '26?

Chaitanya Desai: So, second half traditionally is always better in terms of less weather -related issues. So, we feel that there will be a better progress. As was already

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explained, that the progress in the first half in this year has been behind the target by a huge margin in India. But hopefully, we expect things to gather pace in the second half. There is pricing of the aluminum which we spoke about. That there are some projects which already the bidders have bid with a certain assumption of aluminum and the products based on aluminum. So, they are waiting till, you know, prices of aluminum drop for them to actually go ahead with the placement of orders. So, to the extent they can delay some of the projects, there will be a little bit of that effect also happening in India and outside India.

Umesh Raut: Got it. In terms of import of conductor or cables in US market, so when you talked about that most of these countries are at par with respect to duties of 50% excluding Middle East and UK or Europe. So, basically how much of that portion which is coming in from Middle East and Europe into US market as a part of total demand?

Kushal Desai: My apologies. I don't know. The line seemed to have some trouble and dropped. So, as I was explaining that there are actually now the US tariff situation is a bit complicated to understand. So, let me spend a minute and explain. So, there is something called Section 232 in which strategic products are included from US economy perspective. And that includes three metals which is aluminum, copper and steel. So, the duty on these irrespective of the country from which the metal is being imported is

attracting a duty of 50%. So, if a product lands there with a value of \$100 and it has \$40 of metal, then that \$40 will attract a duty of 50%. And the remaining \$60 will attract a duty based on the reciprocal rate of duty. So, what we were saying here is that India actually has, we have gained to some extent because it is normalized to the extent of the metal portion and the disadvantage is to the extent of the non-metal portion, which is anywhere between in the case of conductors is probably around 30% is a non-metal portion of the value of the goods. Whereas in the case of cables, it could be as high as 50% of the value of the goods. So, there is this disadvantage that still exists at the moment. But because the metal portion is equalized, the overall impact is a bit lower. So, does that answer your question, Umesh?

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Umesh Raut: Yes, sir. So, my final question is on the cable business side where we have seen EBIDA margins kind of hovering in the range of 10% since last few quarters. I think you have mentioned in the past that we were doing certain repositioning exercises, branding exercises, and that's why expenses were relatively higher. Over the course of scale-up in the business, we will have margins improvement coming in. So, basically, I just want to understand how should one think about EBIDA margin in the cable business going forward?

Ramesh Iyer: So, on a medium to long-term basis, we expect the margins to hover around 10% to 12% as we have been guiding earlier. And because of the various categories of the products, because of multiple markets of the product, it could anywhere be at the lower end of 10% or upper end of 12% over a period of time. So, that's where it's likely to land. And we are in that range currently.

Umesh Raut: Okay. And is it possible to share any breakup in between end-user markets where you experience relatively higher margin for those specific applications and in some segments, margins could be relatively lower? So, any possible breakup that you can share on cable side?

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Ramesh Iyer: No, there is no fixed pattern as such. It all depends on the composition, on the requirements, on the mix specifications. There are a lot of moving parts there due to which it may not be possible to arrive at this kind of answer properly.

Umesh Raut: Okay. Got it, sir. Thank you so much and all the very best.

Ramesh Iyer: Thanks.

Moderator: Thank you. The next question is from the line of Amit Anwani from P L Capital. Please go ahead.

Amit Anwani: Thanks for the opportunity, sir. My first question is on the headwinds due to metal prices, which you highlighted. And you also talked about the ordering is significantly reduced. Is it what you're talking about refers to US? And what is the assessment with respect to impact of this metal prices in the near term? Anything, any impact on the gross margin because of this, if you could highlight on that?

Kushal Desai: So, there are two parts to it. One is, I mentioned in the opening remarks that because metal prices have suddenly shot up, people have stopped ordering at the moment because their product will be more expensive. A lot of customers are in a wait and watch mode to see if the price is actually correct downward for the metals, in which case they would end up placing new orders. So, the order inflow has not been cancelled, but it's on hold in many instances. The second part of your question is, whether it's going to have an effect on gross margins? The answer to that is no, because we run a completely hedged book. So, we do not take on the risk of the metal. That risk is sitting with customers and on a back-to-back basis we end up

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taking the positions on the metal.

Amit Anwani: Yes. Second, sir, on tariffs. So, you did highlight that 30% of conductors' business might get impacted, as you explained, and 50% of cables component. So, given that there's a 50% tariff applicable in September - October already, until the deal happened, any impact you witnessed, if you could explain any amount of percentage where despite negotiation with the customer, we had an impact on sales in the US market?

Kushal Desai: So, for almost two months, which is your August and September of the last quarter, the order inflow had almost completely stopped because people were waiting and watching to see what would happen between the tariff situation. However, as I mentioned in the opening remarks that in Q3, we have started seeing a flow of orders starting to come in. So, this would definitely have a short-term impact in our booking of revenues in Q3 of FY'26. Because the new order inflow which has started coming in, even though it

is at lower margins, it is all on a DDP basis, so the revenue will get recognized in Q4 of FY '26. So, there is a definite impact, but the order inflow has already started coming in. And as I mentioned, with certain customers who want to avail of these incentives in the United States on the renewable energy, there are certain timelines in which they need to deliver.

So, I think that to some extent, at least as far as solar installations are concerned, there is a movement that we have seen that has already started in spite of the higher tariff levels.

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Amit Anwani: Understood, sir. So, for cables, we can see this quarter, I think the sales was about Rs. 895 crores for domestic business, which is kind of hardly 1%-2% growth. So, any reason there? And exports for cables, despite you explained that orders were stopped, so if you could explain, the exports for cable were significantly higher despite the tariff. So, if you would like to explain these numbers on cable ?

Kushal Desai: In terms of the cable exports to the US because the periods were already announced by which the increase would take place. A lot of customers have taken delivery of product to meet with those deadlines and that is reflected in the higher percentage numbers that you see of growth in the cable side. Also, the domestic market, Q2 is normally the slowest period. The power cable work really stops quite dramatically in Q2. So, we took that period to actually complete all the US export orders which were there. We have not really had any major penalties and tariff-related issues to absorb in terms of our own P&L so far. Our expectation is that in Q3 and Q4, the domestic market will be picking up. And in Q4, you will see a lot more billing happening to the US markets and the other export markets as well.

Amit Anwani: So, finally, last question on the conductors. We can see premium products delivering strong growth. And I understand that this is primarily because of the domestic. Is it also the reason that gives us confidence of 30,000 plus EBITDA per ton ? That is one. Second, has there been any impact on the US EBITDA per ton ? Could you just highlight negative or positive because of the recent developments of tariffs ?

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Kushal Desai: The EBITDA pattern for the US markets across all both conductors and cables have both obviously taken a hit. In the case of conductors, as I mentioned, the metal portion is much larger than in the case of cables. So, the hit is taken on the non-metal portion of the product.

Ramesh Iyer: But we have been able to pass on this hit to the customers. So, if you look at our P&L, there is no net impact on our profitability, both on conductors and cables in Q2 for the orders that have got executed in the P&L. So, in the sense, if I drive your attention to the other expenses line, you can see an increase that has happened. So, a lot, a part of that increase is due to import duty in US, which you have to incur as a cost. But at the same time, it has been billed to the customer. So, there is no impact on the profitability

for the two divisions.

Chaitanya Desai: So, there will be a hit for this September quarter. But going forward, as explained for the new orders which are coming in now, there will be a hit in terms of volume for a little while and also the margins will be a little less.

I hope that clarifies, Amitji?

Amit Anwani: Yes, on the premium products, what's driving this? Is it fairly domestic or?

Ramesh Iyer : Premium products are largely domestic.

Chaitanya Desai: But we are trying to increase our geographic reach outside India also for these products now. It is at the beginning stage, but definitely it is one of the efforts we are making so that with the difficulties with s

ome of the, or

the challenges in some of the markets like US, then we are trying to make up in other markets.

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Amit Anwani: And is it fair to assume that gradually the EBITDA per ton in premium products is improving, or has it improved in past 5-6 quarters?

Chaitanya Desai: It has remained pretty much at a decent level.

Kushal Desai: There is no unit improvement in EBITDAs per ton, but the mix of that has continued to remain reasonably strong. So, if you see copper transpose conductors, copper bus bars, all of these products including HTLS conductors, they have all remained reasonably strong. And the outlook for these products also remains good because all products which are having increasing demand in the both short, medium and long term.

Amit Anwani: Thank you so much, sir. All the best.

Moderator: Thank you. The next question is from the line of Prathmesh Salunkhe from PL Capital. Please go ahead.

Prathmesh Salunkhe: Hi, sir. Thank you for the opportunity. So, since we are on cables business, now that we understand most of the cables growth is coming from the US

business and there is a dependency as of now. So, just wanted to know if and when this tariff situation resolves, what kind of impact we can see going forward? Can the cables business maintain this kind of growth in next year as well ?

Kushal Desai: So, our sense is that there will be a definite impact in Q3 of FY '26 because there was two months of really no order and flow coming in. As we get into Q4 onwards, you will see again the momentum starting to pick up. There

will be practically almost no billing happening in Q3 with respect to the US markets. In fact, I mean, I wouldn't say no billing but substantially lower

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billing taking place. The domestic market also, for example, if you see there is a lot of solar addition taking place, but all the string cables for solar are all copper based. And if you see in the last 10 days, copper has reached almost all-time high prices, touching close to \$12,000 before it has come off. So, there is a little bit of disruption that has happened in there where developers are just holding back because they have all quoted on a fixed price basis. So, there is a little bit of disruption which is there. We see that will probably all play out in Q3. And then from Q4 onwards, we'll start seeing business volumes again increasing both domestic as well as export.

Prathmesh Salunkhe: Okay. Also, sir, we are doing quite a bit Capex in cables business, expanding our capacity across the cable. So, wanted to understand what kind of revenue we might get from cables like maybe elastomeric cables ?

What were the revenue figures for elastomeric, '24-'25, and then with increasing capacity, what kind of revenue we can get from such cables ? So, we understand sort of trend. Thank you.

Kushal Desai: Historically, we aren't giving a break up in terms of the sub cable types.

But all I can tell you is that we have been guiding a growth of 25% year on year. The first half has delivered something far in excess of that. There will be a bit of a blip that happens in Q3. But, you know, as you go forward,

Q4 onwards, we will continue to see this increase. We have not reduced anything in terms of the Capex that the company has announced. So, we

are going ahead with all our Capex plans because we believe

fundamentally that the demand is going to continue to remain strong. So, on the renewable side, on the contrary you see, the amount of growth happening on the wind side has also been very strong. And APAR has a
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very strong position in the cables that go into windmills. So, we have been seeing a good growth on that front as

well. In Q2, you will see windmills don't get added because to erect a windmill with monsoon and the winds being at high levels and generally that's the slow period. As you get into Q3-Q4, you'll see segments like wind, railways, all of these things on the domestic side picking up. And from Q4 onwards, we'll see again U.S. export revenue getting booked. So, I hope that kind of gives you the picture.

Prathmesh Salunkhe: Yes, very helpful. Thank you so much for the questions and all the best.

Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Hi, sir. Thanks for taking my question. Just on this awarding side, because I know you've been sounding cautious over the last 2-3 quarters because of the tariff part as well. But you're over delivering every quarter. Every quarter, I think the growth has been very strong. Just on when you said that Q3 orders especially only on the U.S. market, there were no bookings. And from Q4 on and Q3, you have started seeing orders also coming in. When these orders are coming in, is it purely on the conductor and cable and it's again the renewable Capex where the customers are decided? Because when we look at the global data of renewables, that is not falling, that the ordering has been very strong. So, obviously, when you said to meet the deadline of the IRA incentives there, so it's just the U.S. revenue part, which you see some slowness coming in Q3 and Q4 is where you again start seeing a bump up. And is the order run rate, the similar kind of a run rate,
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what you're getting now, the inquiry and the order run rate, if you can just clarify that?

Kushal Desai: So, on the order flow, so this constant inquiry has been coming even through this entire period where there was no real orders getting finalized. But we have seen a large intake come in at the end of through the Diwali, meaning the last week of October, early in the last 10 days, a whole spate of orders has come in from the U.S. market. So, we have had to adjust our pricing to some extent. Customers have absorbed a portion of the duties at their end. We have also come to realize that even the local domestic players have had to adjust the prices upward because all aluminum, the U.S. imports almost 90% of its aluminum. So, those prices have also got, the local prices of aluminum have got adjusted up to that extent. So, this was a whole period where things needed a bit of settling down. And then now this order inflow has come. So, you will see a reasonably strong execution happening from November onwards. And it's all directly, the orders which are getting finalized first are all coming from the renewable energy side in the U.S. So, both on the solar and the wind side. So, APAR exports actually cables that go into the wind side also in the U.S. But the solar is much larger in terms of the volume.

Nitin Arora: Got it. That's very helpful. So, that's all I wanted to know.

Kushal Desai: On the conductor side as well, wherever customers need to place orders on for the conductors to prevent, their schedules getting disrupted. So, we started seeing some inflow of those orders coming in as well. So, if you see the growth, which we have shown, if you take FY '25, we had done almost Rs. 1,600 crores of conductors and cables put together. And if you
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look at FY '26 in the first half, we have done almost a similar number. And this is because APAR has also been working very hard in increasing market

access, as in getting approvals from customers, etc. And our belief is that at some point in time this tariff situation will get sorted out. And then as it gets sorted out, the larger access will be available based on all these approvals, wh

ich we have been working on, including through this current period.

Nitin Arora: Got it. It's just a month or two month phenomena, which you saw and then again, things are getting back on track.

Kushal Desai: There is a pressure on the margin because we have had to absorb part of it, customers have absorbed part of it. And these markets take many, many years to build. And so as a strategy, we have decided that we do not want to let up on products going into these markets and into these customers.

Because the tariff problem, our belief is it will get sorted out at some point in time, in which case there will be more parity in terms of our ability. We

have also invested a lot of money not only in equipment, but also in manufacturing practices, processes etc., where the products are optimized for the US market from our plants in India. And so as this tariff situation gets sorted out, I think you'll see a surge taking place in business going to the US. But we have to still wait and watch until that happens. In the meantime, business has restarted.

Nitin Arora: Sir, just one thing on the domestic market, as you rightly said, transmission is something which took a little stall. But when we look at the backlog of thermal projects and state distribution, that ordering, what we were seeing was quite healthy still in the first half. So, domestic though you have guided Q2 & H1 FY'26 Earnings Conference Call

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for a 25% growth in cables and conductors also you've been doing very strong growth. From the domestic side, do you see any challenges on the growth or you still think the momentum will continue in that 20% plus range and premium product contribution continues to increase?

Kushal Desai: So, we don't see really any fundamental challenges on the domestic side.

The short term issue has clearly been right of way. Also, there is a change that many of the customers are putting in the way in which you can do the billing. See, previously, even in government projects, railway projects, many other agencies, you could bill, there was a separate billing of product and then billing of the services that you had. So, you could supply the product part earlier in the cycle compared to the services part. Today, everything is now moving towards milestone billing. So, if your right of way doesn't come through, then you don't want to order the material because you can't then bill it further to the client. Your payment is now more milestone based in terms of how you execute. So, a few of these things have played out because of which there is likely to be a slightly slower movement happening in Q3. But keep in mind that post Diwali, that means from November through till March is the best construction season in the country. So, everyone is working overtime on getting right of ways and as those come through, you will see the conductor offtake starting to pick up. Plus, there is this backlog, as was mentioned in the opening remarks, that substations have outstripped actually the lines going in. So, there will be a demand that will come up for the lines.

Nitin Arora: Thank you so much.

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Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: Thank you so much for taking my question. My question is on the expansion of the conductors. What is the progress on that and by when do we expect the entire capacity to come online?

Chaitanya Desai: It is all going as per schedule. Almost all the product lines, we are increasing our capacities and we envisage that the bulk of it will be done by March '26. And some part of it will get done by the Q1 of the next financial year.

Nidhi Shah: And my second question on the conductor side is that what do you think is the outlook on the conductor si

de for the domestic market, given that not

a lot of players are increasing capacity on the conductor side ? Not many players exist in this space as well.

Chaitanya Desai: So, on the conductors, we are making several different types of products.

So, there is one product group, which is on the copper side, which we are seeing that there is a fair amount of growth that we expect. Therefore, we are expanding. And you are right, relative to the demand, the increased capacity may not be so forthcoming. On some of the conventional conductor side, aluminum side, we see that the supply demand may be not so great for us because new capacities are coming in. And as we discussed, there is a little slowdown and we are building our capabilities on the premium products of the aluminum conductors. So, that is also expected to grow in the reconductoring projects of HTLS and OPGW.

Nidhi Shah: Thank you.

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Chaitanya Desai: Thank you.

Moderator: Thank you. The next question is from the line of Kunal Sheth from B&K 360 One. Please go ahead.

Kunal Sheth : Hi. Good evening, sir. Thank you for the opportunity. Sir, you did mention about the conductor Capex that are likely to come by March. We are also investing about Rs. 800 crores in cable division. So, what is the, you know, status there? When are the capacity likely to come up there?

Kushal Desai: So, in the case of cables, the first phase of equipment are coming in the January -March quarter. And the balance will all arrive in the April -June quarter. So, by the June quarter, you will have pretty much everything having landed up at our sites. And then the commissioning will take place.

So, bulk of the commissioning, I would imagine, would be done by June of 2026. The spillover of which would happen in the 3rd Quarter of next year, as in the quarter ending September of next year.

Kunal Sheth : Okay. So, basically, and then we will see gradual ramp -up in terms of utilization over the next few quarters ?

Kushal Desai: Absolutely. We are equipped enough to meet, our operating plan for this year. And then the timing of the Capex is such that it times in to then allow for further increase happening from the next financial year onwards.

Kunal Sheth : Got it, sir. And sir, my second question is relating to conductor segments.

The share of premium products there is about 45% in Q2 and about 44.5 % in H1. Is there a number that we have in mind? Basically, what I am trying

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to understand is where can this share go up, given that we are still focusing on a lot of premium products and introducing a lot of specialty products?

Kushal Desai: So, the copper side is a separate bucket by itself. But when you look at the aluminum side, which is consisting of HTLS and all these premium conductors, where we not only supply the conductor, but we also actually install it. So, that part of the market is actually a growing market. And there is a lot of work going on in there. Government policy also is being worked upon to improve and increase the amount of reconductoring efforts that are going to happen in the country. So, the equipment is actually fungible. So, as the HTLS demand increases, we are in a position to increase the production of those type of conductors. So, I don't see a limiting factor on that number. I think that we want to grow only up to a certain percentage. If there is a huge reconductoring demand that comes up, we would like to produce practically everything as HTLS.

Kunal Sheth : Okay, got it. So, basically, it's more constrained by how demand shapes up rather than our capacity.

Kushal Desai: Exactly. So, as we put in all the new Capex , we made sure that equipment is fungible to produce a much wider range of premium products.

Kunal Sheth :

Got it, sir. Thank you so much and best of luck for the future quarters.

Moderator: Thank you. The next question is from the line of Mr. Achal Lohade from Nuvama Wealth Management Limited. Please go ahead.

Achal Lohade: Good afternoon, sir. Thank you for the opportunity. Just a few clarifications.

One, in terms of the pricing, you did mention that you lock in the price,
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but there is no impact on the margin. But in terms of, let's say copper has gone up from \$10,000 to \$11,000. So, is markup basis the absolute rupees per ton or the markup basis the percentage? If you could clarify.

Kushal Desai: The price variations would run on the basis of the absolute change in the price. It would not be based on a percentage change in the price. The price variation formula is based on the absolute change in the price. What I meant was that we hedge our position completely. So, we don't take any speculative risk on the price of the metal movement, either upward or downward.

Achal Lohade: Yes, fair. So, what I wanted to check, and correct me if I have got it right. So, essentially, whatever is the price, we add rupees per ton margin on that. Have I understood right?

Chaitanya Desai: So, I will give you an example. So, if a customer is placing an order on a provisional price basis with a certain delivery schedule, then as we come closer to the actual offtake month, then he has to finalize the price. And then there is a price variation formula which updates the price. So, when he updates the price, we lock in on that updated price, we take the LME position. I hope that clarifies.

Achal Lohade: Understood. Okay, and is it similar for conductors and cables both or it's different for both the products?

Kushal Desai: No. So, every product has its own price variation formula depending on the composition of the product. But the delta that takes place is fundamentally related to the metal itself. So, the change in the price of the metal itself.

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Achal Lohade: Metal. Understood. The second question I had, sir, in terms of export for both conductors and cables, if you could clarify, how much is for the U.S.? What would be the U.S. mix out of the exports for conductors and cables separately?

Ramesh Iyer: We have given it. For the last year, full year, it was about Rs. 1,600 crores that we did. And as we just explained on the call, for the first half of this year, we have already crossed, already done Rs. 1,600 crores across cable and conductors in the U.S.

Achal Lohade: Understood. The third question I had, you know, given the current capacity, what is the potential revenue assuming the current price of the metal? Like, are we operating at a 60% utilization, 50% utilization, 90%? If you could give some clarity on that. And what is the additional capacity quantum which is coming on board?

Kushal Desai: So, if you were to look at both the conductor and the cable side today, in terms of operating capacity, we are at, in the conductor side about 75 % to 80%. And then we are adding capacity going forward. On the cable side, also we are at about 80 %-85% capacity. But in certain product categories, we are running at 100% utilization. The expansion that we put in are going to enable us to support the growth that we have been guiding for FY '26 and FY '27 and a little beyond that as well. Because a lot of new factory facilities are also coming up, so you can then start adding production lines to further increase. Especially on the cable side, a new 66 -acre plot is being fully developed, which would then allow, beyond whatever we are putting in the Rs. 800 crores, we can incrementally then start increasing by then putting in production lines.

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Achal Lohade: Got it. If you could quantify what is the Capex target for FY '26, '27, and '28? A ballpark number?

Ramesh Iyer: For FY '26, we have about Rs. 1,300 crores as a ballpark Capex across all

three divisions. '27 and '28, we don't have at the moment.

Achal Lohade: But is it fair to say it will be Rs. 1,000 crores plus or it could fall?

Ramesh Iyer: It's not unlikely because we are going to spend a big amount this financial year to build capacities and infrastructure that will last for the next few years. So, the Capex for the following years will be substantially lower than what we will incur in FY '26.

Kushal Desai: Let me put it in a slightly different way. Answer the same question that, we are putting in Capex, which is good for over two years of expanded capacity, and we are doing this in advance. Because in the past, what has happened is that we have always allowed capacities to reach 85 %-90% levels and then added. Given today's timeframe where capacity addition timings are much more complicated and difficult to achieve, we are putting this Capex in advance. So, the reason why Ramesh is saying that when you look out beyond this, depending on the way demand is picking up and the product lines where we are seeing more traction, we would then go in and start putting in equipment that's more specific to that. So, two years plus expansion is already clearly happening with this Capex.

Achal Lohade: Wonderful. And this last question, with respect to the reconductoring opportunity, if you could give some more sense, sorry I missed the initial part if you kind of said in that context, but if you could repeat for the reconductoring opportunity in India.

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Kushal Desai: So, what I mentioned, I didn't mention anything in the opening remarks, in answering one of the questions I mentioned that the reconductoring opportunity, according to us, reconducting is absolutely the best way to go forward for the following reasons. Number one is that it's significantly cheaper than putting up a new line. Secondly, it is much faster and it is in the hands of the utility to give you the outage to actually put the lines up. So, there is no right of way required or no third-party permissions which are required. And the third thing is that if you choose the right design, you can actually increase the throughput of power by 150% more or 200% more. So, if you are carrying 100, you can go up to 250 or 300, depending on the configuration of the line that you end up choosing. So, when you look at this, in a country like India which is resource constrained, this is clearly the best way to go. So, our sense is that more and more of this reconductoring will have to come up. We have also been lobbying

with CEA saying please allow new lines to be laid with the top-end conductors which is with the HTLS, etc., which so far has been focused only on reconductoring projects. So, this is also being considered by the Central Electricity Authority because keep in mind that you hear a lot of data centers going into the U.S., but there's a lot of data centers going into

India as well. They are much smaller in size than the U.S. hyper scaler ones, but there is a lot of data centers going in, and they do require a large amount of energy to run. So, we believe that a lot of reconductoring projects are going to come up, and it will only accelerate with the addition of data centers and other energy-intensive assets which get installed.

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Achal Lohade: Any quantification, sir, like in terms of annually how large is reconductoring at this point in time and how large can it become like in 3-5 years? Any quantifications?

Kushal Desai: So, actually the government is working on a reconductoring plan. So, they

have taken out a renewable energy, 500-gigawatt renewable energy blueprint for the country. So, they are working on a transmission and reconductoring plan. A transmission plan also has been released, but the reconductoring plan is something that is being worked at. Our sense is that, see, it's largely demand-driven

Chaitanya Desai: And mostly it is in the urban areas currently or in the areas where there is more power requirement to be fed. But over a period of time, you know,

what is currently like a niche application may become a more full-fledged requirement and a mainstream product.

Kushal Desai: It's difficult to gauge what percentage growth will be there, but it can really have a good growth going forward. Also a lot of expertise is required in that. It is not a very simple thing to do. A, to manufacture the HTLS and B, then to do the installation.

Achal Lohade: Understood. Thank you. I will fall back in the queue for follow-up. Thank you so much.

Moderator: Thank you. The next question is from the line of Amitoj from B&K Securities. Please go ahead.

Amitoj: Thank you, sir, for taking the question and congratulations on a great set of results. My question was on the subdued ordering activity seen in August Q2 & H1 FY'26 Earnings Conference Call October 30, 2025

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and September. I just want to clarify that this was primarily a result of Section 232 tariffs and higher metal prices or they were a result of high reciprocal tariffs?

Kushal Desai: So, I think it's a combination of both because to a large extent, it was also because of 232. So, in the case of all the tariff increases reciprocally, you would have noticed that a notice period was given of several months and then a date was declared effective so-and-so date it will happen. When India was slapped a 25% penalty, the timeframe was shorter. But in the case of 232, it allows the government to impose it as of the time that they declared it. So, it becomes effective from 12:01 the next morning. So, it was so sudden, and 400 categories of products were added in there. So, obviously it took time for an evaluation in terms of what is going to be the impact. Even local domestic suppliers took time in terms of figuring out how things were going to fix and get rebalanced. People who had materials that were already in the country obviously could sell it at a lower price. So, there was quite a lot of confusion in that timeframe. I would think that 232 was the single largest factor for it. Reciprocal tariffs of countries also did not get declared overnight in one shot. If you see, they were being announced country-by-country. So, the whole thing actually resulted in a couple of months where things needed a bit of settling time. There is also hope that everybody has had at our end as well as our customers and that there will be a deal between India and the US. There was a period where there was a complete stalemate. Nothing was happening. Now, at least in the press, it seems like there is some positive movement. And I mean, if the trade deal happens, then it will only accelerate whatever our business is over there.

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Amitoj: Got it. This was because my question was mainly focused on knowing that if this was largely an effect of reciprocal tariffs, then did we see any market share erosion in the US primarily? But now that I can confirm that most of it is due to Section 232 tariffs.

Kushal Desai: Yes.

Amitoj: Got it. And on the Capex side, I just had a few questions. So, out of the 13 million CAPEX, how much of it we have incurred till 1H FY'26?

Kushal Desai: About 400 odd crores we have ...

Ramesh Iyer: For the Company as a whole, we have incurred Rs. 400 crores of Capex in the first half of the year.

Amitoj: Got it. And on the cable side, we had guided that

this Capex of Rs. 800

crores will result in revenue generating capacity of around Rs. 10,000 crores.

Kushal Desai: This Rs. 800 crores increase in Capex will result in an immediate increase that happens of around Rs. 6,000 odd crores. So, from Rs. 5,000 crores which we started with, we will be able to end up at about Rs. 10,000 crores. Plus the infrastructure is set up on the 66 acres. So, now as you start adding new equipment and stuff, then the time frame for installing it is much faster and then you will get a much higher revenue versus the incremental Capex that you put in.

Amitoj: Got it. I think that is it from my side. Thank you for answering my questions.

Kushal Desai: Thank you.

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Moderator: Thank you. Due to time constraint, this was the last question for today's conference. I now hand the conference to Mr. Kushal Desai for closing comments.

Kushal Desai: I would like to take this opportunity to thank everyone for your time to attend our earnings call. Just a quick summary in line with the closing remarks that I had. We see that all the fundamental drivers of our business continue to remain strong. There is a short-term impact as we have explained in detail that is going to hit us in Q3, especially from business in the US. The order inflow from there has already started. So, you will start seeing a better

position happening in the fourth quarter of the year. The domestic side on conductors was affected to some extent due to right-of-way issues. Our

expectation is that as we run through the second half of the year that will also get sorted out. And once that is done, there is a wonderful execution

period available between now and 31

st of March. Overall, we stand quite

optimistic in terms of the way in which the business is growing, albeit a

short-term problem which we will see in Q3. With that, I would like to close

the call. Thank you very much for your time.

Moderator: Thank you. On behalf of APAR Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

SEC/0402 /2026 By E-Filing February 4, 2026

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra - Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of the analysts and investors conference call on Un-audited Financial Results (Standalone & Consolidated) on Q3FY26 (2025-26)

Ref.: Reg. 30 read with Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations") , as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated January 29 , 2026 under Ref. no. SEC/ 2901/2026 , w.r.t. submission of Audio Recording link of the analysts and investors conference call on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3Y26 (2025-26).

Pursuant to the provisions of Regulation 30 (6) of the Listing Regulations, we are submitting herewith the transcript of the conference call made on January 29 , 2026 on the Un-audited Financial Results (Standalone & Consolidated) of the Company for Q 3FY26 (2025 -26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com .

Kindly take note of this.

Thanking you ,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)

Company Secretary

Encl. : As above

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"APAR Industries Limited
Q3 FY '26 Earnings Conference Call"
January 29, 2026

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
M R. CHAITANYA DESAI – MANAGING DIRECTOR – APAR
INDUSTRIES LIMITED
M R. RAMESH IYER – CHIEF FINANCIAL OFFICER – APAR
INDUSTRIES LIMITED
MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day and welcome to the APAR Industries Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S-Ancial Technologies. Thank you and over to you, sir.

Ambesh Tiwari: Good afternoon, everyone. I welcome you all to the Q3 FY '26 earnings call of APAR Industries. To discuss the business performance and outlook, we have from the management side: Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and the CFO, Mr. Ramesh Iyer. I would now pass on to Mr. Kushal Desai for the opening remarks. Thank you and over to you, sir.

Kushal Desai: Yes. Thank you, Ambesh. Good afternoon, everyone, and welcome to the APAR Industries Q3 earnings call. I would like to start by giving a quick overview of our performance and then follow it up with a short industry update. Post that, I would like to get into the specific segmental performance of the 3 major businesses and then finally throw open the floor to questions.

Our consolidated revenue in Q3 came in at INR5,480 crores, representing a 16.2% year-on-year increase. This was particularly characterized by a resilient domestic business performance and a favourable product mix across all business verticals. The export business was affected due to the U.S. tariff situation. If you look at the domestic revenues, it grew by 30% in Q3 FY '26 versus the previous year and 26.9% if you look at it in the 9-month period.

Exports for the quarter were down 11.2%, contributing towards 25.6% of the company's overall revenue compared with about 33.5% a year ago. The U.S. business performance remained quite subdued in Q3. This was related obviously with the tariff-related impacts and especially with an announcement that took place during the quarter of what is called Section 232 where almost 400 product categories were added under Section 232.

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And this covered pretty much most of the cable and conductor products and resulted in an order booking, which was very low in Q2 and the subsequent impact of that has happened in Q3. However, in Q3, the order booking has been better and I will cover that under each of the individual segments. If you look at EBITDA, the EBITDA is up 20.4% year-on-year to INR483 crores. The

EBITDA margin stands at 8.8%. Due to the enactment of this new labour code, we have had to recognize a provision towards past service cost of gratuity and we had to increase the provision amounting to approximately INR25 crores based on the best possible estimates and this has been accounted for under an exceptional loss. Profit after tax post this exceptional loss came in at INR209 crores, which is 19.4% higher than the same quarter of the previous year. The profit after tax margin is at 3.8%, which is about 10 basis points higher than in the same period previous year. Now comparing the 9-month figures. The consolidated revenue has come in at INR16,299 crores, which is up 22% year-on-year. The export revenue has grown by 12% and this was on the back of strong export revenues, especially U.S. billing in the first half of the year. We billed in the first half about INR1,600 crores, which is equal to the entire volume that we had done in the previous year. So EBITDA for 9 months is up by 23.8% and stands at INR1,483 crores. Profit after tax at the end of 9 months is INR723 crores, including the INR25 crores exceptional item, and is up 26.6%. The top line as well as the b

ottom line are both

all-time highs for a 9-month period. In terms of some general industry highlights. India has achieved its highest ever annual renewable energy capacity addition in the calendar year 2025, which is nearly 38 gigawatts of solar and 6.3 gigawatts of wind capacity.

Compared to current year 2024, the solar installations have increased by about 55% and the wind capacity additions have increased by almost 85%, underscoring a sharp escalation in the country's clean energy deployment and also the amount of hybrid installations coming in, which is a combination of wind and solar.

As of December 2025, India's total installed renewable energy capacity has approximately reached 258 gigawatts. Solar energy continues to be the dominant

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contributor accounting for about 53% of the total renewable energy mix. Wind power follows with 21% share and large hydro is at 20%. Bio and small hydro put together form the balance of approximately 6%.

If you look at additionally, India's power sector achieved a historic milestone in energy generation, transmission and distribution as well in 2025 with a maximum power demand of 242 gigawatts during the year and it has reduced the national energy shortage to almost Nil.

On the transmission and substation addition, there is a growth momentum in this regard. According to the latest statistics released by CA, a total of 60,260 megawatts of new substation capacity was added during the April to November time frame, which reflects approximately a 55% increase compared to the corresponding period of the previous year. However, this achievement is only 75% of the planned additions in the period.

With regard to transmission lines specifically, the pace of additions still remains well off the plan. It has improved compared to the first half where 5,077 circuit kilometers have been added in the April to December time frame and as a consequence, it is approximately 15% lower than what it was in the same period previous year.

Now this figure up to 30th September was about 27% lower. So clearly there is some catch-up to be made and the expectation is that in the fourth quarter and onwards, there will be a certain amount of catch-up taking place.

Coming to the specific segmental performances of our businesses. I would first like to start with the largest business division, which is the Conductor division. In Q3 FY '26, revenues were higher by 25.1% on the back of a good product mix.

There was also an increase in commodity prices, which provided a tailwind.

Volume actually de-grew by about 5.9%, which was largely on account of some of the delayed clearances and emanating from right of way as well as delays in transformer deliveries that are coming out of a lack of supply of bushings, which is resulting in some of the substation work getting delayed and in turn, the transmission line work getting delayed.

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However, we have been working towards adding several new customers and approvals from utilities overseas. The domestic revenue grew by 37% versus Q3 of FY '25. The export revenue for the Conductor division de-grew by about 11%. The export mix is about 18% compared to 25% in the previous year. The premium product mix remains healthy at 44.2% and this has grown compared to 37.4% in the previous period. If you look at EBITDA post open forex, it has grown to INR251 crores for the Conductor division. The EBITDA post forex per metric ton stands at INR44,195 as opposed to INR29,593 per metric ton in the same period previous year. Our order book is reasonably strong at INR7,396 crores, of which exports is contributing approximately 32%. The total new orders received in the 9-month period is at about INR8,052 crores. Coming to the 9-month performance. The 9-month revenue stood at INR8,948 crores, which is up 34% versus last ye

ar.

Physical volume grew 8.4%.

The export mix came in at 21%. The EBITDA post forex was up 31.2% to INR748 crores and the weighted average EBITDA margin is at INR42,311 per metric ton, which is significantly higher than the INR34,949 per metric ton in the 9-month previous year period.

Coming to our Oil business. The revenues from operations grew 18.4% with a volume growth of 21%. The transformer oil volume was up by about 10.6% and some of the other areas also contributed well. The automotive oil grew 14.6%. The industrial lubricant part of the business grew 15.7%.

Overall, exports contributed 42% to the division's revenue as compared to 43.8% a year ago. EBITDA per KL came in at INR5,331 per KL against INR6,364 a year ago. Foreign exchange depreciation did affect the profitability for this quarter.

On a 9-month period, you are looking at a revenue growth -- a volume growth of 12.3% versus a revenue growth of 5.9%. The revenue growth was a little bit lower because the price of base oil was lower in the first 6 months of the year.

Overall, revenues came in at INR4,062 crores. The domestic transformer oil business grew by 13.4% in this 9-month period. In the same period, automotive

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oil is up 8.9%, industrial lubricants is up 16.8%. And the export mix stood at 41% in the 9-month period.

Coming to the Cable division. The revenue in Q3 FY '26 was up by only 7.6% to reach INR1,362 crores. However, the domestic business had a strong performance and it grew by 34.6%. Overall, exports de-grew by 44.3%, which was basically because the U.S. revenues were down 65% in the third quarter over the previous year.

As I had mentioned in the opening remarks as well as in the last earnings call, we had practically no new order booking that happened in Q2, which resulted in a relatively lower execution in Q3. However, having said that, we have received approximately INR500 crores of new order inflow in Q3, a large portion of which will get billed in Q4.

So we expect the export business to have a comeback and a large portion of this is actually U.S. business. The export mix came in at 17.6% versus 34% in the 3-month period. The EBITDA post forex came in at 8.7% to reach INR132 crores. And the EBITDA margin is at 9.7% due to a favourable product mix as well as there were some gains on the cable side with respect to foreign exchange as the receivables from previous periods were collected. The pending order book is at approximately INR1,700 crores.

In the 9-month period, the Cable business grew 22.1% to reach INR4,316 crores. Domestic revenue is up 18.6% year-on-year. Export revenue grew by 30% year-on-year especially given the fact that we had a very strong first half. The U.S. revenue actually for the 9-month period is 44% higher than in the same period in the previous year and our expectation is that overall in the year, we will be equal to or greater than what we did in the previous year.

Export mix stands at 34% in the 9-month period versus 32.2% in the previous year. EBITDA post forex grew by 24% to INR431 crores with an EBITDA margin of 10%.

So in terms of just concluding remarks, I would like to mention that the 9-month numbers have been reasonably strong.

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The Q3 was affected because of the Cable revenues, which are largely accounted on a DDP basis so they have a lag of approximately 60 to 70 days depending on where the client is located. We continue to see as we enter Q4 geopolitical issues characterized by global tensions and even there is a certain level of commodity price volatility. However, the domestic business continues to remain strong. The Cable business and orders in the U.S. have also improved to over INR500 crores in the quarter. The trade deal with the U.S., the discussions are still going on, but there is not enough clarity in terms of

which way and when the wind will

blow favourably. We just heard of an EU trade deal, the details of which are -- the fine print and the exact BTN classification numbers are still awaited.

But our expectation is that it would generally be favourable for both our Cable and Conductor business. So on this note, I'd like to conclude my presentation and would like to open up the floor to questions, please.

Moderator: The first question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Sir, first question on the kind of positive surprise on the EBITDA per ton of INR44,000 and I can see on a 9-month basis, we have done roughly about INR42,000. Just wanted to understand you have highlighted better product mix. So, despite there was a challenge in U.S. also for conductor, the growth was kind of hardly 2%, 3%. So what do you mean by product mix?

Is it the premium product where we have seen the contribution of 44%, 45% in 9M versus last 9M was about 37%? So would you be able to explain more in terms of what is driving the strong EBITDA per ton for conductors?

And also would like to understand the volumes growth. So you did highlight it that there's some comeback which is happening. But what is the volumes growth expectation for conductors for 4Q and probably in medium term?

Ramesh Iyer: Yes. You're right, Amit. In terms of the EBITDA per ton, it is largely because of increase in the premium mix as compared to the total sales of the conductor. As we have discussed earlier also, U.S. is always one of the reasons for the higher EBITDA. But as we have been premiumizing our portfolio over last several years, APAR Industries Limited
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this has made a big impact in terms of increasing the EBITDA margin on a per metric ton basis.

Overall, last quarter 3, we had a premium mix of about 37%, which in this particular quarter has gone to 44% due to which our EBITDA margins have been higher. And of course as you compare it with last year, last year was the lowest EBITDA margin on a per metric ton basis that we saw in the last 4 quarters of the year and this quarter because of the favourable product mix, the margins have been higher.

And also as we have discussed earlier, some of the nonpremium mix also because of the shift from ACSR to AL-59 has been giving a higher EBITDA per metric ton.

All of that has contributed to a higher margin in this particular quarter. In terms of volume, overall if you see last year, Q3, Q4 was heavy and we expect that full year should be around the YTD range that we have been getting till now on the volume growth front. That's what we expect as of now to end the year.

Amit Anwani: Which is kind of 8% to 9%?

Ramesh Iyer: Yes.

Amit Anwani: Right. Sir, second thing, so is it fair to assume that since premium is, as you rightly said, even on the EBITDA per ton basis is doing fairly well and I can understand that premium large portion of contribution is coming in the domestic market. And we are growing very strong in the domestic market. So the sustainable EBITDA per ton, are you revising that guidance of INR30,000-plus because we have been delivering exceptionally well on EBITDA per ton still despite the U.S. challenge?

Ramesh Iyer: We'll continue with the same guidance that we have been giving in the past. Of course we have been saying the tailwinds are always not so easy to predict given the various macro challenges and domestic competition that comes. But within that tailwind, as we have a more profitable order, the tailwinds are expected to be higher. But for now, we'll continue with the same guidance.

Amit Anwani: Right. Sir, in terms of commodity impact, how one should read it? So you have been highlighting that this is a pass-through and I think in the last call, you did highlight that probably the customers might be putting project or inflows on hold
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because of high commodity price, especially copper, aluminium. So if at all there's an impact, is there a chance that we might also have to take a hit or what exactly are you anticipating for 4Q and Q1 in terms of commodity price impact, whether on the business or the margin, conductors and cables both.
Chaitanya Desai : So you're right. Our business model is a pass-through so we are not taking any risk on the commodity prices per se. However, you also are right what you said that if the clients who have taken the risk of the commodity prices are sort of off compared to the assumptions they have made when they won the business, then sometimes they are waiting for the commodity prices to come down in order to go ahead with the deliveries. And to the extent their projects can afford to delay a little bit, they are exercising that option of delaying some of the supplies. So right now, we have seen a little bit of that affecting us in this Q3 and it is possible in Q4 also, there could be some. Although as of now as things stand, we feel that Q4 will be as per our original expectation. But again if the commodity prices go up the way they have been going up since the last couple of months, then there is a possibility that some customer may face some difficulty and postpone some of the deliveries. However, at some point, those customers will have to take the deliveries to complete the projects.

Amit Anwani: Right. Sir, in terms of tariff, which is still 50% and you did highlight it in the past calls that conductors value I think 25%, 30% is affected and for cables, almost 50%. So what is the view now? Are we back on track in terms of better performance in 4Q? You did highlight it that I think we got INR500 crores orders. So what is the status now, assuming that 50% tariff still continues? Is it Q4 or Q1 when we see the normalized business? And how is the customer response now after the ongoing projects, which might have saw they taking the hit in terms of increased tariff?

Kushal Desai: So the current tariff situation remains the same at 54%. So whatever order inflow we have got in Q3, which is approximately INR500 crores for the cable business, where we have had to adjust the prices down to some extent to keep the order flow going. So mind you, there's also been some increase that has happened across the board because other countries also have had some increase in tariffs.
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And the Section 232 has also raised the prices of products in the U.S. So that has provided some amount of cushion. But overall, we have had to reduce prices to some extent in order to book fresh product. I had mentioned in the last earnings call as well that for us, the U.S. market is a very strategic market. We've spent several years building access to customers.

We've got approvals now coming in from some of the data centers and critical clients, which takes a very long cycle to get approvals from. So our strategy is to continue to ride this period by making sure that we service customers there even though it means at a slightly lower margin, but that strategy is something that we will continue to follow.

And given a period of time, we are hoping that there will be some normalization that comes on the tariff front. Having said that, we've increased our efforts to pick up business from other areas. And the domestic market has been reasonably strong, which has offset at least in Q3 some of the deficits that we had on the export front. So I hope that answers your question.

Amit Anwani: Sure, sir. Sir, lastly, just clarification on U.S. revenue. You spoke about INR1,600 crores last full year and INR1,600 crores H1 and I think you did highlight it that this year, we are looking for equal to last year. So does that mean 0 U.S. revenue for H2? Is it the right understanding?

Ramesh Iyer: It will be higher is what we said.

Kushal Desai: No, no, no. Wh

at I was saying is that in the last year, the U.S. business in the first 6 months, as you rightly said, was equal to approximately what we did in the previous year. So with the gap that we've had in Q3, as we get into Q4, you'll get back into this. INR500 crores order book which we have, a significant portion of that will get executed in Q4.

And plus we are still in discussions for additional business to come in. And depending on -- most of that will get then picked up in the first quarter of 2027. But you will see close to INR500 crores of revenue that will come into Q4 of this year.

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Amit Anwani: Sure, sir. Sir, possible to share the U.S. revenue for 9 months basis for conductors and cables.

Kushal Desai: We don't have that number handy right now. I have the 6-month number, which was equal -- INR1,600 crores is the 6 months. I have an overall export number, which is what I gave out. Yes.

Moderator: The next question is from the line of Umesh Raut from Nomura.

Umesh Raut: Congrats for a very good set of results against I think more of a softish quarter what you guided last time for Q3. I think it was more of a positive surprise. So my first question is on recent FTA between India and EU. And I want to understand how big EU market is in terms of conductor and cable and how competition is also running over there? Are there any duties against Chinese players from EU countries and how we can approach approvals from EU countries?

Kushal Desai: Okay. So the fine print of the EU deal is still something that we need to go through. Our sense is so you have to actually look at each BTN number to see whether the specific product that we manufacture and are exporting to the EU are covered under a 0 tariff or a lower tariff situation. The European market otherwise is very large, but the access to the market has been very restricted because the utilities there tend to prefer to buy EU manufactured product locally.

So I think the assessment of this European deal and the consequence to us, it will still take us a little time before which we can really put this together. I mean it's bound to be more positive than what it was before, but to what extent, I think we still need to gauge that.

Umesh Raut: Understood. And currently, how much of your export revenues are from EU?

Kushal Desai: About 5% of our revenues have been coming from there.

Umesh Raut: Understood. Now if I look at our Conductor segment, I think if I look at domestic market since last, say, 1 year or so, there are I think delays happening in terms of transmission projects. And if you look at our volume trajectory as well, maybe for this year we will close with about 8%-plus kind of growth on volume side. So I think going into FY '27 considering that there were delays in '26 and there were also

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issues in FY '25 as well. I think how can one factor in volume growth for Conductor business in FY '27?

Kushal Desai: So currently, there is a backlog which is there because of, as I mentioned in my opening remarks that there is a problem of transformer deliveries because of the lack of bushing and the bushing capacity that's available. So the government is actually making a concession for import of bushings, which will kick in very shortly within the next week or so. In the meantime, the bushings capacity in India is also getting increased.

Several new plants and brownfield expansions in place. So in about 6 months' time, we expect that the domestic side will also increase. But as this import clearance comes in, you will start seeing the execution of some of these pending orders getting cleared. Some of the transformers are in a half made not a completed sort of form of situation.

So that itself will end up driving demand for transformer oil as well as some of the transmission lines which have been stalled,

they will also start getting accelerated.

There are some right-of-way issues also which have added to this. Our understanding is that there is some movement in that direction as well. So overall Q4, as I mentioned earlier, we expect a much better situation on the ground.

Umesh Raut: Yes, correct. That I understood. But going into FY '27, as you mentioned correctly, I think lot of these legacy issues are kind of getting resolved. So at an industry level, we will see much faster ordering.

Kushal Desai: Yes, our sense is that because if you see the plan which is there, we are still 15% behind the plan. And you also have a lot of new solar installations likely to be coming in both from the big business houses from the Adani side, from the Reliance side, etcetera. So the transmission line demand should continue to be there. Difficult to track it quarter-by-quarter because of these various approvals and things like that, but there is no slowdown expected in the trend.

Chaitanya Desai: As I mentioned earlier, that some of the delays which the client could afford to do they have probably been utilizing that leeway this year. But next year, it is possible they may have to catch up all that.

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Umesh Raut: Understood. So is it fair to assume that we will return back to double-digit kind of volume growth for...

Kushal Desai: That's clearly the target. And actually if you look at the 9-month period, the growth is still pretty strong. It's still at about 8.5% volume growth if you look at the 9-month period. But yes, we expect next year volumes to again be back double-digit.

Umesh Raut: Understood. Understood. My last question is on cable side. I think a couple of years back we guided for our strategic endeavour to grow at about 20% CAGR till FY '28 and reach at about close to INR10,000 crores. So where are we on those plans on the top line growth side for Cable business?

And second, I think on the EBITDA margin side, our endeavour is also to get into double-digit range more closer to 11%. I think for this year at least, we are slightly falling behind. So how you are planning to approach margin trajectory for this particular business?

Kushal Desai: So if you take the 9-month period, volume -- I mean our revenue is up 22%. So we are tracking on a 20%-plus CAGR growth. Given the 9-month performance and what we see in terms of visibility for Q4, we should definitely be in that 20%-plus growth range. In terms of EBITDA, 9-month EBITDA is at 10%. And of course the U.S. business actually and having to make some sacrifice on pricing in the U.S. is going to have some impact on the EBITDA in the Cable business.

But as I said, it's a strategic call we've taken and our belief is that in the long term something or the other will come up to iron that out. In the meantime, we don't want to lose access to the market, which we've developed. So overall, I mean we've been managing between other markets, domestic etcetera, to maintain both top line and bottom line so far.

Moderator: The next question is from the line of Kunal Sheth from B&K Securities.

Kunal Sheth: Congratulations on a good set of numbers. Sir, first question is around this new line of business announcement that you have made, that INR156 crores order. If you can talk more about it, our scope of work and how big the opportunity is for APAR?

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Kushal Desai: So actually it's really an extension of what we're trying to do in the Cable Solutions space around telecommunication and the telecom products. So really, we won 1 package in the Kavach project, which is basically increasing the security and safety in the railway lines. So that package is about INR153 crores. It will take approximately, we just formally received the order today. We received an LOI earlier.

Execution and time frame is approximately

22 to 24 months and it entails setting

up signalling for improving the safety in the railways. Now Kavach projects, actually if you see, totally the railways will be spending upwards of INR40,000 crores, INR50,000 crores in upgrading safety standards. So this is like our initial foray into that.

Kunal Sheth: Sir, my second question is related to export and this is for both Conductors and Cable business. Sir, what is the kind of conversations that customers are having now especially in the U.S. market given the commodity volatility, this tariff has

continued for too long now. Do they still continue to believe that they will keep sourcing from where they were sourcing or how are they thinking about of this situation?

Kushal Desai: So on the tariff front, you have 2 sets of products. You have products which are aluminium-based and copper-based. So the copper-based products for somebody exporting from India, the effect is very big, very huge because there is a reasonable amount of copper production within the United States and, as a consequence, the local producers are not picking up that 50% tariffs.

On the aluminium front, 90% of the U.S. aluminium is actually imported and as a consequence directly or indirectly, whether it's in the form of an ingot, rod or whatever stage, you're picking up the 50% tariff on an aluminium-based product. So the conversations that we have with clients are also varying depending on the nature of the products that we have. So for aluminium-based products by making an adjustment in the price, we are still in a position to make a positive margin and continue the access to that business. Whereas on the copper side, things are very different because the U.S. copper rates are quite competitive and if you have to pay the tariff to export to the U.S., then there will be a problem.

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Now having said that, most of our volume so far has been aluminium-based. And so our market access will get a little bit reduced, but it's still there and customers are still having conversations with us. We've been exporting to that market now for several years and our products are very well received in the U.S. by EPC players, by asset aggregators, etcetera. So conversations are still happening. That's how in spite of everything, we did pick up almost INR500 crores of business, new order book in Q3.

Kunal Sheth: Sure, sir. And sir, if you can quickly also give some update or status of the capex on both conductors and the cable side, where are we on that?

Kushal Desai: So we are pretty much on plan. We've already completed about INR500-plus crores worth of capex as of Q3 out of a total plan of about INR1,400 crores. We expect that in Q4 and Q1 of FY '27, a large portion of that remaining capex will actually take place. And by September, I mean by the mid of FY '27, we'll pretty much have all the facilities up and running.

Moderator: The next question is from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: Congratulations, great set of numbers. Most of the questions have been answered. Just a few clarifications I wanted to know. First, you have mentioned that your share was hardly 5% from the European Union. Just wanted to know, this was as of last year or for the 9-months period?

Ramesh Iyer: It was for the last year and it's an approximate number for the last year.

Vidit Trivedi: Okay. And sir, what's the situation before the tariffs and after the tariffs? I mean how does -- what difference is there? What's the tariff situation?

Kushal Desai: So the European tariff varies between 4% and 7.5% and there was also an antidumping duty on Indian players for fiber optic products -- fiber optic cables.

So we have to see, as I said, in the fine print that where does this actually finally land up. It's definitely going to be more favourable than what it was before, but what will be the exact percent

tag for the different classes of products. That information we don't have yet. It should be something that will come out shortly.

Vidit Trivedi: Got it, sir. And sir, what will be the margin profile?

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Kushal Desai: The margin we have added and we were fully aware that this whole conversation was happening between India and the EU. So we have been working on getting more utility approvals in Europe and that process is also underway. Our sense is that with the EU deal being signed and if the tariffs actually fall. The utilities and other players will start taking Indian manufacturers more seriously because if you sign an FTA, it is not a short term.

It's a much longer-term sort of arrangement. So it gives much more stability in terms of what the tariff situation will be over the years. So I mean we will be able to lay our hands on this and be able to answer some of these questions in a couple

of months once data is more clearly available. But all of this is positive.

Vidit Trivedi: That's helpful, sir. And sir, what will be the margin profile in the new line of business, the Kavach project?

Kushal Desai: In specific, yes, we don't want to comment on specific projects because then that opens up. We have so many other projects which are running on the conductor side as well. But it's a profitable order and it's something that I think is very strategic because a lot of business is going to come fundamentally in that direction.

Vidit Trivedi: Good, sir. Sir, just last one. Would it be possible for you to give a breakup in terms of volume and value growth in the Cables division?

Ramesh Iyer: Cables division, we actually report the value numbers because there will be too many products involved. So we have historically always been giving the value numbers.

Kushal Desai: We have thousands of different varieties of cables. We have the largest variety of cables being manufactured by an Indian manufacturer. So the only common denominator really is value.

Moderator: The next question is from the line of Sanjeev from Antique Stock Broking.

Sanjeev: Sir, my question was regarding the demand drivers for the cables in the domestic market. I also wanted to understand what is the demand mix from the various sectors that we have in the cables.

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Kushal Desai: So we have continued to see for us strong growth coming from the renewable energy side, especially given the fact that APAR Cable division is the major supplier to all the windmill manufacturers. So as the wind installations are increasing, we clearly get a benefit out of that. So renewable side has grown. The railway business also has grown year-on-year. We are the main supplier to Medha, who is currently executing the first set of Vande Bharat trains.

So again the growth from the railway side has also increased. We are accessing and supplying to a number of data centers in India. So we've seen growth in that channel as well. There has been some amount of growth on the defence side. So these are the channels where we've seen most of the growth taking place.

Sanjeev: And sir, how is the affordable housing and the real estate sector doing for you in terms of demand driver?

Kushal Desai: So most of that is being serviced through a dealer distribution network. And APAR compared to some of the larger cable companies in that space, we are still relatively smaller and we are offering premium products in the wire side. So our emphasis has not been on the affordable housing.

It has been actually on more large commercial installations, bungalows and wherever people have laid a premium on safety because our products are all focused on a higher performance level with respect to safety. So we are really not very focused on the affordable housing market as much as on the more premium wires that go into commercial and reside

ntial, industrial I mean real estate.

Sanjeev: Okay. And any pricing actions we have taken in the cable side, on the wires side as well as on the cable side post the strong run-up in copper prices?

Kushal Desai: So we've actually increased prices to cover the delta in copper. So the entire copper pricing has been passed through. All the B2B orders that we take, we'll take it only on a back-to-back basis. So any order which is 25 metric tons or higher of copper that's involved or aluminium, we would take a specific hedge. In the case of smaller orders, we accumulate it until it reaches that number and then take a hedge.

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So the book is largely hedged. And new business, we have increased the pricing to the extent of that. So it's not only the commodity increase, but it's also the exchange rate. So the effect is the dollar increase in aluminium and copper multiplied by the exchange value. So that entire thing has been factored into the pricing.

Sanjeev: And sir, on the premiumization on the conductor side, it's largely now around 45%-odd level. To what extent it can potentially go in the medium term?

Kushal Desai: So I mean we are already in the mid-40s. It all depends on how much re-conducting work keeps coming up. And our sense is that if you look at it in the medium term, there will be a lot of re-conducting required. As you have data center projects that are coming up, even in India even though we have few projects which are in the gigawatt category, there are several projects which are in the hundreds of megawatt category. So these require a lot of energy. And so when you add that to whatever other growth is taking place, re-conducting is bound to be a larger business.

Chaitanya Desai: Also, our capex's are going more in those categories where there's more premiumization. So as the phase-wise expansion happens, then some of these premium products will increase in the volume for us.

Kushal Desai: It can cross 50% in revenues. But it's all a question of how the adoption of these things come. We are ready with our capex. We are ready with our capacities, with approvals and everything. So moment tenders come in and the spending takes place, we are right there to be able to pick up our share.

Chaitanya Desai: And some of these premium products that we are making are in the copper category. So value-wise, they will have a higher pro rata value.

Moderator: The next question is from the line of Nikhil Abhyankar from UTI Mutual Fund.

Nikhil Abhyankar: I've got couple of questions. Sir, you mentioned that the order book has improved significantly from U.S. in Q3. But on the Cables division, we see that there has been a dip Q-o-Q. So just can you clarify on that? And also can you highlight how has been the ordering trend in Q4?

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Ramesh Iyer: Sorry, can you repeat your question?

Kushal Desai: I think Ramesh, the question was that the order book has improved whereas the numbers for Q3 are low.

Nikhil Abhyankar: I was saying, sir, you mentioned that the order book, order inflow has started to improve from Q3, but we see a dip in the order book for the Cables division Q-o-Q. So just some clarity on that. And how has been the order inflow trend in Q4 if you can tell us?

Ramesh Iyer: What we mentioned is that the U.S. orders dipped in Q2 due to which there was less sales in Q3. So what we mentioned is that the order inflow in Q3 has gone up as compared to Q2 in the U.S. market. And cable business typically operates on a low order book period so even if there are a lot of orders that comes during the quarter and also gets executed in the quarter. So even if there are quarter-on-quarter order book reductions, typically it gets made up from the new orders that comes and gets executed in the quarter.

Kushal Desai: So these days from order to delivery, th

e expectation is a bit shorter. So you will

find that the order book may vary especially when you've got things like windmills coming up and solar, every month you keep getting orders and you execute fundamentally in 3 to 4 weeks. So I would not be very bothered about the pending order situation on the cable side. On the conductor side, it's a much longer cycle business and I think that number then is far more important.

Nikhil Abhyankar: Understood. And sir, on the domestic side, are we seeing some kind of slowdown in ordering?

Kushal Desai: Not really. If you see our domestic Q3 number is up 33.4%.

Nikhil Abhyankar: Going forward, I mean in terms of inquiry and the pipeline?

Kushal Desai: Sorry?

Nikhil Abhyankar: In terms of inquiries, future inquiries and pipeline?

Kushal Desai: We are reasonably well placed on the domestic side. In fact we see the domestic side on the cable business particularly being quite strong.

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Nikhil Abhyankar: Okay. And just a final question. You mentioned that you have also -- you're also getting orders for data centers. If you can share what is the ticket size of these orders?

Kushal Desai: So in India, the data center sizes are varying very dramatically. So you have right from smaller data centers, which are in the 10 megawatts, 15 megawatts. These

data centers are measured in terms of the amount of power they consume. And you've got in Ghansoli, Adani setting up a 1 gigawatt data center, which is New Bombay. So it's really rarely in terms of size. But there's a lot of more data centers coming up and the requirement of cables has been continuously increasing for that application.

Nikhil Abhyankar: I mean in terms of wallet share, what would be our wallet share in total project cost for data center?

Kushal Desai: It's in the same range as what you would see in renewables and stuff where you're looking at it at around 3%, 4% or so.

Moderator: The next question is from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: My first question is on the cables exports. So if you see the exports were down 65% from the U.S. market. However, the overall exports are down 44%. So clearly there is some increase in other markets. So if you can highlight how we have grown in other markets and how is the growth sustainable?

Kushal Desai: So we have -- besides the U.S., we've been exporting products to Latin America, some products to Europe and Australia. We also have a presence in some of the African countries. So that presence continues. There is Chinese competition in all the geographies that I mentioned. But there are pockets where we have the products, we have the approvals and we continue to grow in those areas. Some of them are utilities like NL where we would be supplying directly to the utilities.

Mahesh Patil: Okay. So nothing extra in this quarter that has happened, right? I mean this is just business as usual?

Kushal Desai: This is a relatively steady business. The U.S. piece is relatively large. As you can see, there was less business in 1 quarter, the number fell. In the next quarter, we

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started getting a new order inflow. And so in Q4, you will see that INR500 crores is approximately the order book signed up in Q3, which will be largely executed in Q4 of this year.

Mahesh Patil: Okay. And sir, second question is on the conductor side. So if we see various premium conductors, HTLS, AL-59, etcetera. So if you can highlight -- so as far as I understand, HTLS is mostly going into re-conducting, AL-59 is used in coastal areas. So if you can highlight the demand trend for these conductor types?

Chaitanya Desai: So AL-59 is also used in TBCB not just the coastal area. So it is almost currently along with the conventional ACSR conductor comprising of maybe 98% of the market in India. 2% right now is almost like the r

e-conducting, very small right now. It's more of a niche area.

Mahesh Patil: Okay. And sir, there were some news around many of the states going for premium conductors compared to replace the existing ACSR network. So how do you see the opportunity?

Chaitanya Desai: AL-59 is what people are using nowadays in India in a major way. So it is relatively better than the ACSR, but it is still in the category of conventional, this AL-59.

Mahesh Patil: Okay. So AL-59 is categorized -- when you say premium products, AL-59 is not part of that, correct?

Kushal Desai: Correct. It is also getting very competitive.

Mahesh Patil: Okay. And sir, last question on the cable side. If we are saying that the Cables business is likely to grow at 25% rate year-on-year. Just wanted to understand if we look at sub-segments like power, cables, RE cables or the domestic cables, etcetera, I guess power cables is the majority part of the capex in that sub-segment. So just wanted to understand, sir, sub-segments will be growing at -- 15%, 20% sub will be growing at more than 30%. So if you can highlight some of the key growth drivers in Cables business?

Kushal Desai: So as I mentioned earlier, for us the key growth drivers really are coming from the addition of renewable energy, the addition in the Indian Railways, some of the growth that's happening on the defence front. And then if you look at infrastructure

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side, the presence that we have in MVCC and data centers. So these are the major areas where we see the growth taking place and our sense is that this is going to

continue. These segments will continue into the next year and beyond.

Mahesh Patil: Okay. And sir is it possible to give the share of, let's say, power cables in our overall business?

Kushal Desai: We've not been actually giving the detailed breakup of that.

Mahesh Patil: Got it. Thank you.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Serene Alpha. Please go ahead.

Garvit Goyal: Congrats for a good set of numbers. Just 1 question on the kavach side only.

Despite it is our initial contract that we got, I just want to understand what is our exact role going to be here in future as well in the upcoming contracts as well as in this contract as well?

Kushal Desai: So it's a complete turnkey so it's the supply and installation of the entire system. So there is a fiber optic and a cable portion, which is part of that and then you have towers, you have the installation, there are some passive components, some active components. So it's a complete turnkey. So all these projects are awarded on a full turnkey basis.

Garvit Goyal: Understood. And from whom we got this contract, sir?

Kushal Desai: Contract is from the Indian Railways.

Garvit Goyal: Okay. Understood. That is it from my side. All the best for the future.

Moderator: Thank you. The next question is from the line of Nikhil from Kizuna Wealth. Please go ahead.

Nikhil: So my first question is like in our investor presentation press release that we uploaded, you stated that volume for the connectors were impacted due to increased competition from the non-U.S. geography. So can you elaborate more

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on that? As per your initial remarks, you said that it was due to the transformers.

So can you elaborate more on that part?

Chaitanya Desai: Actually the line was not very clear, but was your question to do with the Chinese competition?

Nikhil: No, sir. Am I audible, sir?

Kushal Desai: Yes, now you're audible.

Nikhil: As per our investor press release that we uploaded, you have said that the conductor volumes were impacted due to increased competition from non-U.S. geographies. In our initial commentary, we stated that we also have the volume problem due to -- in the domestic market due to transformers. So can you elaborate more

on this volume? How are we looking at the trends going ahead too from both the non-U.S. geography perspective and domestic perspective?

Chaitanya Desai: There are two different matters I think, which probably you have got mixed up in your question. One part is to do with the non-U.S. geographies, which are like the rest of Asia other than India, then Africa, Middle East, Europe, Latin America, et cetera. So there we have been impacted due to the Chinese competition. That is one part.

And the second part is to do the transformers where we were saying that the transformer manufacturers were not getting certain inputs like the bushings. As a result, their delays were happening for the execution. And therefore, they were delaying some of the requirement of transformer oil and the CTC. So that had impacted in a different way the demand for us.

And the substation also is getting delayed because the transformer is at the heart of the substation. So there to relax this particular supply situation, the government is now allowing Chinese manufacturers bushings to be also used in the execution of transformers to alleviate this problem.

Nikhil: Okay, sir. That's really good to hear. Sir, my second question is also like we had the global approval from the Microsoft for data center cables. So are we also going

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to look at like the impact on the cable segment from the data center perspective in the U.S. geography?

Kushal Desai: We have been looking at that. Unfortunately, for us, the U.S. data centers largely

use copper-based cables. And as I explained earlier, the pricing of copper in the U.S. is very competitive relative to the rest of the world. It is competitive. In the case of aluminium, we import 90% of the aluminium. So the effect of the Section 232 is 50% tariff is much more on aluminium-based products and relatively less on copper-based products.

So as we try to export copper-based cables from India, we would face a significant tariff differential compared to in the case of aluminium. So we are not able to export very much of copper-based products at the moment until this tariff situation changes. And until it changes, we won't be able to access most of the data center requirements.

Nikhil: Okay, sir. So sir, now on the respect of our order inflows on the cable segment. So we saw like in the month of post September like there were 2 months that we had a muted order book in the Cable segment. So how does it look from the November, December, January perspective till now? And how do we expect the trend post July like you already said that post Q1, we will be able to normalize the business order inflows. So how has been the month of November, December and January, sir?

Kushal Desai: So last year, we mentioned that we had an order inflow of cables of about INR500 crores from the U.S. So there is an inflow of business that has started coming in now.

Nikhil: So sir, my question is like was it like a consistent business or it was lumpy one order flow or something like that?

Kushal Desai: No, several orders meaning from several different customers and different projects which are in involves. These are all project-related orders, which we've received and are executing or largely project-related orders. So it's not just one lumpy project.

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Moderator: The next question is from the line of Swastik Ghadge from Ekvity Wealth Management. Please go ahead.

Swastik Ghadge: Congratulations on a good set of numbers. So I have few questions. So the first one is time and again you have been alluding to or saying that we are looking to set up manufacturing in U.S.A. And if I recall clearly in the last call, you mentioned that U.S. utilities usually don't buy from exporters, they buy directly from domestic players. So what is stopping us actually? Are we still thinking wh

at are the metrics that we are looking to so that it fits our thought process there? That's my first question?

Chaitanya Desai: So basically we are doing our studies, but as you know, the situation is quite fluid. So we are also watching the situation and then appropriately we'll take decisions.

Swastik Ghadge: Okay. Second question, sir, is more on the recent management change that we saw in the Cable Solutions business where the CEO sort of resigned and then we saw that the CEO joined our competitor. So currently who is heading the Cable Solutions division? Is it directly overlooked by you or are we looking to...?

Kushal Desai: So we have -- Mr. Chandrashekhar Shrotri has joined the Cable business. He joined on the 4th of December so he's been in the role for almost a little over 1.5 months. Previous to this, he worked for Siemens for 30 years and was in charge of the low voltage business across 27 or 28 different countries. So very seasoned individual who has been involved not directly in cables, but very familiar with the customer base as well as the channels.

Swastik Ghadge: Okay. And also, sir, on the wires and cable side so we have guided that we will grow 25% to be precise with 10% to 11% margin rate. So we have achieved that 10%, but 25% growth we fell quite short in this quarter and if we see 9 months, it is 22%. So do you think that this Q4 and whatever order we have from the U.S. because we are losing margins there so we will be able to suffice that growth? And of course we can't get both, but can we get the volume growth that we are looking or the revenue growth we are looking at?

Kushal Desai: So that's the guidance which we've given that we will be for the year definitely 20%-plus on the revenue front. And we are trying to track an EBITDA, which is

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close to what we've delivered for 9 months in spite of having to sacrifice some amount of margins on the U.S. business.

Swastik Ghadge: And only 1 last question, sir, if I may. I think we have been developing good products and technical products over the years and now with this new capex coming up in cables as well as some part of it going to conductors, are we looking for more higher technical products like HVDC or HVAC sort of where the industry might go going ahead due to all the surge in energy demand? And also your quick comments on the new draft NEP that we saw that was announced by the Government of India?

Kushal Desai: The expansions what we are doing are having a mix of the premium area as well as fungibility with the normal requirement, conventional requirements also. And our efforts will be always to use our assets for the more premium products. But with the backup that in case we don't get enough orders of premium, then we can utilize those assets for the general purpose type also.

Swastik Ghadge: And your comment on the NEP, sir, if you could give some color?

Kushal Desai: Are you talking about the announcement for the India EU deal you're saying?

Swastik Ghadge: No, no. The new National Electric Plan that the Government of India announced wherein we have increased the guidance for FY '32 too -- I think we have increased that guidance on National Electric Plan?

Kushal Desai: Yes. So we are generally positive that the demand in India will continue to be good. We've put in capex, which is if you see the commentary from some of the previous earnings calls, we've gone ahead and put capex 1 to 2 years ahead of the actual sale likely to take place simply because we are bullish on demand going forward.

And these days to set up the capex, the capex cycle itself is much longer especially if you go to some of the best equipment manufacturers. So the capacity is going to be in place for us to be able to take into account increased business flow coming in. So if demand exceeds whatever has been projected, we should still be in a position to pursue t

hat opportunity.

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Moderator: The next question is from the line of from Raman KV from Sequent Investments.

Raman KV: It's not a question. It's just a doubt. From what I'm hearing, there has been -- with respect to renewables, the PPAs which have been signed, there is a -- how do I put it, decrease in the new PPAs that has been signing in terms of renewables mainly because of fearing overcapacity of modules and cells coming up in India. So how are you seeing the overall demand with respect to the renewables as the end user?

A follow-up on that is due to the recent increase in the silver prices, renewables are -- how do I say, are not -- are becoming expensive in terms of capex cost. So is that putting difficulties in terms of new renewables project, which the government plans to tender out? Or I just want to understand the entire current dynamics of the renewable energy ecosystem in India playing out?

Kushal Desai: So we are seeing currently a demand coming in from wherever PPAs have already been signed and the executions are taking place. So that's 1 aspect. Second side is this rooftop solar is increasing everywhere. So even that is a segment that results in increased requirements of wires and cables. Thirdly, the wind side, as I mentioned earlier, is growing at a faster pace than solar simply because the base is currently lower.

But that forms the third sort of vertical where we are seeing growth on the renewable side. So overall, we've not seen any major slowdown, even the projections that we have for Q4 coming from solar and wind additions, both of them seem to be reasonably strong. So we've not really seen any major slowdown on this front.

Raman KV: Okay, sir. And sir, I just have just a follow-up on this. Among the Cable division, what kind of cables are you seeing a tremendous growth? Is it like a high voltage cable or a low voltage cable?

Kushal Desai: So in our case, we are very focused on certain verticals, As I mentioned a couple of times earlier in the call that we've seen growth on the renewable side. We've seen growth in the railways. We've seen growth in defence and we've seen growth taking place in data centers and in our medium voltage covered conductors, in

MVCC. So these are the areas where we are seeing growth. Overall, I'm sure there's growth even on the industrial and commercial side, et cetera, but we are not the strongest player in that category.

Raman KV: Understood, sir. So basically solar and telecom cables -- telecommunication cables?

Kushal Desai: All of these areas. As I said, railways, defence, data center has also got a lot of power cable requirement that's copper-based or aluminium-based. And MVCC is all aluminium, which is the upgradation of the last mile distribution -- overhead distribution lines. So these are all the areas APAR is seeing growth.

Moderator: The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Question on the INR500 crores order win, which you said has happened in the U.S. So what's the impact we took versus pre-tariff? Was there an impact on margin? What are the terms for these orders and what can we expect for upcoming orders? You last time highlighted that for the older projects, the customers are willing to absorb, but how about these newer projects which you have?

Kushal Desai: It's a variety of cables and from a variety of customers. So depending on what the local competition is, we've had to make some adjustments in prices. So it's varying across the product categories. But clearly there is -- I don't want to specifically talk about how much is the margin hit, but there is clearly a compromise to be made on margins, but we've seen that as that compromise is made, the order inflow is taking place.

Amit Anwani: Sure. But there would be some imp

act, right, pre-tariff impact?

Kushal Desai: There is, but I don't want to comment specifically because it's a big variety of cables and orders. There is some impact. But overall, as we said, we are still targeting hitting what our guidance is for the year and this INR500 crores is going to help definitely achieve the top line. And as far as the bottom line is concerned, we are trying to be within the same range as we are in today.

Amit Anwani: So is that the cables margin still will be impacted for 4Q?

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Ramesh Iyer: So there are a range of products, Amit, as you know, that we sell in cables and different products will have different margin profile. So as we said that we don't want to divulge specific information on this U.S. project, how much the margins will behave. But overall, we have been like -- we've been guiding about 9.5%, 10% margin and we expect it should be around this level. YTD already we are at 10%.

We expect that our margin profile should be in similar range more or less.

Amit Anwani: All right. Sir, more details on re-conducting. You said it's a big opportunity. So any color in terms of market whether in terms of maybe circuit kilometer or the value which came in, let's say, for F '20 -- current financial year and what is the expectation for next 2 financial year? Any data on that in terms of circuit kilometer or value? And then how APAR is standing? Are there a competition or what is the wallet share currently in terms of re-conducting? If you could explain more?

Kushal Desai: So unfortunately, there is no published data. In our own way, we are making our assessment. And our year-to-year slightly fluctuates also as to how much is the breakup between the conventional type and the HTLS type. But our current estimate is roughly 2% by volume. In HTLS though, there is a service component of the labour to actually put up the line and some designing aspects also, which is little more value-add for us.

And as far as the future is concerned, we expect that higher growth pro rata it has a low base or it may have percentage-wise little faster growth of the HTLS compared to the conventional. But it is a much more expensive product so clients are choosy when to use the HTLS and especially when there's some -- no choice is there due to ROWs, then they may go for that option. But if they find that there is another option, then they may go for a new line instead.

Ramesh Iyer: And on the competitive strength, I think we have elaborated it more in detail in this corporate presentation. We've completed more than 175 projects in difficult

terrains, et cetera and it's more appropriately elaborated there. So you may want to have a look at that to see what are our competitive strengths in this particular re-conducting opportunity.

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Amit Anwani: Sure. Sir, this MVCC, this is also included in re-conducting, the upgradation of overhead distribution through MVCC you highlighted? Is it also part of re-conducting?

Kushal Desai: The manufacturing of medium voltage covered conductors are actually done in the cable business because it's an insulated product. But if you take it on a turnkey basis, then our projects division actually takes it on a turnkey basis. So they do the execution of the projects. Today, bulk of our supply has been going through third-party APC players.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Kushal Desai: Yes. I'd like to take this opportunity to thank all of you for joining our Q3 earnings call. And as I mentioned, we continue to remain optimistic in terms of delivering whatever guidance that we had for this year. We will clearly see a higher revenue coming in from our U.S. exports in Q4.

We also see that the fu

ndamental demand drivers continue to remain intact. And the company is on track with respect to its capex plan and look forward to actually improved utilization of all the new equipment that comes in over the next few years as the demand for our products continues to increase. APAR is clearly the leader in carrying current in all different -- between conductors, cables, transformer oil, et cetera. And carrying current business is going to only increase as the years come by. So with that, I'd like to end and thank you very much for joining us today.

Moderator: Thank you. On behalf of APAR Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2026

SEC/0406/2026 By E-filing June 4, 2026

National Stock Exchange of India Limited

"Exchange Plaza",

C-1, Block G,

Bandra- Kurla Complex,

Bandra (E),

Mumbai – 400 051.

Scrip Symbol : APARINDS

Kind Attn.: Listing Department BSE Limited

Corporate Relations Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Fort,

Mumbai - 400 001.

Scrip Code : 532259

Kind Attn. : Corporate Relationship Department

Sub. : Submission of Transcript of the analysts and investors conference call on Audited Financial Results (Standalone & Consolidated) on Q4 FY26 (2025-26)

Ref.: Reg. 30 read with Schedule III & all other applicable Regulations, if any, of the SEBI (LODR) Regulations, 2015 ("Listing Regulations"), as amended from time to time

Dear Sir / Madam,

Kindly refer our letter dated May 28, 2026 under Ref. no. SEC/2805/2026, w.r.t. submission of Audio Recording link of the analysts and investors conference call made on the Audited Financial Results (Standalone & Consolidated) of the Company for Q4 FY26 (2025-26).

Pursuant to the provisions of Regulation 30(6) of the Listing Regulations, we are now submitting herewith the transcript of the conference call made on May 28, 2026 on the Audited Financial Results (Standalone & Consolidated) of the Company for Q4 FY26 (2025-26).

The aforesaid transcript is also made available at the website of the Company viz. www.apar.com.

Kindly take note of this.

Thanking you,

Yours faithfully,

For APAR Industries Limited

(Sanjaya Kunder)
Company Secretary

Encl. : As above

APAR Industries Limited

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“APAR Industries Limited
Q4 FY26 Earnings Conference Call ”
May 28, 202 6

MANAGEMENT : MR. KUSHAL DESAI – CHAIRMAN AND MANAGING
DIRECTOR – APAR INDUSTRIES LIMITED
MR. CHAITANYA DESAI – MANAGING DIRECTOR –
APAR INDUSTRIES LIMITED
MR. RAMESH IYER – CHIEF FINANCIAL OFFICER –
APAR INDUSTRIES LIMITED

MODERATOR : MR. AMBESH TIWARI – S-ANCIAL TECHNOLOGIES

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Moderator: Ladies and gentlemen, good day, and welcome to the APAR Industries Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ambesh Tiwari from S -Ancial Technologies. Thank you, and over to you, sir.

Ambesh Tiwari : Thank you. Good afternoon, everyone, and I welcome you all to the Q4 FY26 earnings call for APAR Industries. To discuss the business performance and outlook, we have from the management side, Mr. Kushal Desai, Chairman and Managing Director; Mr. Chaitanya Desai, Managing Director; and CFO, Mr. Ramesh Iyer.

I will now pass over to Mr. Kushal Desai for opening remarks. Thank you, and over to you, sir.

Kushal Desai : Yes. Thank you, Ambesh, and good afternoon, everyone, and welcome to APAR Industries Q4 and annual FY26 earnings call. I would like to start by giving a quick outline of our performance, followed by a short industry update. I will follow this up with more details then on the individual segment performances of the three major segments. And then finally, we can open the floor up to questions.

We have concluded FY26 with a reasonably healthy growth trajectory, reaching an all -time high revenue of INR22,902 crores. APAR has come a long way over the last 5 years, scaling up its top line from INR6,406 crores in FY21 to now INR22,902 crores in FY26. So this represents a CAGR of approximately 29% over these 5 years.

The consolidated revenue for the quarter stands at INR6,603 crores, which was almost equal to the annual sales of FY21, representing a growth of 26.7% over the last year of Q4. This performance can be attributed to growth primarily coming from the domestic business and improved product mix as well as operating discipline. Shipments to the United States were also higher i n this quarter.

Domestic revenues grew 33.6% over Q4 FY25 and exports grew by 13.3%. On a sequential quarter basis, exports have grown by 30% as the U.S. business started scaling up, especially post the realigned U.S. tariffs. The U.S. revenues are higher than the same period last year by about 28.8% and 250% h igher over the sequential quarter. So export as a mix is approximately 2 7.6% in Q4 FY26 compared to about 31 .3% in Q4 FY25.

EBITDA post forex for the quarter came in at INR584 crores, representing a year -on-year growth of approximately 19.3%. The PAT margin is at 3.8%, which is only 100 basis points lower than

the same period previous year. However, this number, is to give you a better idea of the operating performance and putting it in context, I'd like to state that if you look at just the operating activities, there are a few onetime provisions that have been made that have impacted the fourth quarter.

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That includes an impact of gratuity and leave encashment, which we have further increased by approximately INR8 crores. There is a mark -to-market impact of an ECB loan that the company has due to the sharp depreciation of the rupee that happened in the first quarter. And then there is a one -off provision for an old legal case based on the recommendations of our auditors that we have moved from contingent liabilities into a provision.

So if you exclude these non -operating impacts which are amounting to INR31 crores, the PAT which came in at INR254 crores would have been at INR285 crores. And so on an operating basis, the growth would be at around 14% compared to the same period previous year.

On an annual basis, the revenues have reached INR22,902 crore

s, as I explained, which is 23.3%

higher than FY25. Domestic revenue is up by 2.9%. Export revenue is up by about 1.2%. The U.S. revenues have grown by almost 50% versus the same period last year. The export mix stands at about 30% for the year. EBITDA post open period forex grew by 23% to INR2,067 crores at an EBITDA margin of 9%. The PAT has grown by 19% to INR977 crores at a margin of 4.3%.

So, I'd like to also cover some industry highlights. There has been a substantial increase in the clean energy additions which have happened, the non -fossil fuel -based capacity additions, which for the last quarter has been 50 gigawatts plus, which is the highest ever in a financial year. This brings the country's total non -fossil capacity to anywhere between 250 crores and 270 crores, propelling India to be the third largest in the world in renewable energy deployment.

Solar power has been the leader in terms of additions, which has now crossed 140 gigawatts, and there has been a record annual addition of about 54 gigawatts in FY26 alone. Wind power has also increased with a capacity increase of approximately 6 gigawatts in FY26. Both of these are significant milestones in the country's renewable energy journey and is almost double of what it was in the previous years.

On the data center front, India is rapidly expanding in this sector. The current data center capacity in India is anywhere between 1.5 and 1.7 gigawatts, which is expected to scale in a base case to 5 gigawatts by 2030 with a more optimistic estimate going up to 7 to 8 gigawatts. This will attract more than 30 billion in investments, powering India's move towards being a trillion - dollar digital economy.

On the transmission infrastructure and grid side, there has been a transformation capacity addition in FY26 of 113,000 MVA, which is 30% higher than what existed in FY25, though it is short of the planned target of 126,000 MVA. So, we have about 13,000 MVA short, which is approximately 11% lower than what had been planned. Nearly 48% of the transformation capacity added in FY26 was at the high voltage, which is at 7.65 KV voltage level, with 54,000 MVA already commissioned. And this is again the highest ever annual addition in this voltage class. This significantly strengthened the ISPS, which is the interstate transmission system grid for bulk power and renewable energy transfer.

The government had adopted a planning and implementation approach that prioritizes grid - readiness, transmission expansion and energy storage deployment as integral components of the

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renewable energy across the country. As for the National Electricity Plan, the transmission network is expected to expand from approximately 5 lakh circuit kilometers to about 6.5 lakh circuit kilometers by 2032 with transformation capacity scaling from about 1,429 gigavolt to 2,354 gigavolt amps. And the interregional transmission capacity is also set to increase from 120 gigawatts to about 14.3 gigawatts by 2027 and by a further 168 gigawatts by 2032.

Now coming to the segmental performance. I would first like to cover our Conductor division.

So, we concluded Q4 FY26 with the highest top line for the Conductor division. Revenue for the quarter reached INR3,764 crores, representing a significant 29.9% year -on-year growth. This growth was driven by increase in volume, improvement in the product mix, and also there was the tailwind of commodity price increases that happened.

Sales volume is up by 9%. The domestic business grew 34.8%. Export revenue grew by 14.6% compared to last year. And on a sequential basis, it is up by 48.7%. The export mix is at around

21.6% in Q4 FY26 versus 24.5% a year ago. This difference is primarily because the domestic business in the last quarter was fairly strong. The U.S. business, as I stated earlier, started scaling up, and in Q4 FY26, it is almost at pa

r with Q4 FY25 for the Conductor division, but compared to Q3 FY26 is up by over 150%.

Premium products continue to grow. And in this quarter, the premium products came in at 49.3% versus 44.3% in the last year. EBITDA post open period forex stands at INR44,919 per metric ton compared to INR41,430 a metric ton a year ago. So, the EBITDA margins have grown largely on account of the improved product mix.

On a full year basis, the revenues are up 32.7% to reach INR12,712 crores. And with this, the Conductor division has crossed the INR10,000 crore s milestone, which is a historic milestone for us. Volumes have grown in the year by 8.6%. Domestic revenues are up 38.3%. Export revenues are up by about 15%, and premium product contributions to revenue stands at 45.8% for the year. The EBITDA margin post forex came in at INR43,012 per metric ton compared to INR36,683 per metric ton a year ago.

Order inflow during the year came in at INR11,450 crores. The order book as on March 31 stands at a healthy INR7,671 crores. So this year marks the highest ever installation that our project division have also done, which is about 1,949 circuit kilometers, and that helped address the growing power demand for residential and industrial users and farmers and also debottleneck the grid coming into Mumbai and helping Navi Mumbai become the data center capital of India thus far. Both CTC and busbars, which are our main copper products, have also recorded a strong growth in the year.

Coming to the oil division. Our revenues from operations grew to 5.6 lakh kiloliters and the volume level is at par with -- sorry, our revenue from operations grew by 5.6%. The volume is approximately at par with the same period previous year, and this was largely because exports were very severely affected in the month of March due to the Middle East disruption, both in terms of supply chain as well as in terms of a sudden increase taking place in the freight, which required the company to go back to customers and negotiate a higher freight increase.

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In fact, the supply chain for petroleum products came to a grinding halt with all major refineries curtailing production and also reducing contract volumes which were signed up with us. There was also no visibility of what would happen in the month of April as we started the month of April, and there was uncertainty even in terms of what the price level would be in the month of April. We stopped booking fresh orders in March by the first week and only focused on completing execution of all the pending orders.

There were increases in freight. There were increases in packing charges and other incidental costs, and the company systematically negotiated that with all its customers and executed all the pending orders in the March period. We only started booking right towards the end of the month and in the beginning of April. The supplies against contracts to APAR reduced by 50% from the key contracted refineries in the month of April. And in the month of May now it is expected to get largely restored but, of course, at significantly higher prices.

So if you look at the global transformer oil volume, it was marginally down by 1.4%, and the domestic transformer volume, in spite of all these problems, was up by 8.5%. Automotive oil grew by 19.5%. Industrial lubricant grew by 6.1%. Exports contributed 36.3% to the overall oil division revenues in Q4 as compared to 41.7% a year ago.

EBITDA per KL post foreign exchange stands at about INR5,656 per KL as against INR5,873 per KL. There was a fairly large provision made for foreign exchange which is almost INR15 crores in the month of March with the sliding of the rupee taking place post the war starting.

On a 12-month revenue basis, revenues have grown by 6%, posting INR5,373 crores. The transformer oil business grew by 3.5% overall at a global level. The d

omestic transformer oil

business grew by 12.2%, even though we were on target to actually cross 15% as the quarter has started. Automotive oil is up 11.1% versus the previous year. Industrial oil is up 13.8%. Export mix stands at 39.8% for the year compared to 44.4% for the year ago. EBITDA per KL came in at INR5,943 per KL as against INR6,145 per KL year ago

Now moving to the Cable division. Revenues for the quarter reached INR1,903 crores, up 35% over Q4 of FY25. Domestic revenues grew by 35.4% and exports grew by 33.6% over Q4. The U.S. revenues are up 52.2% over the last year Q4. Export mix was at 28.1% in Q4 FY26 versus 28.4% in the fourth quarter of '25. The EBITDA post forex grew 34.5% year-on-year to reach INR202 crores at an EBITDA margin of 10.6%. The pending order remains at approximately INR1,800 crores.

For the full year, revenues for the 12 -month FY26 came in at INR6,220 crores, which is up 25.8% year -on-year. This year, our Cable division overtook the oil division to be the second largest business segment for APAR. The domestic revenues are up 23.6%. Export revenues are up 30.6% year -on-year. The U.S. revenue is high by 46.7%. The export mix stands at 32.3% in this period. The EBITDA post forex grew by 27.1% to INR633 crores at a margin of 10.2%. Our B2B channel business which we have started, this is only the second year of its operation, has now crossed INR500 crores. We also expanded our distribution network by adding 120 new B2C distributors and 25 new B2B distributors. There's clearly been an impact from the war on

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both the price and availability of specialty polymers, many of these were being sourced from multinational plants that are located in the Middle East area, notably in Abu Dhabi. The prices have also increased our aluminum and copper and polymers in general across the board. This has limited the ability of the company to aggressively book orders for specialty cables in the short term given the shortage that has been there of these polymers. There will be a near -term impact in both volumes and margins.

In terms of concluding remarks, I would like to conclude that the financial year 2026 has been a good year in spite of all the volatility and the war at the end of the period disrupting supplies.

Despite the multiple iterations in the U.S. tariffs throughout the year, the increase in LME prices and the recent Middle East war, the company has still reported a strong growth. However, as I mentioned earlier, the short -term period, as mentioned, will see slowing demand.

And there are several factors for this. You have significantly higher metal prices. Added to that are higher premiums both for aluminum and copper. There is higher freight costs involved, including the war premiums that have been applied on all export shipments. The Middle East is where the maximum amount of problems are there because the containers are being transferred without complete insurance cover, resulting in some of the projects being actually deferred or delayed.

There have been several manpower issues in the recent months at various project sites with the elections coming up in the East, and this has impacted the transit of goods to some extent within the country, but much larger in the form of the operation of the ports. So with these effects, some of the customers are actually preferring to postpone the delivery of their materials.

We also see, in addition to this, that domestic players have started increasing their capacities, and this is increasing some amount of pricing pressure. The Chinese competition is still quite severe in certain parts of the world. There is a fairly large difference between LME and the Shanghai Metal Exchange, what we call the SH FE prices which, for aluminum, has increased to about \$330 to \$360 a ton.

However, having said that, structurally, energy infrastructure f

undamentals remain intact with

the growth in T&D, rising electricity demand and evacuation infrastructure being increased, data center expansion, the growing presence of EVs, more opportunities for reconducting and upgradation of aging lines and, finally, the significant investment happening in ultra -high voltage transmission infrastructure and HVDC. All of these opportunities continue to provide a robust growth runway for the company, and we are quite focused and well positioned to capitalize on this.

We plan to increase our capex for FY27 to about INR1,500 crores in addition to the FY26 capex that we have incurred of INR740 crores. This is to ensure that we have a capacity in place to meet future demand given the longer capex cycle that is taking place. So with this, I would like to leave you all with an optimistic note that in spite of the short -term problems that are there, we still see a very strong future coming up.

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With this update, I'd like to conclude my presentation. I'd like to thank all of you for joining this call and would like to open up the floor to questions, please.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Nitin Arora with Axis Mutual Fund.

Nitin Arora: Hi. Thanks for taking my questions.

Moderator: I'm sorry to interrupt, Nitin. You are not quite audible.

Nitin Arora: Am I audible?

Moderator: Yes, now it's much better. Please go ahead.

Nitin Arora: All right. Thank you for taking my question, sir. Just on your outlook on U.S. market. I remember

a few calls back, you also talked about the data center opportunity which you were seeing. You mentioned Microsoft and everyone as well. How big is these opportunities are becoming for you? Because given such tariff challenging yield, you're still able to deliver such high profitability on the conductor side despite U.S. being down for us. So going in FY27-FY28, how this U.S. opportunity looks like to you because you're increasing again the capex, which looks like a very high visibility you are seeing? So just your take first on a little detailed way on the U.S. capex.

Kushal Desai: So Nitin, the U.S. market, we are seeing actually a very strong traction in the U.S. market. It is being clearly led by the data center opportunity there. All the major public companies, data is already available from the numbers that they have given, from the Q1 earnings call that the Metas and the Amazons, Google of the world have already had. So we have already taken positive steps in this direction. We've supplied to 3 major data center projects so far in the U.S. The total of cables that have gone in there is in the range of about \$15 million.

And with this, we are now slowly getting more and more access and RFQs which we are being asked to bid upon. So we see the cable side on the data center growing and being a larger opportunity for APAR as time passes by. We have also made certain capex provisions for adding specific capacity to produce the data center cables which are required in the U.S. that are of a significantly higher specification than the data center cables that are going into India.

On the conductor side, we have had extensive discussions with various utilities there, both public utilities and the IOUs. And from whatever we see of the amount of capital that they are allocating to improve their transmission line capacities and modernization of the grid, we see that this business will only continue to increase year-on-year. So we are seeing fairly strong signal and visibility across the board in the U.S.

What has helped is that it is a tariff situation. Even though there are tariffs, it has settled down. And this is also helpful in terms of customers having to take decisions. Last year was a very difficult period, and in spite of that, we grew because the

end customer, the moment they have

had an imported product from India, they were not clear what the landed cost will be, which really affects the investment decision-making. And as a consequence, that had an effect in terms of where APAR Industries Limited

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we stood. That, I think, is today something that is much more settled. And so you will see in FY27, a larger APAR presence in terms of sales in the U.S.

Nitin Arora: Okay. And when you announced this capex, is it something that these hyperscalers are trying to block ...?

Moderator: You're still not audible. Could you please use your phone on the handset mode?

Nitin Arora: Am I audible now?

Moderator: No, not really.

Kushal Desai: Yes, we can hear. Yes. Go ahead, Nitin.

Kushal Desai: No, I think, Nitin, the line is totally garbled right now. Hello?

Nitin Arora: Yes. Am I audible?

Kushal Desai: Yes, yes, now. Please go ahead.

Nitin Arora: Yes. So I'm asking on this capex, which we have announced and upsized again. Is it like coming more from the U.S. data center hyperscaler side, where they are trying to block your capacity the way they are doing for all the vendors around the world? Or is it a mix of both India capex and U.S. capex altogether?

Kushal Desai: So it's looking at all the opportunities. If you will see that even as I mentioned earlier that even in India, the data center expansion is there. There is also an expansion happening on solar and wind in India. There is a significant increase in solar capacity that we are seeing getting lined up in the U.S. as well.

So the U.S. is being led by data centers. But unlike in the case of fiber and some of the other things that are going directly and blocking capacities here, these are largely projects which are awarded to EPC players. And then EPC players in turn go into the market and start picking up or ordering the business. The capex increase we are seeing is fundamentally overall demand growing with the U.S. being one market where we see significant growth besides India. So these are the two markets which APAR is really focusing on.

Nitin Arora: Just last question, sir, on the profitability. Even if U.S. increases next year in exposure and you're already able to do 44,000 in conductor for the whole year, how one should think about profitability of the conductor business next year?

Ramesh Iyer: So Nitin, we typically give guidance for medium to long-term perspective as we have always been doing consistently in the past. And based on the historical EBITDA margin that we have made, we expect that from a medium to long-term perspective, our conductor margins could be in the range of INR35,000 to INR36,000 per metric ton.

And this has been resulting because of the impact of high premium products, the reconducting opportunity as well as the copper mix that is going up. So in line with that, we expect this margin to be high.

Also to note is that with the increase in the metal prices, you will see higher interest costs also coming in because the metal price is going up. So as we are looking at EBITDA, which is earnings before interest, so to that extent, our interest cost, the EBITDA will also grow. And of course, these are, of course, excluding the tailwinds. We always talk about EBITDA plus tailwind. So it's in the range of INR35,000 to INR36,000 per metric ton plus the tailwinds coming our way.

Kushal Desai: See, one thing, Nitin, I'll add to this is that there is still -- whether it's the U.S. or whether it's India, there is a short-term slowdown in ordering because especially with aluminum, aluminum moves along with the cost of energy. And because of this whole war-related problem, as I mentioned in my opening remarks, there is very sharp increase in the price of aluminum. There is a premium increase.

So if you look at the MJP, which is a me

an premium of Japan, that also has increased. And the freight costs have increased everywhere. In the U.S., they are at all-time high, prices of diesel, gasoline and everything.

So there is a small -- meaning I expect a short-term slowdown. But the kind of budgets which are being allocated, and these are being allocated right from the big data center companies, the budgets which are getting approved in the Board meetings of these big utilities is showing a very strong picture going forward.

You may not be able to place things like what you are asking in the exact buckets, Nitin, because of the uncertainty in the current environment. But the makings of an allocation, very serious allocations from all these different players, that will drive the market in the future.

And that's one of the reasons why we have committed to a larger capex because given that the current scenario, the capex cycle also is significantly longer than what it was 2 to 3 years ago.

From the time you order equipment from a top equipment suppliers at the time, you get the equipment coming in and the installation takes place. That cycle has got dragged out. So I hope that answers your question. Hello?

Moderator: So the participant has dropped so we'll move to the next participant. That would be Umesh Raut with Nomura Holdings. Please go ahead.

Umesh Raut: Hi, sir. Good evening. And congrats for a strong set of numbers in cable and conductor division. My first question is pertaining to our current capacity utilization in these 3 divisions and, at the same time, if you can give us a further detailed breakup of INR1,500 crores of capex that you are planning for FY27.

Ramesh Iyer : Yes. So on the conductor division, our capacity utilization currently will be about 90% to 95%. And similarly, for cables, it could be close to about 85% to 90%. Oil division, as the operation

are not so capital intensive, we would have enough capacity because it would be in the range of 65% to 70% capacity.

Kushal Desai: Lubricants is higher at the moment. Lubricant capacity is running at almost 85% to 90% for the small can and the bucket filling because as you've seen, there's been a substantial growth in the last year. And the company is making some further investments as part of this capex to debottleneck that.

Ramesh Iyer: Anything else you wanted, Umesh?

Umesh Raut: Yes. A breakup of INR1,500 crores of capex that you are planning for FY27.

Ramesh Iyer: Around INR400 crores would be coming from conductor division, around INR200-odd crores on oil division, and cable would be in the range of INR850 crores.

Umesh Raut: Okay. Got it. My second question is pertaining to domestic market. Now that a lot of these large HVDC projects are entering into execution mode, so just wanted to know whether the material awarding for these projects are already being done or it is expected to come up in FY27. And second, any kind of delay in tender finalization that you've seen in domestic market for transmission lines?

Kushal Desai: So the answer to the first question is no. These HVDC projects have just been awarded. So both conductor and the oil will come significantly later. Fortunately, the 2 main players in this -- or rather, the 3 main players in this are Hitachi Energy, your GE and Siemens. And APAR is the

principal and only supplier to all of these 3 companies so far in terms of the HVDC transformer oil. So none of these orders have started getting awarded. I think the business will run through FY27, FY28 also in terms of the awards taking place. Second question you had, Umesh?

Umesh Raut: Regarding current tendering pipeline in terms of finalization, how it is happening, whether you are seeing any delays because of inflationary pressures, where earlier probable estimates for transmission lines could be different now given that copper and aluminium have

both seen

significant inflation. Any kind of revision to that as it will take approval times. So any kind of delays that you can anticipate in first half FY27 in domestic market?

Kushal Desai: So we've seen effect of both. In some cases where we already have the orders and where the customer needs to actually block the metal, they have been delaying the delivery of those supplies. Also, there is some amount of postponement that is happening because the factor is not just metal.

Manpower is a big problem in India at the moment, especially with Bihar -- with the West Bengal elections and the elections in the Northeast. A lot of the workforce at project sites come from those areas and those jurisdictions. So there has been a little bit of a slowdown that's coming from these things.

But our sense is that the time should pass and you will have a pickup. If you see last year, the second half of the year had a tremendous execution intensity compared to the first half. So maybe a similar sort of phenomenon may come up in this year.

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But short term, as I mentioned, they definitely are all these moving parts which have resulted in higher costs, and people are postponing decisions and deliveries wherever they can, even on all the fiber optic OPGW, all that because the fiber costs have gone up 3x and 4x what they were compared to about a year ago.

Umesh Raut: Understood. My last question is pertaining to data center. Now three parts to this question. One, any rough idea about how much of value of cable supply that you can give to 1 megawatt or 1 gigawatt of data infrastructure, suppose, in the U.S.?

Second, do you see pricing in data center user industry to be relatively far better than the other user industries? And third, any color on potential long-term contracts that you can get on the lines of similarly what we have seen on the fiber side in domestic market from U.S. customers? So any kind of long-term contracts or tying up of capacity that you are now discussing with the large players in U.S. data center market?

Kushal Desai: So the last question, I can tell you that as far as our wires and cables are concerned, there is no blocking of capacity that we are seeing with not only as per any of the major players around the world. Because the way it runs is that is then placed on an EPC contractor. EPC contractor then places it on to an electrical contractor who then does the contracting.

First question, the data center is very, very dramatically. So if you see the kind of spec that runs in India is totally different than what runs in the U.S. Also, the spec that runs in a data center, which is a general data center versus an AI data center, is also vastly different.

And the third thing is that we are seeing that the bill of materials is also evolving as NVIDIA's new chips are being utilized and things like that, the electrical requirements are also starting to change.

But to give you an idea, a medium-sized data center that you would supply in the U.S. would be taking about \$10 million to \$12 million worth of cables -- of just the medium voltage cable. And you would probably have something equivalent in terms of the other low voltage cables in this. About \$25 million, \$30 million for a medium-sized data center in the U.S.

Over here in India, you are looking at about INR2 crores worth of cables for a 50-megawatt kind of facility. Yes, 50 megawatts. Correct. So if it's 100 megawatts, it would be about INR5 crores to INR6 crores, like that.

Umesh Raut: Okay. Got it. Sir, last question. I mean, I know that you are guiding for INR35,000 to INR36,000 of EBITDA per ton on its conductor side. But if I look at our pending order backlog where export mix is relatively higher at about 39%, while we did about 21% export sales in conductor in last year, and probably I think there is also a higher room

to supply to U.S. because this especially

in last year was weak. So considering all these things, it looks like you can report probably improvement on last year's EBITDA per ton number, put it at about INR43,000. So any color over here?

Ramesh Iyer: So that's what we always indicate, INR35,000 to INR36,000 plus tailwinds. And as you can see, the order book is not representing the entire requirement for the year. Also, there will be some

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order books -- part of some order book that could spill over to the next financial year. And as we indicated earlier, these are like our medium to long -term guidance. We don't give the guidance for next year.

So we have been increasing our guidance historically. It used to be about INR8,000 to INR10,000. And from there, gradually that has gone up now to INR35,000 to INR36,000, which even the earlier quarter was about INR30,000. So as and when we see more visibility, we would take the call on that. But for now, we feel that on a medium to long -term basis, our margins could be in the range of INR35,000 to INR36,000 plus tailwinds.

Umesh Raut: Okay, sir. Thank you so much and all the very best.

Moderator: The next question comes from the line of Mohit Kumar with ICICI Securities. Please go ahead.

Mohit Kumar : Good afternoon and thanks for the opportunity. So my first question is can you just help us with your dependence on the Middle East for Specialty Oils business in terms of sourcing and sales?

Kushal Desai: Okay. So in terms of sourcing, the refinery that we source a reasonable amount of quantity and have a long -term contract with is Saudi Aramco base oil refinery in Yanbu. So that refinery at the moment is still running. It hasn't shut down at all through the entire period. And they have been shipping product out of there.

It's one of the refineries that has actually met every quarter's requirement including in the month of April and now in the month of May. So from a sourcing standpoint, there is not a major impact from the refinery in the Middle East.

On the contrary, what has happened is that Saudi Aramco other subsidiary, S -Oil, which is our largest supplier, and Formosa, which is out of Taiwan and many of the other refineries, they had a major shock in the month of April, where the raw materials which are on the way to the refinery got stranded.

So that's the reason why in the month of April, all these issues have taken place. By the time , we came into the month of May. Alternate arrangements have been made as well as Saudi have started lowering large amount of quantities from Yanbu. So out of the 9 million to 10 million barrels that they were loading previously from Ras Tanura, that has been substituted with about 7 million barrels from Yanbu itself. So there has been a bit of a substitution that has come in.

On the sales side, our transformer oil, we have a very strong supply going into Saudi Arabia and Kuwait, and both of those had been affected. There were no shipments that went to these geographies in March. Nothing went in the month of April.

However, in May, we have made shipments after getting the increased freight costs, etcetera, from these refineries. So I would still see -- and these are suppliers that have gone into projects which are at very advanced stage, where commissioning of the transformers and all that was coming up.

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So I see that the Middle East business will continue to remain a little bit subdued until this war gets completed. There's also an impact in the Conductor division where we have certain contracts with Iraq and some of these places, where the deliveries will get pushed out until there's a resolution over here .

Mohit Kumar : Understood.

Kushal Desai: Does that answer your question?

Mohit Kumar : Yes, it did. My second question, can you help u

s the growth outlook in premium conductors in domestic markets and compare the inquiry pipeline with the last year. I'm specifically talking about AL59, HTLS, overhead, CTC conductors and copper pla tes. Yes.

Chaitanya Desai : Generally, we see a good growth prospect in this year. There was a little bit of holding back of tenders last year. This year, we expect more tenders to be finalized. And accordingly, the supplies will be more forthcoming.

And with regard to CTC also, there has been good growth in the transformer segment. While there has been overall more supply also because of the expansions which have come through for us as well as competitors, but overall market is growing. So we see that as a positive.

Kushal Desai : So Mohit, as you see, as I mentioned in my opening remarks, 45.8% is the mix that we had of premium products. And if you look at that as a percentage of the current order book, it's a little over 50%. So you will see continuing growth happening in these ar eas, I mean, as Chaitanya mentioned.

Mohit Kumar : Understood. Sir, last question. Is it possible to sell the CTC conductor export markets ? And where are we in terms of getting those approvals?

Kushal Desai: So there is absolutely a possibility of exporting it. So far, we had really not exported products because there was a major deficit in the domestic market. And to tell you honestly, given the deep relationship that APAR has had on the transformer oil side with all the major power transformer manufacturers across the country who are the main users of the CTC, so obviously, there was a lot of pressure to supply them as well.

Now having gone through 5 phases of expansion within APAR, we are now in a position to start exporting the product. Initially, we have got approvals from Middle East manufacturers and has started exporting to them. We are now working towards getting approvals in Europe and the United States as well. So as you see, as we look at FY27 and FY28, we will want to broaden our base ourselves and look at exports.

Europe is definitely something which is an attractive market. In the case of the U.S., there is a tariff that the India CTC faces compared to a product that's manufactured locally in the U.S. But we are in the process of exploring this because I don't think there's sufficient CTC manufactured in the U.S. by itself.

Mohit Kumar: Understood, sir. And...

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Kushal Desai: We'll see that as a higher percentage going forward.

Mohit Kumar: Thank you, sir. Thank you.

Kushal Desai: Okay.

Moderator: Thank you. The next question comes from the line of Amit Anwani with PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thank you for the opportunity. Sir, first question on the Cables capex, which you said probably about INR850 crores capex, which we have envisaged for this year also. With earlier capexes, we were probably trying for roughly about INR10,000 crores revenue. So any change in terms of the volumes we want to achieve after this round of capex? As you said, you're frontloading the capex for the future years. So what's the kind of long-term outlook?

Kushal Desai: Capex is working towards getting to that INR10,000 crores. We have already spent about INR400 crores in FY26. And if you look at all the carry-forward projects which we have into FY27, that's about INR850 crores. So the total spending has actually increased by almost about INR400 crores compared to what we had planned earlier.

And most of this is going into -- there's a certain set going into expansion of medium-voltage cables, both XLP as well as rubber-based, that go into data centers going into general expansions for utilities, industries, all of that. There is a capacity increase for what we produce for the wind sector. There's a capacity increase of what we produce for solar. There's also a capacity increase for what we produce

for the railways and defence.

So it's quite a broad-based. And we are seeing -- this is a capex towards that INR10,000 crores. We're pulling it forward a little bit. We would have staged it out -- instead of spending INR1,200 crores in 2 years, we would have otherwise spent INR800 crores in 2 years and then INR400 crores in the third year, were trying to actually pull it forward.

Amit Anwani: Right, right. Sir, is the capacity kind of fungible? Since it's a data center, there would be different specs in India and also in exports and your building capabilities there. So is the current capacity fungible there? And second, like what kind of expectations we have in terms of data center kind of contribution going forward since you're building this capacity for that also?

And second, on margin, we have about 10.2%. How these margins can move? Because you also talked about some competition in the domestic market and players are actually setting up their own setups for this. So on these two aspects, yes, that's the question.

Kushal Desai: Okay. In terms of fungibility, the machineries are capable of producing a different specification of products. So the U.S. has a combination of XLP, but largely rubber-based for the data center. So that's one of the reasons why we have added a capacity expansion to produce a much larger quantity of these medium voltage EPR or polymer-based cables. So as expansion happens, the fungibility is going to remain reasonably high.

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Second thing is you're talking about the competition coming in. Yes, there is a competition coming in. You heard some very big names. After Ultra Tech disrupted the paints market, now they are investing and wanting to launch basically wires. We see our strength really in cables and especially in the specialty cables for all the segments that I mentioned to you.

I don't think either the current plan or the immediate launch that Ultra Tech is going to do -- the

Aditya Birla Group is going to do is going to affect the se high-value products. I think their focus is much more on the building wire s and the building segment. Similarly, the Adani Group also seems to be focused more on the wires and the LDC or the light-duty cables, which go through the distribution network.

But we feel there is a very large access that's available in the market both in India as well as overseas, and we are continuing to look at growing irrespective of what happens with respect to some of these players. There could be increased competition. To some extent, you may lose a percentage or so in EBITDA here or there. But the overall size of the pie will continue to grow.

Amit Anwani: Right. And sir, on Conductors, how the premium product volumes would have grown this year? And what's the outlook for next year in terms of the overall volume growth in Conductor and especially the premium product volumes growth in Conductors?

Kushal Desai: Overall figures, we are continuing to look at a 10% growth year -on-year on our Conductor side by volume. We are looking -- continuing to look at growing by 25% a year in our cable side of the business as well. So all these expansions are all in line with that. We needed a 25% CAGR to be able to get INR10,000 crores in that 5 -year time frame when we launched the program. So we are very much on track, in fact, maybe slightly ahead.

Amit Anwani: Right. So premium conductor, how would have been the volume growth?

Kushal Desai: So premium conductors, as I mentioned, as a percentage...

Chaitanya Desai : 45% is for the year.

Kushal Desai: 45.8%, so almost 46% for the year.

Amit Anwani: Right. Lastly, on the U.S. sales . How was the U.S. sales for this year? And then what are the expectations you're building in for FY27 in terms of U.S. sales?

Kushal Desai: So last year was, obviously, year -end was very badly affected because of that 20% p

remium that

India had to pay or a penalty because of the Russian oil purchase angle. Currently, the duty structures have got rationalized. The total duty that you pay on Indian product is 25% for both copper as well as a luminum cables because it falls under the Section 232.

So the pricing is at that level. We feel that our business will go up in FY27 . It will further go up in FY28 because we are spending a lot of time in getting approvals there and started getting from a much wider range of customers initial orders. So you'll see significant growth over the previous year in the U.S. market on the cable side.

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Similarly, we see that the conductor side also will be higher than what we have seen in last year's numbers. The short -term factors are not looking good because of higher freight costs and the product cost itself being high. As I mentioned a couple of time s on the call so far, everybody in the world is pushing out decisions to the extent that they can because the moment the war gets over and energy costs come down, you will automatically see an impact happening, especially on aluminum.

Amit Anwani: Understood, sir. Thank you, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Amitoj Singh with 360 ONE Capital. Please go ahead.

Amitoj Singh : Yes. Thank you so much sir for taking the question. My first question was on the U.S. tariff scenario. Recently, the US has changed their Section 232 tariffs . There is a flat tariff for 50% of conductors and 25% on cables. So how do we see the pipeline evolving due to these tariffs? Is it benefi cial for APAR? And how has the customer reaction been? That's first question.

Kushal Desai: So what actually it has done under 232 is with whatever rationalization has been done. It seems like that now this is here to stay for a while. So the uncertainty which was really the big problem that existed in the last financial year, that problem is now -- at least visibility is there. You can do a proper computation in terms of what the landed cost will be. So in that sense, it is positive. I guess India is still continuing to have discussions with the U.S. government, and I don't know whether there could be reduced tariffs coming in. But otherwise, in the meantime, whatever plans and whatever I'm discussing is considering the current tariffs under Section 232. And we see that with tariffs, we will grow significantly in FY27 over FY26 as far as the U.S. market is concerned.

Chaitanya Desai : Yes. Please bear in mind, even an American producer will incur the duty on the aluminum.

Kushal Desai: Exactly, of 50%. And the U.S. imports close to 90% of its aluminum, whereas it imports less than 5% of its copper. So the impact on exporting products to the U.S., which are aluminum -based products is not as high as a barrier which exists when you export copper -based products.

Amitoj Singh : Makes sense. And we export largely aluminum to the U.S. That is fair. Okay.

Kushal Desai: Yes.

Amitoj Singh : Makes sense. Yes. And sir, second question was on the competitive intensity in the domestic market. There is -- I think there's private player who has -- who is almost coming up with their carbon score technology for conductors and is, I think, close to getting a PGCIL approval. So any comments on that or any R&D that we are doing apart from our HTLS segment that would

negate that effect? Just your comments on that, sir.

Chaitanya Desai : See, even earlier on, actually, but in all these tenders with power grid and others, there is a requirement to have past performance successfully. So if the parties who are coming up new,